

Gujarat Fluoroch (FLUOROCHEM)

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Call: May 2023

GFCL: BRD: 2023 12th May, 2023

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001

Scrip Code: 542812
The Secretary
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai 400 051

Symbol: FLUOROCHEM
Dear Sir/Madam,

Sub: Intimation under Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 (Listing Regulations) – Transcript of Conference Call with Investors / Analysts held on Friday, 05th May, 2023

With reference to our letter dated 03rd May, 2023 and pursuant to Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 (Listing Obligations), we are enclosing herewith transcript of the Conference Call held with Investors / Analysts of the Company on Friday, 05th May, 2023 at 16:00 (IST) to discuss 4QFY23 & FY23 Financial Performance of the Company.

The above information will also be made available on the website of the Company: www.gfl.co.in .

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Gujarat Fluorochemicals Limited

Bhavin Desai
Company Secretary
FCS: 7952

Encl.: As above

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"Gujarat Fluorochemicals Limited
Q4 FY '23 Earnings Conference Call"
May 05, 2023

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFICER –
GUJARAT FLUOROCHEMICALS LIMITED
M R. V. K. SONI – HEAD, PROJECTS AND INITIATIVE –
GUJARAT FLUOROCHEMICALS LIMITED
M R. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER –
GUJARAT FLUOROCHEMICALS LIMITED
M R. VIBHU AGARWAL – HEAD, INVESTOR RELATIONS
– GUJARAT FLUOROCHEMICALS LIMITED

MODERATOR : MR. ARCHIT JOSHI – BATLIWALA & KARANI

Moderator: Ladies and Gentlemen, Good day and welcome to Gujarat Fluorochemicals Limited Q4 FY '23 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Archit Joshi from Batlivala & Karani Securities India Private Limited. Thank you and over to you sir.

Archit Joshi: Thank you. Good evening everyone. And thank you for joining the 4Q FY '23 & FY '23 Earnings Conference Call of Gujarat Fluorochemicals. I thank the Management on behalf of B&K Securities for giving us the opportunity to host this call. We have with us today Dr. Bir Kapoor, CEO; Mr. V.K. Soni, Head of Projects and new Initiative; Mr. Manoj Agrawal, Chief Financial Officer; Mr. Vibhu Agarwal, Head of Investor Relations.

Without further ado, I'll request Dr. Bir Kapoor to begin with his opening remarks, after which we'll have the floor open for questions. Thank you, and over to you, sir.

Bir Kapoor: Thank you Archit. Good evening everyone. This is Bir Kapoor, a very warm welcome to all of you on this GFL's Q4 FY '23 & FY '23 Annual Earnings Call. The company announced its quarter four results at its board meeting held today. The results along with the earning presentation is available on the stock exchange and also on our website. I'll briefly touch upon the numbers and then give you an update on the business operations and future outlook. The company reported a consolidated revenue of INR5,685 crores for the year ended March '23 and rupees INR1,471 crores for the quarter ended March '23, which is up by 44% and 37% respectively on year-on-year basis.

Consolidated EBITDA for the FY '23 was INR2,047 crores and for quarter four FY '23 it was INR529 crores up by 71% and 60% respectively on year-on-year basis. The EBITDA margins continue to remain healthy and close to 36% for FY '23 and for quarter four FY '23 as well, quarter four FY '23 as well. Consolidated PAT for FY '23 was 1323 crores and for quarter four FY '23 this was INR332 crores up by 71% and 52% respectively on year-on-year basis.

ROC and ROE improved to 34% and 27% for the financial year '23 and 24.5% and 20.1% for FY '22 respectively. The net debt equity ratio has reduced to 0.23. It has been an extremely satisfying and a rewarding year for us. We are happy with our efforts and the same is showcased in the numbers. We have been investing in capacity building which has yielded rich dividend for us. In the recent years our focus has been on new Fluoropolymers where we are adding capacity to almost 1,300 to 1,500 tons by Q1 in the coming financial year.

As with most of the investments, the new capex that you put in takes almost a year post-commercialization to relive the full potential in revenue terms and these new capacity would give us the optimum revenue by FY '23 when it will be fully utilized. Similarly in the battery

chemicals capex what we are putting in now should relive the full revenue after almost a year when it is commercialized.

This year and the year after we expect the growth to be fueled by new Fluoropolymers and we are already in the process of commercializing our new growth driver which is battery chemical segment. This should help us maintain the healthy growth for the next few years. We are building this large chemical company from India which is competing with global giants and now primarily focusing on the sunrise industry sectors be it EV, solar, hydrogen, 5G in te

lecom,

semiconductors and energy storage system among others. As we are export oriented especially in our Fluoropolymers segments the global macro environment play a major role in our business environment.

Now let me quickly take you through the performance of each of our business segment for the quarter. To begin with let me talk about the bulk chemicals. This segment has seen a quarter and quarter revenue decline of 17%, which is primarily led by the drop in the prices which is in line with our view of the prices to be under pressure due to additional supplies in the market. The

Fluorochemicals segment has done well mainly on account of the refrigerants. Going forward we expect the refrigerant to be slightly subdued in quarter one FY '24 and the new fluorochemicals plants are gradually ramping up production and expected to contribute to increase revenue in the upcoming quarters.

In the Fluoropolymers business the volumes have remained stable during the quarters. However, the prices have corrected marginally. In addition to the debottlenecking of PTFE capacity, creation of new additional capacities of new Fluoropolymers are on course. We have some plant shutdowns during quarter 1 and we expect the demand fundamentals for Fluoropolymers to be continued to be robust because of growing demand from new and emerging sectors.

Let me now briefly touch upon the future growth drivers. The Fluoropolymers segments should keep providing us the growth momentum. Beyond the current capacity that we are in, we are optimistic on new Fluoropolymers like PVDF, PFA, FKM that are critical for the industries like EV, solar and semi-con. In battery chemical space we are looking at the entire bouquet of battery chemicals including electrolytes. We expect to get our electrolyte plant to get commercialized by quarter 2 of this financial year and we are working with major battery manufacturers to provide them with electrolyte matching to the requirement. And this segment is progressing well and as per our plans.

We are continuing to look forward and focus on potential long term growth drivers. As communicated earlier, we are progressing well on some of the new development areas like PEM for hydrogen fuel cells and electrolyzers. We expect to build the new business based on these developments in near future. With the growth opportunity before us, we are also strengthening our infrastructure for future growth including new site for future expansion.

At the end, I would like to emphasize that with emerging sunrise sectors in energy transition space and semi-con growth, we see a substantial opportunity for Fluoropolymers, Fluoromaterials and battery chemicals. We are well prepared in terms of the product portfolio as well as capacity building capability to capture this growth opportunity.

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With this, I would like to thank you all and would like to open the floor for question-and-answer.

Moderator: Thank you very much. We take the first question from the line of Mr. Harsh Shah from HSBC Mutual Fund. Please go ahead, sir.

Harsh Shah: Thank you for the opportunity. Congratulations on a great quarter and a strong year end. First question is on the business mix. If you see your Fluoropolymers division earlier used to give the breakup between PTFE evaluated and the new Fluoropolymers. As on Q4, FY '20, it was almost 46% of the business. Anyone in this quarter and it is 49% of the business. So as a mix, it has not changed a lot.

But it means the Fluorochemicals as a business has grown quite rapidly from almost an 18%-20% business mix to now almost one third of the business. The last part of that has to do with the risk gas prices shooting up. So my first question is what is the visibility or what is the outlook on risk gases for next year? And like where do you see the business mix changing for next year?

Bir Kapoor: Yes, Harsh. Thanks f

or your question. The way we see it now is that we expect the red gas prices to remain stable and demand may appear to be a little bit subdued in Q1 FY '24. However, the prices we expect to remain stable going forward. So you are right, the revenue which is coming in the vertical of Fluoropolymers chemicals is timely contributed by the gas comparison of the previous quarters of the year that you are seeing.

Harsh Shah: And in terms of next year, right now as on Q4, 16% is bulk chemicals, one third is Fluorochemicals and 50% is Fluoropolymers of your business. How do you see the business mix shaping up for next year? It's okay if it moves here and there because of some pricing, but in general, where do you see the business mix going up?

Bir Kapoor: As I said in my opening statement, we are focusing in the coming years this year and as well as the next year. Our growth is going to come from Fluoropolymers primarily due to the investment that we have made in the sector. So we expect the Fluoropolymers revenue to go up. Okay, there's a marginal correction here and there which we said because of the pricing which has corrected marginally from its peak position in the earlier quarter. We expect the Fluoropolymer segment to grow as we go along.

Harsh Shah: Understood. And my second question is, can you just help us understand at the break up of your capex for next year? So how much of capex is going into what capacity and also the timeline of commissioning of the projects, that will be really helpful?

Bir Kapoor: Harsh, we would, difficult for me to answer the specific question and capacity. However, in the capex, this year, our capex plan is very close to INR1,300 crores, INR1,500 crores in the coming year. Out of which we are looking at close to INR1,000 crores in Fluoropolymers and battery

chemical space. The capacities, what we are talking about, I will not comment on that, but these investment will lead to the capacity in new Fluoropolymers like FKM, PFA and PVDF. And we expect most of these capacities to come in line by Q1 and Q2.

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However, the capacity utilization, which will reflect in revenue, will take several quarters from there on. Because it takes, it's a long cycle of product development and then eventually get the capacity utilized. So we expect to see that in FY '25 fully utilized.

Harsh Shah: That was very helpful. And just last thing in terms of margin, where do you see margins stabilizing for us going forward for full year FY '24? If I remove the seasonalities or quarter-to-quarter movement for full FY '24, where do you see the margins going from here?

Bir Kapoor: As we have always said that our target is to have margin around 30% and we expect it to continue at 30% plus. This is what we are probably doing.

Moderator: Thank you. We'll take the next question from the line of Sanjesh Jain from ICIC Securities. Please go ahead.

Sanjesh Jain: Thanks for taking my questions. I got few of them. First, on the ramp up of the new Fluoropolymer, I think we added few capacity in Q3 and Q4. And we are planning to add few more capacity over next quarter if I understand right from your previous statement. And if I look at the Fluoropolymer revenue brought over last three quarters, it has broad remaining stable. I understand there is some amount of price decline.

But how should one build a ramp up and considering the capacity we have added at the peak, what should be the Fluoropolymer revenue assuming that the prices remain stable at these levels?

I know we cannot take a call on sizes. Assuming the prices remain where they are today, what will be the peak revenue from the capacity which we have put up and which we are putting in the next two quarters all put together? What should the revenue be? That's my first question.

Bir Kapoor: Thanks, Sanjesh. Thanks for your question. As you follow, it's difficult to give the number of the

revenue because it depends on prices. However, as you said that if I take the same pricing as in now, what do we see? Where is it going? So we see it almost, as you said, our growth is going to come from Fluoropolymers, which is approximately 20% from where we are. That's where we see INR1,000 crores plus going in Fluoropolymers when these capacity get fully utilized.

Sanjesh Jain: INR1,000 crores plus per quarter.

Bir Kapoor: This is for the annual, I said, not per quarter.

Sanjesh Jain: No, no, we are already at INR700 crores for the Fluoropolymer as we think in this quarter. INR720 odd crores of Fluoropolymer revenue in this quarter?

Bir Kapoor: Yes, sorry, I misunderstood, Sanjesh. It's going to be, from the quarter perspective, it will at least cross INR1,000 crores. INR1,000 crores to INR1,200 crores in Fluoropolymers.

Sanjesh Jain: INR1,000 to INR1,200 crores of quarterly revenue will be able to cross it with all the capacity which we intend. And this will be visible in the FY '25 as the ramp up will take the time. That's the right understanding.

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Vibhu Agarwal: Sanjesh, also what you should look at is the current capacity that we have today. Today we are almost at 1,100 odd tons per month. This will go up to, as we have guided earlier, to 1,300 to 1,500 by Q1. There's further additions happening throughout the year. Accordingly, next year the ramp up would happen and the revenues would go up. We cannot guide anything further than that. So you can build up as 1,100 today, going up to 1,300 to 1,500 by Q1. By end of the year, you should be in a ballpark figure of 1,700 to 1,900 tons per month.

Sanjesh Jain: Fair enough. So polymers. On the polymer side. And the PTFE capacity addition of 3,000 metric ton of the de-bottle netting which we were planning, when should that come?

Bir Kapoor: That should come probably by the end of mid of this year, probably third quarter of this financial year.

Sanjesh Jain: Third quarter of this financial year. Do we plan to add more on the PTFE because 3M opportunity still remains there and...

Bir Kapoor: What's happening in 3M Sanjesh is that, as you know, they will remain in operation till the end of '24. Beginning of '25. So actual capacity of volumes going out of the market is still almost one and a half year away. So what our expectation is that although we are seeing some tailwinds in terms of, customer approach and product qualification level, but we'll see its impact on our

volume probably from the beginning of next year.

Sanjesh Jain: Are we planning to add more capacity on the PTFE to cater this?

Bir Kapoor: It depends. Sanjesh, we can always add, but we'll see how the business progresses. That's all we can say.

Sanjesh Jain: Got it. On the battery chemical side, one of your peer has announced a partnership with a Japanese company on making solution. And it looks like they're progressing to add a very large capacity on electrolyte solution. How are we looking at on the battery chemical business both from the electrolyte salt as well as solution business? How prepared are we to capitalize on this opportunity?

Bir Kapoor: As I said in my, again, in my opening statement that we are very well poised. In fact, we are very well prepared. Our electrolyte plant would be ready in Q2. And also we are the final stages of commissioning of our salt plant. So I think we are very well positioned to capture that. We'll have our own electrolyte plant and we will be engaging with customers and fulfilling the requirement based on the formulation provided by them.

Sanjesh Jain: When should we see the revenues coming for battery chemical? Will it be in '24 or will it be in '25?

Bir Kapoor: We expect the revenue mostly to come in '25 because the qualification time in battery chemicals is very long Sanjesh. Sometime it could be a

almost four to six months because it's a sector where qualification times are very long. So in terms of impact on the revenue of battery chemical, I'll probably start seeing it from the next financial year.

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Sanjesh Jain: Two bookkeeping questions, last from myself. One on acoustic chloromethine, we had a 17% sequential decline. Did we have any long-term contract benefit and the full impact of the lower prices? We will see in the next quarter. And if you are, or you can just help us understand what is the exit month revenue annualized? Do you think there is scope for another INR50 crores kind of a decline from these levels adjusting for the current prices? That's number one.

Number two on the net debt, sequentially despite as receiving INR650 crores from the related party, the net debt seems to be a flattish on a Y-o-Y basis. The working capital looks like has again inched up a little bit. We have improved from the back to previous year, but this quarter it again looks like we have inched up. So how should one look at the deliberation of the balance sheet from the net debt perspective? These are two questions.

Bir Kapoor: Let me answer Sanjesh, the first part of your question, which is related to the bulk chemical, caustic etcetera. As far the pricing are concerned, we believe that the pricing is pretty much at the bottom level and don't expect it to go down further. We don't have any long-term contracts so we do not see any impact in terms of, so we will probably be following the market, however it goes, but we do not expect it to go down further.

Coming back to your second question regarding, for the deleveraging the balance sheet and the question on the working capital, I'll invite Manoj Agrawal to answer that question.

Manoj Agrawal: Hi Sanjesh. This on the working capital side, if you remember, we were coming at around 155 days of working capital, which we have brought it down to 120 days, which has not got inched up by around eight days, again to 128 days. This is essentially because of lag effect of the inventories which we are building up for the new capacities and certain new sales in the new regions and new customers, so that is because of that only. So we expect that it will, as the sales pickups from all these new product profile and new customer profile, it will be able to contain it again at the same level. Our target remains at 128 days, 120 days.

Sanjesh Jain: Got it. One last question, sorry, I forgot on the pricing side on the Fluoropolymer, we have seen slight decline. This is more to do with lower demand in the Europe, so the prices are falling down or it's more of a lower power price and the input cost falling, what has driven the sequential drop in the Fluoropolymer prices?

Bir Kapoor: I will think of that if you look at the history, Fluoropolymers were at the peak at the very high prices and there is some marginal correction that is going on. From the volume perspective, we do not see much of an impact, which is again since there are some regional issues also, maybe they are here and there, but other than that, we don't see much of a change.

Sanjesh Jain: So you expect more price of the current level or how is it? Because we talk about this price is very high?

Bir Kapoor: I see there might be a minor correction, but we don't see a very significant deviation from where they are. And again, it depends from product to product. It's a Fluoropolymer itself is a very large bouquet and there are polymers which are for very high end applications and versus

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polymer which are, it depends on that, but overall as a bouquet, we do not see it changing very much. Maybe marginal correction going forward, not much.

Moderator: Thank you sir. We take the next question from the line of Mr. Rohit Nagaraj from Centrum Broking. Please

go ahead sir.

Rohit Nagaraj: So my first question is on the guarantees part. So we have received the advances. How about the guarantees and a similar aspect from the balance sheet perspective. The other current assets have gone down from about INR1000 crores to INR600 crores. So I believe that since we have received the money probably it would have gone down. So what are the leftover non-current assets of about INR600 crores? Thank you.

Manoj Agarwal: Yes, see as we got to guarantees, corporate guarantees are concerned. We have already started pulling it down, reducing it down on quarter-on-quarter basis. See we are well on track and we see that reduction continues basis as we go along. And as regard to even quality of guarantees also it has never got invoked or triggered. So that is one more point you need to note before much worrying about the quantum of the corporate guarantees. So that is one. As regard to your other current assets, there is a bouquet of actually items, a number of items so that I can tell you afterwards once we go to work out separately.

Rohit Nagaraj: Sure. Thank you. The second question is on the electrolytes, salt and electrolytes. So based on current capacity and pricing, what is the kind of peak revenue potential that to be envisaged from the electrolyte salts?

Bir Kapoor: See Rohit it's again, it's sort of difficult to answer because we already indicated capacities on the salt earlier. But revenue because if you look at today the lithium prices because the salt prices are linked to lithium prices. Okay, and there has been a very significant change and there's a lot of volatility in salt prices. It's anywhere from \$13 to \$45 and it was almost at the peak, you know, \$60. So it's a very large volatility. So it would be very difficult for me to answer the future, revenue expectation from this. It all depends on the lithium prices and what demand.

Moderator: Thank you very much. We take the next question from the line of Mr. Viral Shah from Enam Holdings. Please go ahead.

Viral Shah: Yes, thank you for the opportunity. So my question was if I look at the consolidated cash flow statement, the capital expenditure comes out to INR675 crores, whereas in the presentation that number is close to INR1,350 crores. So is this differential of INR675 crores largely the transfer from advances to CWIP for the wind project or is there something else? How should we look at that?

Manoj Agarwal: So look at the final competition of the cash flow. It has to be net of capital advances. So any decrease in capital advances is an actual capex outlay. Actual capex outlay is 1350 roughly. Net of capital advances which got reduced because of receipt of refund from wind on INR625 crores. So that is net is reflected in the cash flow statement.

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Viral Shah: Okay. So would it be fair to say that INR675 crores were towards the wind and INR675 crores was towards all of the fluorochemical and fluoropolymers. Is that the right assumption?

Manoj Agarwal: Correct.

Viral Shah: Okay. So in the coming year out of this INR1,500 crores of capex that we've guided, how much would be towards wind and how much would be towards the chemical business?

Bir Kapoor: No wind in this.

Viral Shah: So out of the advances I meant.

Manoj Agarwal: No, out of the advances which wind has repaid us around INR675 crores. So the residual advances which we have already taken in our earlier capex plan, the capex plan which we have guided for the future financial years is mostly on the chemical side.

Viral Shah: Okay, sure. Thank you so much.

Moderator: Thank you. We take the next question from the line of Mr. Ansal Thakker from Lalkaar Securities. Please go ahead, sir.

Ansal Thakker: Hi sir, congratulations on another spectacular quarter and finishing of the year so well. So my first question is that the media had recentl

y commented on a path breaking invention in membrane technology which is expected to reduce the production cost of green hydrogen. This was at the CSM-CRI at Bhavnagar. I just wanted to know what role will GFCL solar and green

hydrogen products play in this?

Bir Kapoor: Yes, I would request Mr. Soni to answer this, please.

V. K. Soni: See, we have, our GFCL is working on two types of Proton Exchange Membranes, PEM. One is for electrolyzers which is a sulfuric acid membrane and the other one is for a fuel cell. So the effort is to reduce the cost of the electrolyzer membrane because that contributes largely to green hydrogen output. So there we are working very actively with another Indian institute to develop it.

Ansai Thakker: So I understand that there has been some transfer of technology for whatever transacted amount. So does that mean that essentially now this technology belongs to us?

V. K. Soni: Yes, actually we have a transfer of technology from ONGC and that is on the lab scale. And we are now developing it further on pilot scale and thereafter on prototype commercial scale. And we have the full rights for it.

Ansai Thakker: So that means we will be now present in two of the four forms of green hydrogen manufacturing, am I right?

V. K. Soni: Which are the four ones you said?

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Ansai Thakker: So I understand there is PEM, fuel cell and there are two other forms of green hydrogen manufacturing. But essentially this particular technology transfer is for green hydrogen through fuel cell and as well as how we already exist in the PEM.

V. K. Soni: No, actually I will explain again. There are only two applications of PEM. One is for electrolyzer for making green hydrogen and other is for mobility sector for converting the hydrogen by using fuel cell for creating electricity. So we are in both the sectors. In one sector we have tied up with ONGC. The other sector we are developing -- developed our own technology.

Ansai Thakker: Got it sir. So my second question was particularly for the LIPF-6. So is it possible to give us some timeline with respect to where we are on the lab trials, where we are on the validation with customers and I think the out of commercial output you mentioned in the introduction.

Bir Kapoor: Ansai. In battery chemicals in salt, we had stated earlier that we are going to build the fully commercial salt plant which is at the final stages of commissioning. In fact the mechanical completion is almost done. So which we expect the salt will come out in the next few months essentially by quarter 2.

And then after that the salt will go for validation and qualification stage. So we are not going through the lab stage first of all. We have gone and decided to go ahead and straight away go for the commercial scale and build up the commercial scale plant, get it qualified and start getting into the mode of supplying it. So that has been our approach and depending upon the qualification period how it gets ramped-up we will see. But we expect the commercial sales probably will happen by the third or fourth quarter of this year essentially.

Ansai Thakker: All right. That's very encouraging sir. And sir just a little bit of similar detail maybe on the solar PVDF back panels and the PFA semi-con products.

Bir Kapoor: We are already going to the sort of a qualification stage on both of them. And in terms of the PVDF film which is for the solar, we expect to get our plant again get commissioned by quarter 2. And then we will be making a commercial level sheet for this application. Anything you want to add?

V. K. Soni: PFA.

Bir Kapoor: PFA semi-con is we have already developed the product and it's again going through the various stages of qualifications.

Ansai Thakker: So sir solar you said Q2 of the current year right?

Bir Kapoor: Financial year, Q2, yes.

Ansai Thak

ker: Yes, the current financial year. Great sir. Thank you so much. All the best and look forward to the next interaction sir.

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Bir Kapoor: Very quickly, Ansai that with PFA with semi-conductor qualification happening we are also it's part of our new polymer portfolio where we are adding capacity in PFA as well in the next few quarters.

Ansai Thakker: That's great to know sir. Thanks. Great. Thanks.

Bir Kapoor: Thanks.

Moderator: Thank you sir. We take the next question from the line of Mr. Aman Vij from Astute Investment Management. Please go ahead sir.

Aman Vij: Yes, good afternoon sir. My first set of questions is on the new fluoropolymer side. So we have added almost 300 tons to 400 tons per month capacity in the last one year. But in terms of utilization I think, it's still lacking. It's maybe at 60%, 70% utilization only. So if you can talk about if there's some kind of little slowdown in the last three quarters that we have not ramped-up because we have enough capacity compared to what we are doing.

As well as the questions also on the PFA Semiconductor and PVDF-EV. So when can we see some revenues coming in from these two products? Is it this year or next year only, FY '25?

Bir Kapoor: Going back to fluoropolymer capacities again these are capacity addition has been in the new fluoropolymers. And as we had stated earlier that the revenue potential of these new capacities will take some time as it gets qualified. Again the process is little bit complicated because there are -- these are sort of very specific application where products are developed and qualified by customers and then orders are placed. So we expect these capacities probably to get fully utilized by the end of this financial year.

Now coming back to your second question was related to PVDF. Now PVDF you said which application? Are you asking about battery application?

Aman Vij: Yes, PVDF EV grade as well as PFA Semiconductor. When will we see them contributing to our revenue and which quarter?

Bir Kapoor: We have a product which are developed and again we are going through the qualification stage because in PVDF for EV sector also there are multiple grades. It's not one single grade. There are different types of PVDF polymer and we have capability to develop both. We have developed it and it's going through the qualification process. Unfortunately the qualification period is very long. For one cycle it's almost six months. That's the situation.

Aman Vij: So do you expect this to contribute in FY '24 or FY '25 only, these two products?

Bir Kapoor: No, I think the qualification will complete by this financial years in both of these products. In fact PFA it might happen much earlier. In PVDF I think, particularly in the EV application six months approximately from now and subsequently ramp-up.

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Aman Vij: My second question is on the two parts. You talked about there will be a shutdown in Q1. So if you can quantify is it in PTFE or new fluoropolymer and is it like 10%-20% shutdown or is it like major capacity won't be there? And for how many months also if you can talk about that?

Bir Kapoor: Not a major few months. It's purely in PTFE and because it's like annual shutdown that we do for TFEs. So we just wanted to sort of issue a guidance that there will be a TFE shutdown in this and there is some PTFE only, not new fluoropolymers.

Aman Vij: Yes, and on refrigerant gas you have talked about little subdued demand in Q1. So again is it like 5%-10% kind of subdued or is it 20%-30%-40% kind of subdued demand?

Bir Kapoor: You know as refrigerant gases are a cyclical business problem and it depends a lot on the weather condition looking at you saw the temperatures in Delhi lately and even all over India. So I think overall the demand depends a lot on the

weather conditions. So we expect the demand to be slightly subdued. Now it is difficult for me to comment but possibly I can say 10% maybe I did not know this is something difficult for us to estimate. It depends on more over the weather conditions.

Aman Vij: So sir, you are talking mostly on domestic front, export front the demand is still okay on refrigerants?

Bir Kapoor: And also demand is slightly subdued, not significantly and that I think is partly going to be seasonal also.

Aman Vij: Sure sir, these are my question. Thank you.

Moderator: Thank you. We take the next question from the line of Mr. Nitesh Dhoot from Prabhudas Liladher. Please go ahead sir.

Nitesh Dhoot: Hi team, thank you for this opportunity. So my question is that in Arkema's results declared today, they've indicated a rapid normalization of PTEF prices in battery from last year's exceptional prices. Also another large global player. Dongyue said that prices of PVDF are unable to maintain at the elevated level. So there's the size of Arkema etcetera, renting it by specials. I presume they would be taking into consideration the various grades and applications of the polymers. However, what I gather is, we are not seeing any sharp decline in PVDF prices going forward. I was just wondering if that were to happen, whether our profitability could be lower than what we are indicating. I mean could the 30% margin guidance get challenged is what my question is.

Bir Kapoor: See, the thing is that right now globally the EV chemicals as well as the PVDF prices are pretty

much dependent on the China market. China is today the world's largest market of battery chemicals and EV batteries. So China demand has been subdued and there's been a slowdown in the EV sales in China and that essentially have reflected in terms of the overall price situation that you see.

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In our case we are not significantly affected at the moment because our EV capacity in PVDF is expected to come up after the qualification by end of this year and the early first quarter next year. So coming back to the pricing, we see that this could be a momentary because there is long value chain and the industry may have -- because the EV is on a growth path and it depends on which part of the value chain comes faster versus later. So I think this is maybe a short term phenomena which is expected to get picked-up as demand improves of EV in China and EV capacities come every other places.

Nitesh Dhoot: Yes, thank you so much.

Bir Kapoor: Thanks, Nitesh. Thank you.

Moderator: Thank you, sir. We take the next question from the line of Mr. Rohan Gupta from Nuvama. Please go ahead sir.

Rohan Gupta: Hi sir, good evening and congratulations on a strong set of number. Sir, first is that our understanding is generally, what we have seen is that from the product development then you go to qualification and then you go towards the ramp-up phase and finally commercialization. Generally the timeline here involved including qualifications and a product development and ramp-up and commercialization finally takes two to three years and even sometimes we take more. Even you have seen in your journey also in case of PVDF it has taken a long time. However, in case of battery sort we're talking about that we are almost skipping or develop and we have already probably developed the product but we are skipping the ramp-up part and directly going for the commercialization. Even from the qualification point of view also we are talking about the customer qualification will be as small as maybe four to six months and we are expecting the revenues to ramp-up by end of this year. After the plant commercialization happening by Q2 or Q3, what is giving us this confidence that we will be able to ramp-up this battery chemicals and will be so fast. I mean, given our learning curve what has changed i

f you

can just give some insights on that, sir.

Bir Kapoor: Rohan, these applications are very different. Because if I look at let's say, our fluoropolymer experience of fluoropolymers they are very small applications and each of these applications has a certain volume, limited volume. In contrast, lithium salt or the battery salt is different. It's a chemical. Once it's qualified the requirement for each plant is very large. The customer's intake is very, very large. If somebody is having a battery capacity let's say of 5 gigawatt hour or 2 gigawatt hour and the requirements are very large. Overall it's a different kind of application, different set of requirements. For example the kind of one customer can take certain quantities say 5,000 ton of battery chemicals. You would not find any customer taking 5,000 ton of very specialized fluoropolymer.

Rohan Gupta: So you are saying that basically the confidence is coming even if you are able to crack one customer. Then from himself his requirement will be pretty large. Have you got any such kind of indication because you are still in a qualification round only? So have you been getting the earlier, I mean initiating in earlier signs of the product getting approved? And that's what that as

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soon as you commercialize your plant and you will you have to ramp-up the production, is it the case?

Bir Kapoor: The situation -- Rohan, is that yes we are talking to all the player but unfortunately we still do not have a material or sample with us. And obviously the question of the volumes come from once we have a material with us and also it gets qualified. Our confidence primarily is coming from the growth in this sector. If you look at our capacity which is very, very small compared to the growth number that we are talking about and either globally or even domestic numbers. So there's going to be significant growth in the sector and that's where our confidence is coming from. And here even after commercialization and full capacity utilization our volumes and the capacity are going to be significantly small compared to the overall market potential.

Rohan Gupta: Okay so thank you so much.

Moderator: Thank you sir. We take the next question from the line of Mr. Ravi Naredi from Naredi Investments. Please go ahead sir.

Ravi Naredi: Thank you to give me this opportunity. Sir can we think there's good time for fluoro industries going to end? There's too much new plants and capacity are coming?

Bir Kapoor: I'm sorry. I did not get your question Ravi. What do you say fluoropolymers, fluorachemicals?

Ravi Naredi: Fluorochemical industries going to -- good time for fluoro chemical industries going to end. There's too much new plants are coming?

Bir Kapoor: I don't think so because as I said earlier, there are entire space of energy transition that we are talking about. Whether it's a hydrogen economy, EV, solar cells, fuel cells, each of these applications have requirements for fluoro materials. Okay so I do not see if you look at the numbers and compare the projections for the transition is very, very high. We do not see that happening at all.

Ravi Naredi: Okay. And sir, new age vertical electric vehicle battery plant are we are going to install. How much capex need? This vertical electric vehicle battery plant. How much capex we need?

Bir Kapoor: No. I cannot answer that question about the batteries what capex is required. But right now for battery chemicals it depends on what chemical, what capacity we go. For the capacity that we have announced we have already indicated for fluoro polymers and battery chemicals are capex is going to be close to INR1,000 crores this year.

Ravi Naredi: Thank you, all the best.

Bir Kapoor: Thanks, thanks Ravi.

Moderator: Thank you. Yes sir please go ahead.

Analyst: Yes sir. So as you mentioned in earlier conversation it s

eems majority of our projects likely to

contribute from FY '25 right, and considering that the plants are down in Q1, FY '24 and some

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price corrections which likely to be in subdue. So can we assume like, FY '24 likely to be muted or pulling one from the levels of FY '23 like our base is quite high now as compared to earlier years, sir?

Bir Kapoor: Yes I think somewhere it has been misinterpreted. I think we never said that our FY '24 is going to be. We have always maintained that our top line is expected to grow by 20%. So I expect that the number as we indicated earlier for example these capacity eventually to reflect INR1,000 crores to INR1,200 crores to top line will continue.

Analyst: No, I was talking about the bottom line perspective.

Bir Kapoor: Bottom line also, we have been maintaining fairly healthy margin and we have said that it will probably be around 30% which we expect to continue.

Analyst: Okay understood. And second thing sir do you people witnessing any kind of lack of demand from lithium-ion chemical site like, I think in earlier con call, we would expect to get some revenues from our battery plants from FY '24, right?

Bir Kapoor: Probably, as we said earlier that we have indicated that our capacities would come which is on course and which we expect to get for the salt as well as electrolyte. Our capacity will come on line in basically in Q2 and then there's a qualification period. So by the end of this financial year or probably by Q4, we started seeing the battery chemicals.

Analyst: Okay. I mean top line and bottom line both will continue to grow in FY '24 onwards right?

Bir Kapoor: Yes.

Analyst: That's it from my side, sir. Thank you for your time.

Bir Kapoor: Thank you.

Moderator: Thank you sir. We take the next question from the line of Mr. Yash Shah from Investec. Please go ahead.

Yash Shah: Hi sir. Thank you for the opportunity. Sir my first question was regarding the PFAS. We had earlier mentioned that we are going to completely transition by the end of calendar year '23. So wanted to understand what is the current status right now? And how many products have been accepted by the customers.

Bir Kapoor: Yes. I'll let Mr. Soni answer that. Soni sir, please.

V. K. Soni: So regarding the transition from fluorinated polymerization aids to non-fluorinated polymerization aids, we have already converted almost more than 80% of all our fluoropolymers into non fluorinated polymerization aids. And we expect by end of this financial year, we should be achieving almost complete conversion.

Yash Shah: Have the products been accepted by the customers?

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V. K. Soni: Yes, already few products which have been converted have been in the market for several months now.

Yash Shah: Got it, sir. Sir, my second question was regarding our electrolyte business or battery chemical business. You mentioned earlier that we will say, we will ramp-up instead of we will commercialize instead of the lab scale and skip the lab scale part. So for commercialization we will require a significant quantity of lithium carbonate. And we had earlier mentioned that we had a tie up with sorry, we had basically appointed E&Y as a consultant. So what is the status on that at this point of time? Because we will -- as we understand we will require a significant amount of lithium carbonate. Some light on that sir.

Bir Kapoor: So I think, when we talk about the lithium carbonate procurement there is a short term versus a long term. In the short term, of course, our capacities are not much and our requirements are not much and we have been already discussing with E&Y and connecting with some of the global suppliers for tie up in the long term. So that has not yet completely closed. But in terms of short term, we have the required

volumes or our short term requirement has already been tied up. We do not see any issue with that.

Yash Shah: So it is safe to assume that the short term supply will be enough to ramp-up your electrolyte sold business right?

Bir Kapoor: We do not see that an issue.

Yash Shah: Okay, got it. Sir last one clarification question from my end. I am sorry if I missed it earlier.

What is the quantum of guarantee left from Inox Wind?

Bir Kapoor: Yes, I will let Manoj answer that. Quantum of guarantee.

Manoj Agrawal: I don't have that number for readily available with me. We will after the call we will.

Bir Kapoor: You can connect with me.

Manoj Agrawal: We do. We'll tell you.

Yash Shah: Perfect sir. Thank you very much.

Bir Kapoor: Thanks a lot, Yash. Thank you.

Moderator: Thank you sir. We take the next question from the line of Mr. Rahul Veera from Abakkus. Please go ahead sir.

Rahul Veera: Hi, sir. In our notes to accounts, there has been one of the points which mentioned that there will be an INR18 crores commission which is supposed to be put up during our AGM for some executive -- non-executive directors. So may we know, what exactly the commission is for and who is the Non-Executive Director?

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Manoj Agrawal: This is part of our -- which is part of the remuneration which is paid to the MD and Chairman, but as the part of the secretarial procedure that has to be put up for the approval at AGM also.

That is what that note is given.

Rahul Veera: Okay. Fair point sir. Thank you.

Bir Kapoor: Thanks Rahul. Thank you.

Rahul Veera: Thank you sir.

Moderator: Thank you. Ladies and gentlemen that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Bir Kapoor: Thanks a lot. I would like to thank all of you for showing interest in GFL and asking questions.

So any further questions, I would request all of you to please be in touch with our communication person Mr. Vibhu Agarwal. And I would like to thank you all once again. And thanks Archit.

Moderator: Thank you. On behalf of Batlivala and Karani Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Sep 2023

GFCL: BRD: 202 3 14th August , 2023

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001

Scrip C ode: 542812
The Secretary
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM
Dear Sir/Madam,

Sub: Intimation under Regulation 30 and 46(2)(o a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 ('Listing Regulations ') – Transcript of Earnings Conference Call with Investors / Analysts held on Monday, 7th August, 2023

With reference to our letter dated 3rd August, 2023 and pursuant to Regulation s 30 and 46(2)(o a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 ('Listing Obligations '), we are enclosing herewith transcript of the Earnings Conference Call held with Investors / Analysts of the Company on Monday, 7th August, 2023 at 16:00 (IST) to discuss Q1FY24 Financial Performance of the Company .

The above information will also be made available on the website of the Company: www.gfl.co.in .

We request you to kind ly take the same on record .

Thanking you ,

Yours f aithfully,
For Gujarat Fluorochemicals Limited

Bhavin Desai
Company Secretary
FCS: 7952

Encl .: As above

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"Gujarat Fluorochemicals Q1 FY -24 Earnings
Conference Call"

August 07, 2023

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFICER .
MR. V.K. SONI – HEAD (PROJECTS & NEW

INITIATIVE).
MR. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER .
MR. VIBHU AGARWAL – HEAD (INVESTOR
RELATIONS).
MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED .

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Moderator: Ladies and gentlemen, good day and welcome to the Gujarat Fluorochemicals Q1 FY 24 Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital. Thank you and over to you sir.

Nitin Agarwal: Hi, good afternoon everyone and a very warm welcome to Gujarat Fluorochemicals Limited Q1 FY 24 Earnings Call hosted by DAM Capital Advisors Limited . On the call today we have representative Gujarat Fluorochem Management , Dr. Bir Kapoor – Chief Executive Officer ; Mr. V.K. Soni – Head of Projects and new Initiative; Mr. Manoj Agrawal – Chief Financial Officer; and Mr. Vibhu Agarwal – Head of Investor Relations.

I will hand over the call to the Gujarat Fluorochemicals Management Team to make the opening comments and they will open the floor for Q&A. Please go ahead sir.

Dr. Bir Kapoor: Thank you Nitin . This is Bir Kapoor and first of all a good evening and a very warm welcome to all of you on this GFL quarter one FY 24 Earnings Call.

As you know the Company announced its quarter one results at its Board meeting held on 5th of August 2023. The results along with the earnings presentations are available on the stock exchanges, as well as on our website. I'll briefly talk about the numbers and then give you an update on the business operations and outlook.

The Company reported a consolidated revenue of 1209 crore for the quarter ended June 23 , down by 9% on a year -on-year basis . Consolidated EBITDA for quarter one FY 24 was at Rs.328 crores down by 24% on year -on-year basis . The EBITDA margin stood at 29% for this quarter and consolidated PAT for this quarter was 201 crore down by 34% on year-on-year basis . Let me quickly take you through the performance of each business segments for this quarter.

To begin with, let me talk about the bulk chemical vertical. This segment has seen a quarter -on-quarter revenue decline of almost 30% primarily led by drop in prices due to excess supply in the market. This segment is also expected to remain weak for the next few quarters for the additional supply to be absorbed in the market and the demand to pick up . The fluoropolymer segments reported a 30% decline in top line on a quarter -on-quarter basis mainly on account of refrigerants. And this has played out more or less as we expected and we had guided earlier. Clearly, the weak summer in domestic as well as overseas market impacted the sales. We, however , expect H2 FY 24 performance in the segment to be better. In the fluoropolymer

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business the prices remained stable. However, the volumes have corrected marginally on account of destocking. This advanced material segments which is fluoropolymer, will continue to be the growth area for us in the near future. We have developed grades in each of these fluoropolymers and the growing demand in most sunrise and new age sectors augurs well, for our growth going forward.

As you all know, this has been a challenging quarter. While we continue to hold in well in our fluoropolymer business, the macro headwinds impacted our current growth. As stated in our earlier call, we saw the impact of the destocking in our major businesses and geographies. And this is true for all major global companies who have witnessed the impact of these destocking in recent time, and particularly in this quarter . And our thoughts are aligned in terms of outlook for the second half

of the financial year, which we expect to be better going forward. While the destocking have depleted inventories, we are closely monitoring the ground situation for things to turn around as things normalize due to restocking. It's early for me to say when this plays out, maybe possibly by the end of this financial year, but definitely the second half looks better. In quarter two, we expect to see things on the similar lines as quarter one. However, as for the feedback that we have received from our customers, we expect the business environment to pick

up from quarter three onwards and to become normal by the end of this financial year. Growth fundamentals for fluoropolymer business are firmly in place. There is no change to the structural story as the end industry segments including semi-conductors, EV, automobiles, among others, continue to be our growth drivers, ensuring overall strong fundamentals for fluoropolymers. This should augur well for the business as we have the capacity, the grades and approvals in place. And we are in a position to capture this growth as soon as there's a turn around. The battery chemical piece is also shaping well, both the salt as well as the electrolyte plants are in advance stage of commissioning. And we expect these to come online by the end of this quarter, which is quarter two FY 24. And we expect to start recognizing meaningful revenues from these segments in 25 post approval processes, which we expect to continue to grow and we expect to continue to grow capacity or expand capacity in this segment. With our commitment to long term sustainable growth, we are progressing well on our PM development for green hydrogen, fuel cells and electrolyzers. We have aligned and transitioned our business towards the sunrise sector be it EV, semi-con, telecom, green hydrogen or energy storage. Regarding the CAPEX, we continue to hold on to our CAPEX plans possibly staggering some of the planned CAPEXs as we see this year unfolding. So, maybe some of these CAPEXs may spill over to next year. We are very positive on the opportunity in our core business segments and the fluoropolymer or battery chemicals. And we continue to focus our efforts in developing new and higher value added grades. With this, I would like to open the floor for questions and answers. So, please Nitin you can take Q&A. Thank you.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Couple of questions, first on the new fluoropolymer understand that the destocking is hitting us and you said that H2 and Q4 will be probably the normalized quarter. So, in previous call, we said that we will be hitting a run rate of 1000, 1200 metric ton per month in Q4, do you think it is possible or you think that target may get spillover to FY 25. How do you see that volume ramp up in the new fluoropolymer in the context of destocking?

Dr. Bir Kapoor: Sanjesh you have another question, you said two questions?

Sanjesh Jain: No, I have got few questions.

Dr. Bir Kapoor: Okay, so you want me to answer this okay. So, yes, there is a spend in the overall market. And we are seeing our approval process going forward. However, in order to realize the full certain capacity utilization, this may spill over probably by a quarter or a little bit more around that, there might be a little bit delay but the plan is moving forward and we are seeing a positive response in terms of expected growth in these areas.

Sanjesh Jain: A related question, where are we in terms of getting approval for our battery grade PVDF and semi-conductor grade PFA. Have we seen any feedback from the R&D customer side, are we encouraged, are we seeing

some problem taking issue which needs to be fixed, where are we in this entire process?

Dr. Bir Kapoor: Let me take step-by-step the first is PVDF, PVDF as we have indicated earlier we have grades and obviously PVDF is not one single PVDF there are four different types of battery application, there are different PVDF and we have made these grades and our grades are made and they are being tested in the lab scale and lab scale we have received positive feedbacks also, but the approval process is still taking time because eventually these approval processes have to go through the final testing in the battery and this process is on and again slowed down a little because there has been a slight slowdown in the EV segments also. So, we see it progressing but we expect to get it in next one or two quarters.

Sanjesh Jain: Okay. And on PFA?

Dr. Bir Kapoor: In PFA the situation if that, that we have there again I would tell you that some of our PFA is going into semi-conductor application as we speak, but semi-conductor application also there are different purity levels and different grades. While in the basic level we have been supplying and to one of the leading manufacturers, but as we are progressing step by step into higher grades, and as we get into approvals, we may look into expanding our capacities in PFA for semi-conductor grade as well. But we are well into that process Sanjesh. And again, I just want

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to remind you that there's not one single grade in semi-conductor there are grades called as 57 and then higher and higher grades depending upon the impurity's profiles.

Sanjesh Jain: So, what I understand is that, you said that you're making base grade which you are already supplying to semi-conductor grade. But higher grade, when you say higher grade what are the

application you're looking at the semi-conductor ?

Dr. Bir Kapoor: The semi-conductor there are multiple grades which are there and it's like going up the value chain and because as semi-conductor again is a very wide word Sanjesh depending upon the kind of the application of the circuits, whether it's what nanometer, et cetera there is a special requirements. So, we are already into this business of supplying to semi-conductor industry.

Sanjesh Jain: But when we say higher grade are we looking at what have we made some pilot grade or samples to be supplied in the higher grade or we're still waiting for this basic grade to stabilize and then move up in the value chain?

Dr. Bir Kapoor: This is a continuous process Sanjesh, it's a continuous process. And we are continuing to improve our grades and getting into higher -and-higher end application in semi-conductor grades and this is being supplied to one of the leading manufacturer.

Sanjesh Jain: Okay. On the comment, we have made that in the presentation that we expect the fluoropolymer blended realization to improve because of the product mix, when we say this, we mean that more new fluoropolymer will be sold or within the PTFE also we expect the blended realization to go up?

Dr. Bir Kapoor: It's both because now we are not really giving segmented profitability or the value. But, our effort has always been within PTFE as well as new fluoropolymer to go for the higher and higher grades. And as you know very well for example PTFE there is a very lower and there is a granular grade and as you go up, there are fine powders and aqueous, etc., Similarly, so our efforts has always been to upgrade, and go to the higher value added grades. And when we say blended, we mean both that we want to, we are slowly pushing our product mix to the higher end.

Sanjesh Jain: And why are we catering the both as in PTFE commodity grade as well because ?

Dr. Bir Kapoor: That's a journey's Sanjesh, you grow up because these are very, very specialized a

dvanced in

materials. And, and this is the journey that a manufacturer has to process because we have to go, qualify for the higher grade you need to have a relationship and the capability to reach that.

Sanjesh Jain: On the ref cast, you have commented with one of your peers a very contrasting thing where your peer expects you to be better than Q1. While our expectation is that Q2 will be similar to Q1, can you help us reconcile the position here, what are we missing in this commentary from our side?

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Dr. Bir Kapoor: It's again, the future is anybody's guess in this case, what we are aware we are coming from is that obviously this year looking at the weather pattern, the summer has been very, very weak.

And so, we are looking and gearing up mostly for the coming year and we expect that starts typically from quarter four onwards or quarter three onward for us. So, again, Sanjesh this depends upon the product mix and the markets in which one is operating, one can have a view on that. I would not like to comment.

Moderator: The next question comes from the line of Ketan Gandhi from Gandhi Securities. Please go ahead.

Ketan Gandhi: There are a lot of negativity around PFAS regulation in EU reach and even after one of the Indian progress report are continuously hammering that in the minds of the investor, even after the news report published by The Guardian Newspaper which is a very reputed that because PFAS regulation is the thing of the past. Do you have anything to say on that ?

Dr. Bir Kapoor: See Ketan we have always maintained a position that PFAS regulation is more towards molecules, which has mobility, which are mobile and which are bio-accumulative.

Fluoropolymers as a set of compounds are a very long chain compound which and while it was proposed, but I don't see that being part of the any restriction that may come into this because right now and again the PFAS regulation was more towards application of fluorochemical compounds as a fact in which is geared towards a large number of consumer applications, but that's related to upholstery or the carpet or the stain repellants, firefighting foam, etc., etc., Fluoropolymers typically are long chain compounds and what we believe is that eventually the regulation comes out although right now they are going through the consultation phase which are interacting through the application and the manufacturers, but fluoropolymers all said and done are solids and these are not soluble in water, these are long chain compounds and they have no leachable water mobile compounds. So, we still hold the same position and we believe that whenever this regulation comes into place, the fluoropolymer would be carved out of this because they really do not pose any problem per se as a product.

Ketan Gandhi: Thank you. And sir in environment filing as per the latest filing, we have mentioned that we are going to manufacture SPOF or that is LFP active cathode material and FSKM also. Can you throw some light color on this, what is the opportunity size and when we will be able to produce this and when we can start sending it commercially ?

Dr. Bir Kapoor: Fundamentally, we have said very clearly that we would like to be in the EV battery segments and of course LFP happens to be one the compound which is cathode active material which is used. So, when we apply for environmental clearance approval, et cetera we apply for a longer

period. We have a plan for setting up these but at this point of time, it may be premature for me to share any details, we will definitely share with you at least both in case of what you mentioned about the specialized FTM which is FSKM or this LFP, LFP is certainly part of our plan and we will come to you.

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Ketan Gandhi: Sure. Sir, can you please throw

some light on usage, where do we use, where do industry use

FSKM any specific application?

Dr. Bir Kapoor: These are very, very specialized application going into space and semi-conductor applications. These are fluorinated FKMs. They are very, very high-end materials for extreme condition applications.

Moderator: Thank you. The next question comes from the line of Anant Jain, an Individual Investor. Please go ahead.

Anant Jain: Some of my questions have been answered, one question that I have is in the PFA where we are already supplying semi-con grade PFA as you said, some grades of semi-con grade PFA and in some what we have also seen is that we have also seen sampling happening for other fluoropolymer, do you think that we can have contract based supplies, the large dedicated contract base supplies in these fluoropolymer that is my first question, with large companies and the similar question is for the battery manufacturer or battery chemicals that we are planning to do because we also see one of your competitors today coming out with a press release saying that they are having fixed supply kind of arrangement for some of these materials.

Dr. Bir Kapoor: Thanks Anant, thanks for your question. We certainly see that as a possibility as market evolves and let me tell you semi-conductors is coming up going through an expected a high growth phase. So, we certainly look for that both in semi-con as well as in battery, where look at a long term contract with future customers.

Anant Jain: So, are we in talks with Indian players, international players, I know you can't name them. So, if you can give me some idea about the kind of players that you are looking to partner with you?

Dr. Bir Kapoor: All I can say, Yes we are. And there are a lot of discussions going on, our materials are being tested at various stages of discussions and approvals. That's all I can say.

Anant Jain: That's great sir. The second question that I have is, there were few reports where R32 seems to be like in some way the replacement for a lot of gases, like our own 125 gases being used currently. Now, again for us the reference point has always been our EC filing, the environmental filing, and there we have I think stipulated a 10,000 ton capacity or TPA. So, do you think that if required, this capacity can go up?

Dr. Bir Kapoor: Right now, if I look at R32, looking at the situation, the global situation of refrigerants. At this moment we are holding on with our plan and we may look back again maybe a quarter later. But at this point of time we have holding on to our plan of setting up R32.

Anant Jain: So, we are holding on, we are not going ahead with R32 what you are trying to say?

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Dr. Bir Kapoor: At this point of time, it's on hold. Yes.

Moderator: Thank you. The next question comes from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: Sir, I have a couple. First on this, the ramp up that we are doing in the new fluoropolymers. What was mentioned last time on the call was that, the ramp up with the from the existing 1100 tons per month to almost 1800, 1900 tons per month, within which the new PVDF application for the solar panel grid will be coming in, any color on where we are in terms of the capacity addition on that front and any light that we would want to throw on, any new fluoropolymers that we are adding in the current regime of the expansion. And when are we scheduled to have the entire capacity online?

Dr. Bir Kapoor: Yes, Archit. See, we had said last quarter, last call about the PVDF solar, PVDF solar we expect to come online by quarter two of FY 24 and we are still holding on to that plan. Now coming back to other capacity expansion, it's primarily one of the areas as PVDF and as the EV market unfolds, and we see a growth

on EV market we will add capacity to reach in stepwise manner.

Now, in these things, it comes in two parts one is to have the base monomer plan setup which we are all done and as the market requirement comes up, we can keep on adding reactors to add capacity.

Archit Joshi: So, 1800, 1900 tons per month is what we plan to achieve by the end of the financial year, but that still be a guidance we are holding on to that?

Dr. Bir Kapoor: I cannot comment on the quantities right now, Archit. However, it's probably as we said that our expansion plans some of it may spill over to next year. Current CAPEX says as I said in my opening statement. So, there may be a spillover of a quarter or so. But that's probably, but plans are in place. We have all the building blocks in place and looking at the market, turnaround and market picks up we will add that capacity there is no point in adding capacity if there are headwinds.

Archit Joshi: Got it. Sir one final question on R125, the US market was quite buoyant in the last financial year with respect to a lot of exports happening out of India to the US. How is the scenario there, we also might have benefited quite a lot from the tailwind from this entire rhetoric. Currently, how do we see specifically the outlook for R125?

Dr. Bir Kapoor: In this context, the first half was slow, and we expect at least R125 also to pick up in H2 going forward with the other set of refrigerants, which will primarily be catering to the next year's requirements that's what our position is right now.

Moderator: Thank you. The next question comes from the line of Rohan Gupta from Nuvama. Please go ahead.

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Rohan Gupta: Sir, first question is on our fluoropolymer, sir what we have understood so far that in many chemical specially the Chinese dumping which is affecting the prices and slightly lower demand and lower acceptance from US, Europe and all because of the recessionary environment there that is leading to all this destocking in many of the chemicals. As far as the fluoropolymer is concerned sir, what we understand that there is a huge demand still untapped from China itself, because they are catering to batteries and all which are the new emerging sector and the demand scenario is very robust there. What actually driving this negativity then in fluoropolymer, when the world still not have enough capacity in the largest market, China is still having a strong demand coming from EV batteries. So, why your fluoropolymer is also being impacted in a current scenario while following and changing the same thing what we are seeing in net profit chemical?

Dr. Bir Kapoor: Rohan again, let me address this question in two parts. The first is fluoropolymer again has multiple rates, multiple types of fluoropolymers. We are operating in majority fluoropolymer in a very high grade, which are not impacted that much from the China. However, there's a phenomenon of destocking going on which we talked about earlier in my opening statement. Because of the business reality, high interest rates, it's from US. So, there is a destocking phenomenon happening. But in some fluoropolymers and I would specifically would mention PVDF for example, the EV sector has a little bit of slowdown in China and because of that there has been an excess supply of PVDF. So, in PVDF in certain segments yes, we have seen a pressure from Chinese, excess capacity and pressure on pricing. Most of the other we do not see that, the phenomenon is mostly impacted in volume because of destocking.

Rohan Gupta: So, you are saying that destocking is even in the fluoropolymer and even China has already started witnessing the slowdown in EV market, though there was a strong demand from battery chemicals. And there was, what we understand and what in earlier conference calls you had mentioned that, the

China itself is producing but the consumption of China is more than what they are consuming. Sorry, consumption is more than what they're producing. So, there is still demand environment very robust but that is also now all looks like changing in a current environment with the inventory destocking taking place across?

Dr. Bir Kapoor: I again thing it's a short term phenomena because the EV market because it's a long value chain there is a little bit of slowdown it is picking up again as we understand in China right now is the largest EV market speaking up now with relatively muted first quarter. Relatively again, it's all relative. So, the growth in the EV in China this year is much less than last year, that is the first calendar year quarter. So, this has some impact because PVDF is one fluoropolymer which is closely linked to the EV side. So, it has its dynamics which gets impacted and other than that, we do not see much of an impact and if you look at the EV as a sector, the both area which is outside China, which is Europe, US, India, the growth is still yet to happen, the buildup is expected to happen in the year 2025 onwards, there's a lot of capacities are, the plans are in place, investments are being planned and this will eventually reflect going forward maybe 25

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onwards. So, what we are talking about for example for battery chemicals to some extent would also the similar growth I would see in PVDF as well as because PVDF to some extent is linked to the battery.

Rohan Gupta: So, second question is on our CAPEX plan of 1500 crore for the current year, is there any

changes because a lot of investment was planned to go into LIPF and PVDF operations. And you already had mentioned and indicated that probably R32 CAPEX plan right now is on hold given the current scenario. So, any likelihood on the CAPEX plan of 1500 crore how much we had incurred so far ?

Dr. Bir Kapoor: Rohan , the CAPEX plan as I said that we will probably be in , quarter one is a little bit too early to talk about it, but what we are foreseeing right now that , plan in terms of whatever we are going to put in, will happen but it may actually spill over to next financial year as well. So, the entire 1500 may not happen this year. And largely, we had also indicated earlier that a large part of our CAPEX is going to be in battery chemical in the future growth. So, as we see our battery chemicals, great approval and the market going up, the CAPEX will be linked to that segmental growth .

Moderator: The next question is from the line of Pratik Jain from Solidarity Investment Managers . Please go ahead.

Pratik Jain: I have one question. On this electrical vehicle battery segment can you just help me understand the economics of this business like what are your internal calculations , what can be the ROCE .?

Dr. Bir Kapoor: Pratik it would be very premature for me to share the economics about this. But we already talked about that , we have a plan to get into various battery chemicals, and even going into electrolytes. So, our plan is to make electrolyte as a product, and maybe look at making the all the chemicals and components which goes into electrolytes. So, that's all I can say. And this is a very early stage of development because , if you look at for example Indian battery industries, it is still a little bit away from setting up capacities. So , I would rather wait for some time and then again it 's premature for me to talk about the ROCE, et cetera or any of the financial parameters related to battery chemical segment.

Moderator: Thank you. The next question comes from the line of Dhruv Muchhal from HDFC Mutual Funds . Please go ahead.

Dhruv Muchhal: Sir, first question is on, if you can give us some sense on what would be the effective capacity that we would have in our polymers business by the e

nd of the year from the start of the year, because the way your segmental changes, now we have very limited information in terms of how to forecast the business. So, any comment that will be very helpful.

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Dr. Bir Kapoor: So, actually we have already indicated our capacity plan earlier. But right now as you have said that, the question is that that how and when this capacity gets full utilized and we had indicated quarter four which probably maybe spill over by one more quarter. That 's all I can say and the plan is in place to put the capacity completely. And we have already added capacity so right now our volumes are not constrained by the capacity, it 's more by the approval and the market demand and the market requirements.

Dhruv Muchhal: So, we have the capacities in place, just as we get the approvals probably, I believe you 're seeing it for P VDF and P FAs, that we have expanded, if I remember right . As you get the approvals, probably the ramp up can happen. Sir we also had expansions in PTFEs if I am not wrong?

Dr. Bir Kapoor: In PTFE, we had said that it 's more of a de -bottling not the adding . And that's already, again that's a lot of it is market dependent at this point of time, we have whatever the plan we have planned in a phase wise manner, because we already had the TFE in place and this is insight in terms of reactor, de -bottlenecking , etc., that's already in place we have done it. And as the market turnaround happens we are very well positioned to capture that.

Dhruv Muchhal: Okay, sure sir. Sir the other thing was, you mentioned about some weakness in demand in the polymer probably a bit temporary, but also some pressure from Chinese at least in some particular trades. So, volume they are a thing , but are we seeing some pricing pressure too, because some of your peers like Emerson and others have not highlighted too much on pricing. So, I'm just wondering are you seeing also some pricing pressure it 's currently only volumes which are causing it and you expect that to improve?

Dr. Bir Kapoor: You're not seeing pricing pressure on them .

Dhruv Muchhal: The Polymer side.

Dr. Bir Kapoor: Not on the higher end grades and the grade which has been unique qualified, because there 's a sense of stickiness, et cetera and then these are high end grades . So, I would agree with that statement and we have not seen significant, of course the volume, because of the destocking as I stated earlier, is getting impacted and I hope that whole thing to get sorted out probably by the second half of this financial year.

Dhruv Muchhal: Sir, in terms of mix how much , just to get some sense how much would be the higher end grades for us and probably I 'm not sure in terms of volumes or in terms of value of the overall polymer business last year, or some ballpark range in terms of where are we , how much of this business is, I am just trying to understand the mix?

Dr. Bir Kapoor: Most of our new fluoropolymer, et cetera is , I would say in the highest end grade . And if I look

at the entire PTFE spectrum, some of the grades which are probably in the granular segment at Gujarat Fluorochemicals Limited
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a very low level, maybe 10% might be in that area which could possibly get impacted. But other than that most of our grades are in high end grades.

Dhruv Muchhal: Okay. So, what we are currently seeing is this price volume thing because given a higher exposure, got it sir. And sir last question, on the PFA side there was some discussion earlier. So, you mentioned there are multiple grades now, in PTFE we understand you are almost, similar to any of your western peers in terms of the product mix that you have, the grades that you cover. If you can give some similar sense and PFAs or probably how many grades are there, how many we have already

cracked, how many are in process of approvals, and how much can you probably track in the next two year or three years, retargeting to convert into two, three years?

Dr. Bir Kapoor: In PFA, again there are multiple applications, when I talked about the grades, et cetera high end and super high-end range that was primarily for the semi-con application where the requirements of impurity profile, et cetera is highly stringent because of the application. Other than that in PFA, which in other way we are I don't see such segmentations. There are mostly another application I don't see such a big difference per se. So, most of it PFA anyway is a fluoropolymer which is a high end fluoropolymer with advanced applications. So, that grade that I talked about in PFA was more focused towards the semi-conductor applications.

Moderator: Thank you. The next question comes from the line of Krunal Shah from Enam Investments. Please go ahead.

Krunal Shah: Sir, one question I had on the PFAS free PTFE, just wanted to understand where we are in the stage of stage of developing PFAS free PTFE?

Dr. Bir Kapoor: See if you look at the PTFE per se, as I said earlier, that fluoropolymer per se are the long chain compounds these are solid not soluble in water. So, they anyway have a very, very low level of PFAS. So, however, there is a fluorosurfactant which is used in the manufacturing of PFAS.

And we have been working towards using non-fluorinated surfactant. And as far as PTFE is concerned, we have developed grade with non-fluorinated surfactant grades in most of the PTFE segments, or PTFE grades, and we are in the advanced stages of getting it approval and taking it to the market.

Krunal Shah: Great, so I was having coming through the lines of most of the peers that no one talks about PFAS, PTFE so any reason why they are not working on that, why there's no discussion as such.

Dr. Bir Kapoor: I'm sorry, could you come up again, I missed, it was not clear.

Krunal Shah: Actually if you see a peers commentary most of them talk about PVDF and FKM are being PFAS free, but nothing on the lines of PTFE being PFAS free developing, so any reason why they are not working on this?

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Dr. Bir Kapoor: Again, I would not like to comment others, but again if you talk about FKM, FKM anyways, is we don't use any surfactant that is PFAS free. And the same is in PVDF, so PTFE I'm not sure which competition you're referring to however, it's an issue with one of the leading manufacturer who have been using and be the main proponent for the fluorinated surfactant. So, at this point of time we would not like to comment on it, but our effort to move towards non-fluorinated surfactant much before this PFAS issue came what we hear in last six months or so, we have been working on it for last probably for 5 years.

Moderator: Thank you. The next question comes from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, my first question is the gestation period between the product approval and the commercial orders. So, we have sent a lot of samples across fluoropolymers. So, if we get the approvals during the next few quarters do we expect substantial commercial orders coming from say FY 25 or what is the general timeline between the approval process and the commercial order start. Thank you.

Dr. Bir Kapoor: Rohit typically, the first to answer your question by FY 25 certainly look for a lot of approval to be in place by FY25. And in terms of timelines, depending upon the grade, it can take anywhere from six months to one year and there is another process Rohit that once material get approved, the customer doesn't start taking the entire capacity from us and the capacity ramp up further takes time. Okay, so it's probably conservatively I can say one, two and a

half year timeframe.

So, let's say three to four months, five months from approval, or six months depending upon the grades. And then the small capacity starts and by the time the significant part of customer

requirements come into place. Based on our past experience, it takes a long time.

Rohit Nagraj: Sir, the second question is on the wind power project. So, does this 2025 megawatt power project is commercialized? And have we started receiving the benefits of it and on a yearly basis what would be the saving because of the wind power process. Thank you.

Dr. Bir Kapoor: I will request my colleague Manoj to take up that question.

Manoj Agrawal: As we have indicated in the last call, that foreign trade policy has been amended. And now they have included wind power locations in the EOU units as well. In the last quarter, we have applied for the, we have identified eight wind pockets, in and around our Jolva plant out of that we have initially applied for the three location for which we have received approvals, and another five location application is in the pipeline, which we expect to get in this quarter. And as soon as we get all the approval for eight location, we will start commissioning windmills.

Rohit Nagraj: And what is the timeline that we are looking and the savings in terms of power cost?

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Manoj Agrawal: So, by Q2 we should get all the approvals and within six months, we should put up all the windmills so the benefits in terms of cost reduction will come in the next financial year.

Rohit Nagraj: Any quantum sir?

Manoj Agrawal: It's around 22, 25 crores depends on the peak power tariff and that other power to conventional power cost spread.

Moderator: Thank you. The next question comes from the line of Ishmohit from Soic Intelligent Research LLP. Please go ahead.

Ishmohit: Just a small question, in terms of full year margin we set to go back about 30% margin?

Dr. Bir Kapoor: We had indicated earlier that we would probably been in the 30s, or maybe 28 to 30, 32, 33 that range so we expect our margins to remain in that range.

Moderator: Thank you. The next question comes from the line of Yash Shah from Investec. Please go ahead.

Yash Shah: Sir it was more of a clarification question. Can you shed some color on it's different on fluorinated or surfactants will be required for different fluoropolymers is the understanding correct?

Dr. Bir Kapoor: Yash, can you come up again, it's not clear. What did you say non-fluorinated surfactant?

Yash Shah: Sir as you mentioned that we'll be using non-fluorinated surfactants for the fluoropolymer. What I wanted to understand is, is different non-fluorinated surfactants will be used for different fluoropolymer. It won't be standard for all the fluoropolymer is what I'm trying to understand.

Dr. Bir Kapoor: That's correct. Yes, because there are different types of surfactant which is used for different application, different grade, different fluoropolymer, it's not one unique molecule.

Yash Shah: Right. So, as per our guidance that will be completely P-FAS free across all of our fluoropolymer by the end of FY 24. Is it fair to conclude that we have found a non-fluorinated surfactant for all the fluoropolymer?

Dr. Bir Kapoor: We expect to get most of our products moved into NFS probably by the end of this financial year. And again from our side, we probably will be ready with most of the grades and the products and then slowly we have to see how the transition happen but our effort is to make it happen as soon as possible and perhaps by the end of this financial year.

Yash Shah: Okay, got it sir. And sir one more thing which was mentioned in our annual reports that energy surfactants as GX902 and 905 the prices of it had remained extremely volatile in the previous

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year. Now moving to the non-fluorinated surfactants, will we still continue to use these or can you help explain this?

Dr. Bir Kapoor: No these will not be used and these will be replaced by surfactant which do not have fluorine, so they will be completely eliminated to some extent.

Moderator: Thank you. Due to time constraints this was the last question. I would now like to hand the conference over to the management for closing comments.

Dr. Bir Kapoor: So, thanks a lot Nitin and thanks to everyone. We really thankful to all of you to have an interest in GFL, as a Company and looking at our growth story as it unfolds. So, with this, I would like to thank you all and look forward to connecting again by the end of next quarter. Thank you so much.

Moderator: On behalf of DAM Capital Advisors Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

GFCL: BRD: 202 3 9th November , 2023

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001

Scrip C ode: 542812
The Secretary
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM
Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call with Investors / Analysts held on Friday,
3rd November, 2023

Ref.: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure
Requirements) Regulation, 2015 ('Listing Regulations')

With reference to our letter dated 31st October , 2023 and pursuant to Regulation s 30 and 46(2)(o a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015 ('Listing Obligations '), we are enclosing herewith transcript of the Earnings Conference Call held with Investors / Analysts of the Company on Friday, 3rd November , 2023 at 17:00 (IST) to discuss Q 2FY24 Financial Performance of the Company .

The above information will also be made available on the website of the Company: www.gfl.co.in .

We request you to kind ly take the same on record .

Thanking you ,

Yours f aithfully,
For Gujarat Fluorochemicals Limited

Bhavin Desai
Company Secretary
FCS: 7952

Encl .: As above

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"Gujarat Fluorochemicals Q 2 FY '24 Earnings
Conference Call "

November 03, 2023

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFI CER.

MR. V.K. SONI – HEAD (PROJECTS & NEW INITIATIVE)
MR. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER
MR. VIBHU AGARWAL – HEAD (INVESTOR RELATIONS)
MR. KAPIL MALHOTRA – BUSINESS HEAD (GLOBAL FLUOROPOLYMER BUSINESS)
MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Gujarat Fluorochemicals Q 2 FY '24 Conference Call hosted by DAM Capital Advisors Limited.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” and then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Mr. Nitin Agarwal from DAM Capital. Thank you and over to you , Mr. Nitin Agarwal .

Nitin Agarwal: Thanks , Dorwin . Hi. Good evening, everyone , and a very warm welcome to Gujarat Fluorochemicals Q2 FY '24 Post-Results Conference Call hosted by DAM Capital Advisors Limited.

On the call today , we have representing Gujarat Fluorochemical's Management, Dr. Bir Kapoor – Chief Executive Officer; Mr. V.K. Soni – Head (Projects and new Initiative); Mr. Manoj Agrawal – Chief Financial Officer; and Mr. Vibhu Agarwal – Head -Investor Relations.

I will hand over the call to the Gujarat Fluorochemicals Management team to make the opening comments and then we will open the floor for questions. Please go ahead , sir.

Bir Kapoor: Thanks , Nitin. Good evening, everyone , and a very warm welcome to all of you on this GFL's Quarter 2 FY '24 Earnings Call.

Nitin, I also have my senior colleague , Mr. Kapil Malhotra , who is the Business Head of our Global Fluoropolymer business, with me in addition to the name that you mentioned .

The Company announced its Quarter 2 Results at its Board meeting held today on 3rd of November 2023 . The Results along with the “Earnings Presentations ” are available on the stock exchanges and on our website .

I will briefly talk about the numbers and then give you an update on the business operations and the overall outlook :

The Company reported a consolidated revenue of Rs. 947 crores for the quarter ended in June '23, September '23, I am sorry , down by 35% on a year -on-year basis . Consolidated EBITDA for Q2 FY '24 was Rs. 163 crores , down by 70% on a year -on-year basis . EBITDA margin stood at 17% for the Q2 FY '24, and the consolidated PAT for this quarter was Rs. 53 crores down by 85% on year -on-year basis .

Let me briefly take you through the performance of each business segment for the quarter :

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The last quarter has been unprecedented for us , where performance has got impacted in all the three business segments , namely , bulk chemicals , fluorochemicals, and fluoropolymers . And these were all for different reasons which got coincidentally hit at the same time. This is how we are expected to reverse going forward .

On the bulk chemical vertical , while the revenues were almost flat on a quarter -on-quarter basis , the drop in prices of these commodities from the previous quarter led to the drop in profitability in this segment . We expect the prices to have bottomed out , and the second half of FY '24 to be better than the first half as we have seen before .

GFL 's consolidated PAT was largely impacted by fluorochemical segment . The major impact was an account of drop in exports volume of R1 25 refrigerant . In the domestic market as well, the poor seasons also significantly impacted the volumes of refrigerant sales . Volumes are expected to improve going forward , though they are expected to remain subdued compared to FY '23 due to phase out in US.

Fluoropolymer performance majorly impacted due to commodity and lower -end grades of PTFE where prices saw a sharp decline due to Chinese dumping, due to continued destocking in higher end grades, and headwinds due to sluggishness in demand particularly in Eu

rope .

H2 FY '24 is expected to be better as compared to H1 , primarily due to expected phasing out of

destocking, pickup in the demand in U.S., and positive impact of exit of legacy players. GFL has been working on optimizing our product mix for the entire fluoropolymer segment to move towards higher end grades, and this is expected to yield better results starting H2 FY '24. Additional fluoropolymer capacities that were added recently are also expected to result in a continued increase in sales over the subsequent quarters. We also expect that sunrise sectors such as EV, Green Hydrogen, Semi-conductors and Solar amongst others to contribute to further increase in demand for various fluoropolymers. Based on our interaction with our customers in various geographies and sectors, we expect the normalization of demand leading to full recovery by Q1 FY '25 (Inadvertently mentioned as Q1FY24 in call). Let me also quickly touch base on our new vertical, which is the battery chemical vertical. The world is now moving towards EV. The global battery market is conservatively expected to reach 4 to 5 Terawatt hours by 2030. Our battery chemicals play through salt-additive electrolytes, cathode active materials and cathode binders will help cater to close to 30% to 40% of wallet share of EV and ESS batteries.

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This, aligned with the global outlook of the sector provides GFL with an opportunity to create substantial value for all of our stakeholders. GFL is positioned itself as a leading supplier in battery chemical space with global play, and this has been in line with our demonstrated play in fluoropolymers. Our integrated LiPF₆ plant and Electrolyte plants are in the advanced stage of commissioning, and we expect to start sampling for our customers very shortly. We have made good progress in this space and discussion with global as well as domestic buyers is progressing well. In view of geopolitical reasons and new regulations across U.S., Europe and domestic markets, we see substantial growth opportunities in these large markets. On the optimum utilization of the assets and asset turnover from this segment is expected to be upwards of 2x, and we expect the EBITDA margins to be in line with our existing businesses. Our currently committed CAPEX in this segment is expected to provide complete asset utilization by FY '26. In terms of CAPEX, some of the planned CAPEX that we had announced for FY '24 are online. However, in view of the markets, we expect these CAPEX to be staggered to earlier part of H1 FY '25, and CAPEX plan for the subsequent years to remain unchanged. As per our last interactions in several quarters, I felt that there are several questions on the business as well as market aspects of our advanced material segment which is fluoropolymers. So, I would like to take this opportunity to spend a few minutes giving an overall update on fluoropolymers and its market outlook. This business has been a core segment for GFL which we have built at a global scale against various odds over the last decade. To give a summary of this, I have invited my colleague Mr. Kapil Malhotra, Business Head, Global Fluoropolymers, to give a brief overview, and with this I would request Kapil to please share the market updates and the business update. Kapil Malhotra: Thanks, Dr. Kapoor. Good evening, everyone. Well, the fluoropolymer market is experiencing a period of remarkable growth and innovation playing a pivotal role in the global materials industry. These polymers offer a unique set of properties that have rendered them indispensable in a wide range of traditional applications such as automotive, aerospace, semiconductors, electrical, pharma, chemicals, medical, wind and solar energy, as well as new age applications such as E-Mobility, Internet of Things, artificial intelligence, 5G networks. We are present in a large number of fluoropolymers including PTFE, PVDF, FKM, and PFA. These highly versatile materials with a wide range of applications in diverse industries. GFL has

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gone through rigors of multiple grades development, customer qualifications and approval, statutory certifications process to reach to the current position. Let me briefly summarize for you about the major fluoropolymers where we are well-positioned and have added capacities and grades. First, let's talk about PTFE. PTFE is currently our largest fluoropolymer segment where we are present in wide range of products and grades. Today, we have a global market share of close to 10% in this segment. In the last few quarters, we have seen volumes in this segment being impacted primarily due to low-cost competition from China and Russia, especially in the lower-end applications.

In the higher -end applications , the volumes are marginally impacted by destocking and sluggishness in demand , which majorly emanated from the U.S. and the European regions . Going forward , we expect to see recovery in these segments as the destocking seems to be phasing out , which should lead to gradual growth starting H2 of this financial year . We also expect to see the opportunities created by the announced exit of legacy players which got delayed due to uncertainty -driven stocking by the customers in earlier quarters to tide over the transition . Our strategy has been to continuously upgrade our product mix towards higher value -added applications . On the medium to long -term, we expect to see significant growth in PTFE driven by new applications such as EV dry batteries , Green hydrogen , semiconductor amongst others . Our grades are well -developed to cater to these applications .

Coming to FKM now. FKM has reasonably been stable in the current financial year . We are continuously getting approvals for the new projects on a regular basis and we expect to see its positive impact on volumes gradually starting H2 current financial year.

Similar to PTF E, here also we expect to see significant impact due to the tail winds created from the void caused by the announced exit of a major legacy player . We are well positioned to capture this business opportunity . Thanks to the recently added capacities available along with full backward integration .

We also expect to see the positive impact of some of the new emerging applications such as ethanol blending and some of the high -end applications in automobiles and Semicon industry . We are in the process to develop the advanced grades to cater to such applications .

Coming to PFA , PFA has been doing well as there is a significant demand from semiconductor industry led by recent developments in geopolitical situation and also demand emanating from new age applications like AI and 5G . GFL, with its already developed grades in this segment is Gujarat Fluorochemicals

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well-positioned to capture this opportunity . We have finalized couple of contracts with some of the global players in this segment .

PVDF is one of the fluoropolymers that we are most excited about given the growth opportunity in this space . We have been building our capabilities in terms of grades and capacities to be able to capture this growth.

The EV approvals are underway . After a lot of tweaking and custom izations moving towards qualification , our approval process is in line with the front -end battery EV applications coming stream . EV to be a major driver .

Some reports estimate PVDF industry at upwards of 300,000 tons per year by FY2030 from currently around

75,000 tons . This along with the solar film demand should augur well for future growth .

In the near term , we expect to see growth from traditional industrial and construction sector driven by recently received statu tory certi fications . These certifications have taken close to one-and-a-half year due to stringent testing and qualifying procedures .

So, with this , I would like to hand it over back to Dr . Kapoor. It's all yours.

Bir Kapoor: Thanks , Kapil. And we plan to have a similar session where we give you a detailed outlook on our battery segments later this year.

So, before I open up the floor for question and answer , let me reemphasize on our business outlook . While the last two quarters have been primarily impacted by external conditions , we are very positive on the opportunities in our core business segments , be it fluoropolymer or the battery chemicals . There are large opportunities before us , and we have all the building blocks in place to se ize this large opportunit y.

On the market side , as we stated earlier , the destocking has started to wane. We are also seeing signs of positive impact due to the exit of legacy players and are in the process of getting customer approvals . The same is expected to gradually add to our top line in the subsequent quarters . We are confident of delivering growth from the next few quarters , and we are hopeful that FY '25 will be better as compared to FY '2 3.

So, thank you all of you , and let's have a question -and-answer session , Nitin. Thank you.

Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Harsh Sha h from HSBC Asset Management . Please go ahead.

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Harsh Shah: So, firstly on the business side, I understand on the revenue , there has been a lower of ftake and on top of that , there have been declining prices . But if I look at the margins , can you just help us understand where we are taking such a higher margin hit versus our peers ? Is it safe to say that the incremental margins that we were making all this time was because of the Ref Gas only?

Bir Kapoor: Well , Ref Gas actually contributed significantly to the overall top line as well as the bottom line , but I would not really say because now if you look at it since the reporting is on consolidated terms , so it would be difficult to say or identify segmental margins . However , at this point of time, the margins in other areas are not hit , not particularly as I indicated earlier , particularly our high-end fluoropolymers where we have seen a very , very minor impact in the pricing as well as volumes .

Harsh Shah: So, for the full year , earlier it was a constant commentary that 38% also you did not say that you will achieve it ever , but there was a constant commentary that 30% is a very sustainable number , and that is where the focus remains . Taking apart this one -off overall situation , are you still confident of achieving that 30% ? And for this year , what is the margin guidance or outlook , if you can give? If you cannot give a specific figure , it's fine , but just a guidance of where exactly you will land up for this year and next year.

Bir Kapoor: Harsh , for this year at least we can say that we will achieve the 30% margin . We expect to catch up going forward . However , for the next year , I think we normally don't give any guidance in terms of what our numbers will be. However , as we have stated again and again that we expect our margins to remain around 30% . That position we are still holding on to .

Harsh Shah: So, H2 you will catch up significantly faster to achieve that consolidated full-year 30% margin . Correct ? So, for H2 you will pick up significantly faster in terms of margin , which will

lead to

consolidated FY '24 margin to be hovering around 30%. Am I correct ?

Bir Kapoor: I think I misspoken there . I think what we are saying is that that FY '25, we expect to come back to our stated 30%. This year, of course , so far has been severely impacted by a number of parameters as you know . So, we expect the margins as well as the top line also to be lower . We expect, to see , of course , the coming quarters to be better than what we have seen in the last two quarters . That's what we are stating .

Harsh Shah: And the second question is on the balance sheet . Overall , our working capital days have short quite a bit and a large part of that incremental is because of inventory . So, how is our inventory situation right now ? And once we enter the H2 , now we will directly see the balance sheet now towards the end of the year , but from now to till the end of financial year , how will our overall working capital and inventory position look like ? And what led to also such a spike in overall inventory days?

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Bir Kapoor: The working capital has increased primarily because of the finished goods inventory and because you know that since our volumes have come down . However , most of our sales actually is in overseas market where we have stock and sell . So, our stocks overall based on our planning have gone up in our depots overseas . However , going forward , we expect to see it come down , and by the end of the year, we expect this to be .

Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities . Please go ahead.

Archit Joshi: Wishing you a very Happy Diwali in advance . And Kapil sir, thanks a lot for giving your brief remarks on the fluoropolymers business . So, my question is to you , if you can share a few moments on the PFAS issue . While there is a lot of literature available to read, it's still quite an undiscovered topic . So, if you can share what's exactly happening across the globe , and if there is any impact, we see in the business going forward ?

Bir Kapoor: First of all , Happy Diwali to you as well . As far as PFAS is concerned, we have already stated that PFAS primarily the concerning area is the small molecules and molecules which are mobile , and in case of fluoropolymer , which are very long chain molecules with very little or no mobility at all , we do not see this issue going forward , and it's not the impact of PFAS what we have seen lately in the volumes . See that, and we don't see PFAS significantly impacting or at all impacting our fluoropolymer business .

Archit Joshi: Would this also be the case for the other , I know that we have discovered a route to make PFAS - free PTFE and PFA , but what about the other molecules ? I just wanted some more elaborate understanding of this, the way we see it going forward . Because I think the EPA s and five countries in Europe are still kind of hell-bent with respect to taking this issue a bit ahead , which just comes out quite negative . So, just wanted to check your understanding on this.

Bir Kapoor: Our position in this again is the same , Archit, that fluoropolymer will not be impacted , and as we had stated earlier , that also have processes developed using non-fluorinated surfactant , which we have , in fact , in almost all fluoropolymer where we are present . So, we do not see PFAS to be an issue going forward in impacting fluoropolymers business .

Archit Joshi: Sir, just one more question on PTFE. Firstly , if you can share where are we on the debottlenecking that we are planning to take it to close to 21,000 tons of capacity , and if you can also share where are we with respect to the increase in other fluoropolymers capacity ? Just one supplementary thing on the PTFE. The clarification th

at I was seeking was more from the understanding of prices . I know that we have seen quite a good or rather a healthy pricing in PTFE in the last two years , and probably in the current state, the commodity grades have coupled with the inventory situation have dragged the per Kg realization which used to hover somewhere between \$10 to \$11 earlier . I just wanted to get your understanding on where pricing can be

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going ahead in FY '25? Where do you see it heading to ? Would the specialty mix be so high that it can take up or rather offset the lower grade commodity PTFE that we are selling currently?

Bir Kapoor: I think you asked multiple questions in the same question , Archit. Let me go on one by one . First about the debottlenecking . As I stated earlier that we have staggered our CAPEX plan, and based on the market right now , our capacity debottlenecking plan has been slowed down , and however , we are probably slowed down by a couple of quarters which should come back online . We have all the pieces and plans in place to achieve that as soon as we see an uplift in the market . Coming back to the pricing side , it's been a continuous effort of us , as Kapil stated , to go to higher end value grades and sort of upgrade ourselves in the product mix in PTFE. So, although we don't give the pricing for the individual polymers , but what you have stated , we expect to remain there or even do better going forward in next year , as the product mix is going to be more skewed towards higher value -added grade. Kapil, you want to add anything .

Kapil Malhotra: No, I think you are absolutely right . We are constantly churning our grades to see to it that we go into higher valued application as the way I have stated to you earlier , and that process keeps on going on.

Archit Joshi: Sir, can I squeeze in one more , sir? Sir, actually , we were given to sort of understand that when the chip shortage happened , the TFE monomer was rather diverted towards manufacturing more PFA than PTFE, which also had some ramifications on PTFE prices , which we also enjoyed .

Now do you see this issue kind of normalizing that the availability of PFA and PTFE both has more or less become a level playing field for not just us , but the competition also? And would that also take away some of the pricing benefit that we enjoyed in the past?

Bir Kapoor: I am not really clear about your question , but what I understand from you is that you are saying that the TFE is going to PFA versus PTFE. Is that correct ?

Archit Joshi: Yes. We are made to by speaking to some of the industry guys , we kind of understood that PTFE prices went up because there was some unavailability of the TFE monomer as , like I said , it was used more in making PFA because there was an inherent shortage of chips and since it finds applications in semiconductors , PFA had a higher demand than that of PTFE. Correct me if I am wrong ? I could be absolutely wrong about it.

Bir Kapoor: We are not seeing that , but as Kapil has indicated in his overview , obviously , PFA has a good potential and primarily driven by the semiconductor segment . As far as we are concerned with respect to our own availability of TFE, we have a fairly high capacity of TFE available . All our TFE plants are geared towards meeting the demands not only of PTFE but also of our PFA .

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Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities . Please go ahead.

Sanjesh Jain: First question again on the margins . I am just looking at the gross profit margin , which is your revenue minus cost of goods sold, which in this quarter came in at around 64%. If I go back into FY '22, FY '21 where it was only

62% , we didn't have 61% , we used to do 67% , 68% or close

to 70% as well in few quarters . So, can you help us understand why there is a drop ? And even in last quarter , I don't think refrigerant was big for us . We had a 70% gross profit margin . What has changed in this quarter for our gross margin to drop by 700 basis points ?

Manoj Agrawal: Yes, Sanjesh, essentially gross margin got impacted due to the volumes are down not only because of quantities but because of prices , softening of prices also in both lower -end polymers and as well as the bulk chemicals , and our refrigerant also. So, all this put together has reduced the gross margins .

Sanjesh Jain: No, Manoj, again our raw material prices would have also fallen equally , right , because entire chemical has fallen . In fact, when the raw material prices fall and the finish prices fall , mathematically margins go up . They don't come down , if we are protecting from the spreads .

Manoj Agrawal: Finished goods prices fall acceleration is higher than the raw material prices fall because you always keep the inventories of the raw materials and even finished goods inventory so that there is always a lag effect between the catching of the raw material prices with the finished goods prices . So, that effect will play out in the next quarter or so once the inventories are level out at both raw materials and finished goods.

Sanjesh Jain: So, there is some inventory impact which is dragging this. So, this is not a representative margin

or it's a representative margin ?

Manoj Agrawal: No, this is not a representative margin because both finished goods prices at the bottom rock prices are there . Raw material and finished goods inventories are the high valued inventories based on the earlier procurements . So, once these things get level out , definitely margin will be better going forward .

Sanjesh Jain: Second to Kapil. Kapil, can you help us understand the competitive landscape in the European market for the fluoropolymer space ? That's number one . Number two, how does the exit of Dyneon is going to help us in FKM , FFKM and all those things ? Can you just help us , how this market is going to restructure ? And how are we looking ourselves to position in that scenario ?

Kapil Malhotra: See, as I have already indicated that some of these legacy suppliers , either they have , one of them has exited and the other one is exiting . Definitely , the landscape is going to change . As GFL has constantly striven to reach to the higher value -added segments always going away from Gujarat Fluorochemicals
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the commodity kind of grade , so this is going to help us because a lot of market share from that exit should be captured by GFL too, and we are positioning ourselves to do that.

Sanjesh Jain: And can you help us with the competitive landscape ? Because Chinese will also looking for the same market as well , right , at the same time ? They are already sitting on a huge capacity .

Kapil Malhotra: Fortunately , for us , they are mostly in the commodity grades . They don't come into the specialty grades . Neither do they have the grades to qualify for those applications which take a lot of time .

The other landscape of the competition is that most of our legacy competitors have also not increased any capacity in the last couple of years and neither do have any announcement to increase the capacities . So, that should help definitely us in capturing more market share .

Bir Kapoor: One more thing I would like to add here , Sanjesh, is that the exit of the player that we are talking about was present all in the very high end of segments . Okay . And what happened is that these were not a commodity segment , and there some of the segments were actually developed and created by these players or this player

. So, developing and meeting that is also has been a challenge , which we have been able to overcome very successfully , and we have been able to develop those grades .

Sanjesh Jain: So, are we getting approval for a similar grade ? So, because they need the supplies before the exits, right ? Are we in the approval stream , we have approved by some of them and when is the supply going to start , if we are approved with them ?

Bir Kapoor: Let me add one more point for clarification for you , just to make you understand the whole situation because we mentioned this exit of legacy players earlier . But this process actually have been delayed because of what happened when these exit was announced , due to uncertainties , the customers have stocked up materials , because these were some of the difficult grade . They were not sure who could supply , who could come up and reach up to that. So, in that uncertainty , the customers have already stocked these materials quite a lot from these players , and that is also added to a destocking . While we had started developing those products , getting approvals , they were not reflecting that much in terms of the orders or the volume . But we expect to see that now in this current quarter , end of this current quarter and more from the Q4 of the financial year.

Kapil Malhotra: So, I think now in sync with what Dr . Kapo or said and absolutely in the same way, and as I had said that , and you are talking about the approvals . In fact, lot of the grades are already approved . We already started seeing the tailwinds coming up and the process will hasten further from next quarter onwards . As Dr. Kapoor is saying , destocking also ends with those customers .

Sanjesh Jain: So, are we already approved in many parts of it or it is still under the process , Kapil?
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Kapil Malhotra: Majority of the grades , yes. Some of the other grades which we were earlier not really going and competing , but now we are competing, and the approvals are under place , because these announcements were made around three quarters back . So, the grades were given for approval .

The approvals have started coming in or some of the approvals will come by this quarter end.

Moderator: Thank you. The next question is from the line of Ketan Gandhi from Gandhi Securities . Please go ahead.

Ketan Gandhi: Dr. Bir Kapoor, I have a question for you . In your opening remark , the last statement you said next year would be better than FY '23, that is the previous year, which we shown the highest profit in life . So, it is FY '23 or FY '24?

Bir Kapoor: Definitely better than FY '24, but we were sort of benchmarking FY '23. So, we expect FY '25 to be on the same line and better than FY '25. You heard it right , Mr. Gandhi .

Ketan Gandhi: So, I am just repeating . Next year will be better than FY '23.

Bir Kapoor: Yes.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama . Please go ahead.

Rohan Gupta: Sir, first question is on our PTFE where you have mentioned in presentation and your opening remark as well, that there has been significant pressure in a low grade of PTFE commodity in nature . So, what I understand is that we have a probably high share of PTFE in a high end of the product portfolio . So, why our product basket and margins has been getting impacted in a current scenario with the Chinese dumping , if we were already in a high grade and value added?

Kapil Malhotra: Yes, Rohan, in fact, as earlier calls , Dr. Kapo or has mentioned that we have somewhere around 25% to 30% of the portfolio , which still we compete with the Chinese and Russian players in the commodity segment . So, those prices definitely went down , and they were competing . We had to compete with th

em in the Indian as well as the global markets . So, that has impacted to some extent .

However , as already stated , that it's a constant endeavor for us to move on to the next value-added chain , and that process is on , and probably subsequent quarters , we will still move away from that 30% difference to even much smaller minuscule difference in terms of going to the share of the high value-added grades . That impact will be seen in subsequent quarters .

Rohan Gupta: Sir, second question is on our margin . What we are trying to achieve is roughly 30% EBITDA margin . Sir, we have definitely seen a very high extraordinary margin and even you have earlier mentioned a 35 % to 40% kind of margins in the fluoropolymer high end is likely to continue .

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We have seen a significant correction in the prices in the end product realization across the product basket in fluoropolymer as well , which is into the tune of almost 30 % to 40%.

With this kind of price reduction , we are still talking about only kind of 30% margin . So, it means that these spreads which we have enjoyed earlier , there is almost 50% kind of reduction in those spreads . So, even in terms of percentage , we may talk about a 30% margin , but in terms of the contribution to the profitability from the fluoropolymer segment is going to remain significantly lower than what we have achieved in FY '23 or probably earlier until unless that we are looking the new product chain , the new product introduction is going to have very , very high margin and that can compensate these kinds of losses .

Bir Kapoor: Rohit, we have always stated that upwards of 30% margin on overall , because our endeavor has always been to as the prices are hit at a very low end of product , we are upgrading our product mix continuously to go to the higher and higher margin products , and our endeavor has been to maintain that.

Rohan Gupta: So, just to clarify that on average realization , you still aim to achieve that what average realization we were working earlier by improving the product mix and on them you are talking about these kinds of margins , right ? Not on the lower commodity prices and lower end of the realization .

Bir Kapoor: I am not really clear , Rohit, what you are asking , because the thing is that the overall product mix of fluoropolymer is changing .

Rohan Gupta: But what I meant to say is that our average blender realization earlier a year back was close to \$35 to \$40 , \$40 plus , which has corrected significantly , and on that we were talking about 30 % , 35% kind of margins . Now that product basket you still aim to achieve a \$35 to \$40 with the introduction of new fluoropolymers and battery grade fluoropolymers going forward , and on them you are talking about 30% plus margin because right now our basket realization has come down very sharply . That is also visible in your presentation . So, just needed some clarification on that .

Bir Kapoor: Rohit , I don't think we ever stated that our average pricing is \$35 to \$40. Some products in the price range that you stated . Some are on the lower side. So, realization is different than what you state. So, it's never stated that the overall realization is in the range of \$35 to \$40.

Rohan Gupta: I will seek further clarification later .

Bir Kapoor: PTFE as earlier stated in the call was \$11, \$12 kind of range .

Rohan Gupta: Sir, I was more referring to fluoropolymer except PTFE in a high -end value added , which include FKM, and PVDF and more importantly catering to the battery chemicals and all.

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Bir Kapoor: High end fluoropolymers with the new end fluoropolymer , it's going up . Yes, you are right , but on an average taking up to \$35 , \$40, I am not

so sure . I don't think we indicated that number ever.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking . Go ahead .

Rohit Nagraj: Sir, first question is on the EV and new energy space . So, what is the kind of revenues at peak utilization levels based on the current investments that you are looking at ? And when it will start flowing ? So, FY '25, do we expect any revenues to come in or it will be starting from FY '26?

Bir Kapoor: On battery chemical , as I stated earlier that we will give you a separate brief . What I have stated today is that the investment that we have made so far, the asset turnover for that is 2x, and we expect to see the capacity utilization of these assets by FY '26. That's what we have stated . And we will have a separate call to update the business outlook and overview on battery chemicals .

Rohit Nagraj: Just to get a perspective , what is the number in terms of the investment that we have made right now?

Bir Kapoor: We have already started . I think it's around 800 , 600 to 800 crores that we have invested in our battery chemicals business so far, particular ly in the integrated LiPF6 plant and also electrolyte plant .

Rohit Nagraj: That answers . And the second question again , unfortunately harping upon the margins part . So, in 2018 , when we had actually started working on the fluoropolymer front , in one of the presentations , we had indicated that the investments that we were going to make that time , the revenue potential was about 600 crores and EBITDA of about 300 crores indicating probably 50% margin . Just to get a broader perspective , what would be a broad margin range for the fluoropolymers and the fluorochemical segment ?

I am not talking about the current environment or the last year's environment , but in a normalized environment , what would be a broader range ? Again , I mean , it may not be a small range of say 30% plus minus 1% or so . Just a broader range , and this will help in terms of modeling what could be the broader consolidated margins at a business level .

Bir Kapoor: We have stated , Rohit, that under normal condition , our average margin to be around 30%.

Obviously , in this average , the fluoropolymer is at the top where contribute maximum and followed by specialty and Ref Gas and finally the bulk chemicals , because we have a spread from bulk chemicals to fluoropolymers . So, we do not give guidance on individual segments .

However , we have stated that under normal conditions , we expect to get 30% margin .

Moderator: Thank you. The next question is from the line of Mithun Soni from GC Investment . Please go ahead.

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Mithun Soni: Just, sir, I want some clarification , understanding . So, let's say if you were to benchmark on a index of 100 all the prices for Q1 or Q2 last year , whatever way you like it , how, which products is where you have seen the maximum decline , and if you can give some percentages as to what has been the decline ?

Bir Kapoor: It's difficult to give , but let me start in the commodity segments , you know where the prices are on CMS and Caustic. There is a significant erosion in terms of the pricing in this segment . There is also in the case of Ref Gas also, there is an impact more on the volume side and marginally on the price side as well . Fluoropolymer, if I look at it as Kapil has stated and I said earlier that the major impact has been on a low -end PTF E commodity segment , which got impacted more than anything . So, this is the situation .

Mithun Soni: Can you give like a percentage form on base of like in the lower end PTFE, the percentage decline in pricing would be about , this is for us or for the industry . Would it be about 10 % , 15% or is in mid -20s? And

similarly in the ref gas.

Bir Kapoor: Again , I am struggling to how to give product because there is a very large number of product mix and the product .

Mithun Soni: Just trying to , I mean , a broad indication .

Bir Kapoor: Low end, which is impacted significantly by Chinese and Russian , the drop has been very, very significant . Probably 25%, 30% almost .

Manoj Agrawal: (+/-25).

Mithun Soni: So, that would be the impact which you would have seen in the low end PTF E grade where the competition was high.

Bir Kapoor: And you know the number for the other commodity segments .

Mithun Soni: Correct , correct . And so, you are saying if you were to exclude these three categories , the fluoropolymers , the specialty and everywhere , the impact of pricing is not material in the sense it will be marginal plus minus 3 % , 5%.

Bir Kapoor: I am sorry , impact of what did you say ?

Mithun Soni: Impact of pricing in the specialty fluoropolymers or specialty chemicals , other than this low -end PTFE , the high -end PTF E, the PVDF, the PFA, the impact of pricing.

Bir Kapoor: No, not being impacted as I stated earlier .

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Mithun Soni: So, basically, this is the only impact which has affected us to some extent, and given that the raw material, we had this higher price raw material, we have also seen the gross margin impact, which should go back to normal in the subsequent quarters. Is it a fair...?

Bir Kapoor: Yes, I think once the volume picks up and we see a tailwind from the factor that we stated, we expect to get back to numbers in fluoropolymers what we had achieved earlier.

Mithun Soni: And you said that recovery of destocking coming to completion, competition is also sort of normalizing from China. Are you seeing things start improving at the ground level in this quarter itself or do you feel it has still to catch up in terms of the improvement?

Kapil Malhotra: See, the headwind from China still remains in this quarter also. However as stated earlier, at least I am seeing in the business prospect from all the global arena that for our fluoropolymers, the green shoots have started coming in, and the number of inquiries are going up, and I expect that momentum now to continue. And as we stated for the reasons earlier, the subsequent quarters should start seeing those uptrends quarter-by-quarter.

Mithun Soni: And one last clarification. As we indicated that FY '25 should be, we would like to surpass FY '23, should we look at it as an absolute basis surpass both in terms of the revenue as well as operating profit? Because margins I understand lot of volatility 30%, 32%, 35% but on an absolute top line revenue and absolute operating profit what we did, you think we can surpass that in FY '25?

Bir Kapoor: Yes, that's exactly what I stated earlier. Yes.

Moderator: Thank you. The next question is from the line of Yash Shah from Investec. Please go ahead.

Yash Shah: Sir, first question was regarding on the Ref Gas side. We mentioned during our opening comments that the business was impacted majorly because of phasing out in U.S. Just wanted to understand from you, sir, wasn't this supposed to be helpful for us that we would have been able to send the U.S. producers won't be like cutting down on the production that would have given us an advantage? I just wanted some clarification on that front, first.

Bir Kapoor: I think you are asking about the U.S. market, the ref gas.

Yash Shah: Yes, with the US phasing out. Yes, with the U.S. phasing out, sir, was that not supposed to benefit us is what my question is, sir, on the Ref Gas front.

Bir Kapoor: Yes, actually the thing is that the phasing out is of particular, as you said, of R125 because of high GWP potential, and the thing is that

at that this time it got impacted from domestic as well as

U.S. both, and there has also been some other issues in U.S., which I would like to point here, that there has been some circumvention has happened in U.S. imports and because of that, some Gujarat Fluorochemicals

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of the volumes to U.S. have been impacted, because some of the blend got reported avoiding or circumventing the duty structure.

Yash Shah: So, sir, is this not structural in nature? Like, what can lead this to for this tend to change locally? Are there any duties coming up that you are aware of? Can you throw some light on that?

Bir Kapoor: I think this is what we understand from the market space, that this is not structural in nature. It happened, and now it's normalizing. So, we stated that our Ref gas volume is expected to improve from what we have seen. However, it may not be as big or as high as what we have seen in FY '23.

Yash Shah: So, the next question was regarding our new age verticals which we are targeting, the likes of EV and solar. Can you provide some kind of an idea, when do we plan to launch PVDF in battery and solar and PFA in semicon? Also, if you can basically give some idea of how many customers we are interacting with on the electrolyte and electrolyte solid side? Some kind of a qualitative answer on this new age vertical, sir?

Bir Kapoor: See, in the EV segments, our plants are already at the final stages of commissioning. We expect to do the sampling of these commercial plants very soon. Some of the samples created at the lab scale have already been with the customers. So, we are engaged with a large number of not only domestic but also global customer on EV. And as I said earlier that once we have these plants fully commissioned and commercialized, we will have a special call and separate call to give you all a complete overview of the battery chemicals and our plan and going forward in that.

Yash Shah: Also, sir, one last small clarification question, sir. We have seen PFA demand to have picked up significantly in this quarter. Is there any specific reason for that, sir?

Kapil Malhotra: Yes, Yash, so the semicon industry is doing well and because of the already mentioned that demand is going to come from AI and 5G segments too. So, because of that expansions are happening in the semicon industry, you have also seen that in India also PLI has been announced.

So, in anticipation of that, the investments are coming, and the demand for PFA is coming up quite nicely for us. And we are also making our expansions and debottlenecking just to suit that demand also.

Yash Shah: One last small question from my side, sir. How much capacity have you added in the fluoropolymer side in Q1?

Bir Kapoor: We had already stated earlier that there is certain name plate capacity because when we add when actual products are made, different product grades have different productivity. But we already had stated earlier that the new fluoropolymer capacity addition was I think around 1,400 or 1,500 tons something like that what we stated earlier several quarters back. So, we are in the phase of ramping up those as we speak, and these all will get utilized over a period of next year.

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Moderator: Thank you. The last question is from the line of Resham Jain from DSP Asset Managers. Please go ahead.

Resham Jain: Sir, I have just one question on the price fall. So, one is that whatever you have sold, there will be a lower gross margin, and that's a part of P&L. And the second is whatever raw material and finished goods inventory you might be carrying. And has there been any provision element also in your numbers this quarter?

Bir Kapoor: Yes, I will invite

Manoj Agrawal: I don't think we have any provision.

Manoj Agrawal: No, no, there is no provision element. This is all actuals.

Moderator: Thank you. I would now like to hand the conference over to the management for the closing comments.

Bir Kapoor: Yes. Thanks a lot. Let me close this call by reassuring all of you on the positive outlook that beholds before us and the work that we have done behind the curtains to be able to tide over this tough phase and embark on the growth journey. We have all the building blocks in place and in our major business segments, be it fluoropolymers or family chemicals. We are poised for very strong growth going forward.

There are also some questions on margin, and I would like to assure you that going forward in FY '25, we expect to get back to our normal business margin which is 30%, and looking at the current business scenario, I would not be able to provide much guidance on FY '24.

So, to close it, we are confident of delivering growth in FY '25, and for the remaining quarters of H2, we expect to be better than what we have seen in H1. We are seeing some green shoots also. And with this, I would like to close this call and thank you all for your interest in GFL and would like to wish you and all your families a very, very happy Deepavali. Okay. Thank you.

Thanks, Nitin.

Moderator: Thank you very much, sir. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2024

GFCL: BRD: 202 4 14th February, 2024

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001

Scrip C ode: 542812 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

Dear Sir/Madam,

Sub: Transcript of Conference Call with Investors / Analysts held on Wednesday, 7th February, 2024

Ref.: Regulation 30 and 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 ('Listing Regulations')

With reference to our letter dated 2nd February, 2024 and pursuant to Regulation s 30 and 46(2)(o a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 ('Listing Obligations '), we are enclosing herewith transcript of Conference Call held with Investors / Analysts of the Company on Wednesday, 7th February, 2024 at 17:00 (IST) to discuss the Q3FY24 Financial Results and EV Business Update .

The above information will also be made available on the website of the Company: www.gfl.co.in .

We request you to kind ly take the same on record .

Thanking you ,

Yours f aithfully,
For Gujarat Fluorochemicals Limited

Bhavin Desai
Company Secretary
FCS: 7952

Encl .: As above

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"Gujarat Fluorochemicals Limited
Q3 FY'24 Results Followed EV Business Update
Conference Call "
February 07, 2024

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFICER AND
DEPUTY MANAGING DIRECTOR – GUJARAT
FLUOROCHEMICALS LIMITED
MR. VIVEK JAIN – MANAGING DIRECTOR – GUJARAT
FLUOROCHEMICALS LIMITED
MR. AKHIL JINDAL – GROUP CHIEF FINANCIAL
OFFICER – GUJARAT FLUOROCHEMICALS LIMITED
MR. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER –
GUJARAT FLUOROCHEMICALS LIMITED

MR. RAJIV RAO – HEAD, BATTERY MATERIALS
BUSINESS – GUJARAT FLUOROCHEMICALS LIMITED
MR. VIBHU AGARWAL - HEAD, INVESTOR RELATIONS
– GUJARAT FLUOROCHEMICALS LIMITED

MODERATOR : MR. ASHVIK JAIN – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Gujarat Fluorochemicals Limited Q3 FY'24 Results , followed EV Business Update Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ashvik Jain from ICICI Securities. Thank you, and over to you, sir.

Ashvik Jain: Thank you. Good evening, everyone. Thank you for joining on Gujarat Fluorochemicals Limited Q3 FY '24 Results , followed by EV Business Update Conference Call. We have Gujarat Fluorochemicals Limited management on call represented by Dr. Bir Kapoor sir, CEO and DMD, and other members of the senior management team.

I would like to invite GFL management to initiate with opening remarks, post which we will have a Q&A session. Over to you.

Bir Kapoor: Good evening, everyone. A very warm welcome to all of you on this GFL Quarter 3 FY'24 Earnings Call. I have with me here our Group CFO, Mr. Akhil Jindal; our CFO, Mr. Manoj Agrawal; and also our Investment Relations Head...

Moderator: Sir, can you speak louder? Can you take the device closer to you? Your voice is not clear.

Bir Kapoor: Okay, I'm sorry. Okay. So good evening, everyone. A very warm welcome to all of you on the GFL's Quarter 3 FY'24 Earnings Call . I have with me here Mr. Akhil Jindal, our Group CFO; also, Mr. Manoj Agrawal, our CFO of GFL; and Mr. Vibhu Agarwal, who is our Head of Investor Relations.

The company announced its quarter 3 results at its Board meeting held today. That is on 7th February, 2024. The results, along with earnings presentations , are available on the stock exchange and on our website. I will briefly talk about the numbers, and then give you an update on the business operations and the outlook.

The company reported a consolidated revenue from operations for quarter 3 FY'24 of INR992 crores, up by 5% on quarter -on-quarter. Consolidated EBITDA for this period was INR206 crores, which is up by 26% on quarter -on-quarter basis. The EBITDA margin stood at 21% for quarter 3 FY'24, which is up by 400 basis points on a quarter -on-quarter basis. Consolidated PAT for this quarter was INR80 crores, which is up by 51% on quarter -on-quarter basis.

Let me briefly take you through the performance of each business segments for this quarter. As we had guided in the previous call, we have started witnessing the signs of bottoming out and a growth from hereon. All three segments, which is fluoropolymers , bulk chemicals and fluorochemicals , have performed in line with our expectations.

The bulk chemical vertical saw a marginal lift from the previous quarter, and the prices are at nearly the same level as previous quarter, which we believe have bottomed out. The Gujarat Fluorochemicals Limited
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fluorochemicals segment also witnessed marginal growth compared to previous quarter, primarily driven by refrigerant business, which had been its all -time low in the previous quarter. The refrigerant business is expected to improve marginally from the next quarter. Specialty chemicals continue to be at the same level due to dumping from China.

The fluoropolymer segment saw a marginal decline from the previous quarter. The prices remained stable. However, the volumes were marginally impacted due to the quarter -- due to holiday season in U.S.A. and Europe, which is a seasonality impact.

We are seeing signs of growth in this segment in the current quarter, and we believe the destocking phenomenon, which we had seen in previous quarter

er, seem to have been largely over, and we expect to see volume picking up from here on.

As we had indicated in the last quarter, our endeavour is to move on to higher grades. It is continuing. And this, along with the exit of legacy player, should yield better results for GFL in this segment going forward.

Additional fluoropolymer capacities that were recently set up are expected to result in continued increase in sales over the subsequent quarters. EV, green hydrogen and semiconductor and solar, among other emerging businesses, should contribute to further increase in demand going forward.

We are definitely seeing green shoots of recovery and expect FY'25 to be far better as compared to FY'24 for this segment. We hope to come back to normal levels in next few quarters.

On our new vertical, the battery chemical, we have scheduled a detailed call immediately after this, where we elaborate our plans and outlook for this segment. This segment would be a major growth driver for us starting FY'26.

Of the INR1,500 crores capex that we had announced in the beginning of the quarter, we'll be spending close to INR1,000 crores to INR1,100 crores this year, and rest will be staggered to the next year. With capex already incurred and some additional in the next financial year, we believe that we have built enough capacity in the fluoropolymers to be able to deliver growth for the next couple of years. Going forward, we expect our major capexes to be incurred in our battery chemicals verticals.

On the balance sheet front, our return ratios have reduced during the financial year on account of higher capital expenditure towards setting up of additional capacities. And at the same time, the revenues have been affected majorly on account of destocking.

We believe that this should reverse going forward. And currently, non-revenue-generating assets will start contributing to the top line. A large part of the current capex is incurred in the Battery Materials segments and also the expenditure in the form of CWIP for various fluoropolymers, which is currently not contributing to the revenue and bottom line. As we had indicated, revenue from this segment will start trickling in from second half of FY'25 onwards.

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The working capital days have also increased primarily on account of reduced sales. This is expected to reverse and improve significantly going forward as the overall revenue improves. I can assure you all that the growth fundamental of our core business is intact.

And this phase is temporary, leading primarily due to the global destocking and low demand in some of the geographies. We have already started seeing signs of recovery, and we can assure you that from here on, we expect to see quarter-on-quarter growth going forward.

With this, I'll let this now open for -- open the floor for question and answer. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few of them. First, on the fluoropolymer business. Last quarter, we said that we have pushed some of the capex to FY '25. And now that we are gaining confidence, when do we expect to resume that capex for fluoropolymer?

And earlier, we said that we are in the process to expand the new fluoropolymer capacity from 700 metric ton to 1,800 metric ton, when should be able to reach that 1,800 metric ton capacity?

And what is the ramp-up time we are anticipating now? And that's my first one.

Bir Kapoor: As we had said in the last quarter that we are staggering our capex in view of the market situation. So clearly, we had anticipated overall capex of INR1,500 crores, which is now going to be INR1,000 to INR1,100. So the rest we intend to complete in next two quarters of the financial year.

ar.

Regarding the utilization of this capacity, we had already mentioned that utilization of this capacity will take several quarters, particularly in fluoropolymers, which is in the new fluoropolymer segment particularly. So we would see this utilization becoming probably next over 1-year period, probably 4 quarters or so.

And this will happen over a period of time because capacity utilization requires the grade development, grade approval process, which goes in a sequence and a stepwise manner. So it will take some time after capex is incurred. The capacity is put in place. As of now, we have capacity in place and the plan to cater to whatever the growth that we expect to see in the fluoropolymer segment.

Sanjesh Jain: Got it. One follow-up. Again, what you said last quarter that the legacy players have built a large inventory in the market for business continuity. How is our discussion with the customer indicating when should they really start picking up a material from us? Is it second half? It is in first half of '25? And we were also in the process of developing FKM, which is one of the large products from the exiting player. Where are we in that process?

Bir Kapoor: Yes, Sanjay, first of all, legacy player, we are already seeing inquiries. We are already engaged with some of our customers. And we expect that their existing stock to be depleted in the next 1 to 2 quarters.

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So we are most likely, I would say, next year beginning or I mean, middle of next year's financial year is what we expect to see the revenue stream or the impact of that showing up. Now coming back to FKM that you asked, this is, again, a part of our strategy to go up high up in the value chain.

We are at the advanced stage of product development. And this will, again, being a very high - end product, it will require some sort of approval process and the testing at the customer end, which we expect to see in probably, I would say, 2 quarters from now.

Sanjesh Jain: But we are ready with the product on the FKM side?

Bir Kapoor: Almost there.

Sanjesh Jain: Almost there. Got it. One...

Bir Kapoor: These are strategic initiatives, Sanjesh. I cannot share much on this.

Sanjesh Jain: No, no, no. I appreciate it. One on the gross profit side, though, EBITDA margin has seen a good improvement sequentially, gross profit has remained largely stable at around 64%. With the rise in fluoropolymer business, we should be, again, inching back to that 66%, 67% kind of a gross profit margin? Will that be a fair assumption?

Bir Kapoor: Yes. We expect that. I mean with the fluoropolymer; we probably be getting back to the same levels of profitability in the gross margin.

Sanjesh Jain: Got it. Got it. One last question before I join back in the queue. On the capex side, I see the presentation, the capex for next year has been reduced to INR500 crores. Any particular reason for cut in the capex?

Bir Kapoor: Let's not misinterpret it. Let me really clarify it here. INR500 crores is probably more like an ongoing business that we are talking. But what we have done this time now, Sanjesh, is going forward since we are having a separate call on EV later today. This does not include the capex that we'll be incurring on the EV side.

Sanjesh Jain: So this is for the non-EV side of the business, INR500 crores?

Bir Kapoor: Absolutely. Which is right because we already have put in a significant amount of capex now in the fluoropolymer with capacity has been built in. Now we will take some time to utilize it. So our capex in the existing businesses in the fluoropolymer would probably start later on. But as of now, we are looking at the next year around INR500 crores, which is, again, is staggered from the last few quarters. You know that.

Sanjesh Jain: So what will be the capex in the Battery Chemical in

that sense? Did the overall capex does the

overall capex enveloped changes for us or it's just segregation?

Bir Kapoor: Not really. Overall capex does not impact you will hear the EV story later on. Maybe they go up totality.

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Moderator: And the next question is from the line of Hansal from Lalkar Securities Pvt Ltd. Please go ahead.

Hansal: So obviously, it's encouraging to observe the positive developments, particularly with the growth in volumes and some sort of resolution to this destocking phenomenon. And we're hopeful that we probably see price rationalization to follow through. Just taking it ahead from the previous question on the capex, slide 13 of the presentation has a footnote regarding the FY '25 capex, which excludes the GFCL EV capex.

Now I'm not sure if I should ask this question here on the EV side, but I'll ask it anyway since it's part of the GFL presentation. This capex, which we plan to do apart from the INR500 crores, ideally, you mentioned that it will obviously be funded through its own SPV.

So -- I mean is there some dilution involved over there? Or will it be debt? So I'm not really clear on that. And the follow through on that, you said that it seems to be without any recourse sort of parent GFCL. So exactly what would that kind of -- what is the company emphasizing when it says no recourse to the parent GFCL?

Bir Kapoor: My request to you is that we'll answer this at our EV call separately because the EV business has its own capex. And right now, we have separated it out. And I would...

Hansal: Sure, sure, sir. I completely understand. I was just not sure whether I should ask it here or there given that it was a part of the GFL presentation. I'll take this question up on the EV side.

Bir Kapoor: And we will discuss and share our plans in the EV call separately.

Moderator: And the next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Congrats on recovery in third quarter. So first question is on our guidance, which we had indicated during the last call. And we had given that in the next couple of quarters, we'll see some improvement in margins, which has actually been delivered in Q3. And full recovery in terms of margins, et cetera, should be in Q1 FY '25. Even we had guided that FY '25 should be better than FY '23.

I just want a little more you know probably if you can give us some granular details in terms of how things are likely to change from FY '23 to '25. Now just to give a colour on this, FY '23, the Bulk Chemicals had a significantly high margin, which is normalized. So FY '25 will be normalized margin scenario.

In fluorochemicals, again, we were significantly benefited from the ref gas pricing, which has again normalized and probably should be normalizing going forward. And in fluoropolymers, also, we had a favourable pricing environment, plus the current higher stocking by one of the players who is exiting was also not there. So if you can just give us a little more understanding how things will percolate over FY '25 to be better than FY '23. That would be helpful.

Bir Kapoor: Yes. I think the way we are right now, we are seeing a sign of growth and green shoots emerging. Looking at the current situation, yes, our margins will improve going forward in the subsequent quarters.

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Coming back to how FY '25 would look like, it will probably be approaching towards '23 better, but it will probably be delayed by a few quarters, Rohit. Not exactly may happen, but we started seeing going beyond '23.

Let me tell you why I was saying beyond '23. Because you mentioned that the bulk chemicals and the upside on the refrigerant will not be there. However, on the fluoropolymer, if you look at it, that we are

expecting significant growth, partly because of the investment that we have made. And we expect the growth to come from a new fluoropolymer segment, which is a higher-end segment, okay? Compared to the baseline fluoropolymer that we had earlier.

So in a way, our growth story now in FY '25, we are not accounting for the similar kind of uplift in refrigerants, but a lot of it will come from the fluoropolymer segment.

Rohit Nagraj: Sure. Sure, sir. And I understand that this should be driven by both in terms of higher grades, which will entail higher margins and the volume growth that we are targeting. Is that a fair assumption?

Bir Kapoor: Yes, because we have added capacities. And also, there is one more reason we would like to mention here, that in fluoropolymer, our investment is also on the backward integration to some cases, our own to have better margins.

So all combination of all of these will probably result in a better margin in the fluoropolymer segment than what we have seen in the past, the top line and the bottom line both.

Rohit Nagraj: So this is really helpful. Sir, second question is on Slide #13, where we have given the RoCE, RoE and there is a footnote regarding the capital employed, and CWIP has been excluded.

I believe that we will, I mean, generally, whenever we'll be providing capital employed, it will include the CWIP because that's an ongoing process at any point in time. So any specific reason of giving this particular ratio without using that?

And an allied question to this. I'm not too sure whether it will be taken in the second call or not.

But just to mention it over here, incrementally, whenever we are providing our financials, so would we be clubbing the financials of the EV business as well? Because on a consolidated basis, the consolidation, since it's a 100% subsidiary, the consolidation will happen, and the ratios should actually reflect the investment in both the businesses. So just your colour on this.

Bir Kapoor: Yes. Thanks, Rohit. I would request Akhil to take your question.

Akhil Jindal: So what you think is right. From an absolutely accounting perspective, I'm not disputing what you said. But I think from a real business operating practices, if you see the EV business are now being -- it's a subsidiary. All our investments in the subsidiary will have its own ratios and its own financials.

Although in the consolidation, it would -- any way, it will come. But from a RoCE/RoE perspective, our intention was to explain to the Street two things. One, that on an operating basis, what are our ratios, number one. Number two, if you separate out the EV business, which has

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just started, I mean, we have just announced some commercial production now. How the EV

business will shape up in the future will be handled in a separate call.

So from a market perspective, we thought that operating numbers of what it is for the operating capacities is the right indicator of our profitability. And as we go along, as the capital work in progress will become a part of our operating capacities, that would also be reflected in that manner.

So there's attempt that we have done to explain to the market on our operating capacity what are the ratios.

Rohit Nagraj: Just a clarification, sir. In terms of now once the EV part of the business gets capitalized, the LiPF6, et cetera, so how will we then show the ratio? So will it be including the EV and excluding the EV? I mean, we would whether we will be bifurcating it or whether that will that time it will be again consolidation or separation?

Akhil Jindal: Yes. So on a consolidated basis, obviously, the EV capex will be a part of our overall GFL balance sheet. But from a stand-alone perspective, from a financial ratio perspective, you will see the EV ratio there in a separate manner.

So naturally, it

's a subsidiary of GFL. So in our overall consolidation, line by line consolidation, everything, you will see the impact. But however, as a matter of abundant caution, we thought the operating capacity should be highlighted separately, and the returns from that operating capacity be highlighted separately so that people can understand what are the real ratios on our capacities will be going forward.

Moderator: And the next question is from the line of Archit Joshi from B&K Securities. Please go ahead.

Archit Joshi: So first one on the HFC -32 project that sort of shelved off earlier, I think our competitor is leasing up their capex to almost double the capacity in R32. Do we have any plans to sort of resume that or put it under consideration?

Bir Kapoor: No, Archit, we do not have a ny plan of in R32 at the moment. We had some plans you know that, and we shelved it because we are getting into other areas. And for a long-term sustainable growth, we thought of other opportunity, which are available to us to invest our capex.

Archit Joshi: Sure, sir. No problem. Sir, second one, not sure if I heard you -- if you already answered this question, but if we could provide an update on the solar-grade PVDF, the battery winder-grade PVDF and the semiconductor grade PFA, where are we in the scheme of things towards development and commercial launches of these products? And what the expected timeline of introducing these products in the market?

Bir Kapoor: Yes, Archit. The solar grade PVDF, we had a plan of setting up at the film plant, which is the PVDF fluoropolymer film plant, which is under commissioning as we speak right now. We will soon announce its commercial production. It's at the advanced stages right now, okay?

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On PVDF, which is for a battery grade, we have developed several grades, which is, again, going through the it has gone through the lab phase. Lab testing has been over, even at the some of the outside labs. And now this is we are in touch with the OEMs to get that validated and certified.

So that's already moving.

Coming back to the semicon-grade PFA, we are already supplying. In fact, I had indicated that since some quarters back that PFA semicon has several levels. So we are already supplying to some semicon application PFA. And we are continuing in that direction to going to the next level of PFA for semicon application, okay? So that process is on, and we are already in that market segment.

Archit Joshi: Great, sir. Great. Sir, the PVDF, the grade the first 2 grades that you spoke of, can we expect sales to begin FY '25, may be in the first half? Or is it still quite late in realizing sales at least?

Bir Kapoor: We expect to see the sales probably in the second half of next year, this next financial year because part of the right now, the battery capacities outside China are very, very limited, okay?

While our samples are already at the valuation stage, but the real growth we expect to happen in the non-China territory. And there we expect to see probably in the '26, '27. However, as far as our own sales and the revenue, we probably would expect to see it from the second half of next financial year.

Archit Joshi: Got it, sir. Sir, and would this also be a part of the staggered increase in capacity that you're planning in new fluoropolymer? So just trying to clear the air, what would be the concentration of the incremental jump that we have seen on a per month basis with respect to the ramp up? I think we were at 1,100 ppm, and our plan was to go to 1,800 ppm, 1,900 ppm in a staggered manner.

So are these new grades of PVDF or PFA a part of that? Or this is completely different? And how do we see that part of the ramp-up in the new fluoropolymer with respect to the capacity expansion?

Bir Kapoor: Okay. No, these are part of the same capacity

that we talked about earlier. So this ramp -up has come over a period of time because once this PVDF grades get qualified, this capacity will get utilized, okay? So this will happen over a period of time.

Archit Joshi: Sure, sir. I saw...

Bir Kapoor: One more very quick thing, Archit. When I said next financial, I meant '25, '26, I'm sorry. I just may not have clarified it at that time.

Archit Joshi: Sure, sir.

Bir Kapoor: Okay. All right.

Archit Joshi: Sir, also on the ramp -up that I was asking about, where are we in terms of the capacity that we might have added already in FY '24? And what would be the balance that might spill over to FY

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'25, whereas we would have already ramped up from 1,100 -odd tonnes to 1,800 tonnes, 1,900 tonnes per month. That would be my last, sir.

Bir Kapoor: In the battery chemicals space, particularly, if we, first of all, we cannot give you exactly the capacity utilization and the capacity number. However, all I can tell you is a lot of our investment when we said that we have made in the new polymer, it was done primarily a lot in the backward integration space, okay? For example, in case of PVDF, a lot has happened in setting up the capacities for monomer and the VDF.

So as the market builds up, okay? We already have added capacity for PVDF reactor. And if the market builds up, we'll keep on adding reactors to capture that, okay? So as we see a growth progressing, which we have said will happen in over the next year or so.

Archit Joshi: Sir, so would it be safe to assume that all new this expansion, wherein we are actually anticipating the fact that FY '25 would see growth over FY '23 or be at least at par with respect to EBITDA that we generated in FY '23, I think that was largely a function of this new capex in the new fluoropolymer, my just limited question is which I'm a bit confused about is, when do we see this capacity being added? Sir, that's the only question that I have.

Bir Kapoor: Yes, I think there's let me clarify here. The capacity that we're talking about, which we had said earlier about 1,500 tonnes or so, that capacity will come in place probably in next quarter or so.

And then it will get utilized over a period of time.

I thought when I answered about adding more reactor, that was more related to the battery chemicals and the PVDF related to battery, okay? That was because if we look at what we have added in new polymer, we have added FKM, we have added PFA, we have added micro powders and PVDF, okay? So it was a combination of these 4.

Okay. So what I had answered to you probably it may have been a little bit confusing, but what I answered to you earlier was only in context of PVDF, which is for EV segment because you were asking about how the growth will happen on the EV, okay? Is that clear, Archit?

Archit Joshi: Sir, I'll probably take it up offline with you later.

Moderator: And the next question is from the line of Meet Vora from Emkay Global. Please go ahead.

Meet Vora: Just wanted to, sorry for hopping on this again, just wanted to clarify on our guidance for growth over FY'23, in FY'25 or either flattish number. So if I look at our historic numbers, our FY'23 EBITDA of INR1,900 crores, nearly half of that would have come because of three reasons. One is higher realization in bulk chemicals, higher pricing in ref gas, and at the same time, higher pricing in fluoropolymers.

Now when we say that we are freezing our capex at this juncture for fluoropolymers, because this is a long gestation business and capacities will get utilized over a period of time, what gives us the confidence that at least half of our EBITDA of FY'23 can be compensated in FY'25?

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So ideally, I think that we should see at least 100% growth in our

fluoropolymer business for

the erstwhile dip in the business growth. So just wanted to understand, how will we see that at least flattish or growth numbers in FY '25 versus '23?

Bir Kapoor: I think, Meet, I have already said that in the previous call, that there was if I look at FY'23 numbers, that EBITDA was partly contributed because of the high pricing in bulk as well as refrigerant.

So going forward, this will be met primarily by the fluoropolymers and because that high EBITDA number that you saw, because fluoropolymers, multiple things are happening. As I said, that we are adding the fluoropolymers, the volume as well as the type of fluoropolymer, which are being added are high-end polymers, which are the new polymer segments. So this will be made up by growth in fluoropolymers, particularly, okay?

Again, you need to look at sort of the , from the baseline to the increase due to the ref gas and also because of the partly because of 125, if you recall at that time, okay? So that will be taken care of partly by , and obviously, when we look at this year or the earlier quarter, a lot of it because in all the segment market has completely bottomed out, okay?

So as we see, there's already a sign and some marginal improvement in the ref gas that you saw this quarter. Again, it will probably be marginally better than next year. Plus, even in the bulk chemical stays where it is, a lot of it will be made up by fluoropolymers.

Meet Vora: Sure. So that means that we are expecting at least 80%, 90% growth in fluoropolymers over FY'23 for that to get compensated. Obviously, because the realizations of fluoropolymers have also gone down versus FY'23, in terms of volumes basically?

Bir Kapoor: Yes, that's what our expectation is, partly because of the new fluoropolymers. And the higher volume and the higher margins, both.

Meet Vora: Sure. And just one last question from my side. So whatever sales you will be doing for PVDF battery grade, going forward will be registered, I mean, in terms of the revenue under the EV subsidiary or it will be under our GFL entity itself?

Bir Kapoor: It will be under EV subsidiary.

Moderator: And the next question is from the line of Sanjay Kular from ACME Private Limited. Please go ahead.

Sanjay Kular: Sir, again, my question is on the same topic, which is FY'25 EBITDA will be greater than FY'23. So sir, are you confirming the guidance again in this call?

Bir Kapoor: Sanjay, let me clarify here. Our position right now is that it will probably be at par with FY'23, not really greater than FY '23.

It probably will be a quarter here and there based on what we are seeing as the traction is coming up, but the growth rate could be plus/minus 1 quarter or so. So it will be at similar levels of FY '23 going forward in FY '25, last give or take, a quarter.

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Sanjay Kular: Okay. Thanks.

[Next Session]

Moderator: Thank you. Now, we move to the next session, which is the EV Business Update .

Ashvik Jain: Thank you, everyone. Now we will have an update on the EV business. We have Gujarat Fluorochemicals Limited management on call represented by Mr. Vivek Jain sir, MD; Dr. Bir Kapoor sir, CEO and DMD; Mr. Akhil Jindal sir, Group CFO and other members of the senior management team.

I would like to invite GFL management to initiate with opening remarks, post which we will have Q&A session. Over to you. Thank you.

Bir Kapoor: Yes. Good evening, everyone. This is Bir Kapoor , again. I have with me our MD, Mr. Vivek Jain, accompanied by Mr. Akhil Jindal, our Group CFO. Mr. Manoj Agrawal, who's our CFO; and Mr. Rajiv Rao , who is Head of our EV Battery Materials Business segment. He is here with us.

So I would now like to request our MD, Mr. Vivek Jain, to give us an opening comment.

Vivek Jain: Hello. Good evening, everyone. I welcome you all t

o the business update of GFL's EV business.

We thought about getting into this business way back in 2021 , as we saw significant potential in this segment driven by the environment sustainability and clean climate agenda worldwide .

Over the last two years, we have seen this segment unfolding rapidly , with significant activities in domestic as well as global markets. Several market leaders on the global space have emerged, and the current projections for this space is expected to be 5 to 6 terawatt hours with a business opportunity of over \$300 billion by 2030.

Looking at this opportunity, we started our EV initiatives in 2021 under a wholly -owned subsidiary of GFL. And today, I'm happy to announce the recent commencement of production at commercial scale of one of our initial capacities. Through our wholly -owned subsidiary, we intend to participate in the large global energy transition opportunity, particularly in the EV and ESS ecosystems.

We are well positioned to capture a sizable value share in global battery materials industry, and we are a preferred partner to EV, ESS, battery and cell manufacturers in their quest to secure a sustainable and reliable supply chain outside China. Our plans are strongly supported by GFL's track record of commercializing complex performance based products.

Today, we have announced a broad long -term plan for GFCL EV , which entails a cumulative capex outlay of almost INR6,000 crores over the next four to five years. Out of this , INR3,200 crores is planned to be spent in the next three years and with asset turnover expectation of 2 x and EBITDA margin expectation of over 25% at full capacity utilization of these capexes .

GFL's visionary investment and unwavering commitment to innovation highlights our pivotal

role in shaping the future of the EV and ESS battery industry. The significant investment in the Gujarat Fluorochemicals Limited
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EV, ESS battery chemical supply chain underscores our dedication to driving innovation in the electric mobility sector and energy transition.

As a pioneer in the green segment, our objective extends beyond mere market prominence. We aspire to be pioneers in sculpting a cleaner, environmentally sustainable tomorrow, which resonates with the ethos of being a green group with expanding business in the renewable sector also.

I will now like to hand it over to Dr. Bir Kapoor for his comments.

Bir Kapoor: Thanks, Mr. Jain for a very warm welcome once again, a very warm welcome to all of you. Details of our plan has already been uploaded on the stock exchanges. I would like to add at this point that GFCL EV's current product portfolio includes LiPF₆, which is electrolyte salt, additives, electrolyte formulations, cathode binder, such as which are essentially fluoropolymers, PVDF and PTFE, along with the specialized offerings of NaPF₆ for sodium ion batteries and cathode active materials such as LFP.

The first commercial plant of LFP is anticipated to be operational by quarter 3 of this calendar year. With this, our portfolio will cater to almost 40% value of LFP battery costs, making us one of the few companies globally to provide such a comprehensive range of EV, ESS batteries under one roof. And strengthen our position or solidify our position as an industry front runner. With world taking stride towards electrification of mobility and ESS, the global world battery market is conservatively expected to reach approximately 6 terawatt hour by FY'31.

We believe these are very big opportunities and investing at the right time and right scale to garner significant market share in this space is very, very important for us. We have already invested close to INR650 crores up to December, and our future capex plans are aligned with the expected scale up of product demand as per our estimate, internal estimates.

To give a brief overview of the overall

market opportunity in this segment, I would now like to

invite Mr. Rajiv Rao, our Business Head of Battery Materials. Rajiv.

Rajiv Rao: Thanks, Dr. Kapoor. Good day, everyone. I appreciate your time today as we discuss the exciting future of GFCL EV, a venture of Gujarat Fluorochemicals. Our focus today is on the growing battery materials market and our strategic position within it. International research reports and our own estimates project that by financial year '31, the battery market globally will expand to over 6 terawatt hours. Concurrently, the global demand of battery materials like LiPF₆ electrolyte salt, LFP cathode active material, PVDF cathode binders is projected to grow at a CAGR of 25% to 30% over the next five to six years.

Gujarat Fluorochemicals has a longstanding experience in handling complex fluorine chemistry and our significant global market share form the bedrock of our venture into the battery materials space. Battery materials require extremely high purity. GFL has a history of adherence to stringent purity specifications for our global fluoropolymer and chemical customers. This is a key differentiator as few global players can achieve such purity standards at an industrial scale.

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At GFCL EV, we are constructing a fully integrated manufacturing complex. Our initial capacity of LiPF₆ at Jolva has already been commissioned. Not only will we manufacture battery material intermediates like battery grade anhydrous hydrofluoric acid and lithium fluoride, we are also back integrated to captive fluorspar mines in Morocco.

We believe we are investing in a sunrise industry at the right time and scale. As one of the first movers outside of China supplying to India, the U.S.A. and Europe, we aim to capitalize on the demand opportunities arising from the U.S. market driven by the Inflation Reduction Act, capture the European markets by the China plus One strategy and PLI-driven demand from the Indian market.

GFCL EV is in a unique position offering a wide range of battery materials such as electrolyte salts, formulated electrolytes, cathode-active materials and binders. Consequently, we are engaging with marquee global customers for long-term tie-ups with a bouquet of products. So in conclusion, GFCL EV is well positioned to leverage the growing demand in the global battery material market. Our strategic advantages, coupled with our ambitious plans makes us a compelling investment opportunity.

Thanks for your time, and we'll now open the floor for question and answers.

Moderator: Thank you very much.

Bir Kapoor : Thank you, Rajiv.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Ketan Gandhi from Gandhi Securities. Please go ahead, sir.

Ketan Gandhi: Hi, sir, very excited about the GFL EV bouquet of the battery materials. Basically, only anode material is pending, otherwise everything mostly everything is given by us. That's a very long term and fantastic reason, sir. My understanding regarding the type of the batteries regarding lithium battery, sodium batteries and the solid -state dry batteries, which is now one or two large players are announced.

For that, you require for a solid -state dry battery, you require dry electrolyte. And for making that you require PTFE. So is my understanding correct that a high -end PTFE will be required for dry battery. And that can drive the PTFE demand very largely. And in a couple of about three years, PTFE of this grade could be on short supply. And a very fantastic strategy of derisking the battery model, like whether it is lithium is working or sodium is working or the dry battery working. Can you please throw some light on that, sir?

Bir Kapoor: Thanks a lot, Mr. Gandhi. Thank you for your question. Coming back to your question about the solid

dry electrolyte. There are PTFE is used right now. The solid electrolyte is still not part of the existing industrial ly developed or industrially operating battery plant right now. However, there have been significant effort, which is being done right now in making a dry cathode.

There is a wet cathode and there is a dry cathode. Dry cathode does not require any solvent. And in dry cathode, PTFE is used and the specialized PTFE grades has a big application. So you are Gujarat Fluorochemicals Limited

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right. So we expect to see our PTFE business also to get a boost by this new development, which is emerging, particularly in the dry cathode space.

Ketan Gandhi : And sir, I think a very fantastic move by derisking the business model, whether lithium or sodium or solid-state dry battery, we are there. Our skin is in the game. Is my understanding correct?

Bir Kapoor: Yes. I think, in fact, because what we believe is currently, there are a certain set of batteries, which is working, which is the core. And new development will keep on coming, and there will be market, these new technology will emerge, coexist. So we want to make sure that we prepare ourselves to cater to whichever segment which emerge over a period of time.

Moderator: The next question is from the line of Sanjesh Jain from ICIC Securities. Please go ahead, sir.

Sanjesh Jain: A couple of questions here. First, can you help us explain the technology part of the piece in the entire EV space, where are we getting these technologies, how proven these technologies, which we are putting the capex for and what is the capacity for each of this product we are starting, if that will be my issue questions?

Bir Kapoor : Yes. first of all, today's call and the announcement, Sanjesh is because that we have already commercially produced the material. And obviously, we have all the right elements in place to do that. So as far as the technology is concerned, yes, we have a good understanding internal developments plus through international experts, we have been able to do it. And we are confident this will happen continue to happen in all the products which are on the end, so today, we already have commercially produced LiPF₆ with us LIF high -purity -grade HF with us.

Sanjesh Jain: So we are starting with the three products right now where we have gone commercial LiPF₆, LIF and high -grade HF?

Bir Kapoor : Correct. And also electrolyte plant is also ready, which will which, I think, of course, it's a validation and customer engagement is starting to, but our plant is ready for the electrolyte as well. Electrolyte, as you know, is a customer dependent. There's no particular standard grades there.

Coming back to the fourth product, which is LFP. Our plan is in place and our plan would be up and running, as you said, in the second quarter of the next financial year. Which is the third quarter of this calendar year.

Sanjesh Jain: No, no. Just like to understand, have we supplied the samples with the customers are there any agreements we are anticipating? Are there any late stage discussions we are doing for all of these products because we are now commercially ready probably ahead of the competition within India. Where are we in terms of customer discussion on all these products?

Bir Kapoor : Sanjesh, it's not really appropriate for me to name any customer here. However, we have been in touch with several set of customers. But let me tell you in this space, typically, the customer discussion engagement, etcetera, happens. But the actual game start when there is a product in hand from a commercial plant, okay, which is where we are today.

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So I think we expect this product to go for a testing and validation, and that's how we start. But yes, we are in touch with several global

customers, on the battery space, yes.

Sanjesh Jain: No, no. We earlier mentioned, sir, that this business will be more like a long-term contract basis with probably we may look at cost is based. In that backdrop, and when should we see revenues being booked in this particular segment?

Bir Kapoor : As we said that the revenue would start trickling down probably after the second quarter, so more of the second half of the next financial year. And the contract would be done by then. Yes. It's the nature of the business is that this is part of the long-term contract, which eventually gets signed. And it's I would not like to say cost-plus, Sanjesh. It's not cost, it's a long-term contract, but of course, with all sets of protections for the buyer as well as sellers.

Sanjesh Jain: Fair enough, sir. On the LFP, what kind of initial capacity we are looking at because there is one of the peers who has announced a very large capex of 200,000 metric tons over a period of time, starting with 40,000 metric tons. So where are we in that journey in terms of capacity for each of this product? Can you help us? What is the kind of capacity we are starting with for all the four, five products?

Bir Kapoor : Sanjesh. In this, we are starting with the LFP starting with the first commercial scale line. Now I cannot really give you capacity numbers because those are confidential. But yes, our plan, long-term plan when we look at show the capex number, it is in line with the market requirements, etcetera. But the first line that we are looking at is the commercial line commercial scale. And I cannot give you the exact numbers, Sanjesh.

Sanjesh Jain: No, no, that's fine. That's fine. One last question before I jump back into the queue. Can you help us understand where are we in the additives? I think we also had an intention to start certain edits for the electrolyte, which are the additives, we are looking at it and when are they getting commercialized?

Bir Kapoor : Yes, there are several additives we are working. I'm not sure whether we have announced the additive, particularly, but we are in the advanced stages of building up the commercial facilities for these additives probably within a after a quarter or so, we'll announce more development in that area as we initiate the commercial production.

As far as the additives are concerned, I'm not sure whether we have announced the name of the additive. We have not announced the name of the additives Sanjesh, because some of it may actually be proprietary between us and our customers.

Sanjesh Jain: Got it. Got it.

Bir Kapoor : These are electrolyte additives with the broad category, which there are several of them that you would probably know.

Sanjesh Jain: Yes, yes. So we intend to manufacture all of them or few of them?

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Bir Kapoor : The bulk one. Again, as I said, that electrolyte formulations are depends on the customer. But there are certain additive, which are like a base which goes into multiple formulations. So we will probably be starting with that first.

Sanjesh Jain And we will not have any solvents, right? It would be.

Bir Kapoor : Not as of now, not as of now, Sanjesh. Solvent is a different ball game. And also it's a different type of business. It's a relatively high volume, low margin, low value business.

Sanjesh Jain: Yes. Got it. Got it.

Moderator: And the next question is from the line of Hansal from Lalkar Securities Private Limited. Please go ahead, sir.

Hansal: Thank you, first of all, for giving such an insightful and comprehensive long-term vision for the GFCL EV business. It is truly encouraging to see that we are planning products, which are virtually timeless and adaptable to diverse technology landscapes even with reference to these additives like LiPF6 and lithium borate, it's very encouraging and exciting

to see this. Sir, my question remains the same as I had asked before.

I think on the previous presentation, we had indicated that the capex that we were doing in GFCL, I'm sorry, GFL was virtually exclusive of the capex is just announced in the EV business of approximately INR6,000 crores on. So my question is that how will we essentially raise this funding? Are we talking about some sort of a dilution or something and can you throw some light on the statement that was made saying that without the cost to the parent in GFCL, if I get if you could throw some light on this, it would be very encouraging?

Bir Kapoor : Sure. I mean, we deferred discussion in our previous call, so we definitely take it and share our

thoughts on that. I would request Akhil to please take this up.

Akhil Jindal: So basically, as you all know, GFCL EV is a separate company. And in this company, GFCL has already invested close to INR650 crores till December 2023. And we expect that by that time, this financial year ends in March, it would be approximately INR800 crores. So what we really want to do going forward is that GFCL raised its own fund. Now there are multiple ways of raising the funds and some of the stuff that we are going to take is that it would be either by way of a debt.

If it's a debt where it would be on a completely nonrecourse basis to GFCL EV. My apologies to the GFCL. What it means is that even if the debts are there and we would refrain from giving any comfort letter, any corporate guarantee any kind of lateral support for the debt. But more particularly, that would be our last option. We would rather be looking at some external private equity, which can easily be raised through some of the large global offerings.

As you would realize and recognize that this business got us to the renewable sector. It has been, I would say, a focal point of many, many climate focus funds and given the high-growth EV and the ESS solutions, they're also extremely keen to partner in this growth story. So our endeavour would be to raise external private equity and that would be sufficient to fund the EV business

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for the period of next 2 to 3 years until the business starts throwing its own cash flows, and the further growth would be self-propelled and will be funded by its own cash flow. So this is our endeavour to isolate the cash flow of GFCL at a parent level.

To the extent of INR800 crores, that cumulatively, they would be spending till March '24.

Beyond that, it would be self-funded by way of private equity. Or in a worst case, even debt, which would be on a non-recourse basis to the parent company.

Hansal: Great. Sir, are we seeing any interest in this, which is why we are confident that we will be able to raise this through the private equity? Or are we in talks or anything?

Akhil Jindal: Yes. so we have just initiated that discussion. Obviously, such processes take nearly 4 to 6 months. But the initial reaction that we have got from some of these large investment bankers.

And the global investment bankers that we have reached out is very encouraging. And we believe that over the period of next 4 to 6 months, we would be in a position to raise substantial capital for the growth of this business.

And obviously, as I mentioned to you, there are a number of climate focus funds which are looking for such opportunity, and they would be very keen to partner with us.

Hansal: And if I have questions, I'll get back in the queue.

Moderator: And the next question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead, sir.

Rohit Nagraj: My first question is in terms of the technology for all the products that we have developed. So is it in-house technology and whether it is pride or tested? And a live question to that is in terms of product when we are selling to customers. Is it going to be a peaking basis? Or is it going to

be a complete solution, which accounts for, say, 40% of the battery. So how are we trying to

engage with the customers from this?

Bir Kapoor : Yes. first of all, regarding technology, Rohit as we had already answered and I think in this call, that technology, of course, is some part of it is in-house developed and in combination with international or global experts. And we already have approved because our product is already being produced as of now. Coming back to your next question, how the customer engagement, whether it will happen on the 40%. At this point of time, we are phasing in products step by step.

So obviously, our engagement with the customer will start perhaps with one product and then it will go on. What you said is right, eventually, our target would be to offer an entire bouquet of products, which includes our new battery chemicals and materials and also fluoropolymers, which is already part of our portfolio, including PTFE and PVDF. So it will be what he said is exactly is going to be that's the intent that we would like to target in the long term when we have the entire bouquet is developed and available with us. So it will ramp up to that level absolutely.

Rohit Nagraj: All right. Got it. That's helpful. Sir, my second question in terms of the financial numbers. So one thing to clarify for FY '24 for the capex that we have indicated INR1,100 crores, does this include the INR800 crores, which is supposed to be invested by FY '24. And then question to

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that. In terms of the I mean, the plant getting commissioned during FY '25, what is the kind of revenues that we expect in FY '26 from the EV initiative? Just a ballpark number would also do.

Thank you.

Bir Kapoor: See, it's our, again, revenue guidance that we had given is the asset turnover based on our capital investment. And out of the INR1,100 crores that we talked about, the INR800 crores that we are talking about is over a period of the last couple of years. So it's not exactly everything is part of the INR1,100 crores that we are incurring this year.

So coming back to the revenue guidance that if we can presume that if the entire capex that has been added by the end of this or the middle of next financial year, that would probably reflect in totality a year later as a part of two times the asset turnover. That's all I can say. It will ramp up over a period of time. But the full potential of this capex is two times the asset turnover.

That's the guidance that we had given.

Rohit Nagraj: Just one clarification on FY26. What could be the capex on the EV front? So would it get clubbed in our consolidated financial, even if we take the external funding through private equity or through debt?

Bir Kapoor: See, we had given that the cumulative capex's by FY26 is INR3,200 crores. Okay, this is what we had given FY26. Obviously, this total cumulative capex to result into revenue probably would take some time. So you are asking about the FY26 revenue?

Rohit Nagraj: Capex numbers.

Bir Kapoor: So capex number by FY26 is INR3,200 crores. Is that what you had given? It's already part of the presentation, out of which 800 is already being incurred in this financial year. So you can say that in next two financial years, which is FY25 and FY26, so there'll be roughly INR2,400 crores which will be coming in. So at the rate of maybe INR1200 crores per year.

Rohit Nagraj: Fair enough. That's really helpful. Thanks a lot and all the best. Thank you.

Bir Kapoor: Thank you. Thank you so much.

Moderator: Thank you. And the next question is from the line of Rohan from Nuvama. Please go ahead, sir.

Rohan: Hi, sir. Good evening and thanks for the opportunity. Sir, if I just get this supply chain right in this EV chain, first, we need to get our samples approval from the c

ustomers in terms of grades

development and which is suitable for their battery grade, batteries which they are developing.

And then after the commercialization of the plant, then we need further approval from the customers and then only we can supply to them. Just getting my understanding right on this part.

Bir Kapoor: Rajiv, take that.

Rajiv Rao: Yes, the validation process of a product says that from our commercial plant, it goes to the customer and they test it in actual cell performance based on which they start procuring the product. So depending on what product it is, it goes to a different part of the value chain. So as Gujarat Fluorochemicals Limited

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far as the LIPF6 salt is concerned, it goes to the electrolyte manufacturer who put it in their electrolytes and test out the product in an electrolyte which is put in a cell. Does that answer your question?

Rohan: So, sir, right now we have already started supplying after the commercialization of LIPF plant to the end customers and they are already putting it to the electrolyte salt and making the formulation by themselves and putting in the final batteries, right?

Rajiv Rao: We have just started sampling a product from the commercial plant and our customers are currently validating that.

Rohan: What is the validation period, sir?

Rajiv Rao: Validation period takes three to six months, typically.

Rohan: And, sir, it is coming after, I mean, first we would have given them the initial samples, right?

Moderator: Sorry to interrupt, sir. Sir, can you join the queue for the follow-up questions?

Rohan: I have yet not asked my question, sir.

Moderator: Okay, fine.

Rajiv Rao: Yes, Rohan go ahead.

Rohan: So, sir, I was asking, sir, this is happening again, I mean, after the commercialization, while we have already got our samples approved, right, from these customers and then also it is going to take another three to six months after the commercialization of the plant, right?

Rajiv Rao: So let me clarify, it was mentioned earlier that the customers validate the product from a commercial plant only. So sending samples from a lab or a pilot plant has no meaning in the end. They would like to validate the commercial product only. So that's where we are right now. Our commercial plant is up, and we are in the process of sending samples and getting it validated from the commercial plant.

Rohan Gupta: Okay. That's very helpful. Sir, any numbers you will share that how many customers we are working with right now and in what region domestic Europe, US, if any, any colour you can share on that?

Rajiv Rao: Yes, we are working globally. This EV market is a global market. So we have customers in all

regions, and we are validating the product, both Indian as well as global customers and the developed economies.

Rohan Gupta: And you expect that the LIPF revenue will start flowing from these customers from Q2 FY25.

Rajiv Rao : Yes. So the validation period is three to six months thereafter second half of '24.

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Rohan Gupta: And sir, how the utilization will change? I mean, how quickly we can ramp up the plant and reach up to the full potential of LIPF existing capacities?

Rajiv Rao : The plant is we currently already commercialized. So at the moment the customers validate it, we can ramp it up in no time.

Rohan Gupta: Okay. Yes. So that's it on my side. Thank you.

Moderator: Thank you. The next question is from the line of Paras from Enam Holdings. Please go ahead sir.

Paras: Hello. Can you hear me, sir?

Bir Kapoor : Yes, Paras, I can hear you.

Paras: Thank you very much for the presentation sir. Sir, I wanted to understand, particularly on slide 5 of your presentation on EV you mentioned that the LIPF6 global demand in FY26 will drop by around 30% odd. Is there

anything that we are missing? Or is there anything that we have to understand.

Bir Kapoor : In Both.

Paras: So it says that from 150 EBITDA, it will go down to 102 EBITDA. So is there anything that we have to understand in this? Why is the demand dropping?

Rajiv Rao : Yes. So, one of the things that we need to be in this business is to be very agile in being close to customers. And earlier, we talked about innovation in battery chemistries and how the formulations for electrolyte are being developed. So based on our interactions with our customers, we understand that there are some changes in the electrolyte formulations, which we have factored into this on that particular year.

Paras: Okay. So you mean to say that there can be non LIPF6 kind of a usage in battery, which can drive the sense which can drive up the demand and the demand for LIPF6 can come down in a year's time, at least for one year?

Rajiv Rao : See, electrolyte formulation is a blend of seven to eight different chemicals like LIPF6 being one of them. And LIPF6 is the base, and that will continue for the next decade or so. So we don't see we expect LIPF6 to continue growing. There are shifts from time to time that happen. And based on that, we have made this prediction, but LIPF6 will continue to grow over the next 10 years.

Paras: Got it. Thank you, sir.

Moderator: Thank you. And the next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Thanks for taking my question. Sir, my question is on the export opportunity perspective. What is the can you give us some colour on the competitive dynamics with the IRA act and the China

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plus one which you mentioned from a European company sourcing perspective, I mean who on the guys that you are competing with and how tight in the supply market for some of these chemicals which sort of puts us in a favourable position. If you can just provide some perspectives on that.

Bir Kapoor : [inaudible] let me get your question right. You are asking that in view of the IRA and China plus one strategy, whom are we competing with? Is that right?

Nitin Agarwal: Yes. And how is there a from a demand-supply perspective, is there a challenge of some of the other non-chinese players being able to scale up to meet the requirements and it put us in a

Bir Kapoor : The way it stands right now, the battery chemical capacities outside China is only there in some part in Korea and Japan, which is very, very small, okay. And there's some capacities which has been announced due to IRA in US, which will come much, much later. So if I look at the space, competition space, outside China. I believe that we are we'll be very competitive, both in terms of ramping our volumes up and also in terms of cost competitiveness.

So outside China, I think the competition is limited to the geographies that I mentioned. Okay.

And if I look at those geographies and competitiveness with respect to India, it is much it's going to much, much better.

Moderator: Thank you. And the next question is from the line of Resham Jain from DSP Asset Managers.

Please go ahead.

Resham Jain: Yes, hi. Good evening. Sir I have just one question. Just on the structuring part of this separate entity, if one looks at the cash flow, let's say, over the next two, three, four years, does this mean that your cash flows will be insufficient to fund this particular business line? Because again, when you will raise money through private equity, this will have a separate kind of entity, different structure, you have to give exit to them. And then this whole holding company structure will again come into picture. Similar to what we used to have five, six years back, three, four years back? And that has its own implication in terms of how people value the company. So how are you thinking abo

ut this whole structuring and from a cash flow perspective.

Akhil Jindal: Yes, hi Resham. This is Akhil Jindal, once again. So basically, look, firstly, to answer your first question, if you feel that the cash flows of the main business is not enough to fund this business. That's not correct. We have enough cash flows coming over several years, I mean, over the next few years to fund this business as we have done it so far. The idea of bringing in the global fund are two -fold.

One, we are looking at a single -digit dilution, not like a massive dilution, a single -digit dilution to the extent possible and to raise the fund for the future growth. The second is the market name that will get associated through this association will al so enable us to be a real thought leader in the EV space and the ESS space, and which is whatever endeavour is. So in that sense, it would be a very simplistic private equity participation.

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We are not expecting any complications arising out of it. And in t hat sense, the funding that would be done from private equity, would be good enough for us to be able to fund our initial two to three years funding plan. And then this business will be in a self -propelling mode for the future growth. So this is a cautious decision that the company and the Board has taken in interest of the preserving the cash flows of the main company also for its own future growth for its all future potential, while the EV can be funded separately through external growth.

Resham Jain: And the second part of the question, if you can answer, how will you think about giving an exit to private equity? Will it be a separate IPO? Will this be a subsidiary of Gujarat Fluoro itself because there will be still some kind of related party transaction, if it will be a separate company, which will still be there between parent and the subsidiary. So how are you thinking about on those lines?

Akhil Jindal : Yes. I mean, Resham, you're right. In the entire group, you would have seen the company is maturing to the reasonable level and going through a public market route. So given that this business has reached to a certain level. And with the new investment that we are proposing, it will reach to a threshold where it can attract the public market capital as well.

So the idea would be to go to an IPF rotation at a later date. But clearly, there is no commitment. There's no, I would say, assurance that we are giving to the private equity players or they are seeking from us. This would be a natural process. As and when the business gets developed and when the business cash flows get established and at an appropriate valuation at an appropriate time, we will go to the public market.

I mean, we are not putting any pressure on the management or ourselves for promi sing any exit within 2 years, 3 years. That's not our endeavour. It would be a natural process that as other group companies in this have got listed at an appropriate time, they would also see the public market listing I can't put a timeline to it. But onc e the cash flows and everything gets sustainable, it would cease natural course.

Resham Jain : Okay. Great. All the best. Thank you.

Akhil Jindal : Thank you.

Moderator: Thank you. And the next question is from the line of Yash Shah from Investec. Please go ahead.

Yash Shah : Hi sir, Thank you for this opportunity. Sir, my first question was regarding sourcing of the lithium. We were in basically trying to source the lithium and had had appointed ENY as well in the last for the last 6 quarters. And as we've also mentioned in the past that how pertinent is to source for the EV business. Can you provide some update on that? Now where are we and basically given that in the past it was on ly limited to the LIPF 6 business. But right now, we are also catering to the LFP along with the additive

as well. So given that the lithium supply will, demand would increase, so where are we right now?

Bir Kapoor : So we looked at the lithium sourcing opp ortunity, and we are continuing to look at that space. However, as you know, the current situation, market situations are very different, Lithium is no
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longer where it used to be at least at that point of time now. There is a lithium prices soft enough, and there's a lot more new mine than the new refining has come up.

So there is a continuous that area is very, very dynamic, and we have been looking through it through experts and consultants. At this point of time, what we believe is that the visibility that we have from next 2 to 3 years, we are covered with respect to lithium. And this whole market space, again, the way the industry works, often is that the lithium security, to some extent, is provided by OEMs. And as you may have read and seen, that the lithium, for example, the large OEMs have captured or have control on the lithium supply to make sure that this does not impact the overall growth plans and the growth strategy.

So it's going to be a combination for us. Yes, some part of it is through our customer and some part of it even if we procure is typically on the pass-through model okay?

Yash Shah : Got it, sir. Sir, one other last small question. Regarding the new product segments which we are entering into can you basically give a broad idea of the segment wise of which is going to be a binary market? Is it going to be domestic market? Or is it going to be the export market? Like in the case of electrolyte pollination, you obviously can't export it. So the domestic market is going to be a key. But whereas in terms of the other segments, can you give some broad idea? If we are targeting more towards export or the domestic market?

Bir Kapoor : We are the size of market that we talked about and if you look at that we are looking at it at a global market size. And again, as China plus one kind of strategy, which is driven primarily by the changes that is being seen in the several regulatory framework of U.S. as well as EU for dependencies on particularly with one dominant player. So in view of that, we are looking primarily at the export market.

Yes, in case of products like electrolyte, which cannot be transported, we'll be looking at the domestic market only. But overall, in all the set of products that we talked about, we will be looking at the global market. And overall size of this global market is very big. I mean this is estimated to be in 2030, for example, this market is around 100 billion. That time that we are looking at.

Yash Shah : Understood sir. Thank you for answering all my questions and all the best sir.

Moderator: Thank you. That was the last question. I would now like to hand the conference over to management for closing comments.

Bir Kapoor : First of all, thank you very much to all of you for showing interest in GFL and GFCL EV. For us, as we have mentioned that this is a momentous occasion for us, where we are embarking on a new horizon, a new journey for GFL as a group and also particularly in the battery material space where we are entering. It's a very large opportunity, as you can see from our presentation that if you look at the battery growth rate, it's almost close to 20%, 30%, which is predicted. Now a combination of EV plus ESS, which both require battery and where both battery material goes, it's a very, very big, large opportunity for us. Clearly, in view of that, we are very, very excited about this. And the total value of the battery that we are planning to target is almost 40%,
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February 07, 2024

so which is a very big market for us. So and we believe that we are very well positioned to capture it. In view of our pa

st experience in view of our expertise in Fluorine and Fluorine chemistry NHF handling and in terms of taking high-performance product to market.

So I think we have all the right elements and capability in place. With today's announcement, we are one of the first players in this area who has come up with a commercial plant. And we would like to leverage this. And the last point is that, as I mentioned in between the call, that we are one of the very few companies in the world who has such a large bouquet of products for battery materials, starting from electrolyte salts CAM to fluoropolymers.

So with this, we look forward to an exciting journey for GFCL EV. So thank you very much for showing all your interest, and I appreciate your time. Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

GFCL: BRD: 202 4 13th May , 2024

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip Code: 542812 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

D

Dear Sir/Madam,

Sub: Transcript of Conference Call with Investors / Analysts held on Monday , 6th May , 2024

Ref.: Regulation 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015 ('Listing Regulations')

With reference to our letter dated 1st May , 2024 and pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 ('Listing Regulations '), we are enclosing herewith transcript of Conference Call held with Investors / Analysts of the Company on Monday, 6th May , 2024 at 17:00 (IST) to discuss the Q4FY24 Financial Performance.

T

The above information will also be made available on the website of the Company: www.gfl.co.in .

W

We request you to kindly take the same on record .

T

Thanking you ,

Y

Yours faithfully,

For Gujarat Fluorochemicals Limited

B

Havin Desai

Company Secretary

FCS: 7952

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Encl.: As above

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"Gujarat Fluorochemicals Limited Q4 FY24 Earnings
Conference Call "

May 06, 2024

MANAGEMENT : DR. BIR KAPOOR – CEO & DEPUTY MANAGING
DIRECTOR , GUJARAT FLUOROCHEMICALS LIMITED
MR. MANOJ AGRAWAL - CFO, GUJARAT
FLUOROCHEMICALS LIMITED
MODERATOR : MR. ARCHIT JOSHI – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Gujarat Fluorochemicals Q4 FY24 Earnings Conference Call hosted by Bativala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Archit Joshi from Bativala & Karani Securities India Private Limited. Thank you and over to you, sir.

Archit Joshi: Thank you. Good evening, everyone. On behalf of B & K Securities, I welcome you all to the Q4 FY24 Earnings Conference Call of Gujarat Fluorochemicals Limited.

We have with us today Dr. Bir Kapoor - CEO and Deputy Managing Director of the Company - along with his team.

Without further ado, I would like to hand over the floor to Dr. Bir Kapoor for his "Initial Remarks" post which we can take questions from participants.

Thank you and over to you, sir.

Dr. Bir Kapoor: Thank you, Archit. Good evening, everyone and a very warm welcome to all of you on GFL's Earnings Call for the Quarter and Full Year, which ended on March 31st, 2024.

The Company announces Quarter 4 and FY24 results at this board meeting held today on 6th of May 2024. The results along with the earnings presentations are available on the stock exchanges and on our website.

I will briefly talk about the "Numbers" and then give you an update on the "Business Operations" and the "Outlook".

Financial Highlights:

The Company reported a consolidated revenue from operations for Quarter 4 FY24 of Rs. 1,133 crores which is up by 14% quarter-on-quarter. Consolidated EBITDA for this quarter was Rs. 238 crores which is up by 15% on a quarter-on-quarter basis. The EBITDA margins for Quarter 4 FY24 were 21%, which remained flat on a quarter-on-quarter basis. The consolidated PAT for this quarter was at Rs. 101 crores, which is up by 26% on a quarter-on-quarter basis.

On a full-year basis for FY24, the Company reported a consolidated revenue from operations of Rs. 4,281 crores, which is down by 25% on a year-on-year basis. Consolidated EBITDA was

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Rs. 955 crores with EBITDA margins at 22%. The consolidated PAT was at Rs. 435 crore with PAT margin at 10% while the CAPEX for the year was at Rs. 1,050 crores.

Let me briefly take you through the "Performance" of each Business Segment for the Quarter:

Bulk Chemical Verticals:

The Bulk Chemical verticals saw improvement in volume from the previous quarter in which our plants ran at full capacity; however, the prices of caustic soda and MDC continue to remain subdued because of increased supplies due to excess capacity creation, but we believe these prices have bottomed out and we expect to see the improvements going forward in the subsequent quarters and perhaps in this financial year.

Fluorochemical Segments:

The Fluorochemical segments also witnessed a pickup in the volume of refrigerants. However, the prices remain sluggish. Overall, this business is expected to remain at similar levels for FY25. The Specialty Chemical volumes and prices continue to be sluggish due to dumping from overseas, which is from China, and which impacted revenue and margins.

Fluoropolymer Segment:

The Fluoropolymer segment witnessed an improvement in volumes during the quarter and the prices remain stable. As we had guided in the previous call, we believe our core business segment, which is Fluoropolymer, has already bottomed out and we will see continuous growth in the subsequent quarters. The exit of legacy players and

and the improvement in the utilization

levels of new Fluoropolymer capacities that were set up in FY24 are expected to result in a continued increase in sales. We have built sufficient capacity in the Fluoropolymers to be able to deliver growth for the next year and perhaps in the next couple of years. The green shoots that were visible have started translating into numbers now, and I would reemphasize that we expect FY25 to be far better as compared to FY24 for this segment.

Battery Chemical Vertical:

In our new Battery Chemical vertical, the details for which we had shared alongside our quarter 3 results, we are progressing well, and it is going on as per our plans. We had commissioned our

LiPF₆ plant and are now in the process of sampling and customer engagements. We expect to achieve commercial sales from this segment in the second-half of FY25. We have a CAPEX target of Rs. 800 crores in this vertical in FY25 and this segment is expected to be a major growth driver for GFL from FY26 onwards. Our return ratios have been affected this year on account of drop in revenues and profitability. Also, we have incurred high CAPEX particularly in the

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EV battery material space. We should start contributing meaningfully to the top line only after FY26 onwards. This year has been a challenging year for us. However, I can assure you that the growth fundamentals are firmly in place. We have continued to incur growth CAPEX despite the macro headwind as we believed that these headwinds are temporary and we are very well placed to return to our growth journey very soon. As I have already communicated in the previous calls, our financial performance has been bottoming out and we are seeing a constant signs of improvement. This should continue going forward as we will see continuous growth over the quarters.

Before I close, let me also update you on the "Sustainability Related Initiatives":

In 2023, S&P Global Corporate Sustainability Assessment, GFL ESG score at 49 was significantly higher than the industry means.

With this, I let the floor open for question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: My first question is, sir you mentioned in terms of Fluorochemicals there has been dumping from China, so what is your assessment in terms of whether there are new capacities which have come in Fluorochemicals and the same is applicable even for Fluoropolymers, so just your views on the same?

Dr. Bir Kapoor: Yes, I think at least in my opening statement when I mentioned about the dumping, I was referring primarily into the Fluorochemical space. In Fluoropolymers, which I had always stated is advanced material segments and the grades that we are offering and the entire book grades that we have, it is not impacted from the Chinese dumping at all. That statement of Chinese dumping was in context of the Fluorochemicals and the Specialty Fluorochemicals particularly.

Rohit Nagraj: My second question is, sir, in terms of LiPF₆, where are we currently in the validation process? And when do we expect actual commercial supplies starting to international customers and in terms of the domestic market also, if we have any kind of timelines as to when the domestic manufacturing is likely to come up and whether we will be starting serving them immediately once those facilities are commercialized?

Dr. Bir Kapoor: We had indicated earlier in our February call that the revenue and the sales of Battery Chemical would start trickling in from the second-half of this financial year. We are still on track with that.

Samples are at the testing stages, and it takes a certain time because Battery Chemicals are dependent a lot

on very extensive and rigorous testing. And we expect to see revenue from this coming, trickling in, I would say, and it will take almost year and a half for the revenue stream to become meaningful as stated in my opening comment. So, this is referring primarily to LiPF₆.

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Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: I want to start with the EV segment following up with what we said in the previous call. We anticipated a funding date, so our balance sheet today is almost 1.8 times metric to EBITDA, and we are expecting another Rs. 1,300 crores of CAPEX in FY25 and we want to do a total CAPEX of Rs. 6,000 crores in the EV segment, where are we in the funding because I think that remains a critical element to watch in a time where our standalone balance sheet now looks like doesn't have too much headroom to fund that?

Dr. Bir Kapoor: If you look at our CAPEX plan, so we have always stated that going forward, the funding for the EV business which we have shown as Rs. 800 crores will come from the external funding, and we have already initiated that process. We had said that it takes 4 to 6 months and we have appointed an investment banker and are moving ahead with that. So, it is going as per plan. And in addition to that, we have also shared in our presentation GFL CAPEX, which is Rs. 500 crores will continue as per plan, which is essentially on the new Fluoropolymers capacity addition that we had indicated earlier.

Sanjesh Jain: I got that we are looking at that Rs. 800 crores to come from external, is that the CAPEX dependent on that we get the funding, or we have any other plans for it?

Dr. Bir Kapoor: Not really. I think the business fundamentals are very strong on EV, Sanjesh, we had indicated

that. So, definitely one of the options we had indicated is this funding. But other than that, we will look for an alternate option if it doesn't come, but we will continue with our plan.

Sanjesh Jain: So, it is not dependent on that we do the funding, at least for FY25 not beyond that ?

Dr. Bir Kapoor: Right because the growth fundamental of the business is very strong, Sanjesh and as you know and we have always said it, it is an upcoming business, and we will continue with our plan.

Sanjesh Jain: And where are we spending this Rs. 800 crore? Can you elaborate what are the trajectories that we are capacities that we are adding ?

Dr. Bir Kapoor: Essentially, on the Battery Chemical and the product range that I had described it, it is not really, I cannot give you the specific names, but clearly what we had indicated earlier was electrolyte salts, and cathode active materials and also the cathode binders. These are the broad categories in which we have been investing.

Sanjesh Jain: A related question again is that where are we in the approval cycle for the battery grade PVDF and the semiconductor grade PVDF?

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Dr. Bir Kapoor: The battery grade PVDF is already, as I said, that it is already in the process. It has gone to the level of the next level of approval that has gone to the electrochemical testing. All I can say it is at the final stages of getting approved. And we are engaged with multiple OEMs and as far as PFA is concerned for semicon, I had indicated that earlier as well that we are already supplying PFA to semiconductor applications, but we have been trying to upgrade into higher and higher segments within the same sector, and that journey is on as we speak right now.

Sanjesh Jain: You made a very interesting comment, sir during your opening remarks that you are looking at the green shoots in the Fluoropolymer, is it across the category, PTFE, PFA, FKM and PVDF or it is more for the performance solution

which is PVDF and FKM and less for PTFE?

Dr. Bir Kapoor: The green shoot when I said it was with respect to, you saw several quarters, our performances were subdued, particularly because of destocking. So, the green shoot was in context that the destocking is phasing out and there has been a pull in terms of demand and those were the green shoot that I mentioned and that is all across. So, that was definitely for PTFE as well as all our new Fluoropolymers.

Sanjesh Jain: And how has been the domestic market? It still continues to remain challenging for us ?

Dr. Bir Kapoor: It remained challenged in certain segments, partly because of the imports in certain lower end rates from China, which is been a challenge. Otherwise in higher end rates, yes, it is fine, but in certain grades, particularly the granular, it has been a challenge, yes.

Sanjesh Jain: Couple of bookkeeping questions. One is on the operating cost rate, quarter-on-quarter appears to be gone up very sharply, why such a sharp jump in the operating cost for a Company which largely run continuous manufacturing? And the number is in the working capital, we are now at 167 days, we were targeting below 120 days. It is a huge gap which we bridged in the last 2-3 years, but again built up on that so more clarity will be helpful?

Dr. Bir Kapoor: I will let Manoj answer that. But the broad answer for that is that we have added capacities and these are in the process of getting utilized. So, that is where some of the higher cost is coming up. But let me hand it over to Mr. Manoj Agrawal who will answer it with lot more details.

Manoj Agrawal: The operating costs are particularly higher at the yearend on account of year end provisioning, one; second, on account of discharge of the CSR obligations; third, some of the CAPEXs which have gone on streams and also operating expenses relating to those CAPEXs have gone as the P&L expenses now. So, these are the three essential reasons and fourth was the Red Sea crisis has increased our movement expenses, so that is another additional impact which has happened. So, these are four reasons because of which operating expenses have gone up in this quarter.

Sanjesh Jain: And working capital ?

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Manoj Agrawal: And working capital is essentially as such, absolutely it has not gone up, but because the sales were down, so it is a numerator and denominator impact. So, number of days is particularly higher in those finished goods areas because sales were down. As soon as sales picks up, it will improve.

Moderator: Thank you. The next question is from the line of Rohan Gupta from Nuvama Institutional Equities. Please go ahead.

Rohan Gupta: Sir, first question is on Fluoropolymer, I mean if you refer to your last concall, you mentioned that this year FY 25, you see a significant growth in Fluoropolymers which will be primarily led by volume and almost taking us to previous year profitability. Sir, do you see that kind of pickup in Fluoropolymer has already happened? And overall, for this year, we can achieve those numbers which you were guiding for last quarter ?

Dr. Bir Kapoor: Yes, Rohan, we absolutely see that. And in fact, that is where when I mentioned in my opening comment, green shoots, that is where we say that we expect it to give us the results that we are looking for. So, Fluoropolymers, not only volume, but we are also as we have added capacity with new Fluoropolymers. The volume coming into new fluoropolymers and some of them are advanced grades. So, it is a combination of the two, the volume plus value added grade which is coming in the new Fluoropolymers. Combination of the two will give us what we are looking at and give or take a quarter here and there, which I have stated last time also. But the fundamentals are strong, and we are well within t

hat range that we are targeting right now.

Rohan Gupta : Questions on the approvals, which you mentioned in the P VDF for the battery grades, those you give answered the previous question, Sir, if it will be possible for you to share some more timelines related to that in terms of where we are in approval cycle? I am sure that you are dealing with the multiple customers, but what kind of volume do you think that your customers are having started giving you indication that we can build up for the current year and for the next year more in P VDF high grade battery for the battery usage and also if you can give some sense on a like Li PF and PFA ?

Dr. Bir Kapoor: Yes, Rohan, first of all, the approval cycle or approval process of PVDF is a complex process. It has multiple stages. It is because since we are dependent on customers to do these testings and respond back to us, it will be difficult for me to give any specific timelines on this. However, typically this process takes a long time depending upon the customer. It can take definitely over 6 to 8 months and sometime beyond a year as well. But from our side, I think we are almost in the final stages, which is the electrochemical test which is going on with our customers. Volume indications with respect to customer would be difficult for me to provide right now, but whatever we have planned, or we have indicated the capacities in new Fluoropolymer, I think we should be able to achieve that going forward.

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Rohan Gupta : So, just further on this, in last 3 months, a lot of work has been done with the battery manufacturers in India under the PLI schemes and many battery manufacturers have come forward, are we in the process of also working with the very advanced stage with any of these domestic battery manufacturer or still the focus is on export markets only ?

Dr. Bir Kapoor: We are working with almost all the battery manufacturers who are coming up in India. And we are well entrenched with their plans and as and when because those capacities have not been set up yet. And some of them are starting now and it is at very early stages for Indian market. We expect Indian market, particularly the battery capacities to come from 25 mid onwards, so it is almost still some time away. However, we are engaged with almost all of them in terms of all the three product categories that we talked about and most importantly on the electrolyte chemicals and binders.

Moderator : Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal : Sir. Just to get a couple of numbers, just reiterate those numbers with you, sir, on Fluorochemicals, did you just reconfirm your guidance that you said we will have a flat year on Fluorochemical this year?

Dr. Bir Kapoor: Yes. In fact, Fluorochemicals going forward in FY25, we expect to be on a similar level, may be soften a little bit because Fluorochemical for us includes refrigerants and specialty chemicals. In refrigerants, there have been certain headwinds, you may be knowing about it particularly the duty cut that has been there in U.S. market and second is the phasing out of R22 quotas over a period of time, so both actually is expected to impact that. And the Fluoro Specialty to some extent is stable for us, more or less because it is relatively small vertical for us and the prices have been subdued because of the Chinese order imports, low cost imports. So, we expect it to remain at the similar level or slightly lower not expecting any growth in that sector, that verticals particularly.

Nitin Agarwal : Sir, then given this sort of softening of outlook on this part of the business, we had earlier guided that FY 25 EBITDA would be similar or higher than FY23 EBITDA, do we still hold by this guidance, sir?

Dr. Bir Kapoor: Yes, to some extent,

because I have answered in the previous question that it will be driven primarily by our Fluoropolymer business. And we have stated that earlier also because the earlier numbers, let us say if we go back and look at FY 23 numbers on refrigerants, in a way, it was inflated or higher because of R125 and R125, there was a sudden pickup in the market, and the demand in the US because of the high duty. So, but those were, in my view, opportunistic, and those are no more available. So, the growth that we are seeing in Fluoropolymers now or the overall growth, which will be led by Fluoropolymers, will be much more stable because this is

led by now the newer capacity that we have already added over the last one year or year and a
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half. And so this is correct that whatever we have seen going down with respect to the FY23 in refrigerant Fluorochemicals or the bulk chemical segment, which is because of the subdued prices would be made up by growth in F luoropolymers.

Nitin Agarwal : If I again last , on the F luoropolymer , now since there is so much growth expectation which is there on the F luoropolymers our capacities, I mean you mentioned that your current capacities will take care of the growth for this year and at what stage do we need to meaningfully start putting up capacities to meet our Fluoropolymer demand going from here on?

Dr. Bir Kapoor: See, Fluoropolymers have a natural growth level of , I would say anywhere from 5% to 7% depending upon F luoropolymer to F luoropolymers. Some F luoropolymers have a higher demand driven by certain sectors which is either for example P VDF by EV or certain other Fluoropolymers which are going into semiconductor industry . So, Fluoropolymer as a sector has a very strong fundamental and growth rate. So, we have put in capacities and as I have said earlier that we have invested a lot on the back end, which is the monomer capacities. So, our current capacity addition that we have done will probably last for a year or maybe a year and a half and then further additions I think will depend on the how the market unfolds, particularly in the ri sing segments of EV as well as Semicon . So, we will make investments there. Perh aps we will keep you updated towards the second-half of this year as the market situation evolves.

Moderator : Thank you. The next question is from the line of Divy Agrawal from F icom Family Office. Please go ahead.

Divy Agrawal : So, I had a couple of questions. So, first is regarding the capacity. So, it would be helpful if you could give us the capacities of commodity product as well as the specialty products grade wise, it would be helpful for us ?

Dr. Bir Kapoor: Normally, we don't provide these details of the capacity for obvious reasons along with the grades. I suggest this can be taken up offline and whatever we can provide , but otherwise normally we don't provide very specific grade wise capacities. In fact, the way we have been guiding lately is more with respect to the investment and the asset turnovers.

Divy Agrawal : It would be helpful, s ir, if you could give us the , help us with the utilization levels of maybe the commodity products or specialty polymers .

Dr. Bir Kapoor: I said Divy that this question can be taken offline if that is fine with you.

Moderator : Thank you. The next question is from the line of Ketan Gandhi from Gandhi Securities. Please go ahead.

Ketan Gandhi : Sir, you have mentioned about the legacy player being going out and we may fill in the gap, I believe after the exit of PM, there is a vacuum as far as P FA is concerned because Chemours is
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unable to increase the capacity of the PFA for semiconductor gr ade, i s there any chance or are we looking at getting into the that tools and go to the North American market as far as P

FA is

concerned so that we can fill that gap which is unable to fill by the Chemours ?

Dr. Bir Kapoor : Yes, certainly that is one of the growth driver for us as we have indicated, and we are already supplying PFA to US in certain markets and we have capability as well as capacity to fill that gap and take over from whatever the market demand is available because of this leaving or the exit of legacy players. We are certai nly moving in that direction, and we have all the elements in place.

Ketan Gandhi : Sir, how soon it can happen within the next 9 months or after the exit of the PM?

Dr. Bir Kapoor : See, it has already started happening because what happens is that the exact exit is still some time away. It is probably January 25. So, overall, what we are seeing is there is a pull from the customer side, PFA being a polymer which is the high -end polymer, there the qualification periods are long. So, we are alrea dy seeing a pickup in demand and interest from customers to qualify our material. So, this is already happening as we speak. So, we will probably see results of that probably in the next few quarters. And it will ramp up and that is where when we talk about our F luoropolymer story that we expect significant growth quarter by quarter in next 3 quarter s or 4 quarters. This is one of the driver s for that is what you stated.

Moderator : Thank you. The next question is from the line of Ansha I Thakkar from Lalkar Securities. Please go ahead.

Anshal Thakkar : Very encouraging to see the sequential turnaround in the Company . So, the question that I want to ask is partially answered with respect to operational expenses, but just wanted some clarity on the other expenses particularly, they seem to be elevated above normal , so is there a one off in this or this is something that we can now continue to expect?

Manoj Agrawal : Actually , I have explained this in the earlier question. There are a few items which have come in this quarter. One is the certain year end provisioning of the expenses , second is the CSR obligation discharge and third is because of the Red Sea crisis our logistic cost has gone up. So, these are the few major reasons because of increase in the operating expenses and apart from this, because we have done the capitalization of our LiP F businesses now the operating expenses which was otherwise would have charged to the capital is now coming to the P&L. So, these are the four essential reasons because of this has gone up.

Anshal Thakkar : Sir, I thought you had already explained operational expenses , my question was more towards the other expenses , but I get the point .

Moderator : Thank you. The next question is from the line of Meet Vora from Emkay Global. Please go ahead.

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Meet Vora : Sir, first question was , if you can guide CAPEX and asset turn, year wise for FY25, FY26, FY27 for the Battery Chemicals business that would be helpful ?

Dr. Bir Kapoor: Last time when we had a call on Battery Chemicals, we had stated that we would be investing close to Rs. 6,000 crores in next 4 -5 years and this is with the asset turnover of 2. That is what we had indicated , so again that there is some time to be given for the capacity to be utilized. So, whatever we are investing now, we will probably see the impact of that coming after a year, year and a half after the investment and then slowly it will start adding up or building up. So, this is I think that if you are asking for what eventually those CAPEX will result into asset turnover, it is approximately 2 for Battery Chemical. That is what we had guided. Does that answer your question , Meet?

Meet Vora : Actually, it was more like how can I model the yearly numbers? Because obviously we know that there will be some revenue which will come in H 2 FY 25 as per your guidance. So, directionally maybe we w

ould do Rs. 800 crores of CAPEX in FY 25 and that would create revenues in 27, so I was more asking from FY 26 or 27 point of view ?

Dr. Bir Kapoor: See, we have invested already. I am sorry the presentation may not have stated it clearly, but we have already invested Rs. 800 crores in Battery Chemicals till now, which is up to FY24 . So, FY25, we have indicated Rs. 800 crores which is now we are showing the investment on battery chemicals separately in our presentation. But that doesn't mean that is the total investment. The total we have already invested Rs. 800 crore, which is going to give us revenue which is in the second -half of this year and then it will continue to build up in FY26. So, if what you are asking is that impact of CAPEX on revenue and EV, the first part of the Rs. 800 which we have invested, which is going to result partially in this year and partially in FY26 and the 800 which is going to be invested now will again after few quarters will get impacted in the FY27. So, slowly it builds up over a period of time. So, this is how this will unfold again with certain junctions you can build up your model .

Meet Vora : Sir, secondly on when we say that our FY 25 guidance will be more or less within that FY23 EBITDA range of say Rs. 1,800-Rs. 1,900 crores, that means directionally every quarter we will have to do roughly Rs. 450 crores of EBIT DA. In Q4, we have done around Rs. 230 crores of EBIT DA. That means we are expecting at least a doubling of our EBITDA in Q1 or we are seeing higher growth in the second- half and directionally if you can give some how are you seeing that ramp up in that Rs. 1,800 or Rs. 1,900 crores of number for FY 25?

Dr. Bir Kapoor: See, it will not jump , it will not be a situation where it will jump from 236 to 450 and then remain 450 for left of the four quarters. So, it will build up from 236 where we are and then slowly keep on increasing till the Quarter 4 of FY25.

Meet Vora: That means , we would either see very good growth in H2, maybe Q3 and Q4 will be very high in terms of run rate ?

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Dr. Bir Kapoor: Indeed.

Moderator: Thank you. The next question is from the line of Aalok B, who is an Individual Investor. Please go ahead.

Aalok B: Sir, there are three basic questions. The first one is that in your presentation , VCM to VDC integration , when do you expect that to be completed?

Dr. Bir Kapoor: Yes, Aalok, I think the VCM to VDC, that project has been deferred slightly because that was primarily more to do our backward integration. At this point of time , the VDC and R14 2b prices are still low, so we have a plan . We expect to have this project implemented in due course, perhaps in next middle of next year or probably end of next year, something like that. We have all the elements in place. We have , in fact, initiated the work, but because of the lowering of the

prices we have staggered it a little , but that can be quickly executed as and when the market picks up.

Aalok B: So, secondly is, even the HSP monomer , I believe it can be made using KSM , but I think in your presentation you are procuring that externally , so is there any reason for that?

Dr. Bir Kapoor: The quantity that we are procuring is quite small. See our philosophy look has been to go for backward integration whenever it reaches a certain quantity or certain size, we normally go for backward integration and that will continue , this approach will continue . Right now, at least it is not qualifying into the criteria that we have, but as soon as we see a jump in volume we will certainly do that what you are saying.

Aalok B: So, I think you have guided that FY25 would be comparable or slightly lower than FY23 and I think the margins were delivered in FY 23, the EBITDA margin is about 30%. So, again, if I am just doing the rough math, 30%

seems a bit tough considering that you will see quarter -on-quarter improvement. So, do you think the 25% -26% is what you would be internally targeting or what we could assume?

Dr. Bir Kapoor: No, we are targeting what we have stated absolutely, and we have planned for that and certainly because that the multiple routes to achieve that and we are doing that.

Aalok B: And just one last question, coming to the PVDF battery binder rate, there seem to be two technology suspension and emulsion, any comment on where what we are working on or what we are getting qualified?

Dr. Bir Kapoor: We are in emulsion, and we have stated that and that is where there are many application in which this is accepted and this is undergoing approvals and testing by customer illustrated. So, we are only in emulsion grade PVDF.

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Moderator: Thank you. The next question is from the line of Kunal Tokas as from Fair Value Capital. Please go ahead.

Kunal Tokas: Just two quick questions. First, how has been the realization trend in PTFE and the new age polymer?

Dr. Bir Kapoor: As I stated in our presentation, I think the realization has been stable except for a very low -end Fluoropolymer and the granular where we were under pressure because of the dumping. Other than at the higher end , polymers , it is more or less stable.

Kunal Tokas: And the outlook is stable as well?

Dr. Bir Kapoor: Yes, whatever we have seen in the last few quarters, we expect it to continue.

Kunal Tokas: And the second question is like to Fluorochemicals, how do you see the current demand and pricing scenario for refrigerant gases and any improvement that you foresee in the second-half of this year?

Dr. Bir Kapoor: Unfortunately, we don't see much improvement at least in the segment that we are in because some of wherever , in export market to some extent except non -US market it is stable, but because of the duty cuts in US on refrigerants and sort of cutting down of quotas , we do not see these prices going back or recovering for refrigerants for us.

Moderator: Thank you. The next question is from the line of Deepak, who is an Individual Investor. Please go ahead.

Deepak: I have a couple of question, how much the EV chemical business will contribute in your basket and FY25 and FY 26? Also, how much margin you are expecting for the same in particular EV chemical and lower revenue number as a whole?

Dr. Bir Kapoor: See, we have already given guidance, Deepak that our margin expectation and the target is 25% in the EV business and as in one of the previous questions, we had said that as we are adding CAPEXs , see the market is slowly building up, and it is growing. And our approach has been primarily to cater to geographical areas where there is advantage from us being a supplier from India and one of the US that we are offering is that our supply chain is quite independent, and we are IRA qualified supplier . So, with that kind of proposition, as the market is building up, we will start seeing a buildup in our businesses. And actually, this business is expected to have a very high growth in FY 27 onwards. So, this is what our plan has been. So, our investments are also tuned as per the market growth expectations.

Deepak: Sir, where we see as the EV chemical sector in the next 2-3 years if we compare the Chinese market contribution to the globe ?

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Dr. Bir Kapoor: Let me see if I understand your question. You are asking is that where do we see the EV sector in view of the Chinese?

Deepak: Yes, EV chemical sector.

Dr. Bir Kapoor: So, in China, the EV has excess capacity, everybody knows that all the battery, chemical etc., has excess capacities. However, if you look at the capacities outside China, it is still not there. It is at a very early

stage. And so Chinese and because of the new geopolitical situation, there is alternate is being looked at. That is where all the supply is going to come from. And if we look elsewhere globally, the battery capacities are slowly coming up, whether it is in Europe or North America. So, a supply chain is being established to cater to this large jump in the EV demand that is expected to pick up from 27 onwards. So, we want to be part of that global supply chain which is outside China.

Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICI CI Securities. Please go ahead.

Sanjesh Jain: I got a couple of them. First, on the R125, now that the pricing doesn't look so lucrative and we are seeing Fluoropolymer taking off, does it make sense for us to shut down R 125 and put all the TFE to make the Fluoropolymers, is that option available with us?

Dr. Bir Kapoor: Yes, Sanjesh, that option is available with us, but we have still the contribution margins in R125 as long as it is good. We have TFE capacities available.

Sanjesh Jain: So, we are not short of TFE capacity?

Dr. Bir Kapoor: No, so whenever situation like this come up, we do optimize with respect to the product mix which maximizes our overall margins and contributions.

Sanjesh Jain: And second, more clarity on the CAPEX for the Gujarat Fluoro business, that is non-EV business, you are anticipating Rs. 500 crores of CAPEX, where are we planning to spend this?

Dr. Bir Kapoor: This is Sanjesh, we indicated that part of it is the tail end of our new Fluoropolymer expansion, which we had deferred if you remember. Part of it is going to come for it. And part of it is going to be in the backward integration and some of the cost effectiveness programs that we are pushing now to ensure higher contribution margin Fluoropolymers.

Sanjesh Jain: One last quick question on the bulk chemical, we have at least Bloomberg suggests that there is a good jump in the caustic prices, are we seeing that on the ground, and will that effects will be visible from Q1?

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Dr. Bir Kapoor: We are not seeing that on the ground, unfortunately. We are looking forward to it. We are waiting because it has been a very long cycle of low prices in caustic. So, we are still waiting for that to happen, but right now the caustic prices are still quite subdued.

Sanjesh Jain: But it hasn't improved sequentially a bit because we are here?

Dr. Bir Kapoor: If I look at my quarter 3 versus Quarter 4, it is almost at the same level. There was a little bit improvement, but again at the same level I would say.

Sanjesh Jain: Say if the quarter 1 because I think this price increases have happened in the month of April?

Dr. Bir Kapoor: For a very short time.

Sanjesh Jain: It didn't sustain is what we are telling?

Dr. Bir Kapoor: Yes, I think there was a slight blimp, but I think it again subsided, but we are expecting this caustic soda prices to pick up, but it is not yet appeared in a sustained way, Sanjesh.

Moderator: Thank you. The next question is from the line of Yash Shah from Investec. Please go ahead.

Yash Shah: Sir, I just had one clarification question, if you can please share the volume degrowth which you've had in the Fluoropolymer segment for the whole year of FY24, I just wanted clarification on that?

Dr. Bir Kapoor: Yash, you are looking for volume numbers?

Yash Shah: As compared to FY 23 on the Fluoropolymer segment, what kind of degrowth, what we have witnessed just in the Fluoropolymer segment?

Dr. Bir Kapoor: Yes, there was a degrowth and we mentioned that earlier that the degrowth primarily was driven by slowdown, two reasons, one of course the prices on a very low-end grades, particularly in the granular and the second was because the destocking phenomena which happened in

global

markets. Because of that, the customer has stopped buying it because in 22 and 23, a lot of stock was built up in order to ensure the sustainability of the supplies and that part sort of resulted in destocking in FY24. So, that has impacted our volumes to some extent.

Yash Shah: Will you be able to share the numbers, sir of the degrowth in volumes?

Dr. Bir Kapoor: Normally, we don't share numbers, particularly for the sales, Yash but you can take it up offline with me to understand this in more detail if you would like to.

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Moderator: Thank you. The next question is from the line of Dhavan Shah from Accurate Advisors. Please

go ahead .

Dhavan Shah: Sir, my question is on the EBITDA , we are running at roughly Rs. 1,000 crore s annual run rate of the EBITDA and we are expecting roughly Rs. 2,000 crores in FY25 and given that the basic chemical and the Fluorochemical more or less will remain at the same level as you guided in the opening remarks. So, this largely Rs. 1,000 crore s incremental EBITDA you were expecting that this will come from Fluoropolymers only ?

Dr. Bir Kapoor: Yes, Dhavan, that is what we indicated because we said for two reasons. Of course, one is to get back our normal level of sales and the second is because we added capacities in several new polymers and those were going through the qualification process. So, this new Fluoropolymers , we are expected to see is providing impetus to the volume growth. So, this is indeed correct what you said.

Dhavan Shah: So, what kind of margins are we operating in these Fluoropolymers is it 25 %-30%. So, logically I think these Rs. 3,000 to Rs. 4,000 crore incremental revenue you are looking at in FY25 from this incremental capacity of Fluoropolymers?

Dr. Bir Kapoor: Yes, in fact, margin expectation we have already, we have not ever given the segmental margin, but we have said that on overall basis it is around 25% to 30%.

Dhavan Shah: And in terms of the revenue, let us say, if you want to have Rs. 1,000 crore s incremental EBITDA, you should do at least Rs. 3,000 crore s incremental revenues, this Rs. 3,000 incremental revenues would come from which Fluoropolymers in terms of the different PTFE, PFA, PVDF, what kind of numbers are you expecting?

Dr. Bir Kapoor: Lot of it will come mostly from new Fluoropolymers as you said which is the collection of what you stated . So, I think it is a product mix Dhavan, which is difficult for me to give you in this short call. However, it will probably be driven, not probably, it will be driven by the new Fluoropolymer segments.

Dhavan Shah: So, demand wise any outlook, in terms of any order book or anything can you highlight in the other Fluoropolymers for which you have already expanded the capacity, how is the order book right now versus the last year? What is the visibility from the customer side? And any ballpark number or any?

Dr. Bir Kapoor: See, we have added capacities in Fluoropolymers like FKM, PFA, PVDF were the three and also Micro Powders . So, we had stated this much earlier capacity than it is primarily driven by these 4 segments where the market demand is and we are present and we are slowly capturing the market share in this. So, what I can suggest again that one is due to lack of time, perhaps you can connect with us offline. I am sure we can share more details.

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Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I now have the conference over to the management for closing remark.

Dr. Bir Kapoor: So, thank you very much and I really appreciate and thank each one of you for showing interest in GFL and we look forward to a growth journey and we expect to see the results going up quarter -on-quarter and achieve the target

get that we already stated. So, I would like to thank you

all for the interest shown in GFL and in case of any questions , request you to please connect with Mr. Vibhu Agarwal who looks after our Investor Relations. So, thank you very much and have a good day. Bye.

Moderator: On behalf of Batli vala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

GFCL: BRD: 202 4 21st August , 2024

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip Code: 542812 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

D

Dear Sir/Madam,

Sub: Transcript of Conference Call with Investors /Analysts held on Tuesday , 13th

August, 2024

Ref.: Regulation 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure

Requirements) Regulation, 2015 ('Listing Regulations')

With reference to our letter dated 8th August , 2024 and pursuant to Regulations 30 and 46(2)(a) of

the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 ('Listing Regulations'),

we are enclosing herewith the Transcript of Conference Call held with Investors /Analysts of the

Company on Tuesday, 13th August, 2024 at 16 :00 (IST) to discuss the Q1FY25 Financial Performance.

T

The above information will also be made available on the website of the Company: www.gfl.co.in .

W

We request you to kindly take the same on record .

T

Thanking you ,

Y

Yours faithfully,

For Gujarat Fluorochemicals Limited

B

Havin Desai

Company Secretary

FCS: 7952

E

Encl.: As above

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"Gujarat Fluorochemicals Limited

Q1 FY '25 Post Results Earnings Conference Call "

August 13, 2024

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFICER –

GUJARAT FLUOROCHEMICALS LIMITED

MR. KAPIL MALHOTRA – HEAD OF OUR

FLUOROPOLYMER BUSINESS – GUJARAT

FLUOROCHEMICALS LIMITED

MODERATOR : MR. ARCHIT JOSHI – BATLIVALA & KARANI

SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '25 Post Results Earnings Conference Call of Gujarat Fluorochemicals , hosted by Batlivala & Karani Securities. As a

reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touchstone phone please note that this conference is being recorded .

I now hand the conference over to Mr. Archit Joshi from Batlivala & Karani Securities. Thank you, and over to you, sir.

Archit Joshi: Thank you, Del, and welcome to all participants to the Q1 FY '25 Earnings Conference Call of Gujarat Fluorochemicals Limited. We have with us today Dr. Bir Kapoor, Chief Executive Officer of the company; and the senior management team members to discuss the quarterly performance.

Without further ado, I'd like to hand over the floor to the management for their opening remarks, post which we can have a Q&A session. Thank you, and over to you, sir.

Bir Kapoor: Thank you, Archit. Good evening, everyone. A very warm welcome to all of you on GFL's earnings call for the quarter ended 30th June 2024. The company announced its Q1 FY '25 results at its Board meeting held today on 13th of August 2024. The results, along with the earnings presentations, are available on the stock exchange and on our website.

I will briefly talk about the numbers, and then, give you an update on the business operations and the outlook. The company reported a consolidated revenue from operations for Q1 FY '25 of INR1,176 crores, up by 4% on a quarter -on-quarter basis. Consolidated EBITDA for Q1 '25 was INR262 crores, up by 10% on a quarter -on-quarter basis.

The EBITDA margin for this quarter was 22%, marginally up from 21% in the previous quarter. Consolidated PAT for Q1 FY '25 was INR 108 crores, up by 7% on quarter -on-quarter basis. The profitability in this quarter was impacted by higher interest rates and depreciation, as we have incurred higher capex in previous quarters for future growth.

However, the commensurate revenues will ensue in future, once commercial supply is commenced subsequent to validation and approval process. In both EV and Fluoropolymers, the validation period is quite long, which results into a lag in business buildup. A consequence of this prolonged validation, however, is the stickiness of the business for a sustainable period.

We believe that, as the operating leverage improves, the profitability will increase sharply as the capacity gets fully utilized in FY '26 and '27. And this, again, I'm referring primarily to EV sector. While the Fluoropolymers will meaningfully add to our topline in this and the next financial year, the battery material vertical will provide substantial growth in future years.

Let me give you a quick update on the battery materials business catering to EV and ESS segments. We are actively engaged with 20 -plus potential customers across the EV ecosystem

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in U.S., EU, Japan, Korea and India. Many Indian and global customers have audited our LiPF₆, electrolyte and PVDF binder manufacturing facility and approved it. The product sampling and validation is in progress with over 50 samples shipped to customers globally.

Also, the contract for LiPF₆ electrolyte and PVDF binders are being finalized, and commercial supplies is expected to commence from Q4 FY '25. The LFP plant commissioning is expected in third quarter of this financial year. Let me briefly take you through the performance of each business segment for the quarter.

During the quarter, caustic soda prices have marginally increased. However, the MDC prices have

softened further, and the production was close to the baseline operations during the quarter.

The Fluorochemicals segments witnessed pickup both in volume and price of refrigerants.

Specialty chemicals volumes and prices remained muted during the quarter and continue to face headwinds from Chinese competition.

Fluoropolymers continued to improve quarter -on-quarter. However, the revenue during this quarter have been impacted because of the logistic disruptions caused due to Red Sea crisis. New Fluoropolymers continue to witness market pull due to strong growth fundamentals in semiconductor industry and successful product developments in application related to emission control in auto industry.

Additionally, our post -processing facility has been commissioned to capture a larger share in the premium segments of very high priority products. Manufacturing plant for making PVDF film for solar application has also been commissioned and the products are under validation stage at this point.

As we have been guiding, we continue to see growth quarter -on-quarter. The new Fluoropolymer continue to be on an upward journey, and we believe that we'll be able to substantially utilize the new Fluoropolymer's capacities set up earlier by fourth quarter of this financial year.

Post establishing ourselves as one of the credible global player in Fluoropolymers, we are now embarking to position ourselves as the global leader in the battery material sector. Let me give you a brief update on the battery materials sector. The global markets are moving towards EV

adoption and penetration of ESS driven by the clean climate agenda.

There is a strong emphasis on stabilizing supply chain, which is independent of single-country exposure. In view of this situation, we present a very strong and dependable supply chain option, which not only presents a large bouquet of products, but is also fully backward integrated materials provider.

As more and more capacity is being set up globally for ESS and EV batteries, the quest for diversified supply chain, large OEM manufacturers are looking for viable partners who have experience with strong balance sheet and capability to be able to meet their requirements. We are seeing a strong traction in global markets for such product offerings.

As we had stated, we are currently engaged with some of the largest global auto and battery manufacturing companies. The nature of our discussion is primarily focused on long-term

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formula-based contracts as the qualification and validation process is long and the auto OEM and battery manufacturers would like to restrict to maximum 2 or 3 suppliers to ensure consistency in quality and product performance, leading to long-lasting, sustainable partnerships.

At the end, on EV segment, I would like to reemphasize that a combination of first-mover advantage, along with robust backward integration and a supply chain, independent of China, is a strong strategic advantage for us. We are surely on a robust growth journey with all our fundamentals in place and the large global market available to us due to macroeconomic drivers like environment and sustainability.

With this, I would like to now leave the floor open for question-and-answer. Thank you.

Moderator: The first question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Just first on the Fluoropolymer business, if I look at the performance of Chemours, where the volumes have grown 16% quarter-on-quarter, which indicates that the volumes in the developed market, at least on the Fluoropolymer side, are coming back, that means destocking is largely behind us. But that kind of an optimism, again, I don't see in our numbers. So what are we missing here?

Bir Kapoor: Yes. Sanjesh, I think, yes, destocking is behind us. And the numbers are typically as we expecte

d to be driven by multiple factors. The first, of course, is growth in the new Fluoropolymer segments, which we expected driven by the capacity that we had put in place and also the validation process.

Second, of course, the exit of legacy players, which is taking place. So we are seeing a lift, okay?

The growth rate you can debate is there or not there. This quarter, there's some amount of, of course, subduedness that we see because there were some of our shipments going to particularly U.S. markets got delayed almost by week, 1.5 weeks or little bit more, so -- but I think we will catch up.

The fundamentals, and -- we are seeing a pickup, at least driven by multiple sectors and primarily driven by semicon sectors, okay? So I think, yes, we would have loved to see a higher growth rate and -- but the fundamentals are in place, and I think we'll see some as we go along. There is -- it will continue. We will continue on our growth journey.

Sanjesh Jain: But semicon is largely PFA, so what's happening on the FKM, PTFE and PVDF? Where are we in terms of volume growth for these products? Even domestic was supposed to add because of the stringent norms, but again, none of these are really in the way we thought is still not visible on the numbers.

Bir Kapoor: It will be visible. I'm inviting my colleague, Kapil Malhotra, who is the Head of our Fluoropolymer business to talk about the specific segment that you asked about.

Kapil Malhotra: Yes. So to answer to one of your specific question that you are talking about some of the domestic business for, even FKM, if you're talking about, so we are going to see this fuel mix

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happening and affecting us positively from the first quarter of the next calendar year, that is the last quarter of this year, financial year. And so we are absolutely geared up for that. Some of the grades which were to be parked in place are already under evaluation. Some of them have been approved, some of them are under the process of approval.

As it's a new journey in the Indian context, so we are absolutely gung-ho about it. And we are -- we have created capacities, we have created all the grades and we are just waiting for the event to happen now. So you will see that positive traction coming in, in the last quarter of this financial year.

Sanjesh Jain: And, Kapil, what will be the India demand in your sense for this? Because we will be replacing the traditional rubber with FKM, how much FKM capacity do you think India will require to do this transition?

Kapil Malhotra: See, right now, Sanjesh, it is very difficult to calculate and answer that because it's a gradual process. As I said, it is happening in India for the first time. We have created some kind of a momentum and capacities. But to go forward, it can be good, but how good we'll only come to know only 3 quarters down the line.

Sanjesh Jain: But any indication you are seeing there, it could be fairly large for us?

Kapil Malhotra: It's going to be how large we'll come to know later.

Sanjesh Jain: Got it. Clear. So next, coming to the battery chemicals side. We are being -- we are expecting some amount of contracts to be executed from the end of this fiscal year. So is this domestic contract or these are international? And how large are these contracts? And these are for what, LiPF6 salt or electrolyte?

Bir Kapoor: These contracts that we are referring to are mostly global, okay? Because as we said that our focus on EV sector is primarily global. It would be difficult for me to specifically say which one, but of course, our 2 frontrunners are there in our products, one is LiPF6 and second is electrolyte, okay? And of course, the LFP, as I have indicated, the plant is very close to getting commissioned. We expect to get it commissioned by quarter 3 of this year. So I think most of it is global. Of course,

electrolyte is primarily focused on for Indian markets.

Sanjesh Jain: So when you say global, it should be largely salt, right?

Bir Kapoor: Yes. Salt and LFP as well, LFP and PVDF.

Sanjesh Jain: Okay. No, I was just coming to the PVDF part of it. We were in the process of validation and certification from the western part of the world. Have we got the certification for battery-grade PVDF?

Bir Kapoor: It's quite close. It's almost in the final stage of certification right now. However, the way it works typically, Sanjesh, is then while the qualification is in progress, the contract discussions and the pricing discussions happen simultaneously. So typically, when we are engaging with a serious Gujarat Fluorochemicals Limited

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customer, both of these things happen parallelly. And with this go with a presumption that it will get qualified, and we are sure it will get qualified, absolutely no issue.

Sanjesh Jain: Got it. And 1 last question before I come back in the queue. Kapoor, sir, still we stand with our guidance that we will be able to do an EBITDA which we did in FY '23, which is around INR1,700 crores, INR 1,800 crores of EBITDA.

Bir Kapoor: So we are -- I mean, as I indicated, we had -- we were hoping that we'll reach there, and we still think we'll reach there give or take a quarter here and there. We will definitely come to the run rate of that last FY '23 financial year or even beyond that. So probably give or take a quarter on a rolling basis, Sanjesh.

Moderator: The next question is from the line of Sudarshan Padmanabhan from JM Financial.

Sudarshan Padmanabhan: Sir, my question is to understand the impact of the Red Sea as you mentioned in the presentation. One is I would assume because of the transit time, there could be impact, as you mentioned, on the Fluoropolymer side, I mean if you can mention the quantum. And broadly, 2 things, as far as the cost is concerned because wherever we see, we see that the shipping cost has basically hit the roof.

And second is as far as imports are concerned, which would basically be a strength for us given that we are relatively more integrated. So putting all the 3 into perspective, if you can give some color on the Red Sea and the impact...

Bir Kapoor: Your voice was not very clear. It was coming out muffled.

Sudarshan Padmanabhan: Yes. Sir, I just wanted to understand the impact of the Red Sea, as you had mentioned in the presentation. One is the sales. I would understand because of the transit time, they would have been a spillover as far as sales are concerned. But apart from that as well, I mean, the cost, and is the Red Sea actually going to be a benefit for us, given that we are more integrated? I mean to that extent, our imports will be relatively less dependent as compared to peers. And because of our cost efficiency, does the Red Sea basically be a tailwind for us in terms of getting more visibility with customers?

Bir Kapoor: Yes. I think, of course, we are not importing, we are completely backward integrated, as you know, and our imports, of course, are not...

Sudarshan Padmanabhan: Yes, yes, which is why I'm asking whether that will be a benefit for us.

Bir Kapoor: So I think as far as Red Sea is concerned, for us, it's more of sale getting deferred because we have a model where we send our material to our warehouses in the U.S. and Europe and extra 15 days being added to shipping time because now it's going via Cape of Good Hope is causing some sort of a deferment.

And particularly, one more thing, Sudarshan, that our market is on a growth phase, as you know, that we have been building up volume from month-on-month. So in that case, I need to make
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sure that more of my material reaches my warehouses in North America, and that's what is causing it.

Coming back to

not having an advantage, yes, I mean that's inherent advantage that we have, and that's why our customers are engaged with us because we are -- our intake or our raw materials are not really dependent on Red Sea crisis.

Sudarshan Padmanabhan: Sure. And I mean, what will be the quantum of the sales deferment, sir? Would it be quite large or it would basically be relatively lesser? Just trying to understand the magnitude.

Bir Kapoor: I would say probably 1 to 1.5 weeks because that's how roughly the -- my shipments are getting delayed almost by 2 weeks, which we try to push it and try to make it up, but 1, 1.5 weeks can be taken.

Sudarshan Padmanabhan: Sure, sir. My next question is to understand on the refrigerant gases. We've seen that last year, the refrigerant gases went through a pretty bad phase in terms of pricing as well as volumes. But it was good to see that the light there, end of the tunnel, and we are seeing some kind of an upward traction in the prices and the volumes. Can you give some color, as we move forward, is the worst over? What are we looking at as far as things are concerned in this aspect going forward?

Bir Kapoor: Yes. Again, Sudarshan, your voice was a little bit muffled, but as I understand you are asking question on refrigerant gases. Is it right?

Sudarshan Padmanabhan: Yes, sir.

Bir Kapoor: Refrigerant gases, of course, the last quarter was normally -- since it's a seasonal thing, last quarter was supposed to be a good quarter. So in terms of -- if we talk about R-22, yes, we had a good volume in R-22. Going forward, I think that based on the seasonality, I am not expecting much in next 2 quarters. However, in the third or fourth quarter, we expect, again, the volumes to pick up.

As far as the pricing is concerned, from January onwards next year, R-22 quota will get reduced, and then, there might be some firming up the prices because of that. So we look forward to perhaps slightly better refrigerants in Q4, okay? But our business focus and our product range in this refrigerant business is very limited. We are primarily in R-22.

Sudarshan Padmanabhan: Sure, sir. Sir, 1 final question before I join back the queue is we do see a huge opportunity on the EV side, on the battery chemical side, which we are investing in, and there is also a huge growth ahead of us, specifically in newer application of Fluoropolymers. Sir, with the capex ahead, and I'm sure that we would also be funding it from growth from the cash flows. What is the kind of EV to EBITDA or debt to EBITDA that we would be comfortable with as far as the balance sheet is concerned to fund this growth?

Bir Kapoor: So right now, as we have indicated, Sudarshan, that -- I mean we have made certain investments, which we have announced already in EV segment. And our subsequent growth in this segment, we will be funding it, not from internal accruals, but from external fundings. And we talked at
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lot in detail about it when we had a call in February on EV segment. So we are still holding on to that. And we have -- there, we had also given a very -- guidance in terms of what our asset turnover ratios is going to be, what our expected EBITDA margins is going to be. So I think we are holding on to those numbers.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Congrats on potential improvement in operating performance. Sir, the first question is on the capex front. So on Slide 13, we had given capex. I think last quarter, the EV capex was slated at INR800 crores, now we have reduced it to INR 700 crores, so is there any recalibration which we are doing in terms of capex given the current circumstances and where the industry is obviously grappling with overcapacity from China, so your thoughts on this? And just second question also, probably more or less

alike to this, given that there has been a lot of capacity addition in China happening across Fluorochemicals, fluoro-intermediates as well as Fluoropolymers, what is the sense that we are getting in terms of the future, mainly in terms of pricing and whether our project dynamic also will change based on these new pricing and the return ratios probably will be

lesser than what we are expecting now?

Bir Kapoor: Thanks, Rohit. Let me first take up your first question regarding the capex. See, capex fine-tuning is a normal process, okay, when we look at that. So our -- I mean, medium-term or long-term capex plans are all intact. This is -- just in this year, we thought that probably we will be able to do INR700 crores in EV and some of it actually gets rolled over to the next year, so that was then.

Otherwise, fundamentals are very strong. We have not -- in the EV, we have not cut any projects.

As we have indicated, we had 4 or 5 product lines, which we are pushing, and our plans to set up capacities on all these verticals are still there, okay? Coming back to the issue of Chinese versus non-China, let me take up in 2 parts.

The first is EV segments. EV segments, I think we have indicated many times that the market and the segment that we are targeting primarily is a U.S. market. And these markets are not accessible to Chinese players because of the IRA compliance. In addition to that, even the markets where Chinese players are allowed to enter, there is a very, very strong drive to develop alternate supply chain, and that's where we come in.

So as far as the Chinese capacities are there, I think we need to look at what are the capacities which are outside China. And that exactly is where our playfield, and that's exactly is where we are competing with. And there, if you look at the players, we are one of the strongest for multiple reasons. One, of course, is that we present a very strong bouquet of products; and second, that we have a propensity to grow, and we are fully backward integrated.

We are one of the few players outside China where we are integrated all the way up to Fluorspar.

And if you look at the entire EV product player or the manufacturer, you won't find -- in fact, not more than 1 or 2 who have this capability. In fact, probably not even 1, okay? So I think if you look at in the proper segmentation, I think you would understand that the Chinese capacities may not really impact us on our growth plans.

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Coming back to Fluoropolymers. Fluoropolymer, Chinese capacities are always there, okay, even when we started a long time back, even today. So I'm not so sure that there is a new Chinese capacities, which is getting added in Fluoropolymers in China. However, I would like -- Kapil, do you want to add anything there?

Kapil Malhotra: Yes. In fact, I would say that most of the growth which we have been talking about Fluoropolymers is going to come into the high value-added segments, and China is not into those high value-added segments, as also we have discussed in the last calls also. So we are investing in those products in new Fluoropolymers, which -- where we are going to head for the high purity segments and the high value-added segments. Hence, the competition is with the legacy players and has already been indicated to you earlier and also by Dr. Kapoor that some of these legacy players, either some of them have gone out or some of them are on the way out. So there, the position for us becomes very clear that we become one of the key preferred suppliers in these high value-added segments, and that's where the opportunity for us is there to grow further as we have indicated to you.

Bir Kapoor: Yes. So -- I mean, once again, I would like to reiterate, Rohit, that the fine-tuning of capex is not too much to be read in terms of market, and that number that we are

re talking about is hardly

INR100 crores, which is nothing but a deferment of some of the cash flow into the following financial year.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: Sir, I'll just go back to the Fluoropolymer comments that you were making earlier. I mean, 2 parts. One is, a, the comment that you made with respect to the legacy players moving out. I mean this is a commentary that we've heard for some time, have been waiting for this event to play out.

Sir, if you can just help us understand more from a 2-, 3-year perspective, I mean how is it withdrawal -- I mean how is the market right now? Where is the market right now, rather, in terms of the legacy players withdrawing from this market? And at what stage does it start to benefit us, start get reflected in our volume gains for Fluoropolymers?

Bir Kapoor: Very good, Nitin, good question. I think we had always said about legacy player, but I think we'll have to look at the entire thing in a perspective that when are they actually exiting the market, what's the rate, what are they doing. And I'll request Kapil to quickly add here. Kapil, go ahead.

Kapil Malhotra: Yes, Nitin. So one of the main legacy player has already announced that they will be moving out by end of 2025. So what has happened is that since they were also into the high segment -- high value-added segment, we already had some drop in products where we started getting some business and we are already going into that market.

But some of the other grades are under evaluation. So we expect that probably from the

beginning of next year, we should start seeing those as customers have also promised us that the moment we start getting the approvals, they will start giving us more market shares, and we expect that process to start probably on a speedy way from end of the quarter of this financial

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year and start gaining quarter -by-quarter in the next year. And by the time they exit, we will also have a good market share in that segment.

Nitin Agarwal: And sir, on that, if you were to just not to look at numbers, but qualitatively versus -- I mean, how should we think about the size of the opportunity? I mean both in -- I mean maybe in value terms or value or volume terms, how should -- what really opens up for us because of this development, which is going to happen over, say, next 2- to 3-year period?

Bir Kapoor: Okay. So I think exact opportunity is, of course, would be difficult for us to highlight. However, we were looking at it from the perspective of the capacities that we have in place. And that's also the legacy player that Kapil was mentioning, particularly 3M. So our plan is to develop the products. Some of the products are crop-in like Kapil said and some, of course, are being developed.

So we are -- there we have structured our capacities, and the plan is to capture that opportunity. It's difficult for me to say what size of global opportunity are there. Typically, I think you can -- the entire -- if 3M goes away, that entire volume actually gets available, okay? And Kapil, you can add anything.

Kapil Malhotra: And one more point, see, one is that we are talking about the replacement of the void which is going to be created. The second, we are also talking about the growth coming in this segment. So both are opportunities for us. Wherever the opportunity is coming first, we are trying to capture it. The legacy player going out and also along with the growth coming in these particular sectors. So it's coupled together.

Nitin Agarwal: Got it, sir. So sir, if I were to just think about this, when you look at the Fluoropolymer business for this year, for the next 2 to 3 quarters, it probably scales from the levels where it is and then it probably begins to inflect somewhere in FY '26 and

where the pace really takes off. Is that the way to think about our Fluoropolymer business?

Bir Kapoor: Not really. I think what, Nitin, we are saying is that, that pace is going to pick up in this financial year itself, okay? We expect the Fluoropolymer business to grow. And quarter -on-quarter, you will see our Fluoropolymer business' performance improving or going up. And that actually will -- in quarter 4, we expect it to reach, and it will continue to reach. But the growth, of course, in the next financial year will be -- will come down. So most of the growth in Fluoropolymer, we would expect to see during the next 3 to 4 quarters.

Nitin Agarwal: Okay. And sir, the last one. Sir, in terms of the current capacities, which are there for Fluoropolymers with all of the opportunities that we see in the space, I mean, are our current capacities enough to take care of that or do we need to step up capex or probably plan for some incremental capex for this business?

Bir Kapoor: See, what happened, Nitin, is that, that we have put sufficient capacities in terms of monomer, okay? And right now that the capacity that we have, we expect to get it utilized by fourth quarter of this year or probably early next year. I think we will have to revisit the potential opportunity as it emerges probably later on during this year, and we may decide to add reactors, okay, certainly.

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Moderator: The next question is from the line of Utkarsh Somaiya, an individual investor.

Utkarsh Somaiya: Can you please provide details on the specific products and the application that the new subsidiary in Oman plans to manufacture? Also which market segments will the products cater to? And how will they integrate into the EV ecosystem...

Moderator: Sorry to interrupt, Mr. Utkarsh, could you come a bit close to the handset and speak?

Utkarsh Somaiya: Yes. Could you please provide details on the specific products and their application that the Oman subsidiary plans to manufacture?

Bir Kapoor: Yes, Utkarsh, the Oman being an FTA country to U.S. as -- and we have always indicated that our -- one of our focused market area is U.S., so it will be focused on battery chemicals, primarily, and catering to U.S. market. At this point of time, I cannot give you more details about the product, but it's primarily the -- for EV segment and catering to the U.S. markets. That's what the plan is right now.

Utkarsh Somaiya: Okay. Any more comments as to how it might integrate into the broader EV ecosystem, if you

can comment? I mean, if you can't, it's okay, but in case you can give any details.

Bir Kapoor: No, in terms of integrate means, it will probably be the similar product lines that we already have. So it will be -- we'll probably be manufacturing these products from another site, which is located in an FTA country to cater to U.S. markets. And this is, again, primary to ensure the IRA compliance and giving us strength to access to those markets.

Utkarsh Somaiya: Is this a product extension or just a plant to manufacture the same products?

Bir Kapoor: It's going to be the similar product lines. If you look at the battery segment, what we had already indicated, there are a few product lines and which we will continue in those. And again, it will more be on the chemical segments.

Moderator: The next question is from the line of Ketan Gandhi from Gandhi Securities.

Ketan Gandhi: Sir, is it possible for you to quantify the revenue not booked due to the Red Sea?

Bir Kapoor: Just a rough number could be INR 70 crores to INR 80 crores, Ketanji, that's what number is.

Ketan Gandhi : Yes. Fair enough. And sir, any plan to reduce the cost of energy? It is, I think, biggest and the largest line item in the expenses. I believe we had thought that we should be buying wind or solar power from the C&I segment. So how can we

save on cost of the energy going forward, and if you can quantify that amount?

Bir Kapoor: That's already in our plan, Ketanji, that we are looking at beginning of next year, getting into the renewable energy and putting long-term contracts in place for the same. So probably next year onward, you will see improvement in our energy cost and also have both advantages, not only the cost, but also the environmental footprints, okay?

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Ketan Gandhi : Any ballpark figure, sir, how much we can save in next 2 to 3 years, broader idea? If you couldn't share, otherwise, it's okay, I mean, if you can't share.

Bir Kapoor: Around INR100 crores, you can take. I mean, we'll probably be more specific when we talk to you maybe later in this year. In that order, okay, INR 100-plus crores.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Sir, just 1 question on this capex of INR500 crores and INR 700 crores which we intend to do in FY '25, can you give us more detail where are these capex spent, particularly in the parent entity?

Bir Kapoor: See, parent entity, I think we had already indicated earlier, some of it is ongoing capex that we had started last year in Fluoropolymer capacity expansions. We have also, as we have indicated that we are -- we have set up a post-processing facility also to get into the premium end segments.

So most of it is actually in Fluoropolymer, Sanjesh, okay? And that we started last year. Some of it is capacity building, some of it is post-processing. So it's primarily the Fluoropolymer segments only, okay?

Sanjesh Jain: And what is expected capex for FY '26 assuming that we achieve the target for this year? How should it look like for FY '26? Will it be to the tune of INR 500 crores to INR 1,000 crores, again, for the Fluoropolymer segment?

Bir Kapoor: Sanjesh, give us a little bit more time because I think we'll probably have it by the next 2 quarters.

So we'll have a firmer plan, and we'll guide you on that. But, of course, a lot of it depends how it takes up, and then, our plan to add more capacity as we get these capacities utilized, okay?

Sanjesh Jain: So what we were thinking in terms of Fluoropolymer capacity, say, 2 years back, are we there or we are still short of it?

Bir Kapoor: No, which -- when? Fluoropolymer capacity, when? You're talking about 2 years from now or -- I didn't get your question.

Sanjesh Jain: No, no. Sir, 2 years back, we were planning to go from 700 metric tonne per month capacity to 1,600 to 1,800 metric tonne per month kind of a capacity. Are we there now with this year or you think there is still some headroom from the previous capacity expansion?

Bir Kapoor: We are almost there, Sanjesh, except in some of the Fluoropolymers, we have held back our reactors because we have put up the capacities for monomers, okay, but we are more or less there, what we had planned.

Sanjesh Jain: Okay. So, sir, next year, it would be a capex plan that will be beyond that what we were -- we had in our earlier projections?

Bir Kapoor: I'm only -- I can -- if I have to -- as I said, that we'll give you a firm answer maybe by the end of this year, but nevertheless, if you want to look at the direction, the first direction would be to add more reactors where we have monomer capacities, whether that monomer is in the -- on the TFE side or on the 142B side. So we'll have capacity first to exhaust it and then look for additional capacity later on.

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Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Again, apologies for harping on the China side. So on the Fluoropolymers, we are primarily going for value addition. However, the base capacities -- I mean, base polymer capacities a

re

there in China. Effectively, the base polymer, Fluoropolymer pricing, will it be more or less determined by China and our value addition will certainly dictate the prices of what the high-end polymers are? So just your perspective on this, sir.

Bir Kapoor: Yes. Thanks, Rohit. I'll again -- once again invite Kapil to take your question. Please, Kapil.

Kapil Malhotra: Yes, Rohit. In fact, 2 quarters back when we had the investor call, there I had mentioned that our plan is to move away from the Chinese competition and go into those applications where we are going into aerospace, automotive, semiconductor, EV applications, where the Chinese are not present because the nature of these applications as such, they require high purity products. Secondly, the gestation period in terms of the approval cycle is pretty long. And that's where we score.

And so hence, there, the prices are not dictated by the Chinese. There, the prices are just there where you can get your best prices from the customers on the value addition you are giving to the customers. So this is a segment where we have kept ourselves going from strength to strength. And despite the headwinds from China, we still are trying to see to it that we grow strength to strength every quarter, and that is why we constantly talk about it.

Rohit Nagraj: Sure. This is really helpful. Sir, just second question. Again, apologies for harping on the guidance part of FY '25 in terms of EBITDA. So we are looking at a quarterly EBITDA run rate of about INR 400 crores to INR 500 crores. And given that first quarter we have done about INR 260 crores, INR 270 crores, it's slightly probably a longer way to go.

What gives us confidence that we will reach that level of INR 400 crores, INR 500 crores over the next maybe 2 to 4 quarters? Is it backed by certain firm orders from our customers or the other way that you had indicated about the competition going out of the system? So are there some capacity of the competition, which is going out of the system in near term? And later on, again, incremental capacities will go out of the system? So just your thoughts on this.

Bir Kapoor: Yes. Once again, Rohit, I think the confidence that we are getting, part of it is it's both because we have certain approvals in place, and there has been an indication from our customers that it will -- the volume will pick up. And we have all the elements in place today. We have the capacities, we have validation, and it's a natural growth process in some of the products that we expect. And this is once again driven, primarily by the legacy players and also by the natural growth that we are seeing.

Clearly, we had indicated earlier about the semicon. We are seeing a very strong tailwind in this sector in one of our product lines where the demand is -- there's a pull from the customer side.

And we are gearing up to meet that pull. And that's where our confidence is coming from because we have volumes, which has been indicated by the customers.

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In some cases, when we talked about the domestic segments, Kapil mentioned about FKM, and there is a potential upside that we are expecting in this, okay? It will come, Rohit, in the second half as -- okay, you'll see a buildup coming up in Fluoropolymers, okay? So today, we are on inflection point. We are very close to where we were in the quarter 1 last year, which was actually the end of the FY '23, okay? So now the reverse process will start from here onwards.

Moderator: The next question is from the line of Yash Shah from Investec India.

Yash Shah: My first question was regarding the EV battery capacity, what we have in LFP, LiPF6 and the electrolyte, just wanted to understand how much we are going to be able to use captively versus selling it outside. So will you be able to provide some color how much of the capacities do w

e

have across the value chain?

Bir Kapoor: Yash, we have not provided any numbers in terms of values and also details like that because that's -- we believe at this point of time when we are building up the business, some of it is we need to keep it confidential for the competitive edge, okay? So it will not be possible for us to give you the precise numbers.

Yash Shah: All right, sir. No, that is fine. But if you can provide basically broadly to help us understand how much will you be using it captively? Like what are your plans regarding using them captively versus selling them outside, some kind of a proportion or a ratio which you have -- which you might have like basically drawn at this point?

Bir Kapoor: See, the captive will primarily be used for electrolytes, okay? And electrolyte will be mostly for domestic sectors. So our LiPF6 for domestic sector will primarily go as electrolytes, okay? Now -- so the ratio, if I have to give you any indication, it will not be possible for me to give you exact, but to directionally, whatever LiPF6 that I'll be targeting for domestic sector will be the

captive consumption, okay?

And whatever is going out to global would be the -- going as a salt. So long -term growth plan when India market fully develops, probably it can be a significant split, perhaps 50-50 of that order. However, in the short term, it will be dominated primarily by the global side, okay? All right?

Yash Shah: Yes, sir. This is helpful.

Bir Kapoor: Thank you so much. Thank you.

Moderator: The next question is from the line of Abhiseck Jain, an Individual Investor.

Abhiseck Jain: So recently, I was going through a report from one of the broker, where they are saying that GFL's most product is mostly on the PFA side and which is facing the issue due to environment concerns and the reason that players like 3M is exiting is because of the environmental action. And in future, there may be a product which may be PFAS -free. So in line with that, just wanted a view on that, how do you think this happening, whether India and other economies will stop taking PFAS and there will be alternative to it? How is the landscape going to be?

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Bir Kapoor: Yes, Abhi shek, I think we have talked a lot in detail about this in some of my previous calls.

One of the reasons for exit was not really related to Fluoropolymer because the PFAS issue is - primarily is for fluoro compounds, which are mobile and toxic, which essentially gets into the -- which has a mobility getting into the cell mechanisms, okay?

So the thing is that -- so they have to have mobility in the ecosystems. So typically, Fluoropolymers are a very inert compound and not that much falling into the category which may pose any kind of a threat because of the PFAS. And this has been recognized, and there has been -- now if looking at the new regulations or the direction in which regulatory authorities are going, they are trying to exclude the Fluoropolymers out of it.

However, in the process of making Fluoropolymers, there is sometimes fluorinated aids are used, and that can potentially create some issue, but that is highly contained now and that also is not an issue at this point of time. So I think we are -- it's not that, that we are concerned. We are not really concerned about it because Fluoropolymer as products are high-performance material going into the sunrise sectors, whether it's solar or EV or hydrogen. So they are all getting into these new sectors, and they are being -- they are required for the growth of this new -age segments. So I think it has been well recognized right now, Abhishek, and there's no that way pressure in terms of phasing any of the Fluoropolymers out because of the -- and it has been well recognized globally.

Abhiseck Jain: And what about the -- also news of the Clariant developing a pro

duct, which is PFAS -free? Will that be a competition?

Bir Kapoor: Which free? I'm sorry, I didn't get your point.

Abhiseck Jain: PFAS-free product by Clariant.

Bir Kapoor: Clariant is not into Fluoropolymers. I'm not sure what you're talking about because they could be talking about -- because they are into paints and coatings and additives, so maybe there may be some specific products, which they may be talking about, but I'm sorry, I cannot comment on that.

Moderator: Ladies and gentlemen, that was the last question for today. We have reached the end of our question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Bir Kapoor: Thank you very much. Archit, thanks for -- and I would like to thank all the participants and the investors for taking interest in us. Clearly, as we had indicated earlier, that we are seeing a turnaround, and we continue to maintain that position. The growth rate, however, may not appear to be as high as we would like to see; however, it's firm in place. And the quality of this growth that now we are seeing, driven by Fluoropolymers, we expect it to be more robust and stable, and we expect to see and continue to see this growth quarter-on-quarter.

As I had indicated in between our call that we expect to see more in the second half of this quarter. So clearly, I think, yes, there are always minor headwinds here and there, but

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fundamentals are very, very strong. And I think we are on the growth journey. So this is for Fluoropolymers.

And for EV, of course, our fundamentals are very, very strong. We are -- our positioning in EV is also very strong. We are one of the highly credible partner, which has capability to execute

battery chemicals and deliver battery chemicals globally across all our customers. So -- and also driven by the supply chain, which is independent of China, okay?

So with this, I would like to thank all of you and look forward to connecting with you again next quarter. Thank you.

Moderator: Thank you. On behalf of B&K Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Dec 2024

GFCL: BRD: 202 4 6th November , 2024

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip Code: 542812 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

D

Dear Sir/Madam,

Sub: Transcript of Conference Call with Investors/Analysts held on Tuesday , 29th

October, 2024

Ref.: Regulation 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure

Requirements) Regulation, 2015 ('Listing Regulations')

With reference to our letter dated 24th October, 2024 and pursuant to Regulations 30 and 46(2)(a) of

the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations'),

we are enclosing herewith the Transcript of Conference Call held with Investors/Analysts of the

Company on Tuesday, 29th October, 2024 at 15:30 (IST) to discuss the Q2 FY25 Financial

Performance.

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The above information will also be made available on the website of the Company: www.gfl.co.in.

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We request you to kindly take the same on record.

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Thanking you,

Y

Yours faithfully,

For Gujarat Fluorochemicals Limited

B

Bhavin Desai

Company Secretary

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"Gujarat Fluorochemicals Limited

Q2 FY '25 Earnings Conference Call "

October 29, 2024

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MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Gujarat Fluorochemicals Q2 FY '25 Earnings Conference Call, hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal. Thank you, and over to you, sir.

Nitin Agarwal: Thanks, Haider. Good afternoon, everyone, and a very warm welcome to Gujarat Fluorochem's post results Q2 FY '25 earnings call, hosted by DAM Capital Advisors Limited. On the call today, we have representing Gujarat Fluorochemical Management, Dr. Bir Kapoor, Chief Executive Officer; and other senior members of the management team.

I will hand over the call to Dr. Kapoor to take it forward from here, and then we'll open the floor for questions after his opening comments. Please go ahead, sir.

Bir Kapoor: Thank you, Nitin. Good afternoon, everyone. And a very warm welcome to all of you on GFL's earnings call for the quarter ended 30th September 2024. I have with me here management team, including Mr. Akhil Jindal, who is our Group CFO; Mr. Manoj Agrawal, CFO of GFL; and Mr. Kapil Malhotra, who is our Business Head of Fluoropolymers.

The Company announced its quarter 2 FY '25 results at its Board meeting held today on 29th of October 2024. The results, along with the earnings presentations, are already available on the stock exchanges and on our website. I will briefly talk about the numbers and then give you an update on the business operations and outlook.

The company reported a consolidated revenue from operations for Q2 FY '25 at INR 1,188 crores, which is up by 1% on a quarter-on-quarter basis and up by 25% on a year-on-year basis. Consolidated EBITDA for this period was INR 295 crores, which is up by 13% on quarter-on-quarter and up by 80% on a year-on-year basis. The EBITDA margin for this quarter was 25%, which is up from 22% in the previous quarter.

Consolidated PAT for quarter 2 FY '25 was INR 121 crores, which is up by 12% on a quarter-on-quarter basis and up by 128% on year-on-year basis. The higher depreciation and interest expenses are on account of the higher capex incurred, primarily in the EV vertical. Once the revenue from this segment reaches optimal level, the overall profitability and return ratio will significantly improve.

We believe that going forward, with capacity utilization picking up, operating leverage will kick in and will drive profitability and improve our return ratios, once again, primarily from the battery chemicals verticals along with pickup in fluoropolymers, where we are continuously moving up in the value chain with higher value-added products.

Let me briefly take you through the performance of each business segment for the quarter.

During the quarter, the production in the Bulk Chemicals segment was around at full capacity, barring few days losses due to planned maintenance. Caustic prices, which have remained

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stagnant at lower level, have now started moving up, and now we expect to see a significant improvement by quarter 4 FY '25.

MDC prices have also improved marginally during the quarter, and we expect it to firm up going forward. Within the Fluorochemicals segment, refrigerant prices have marginally improved during the quarter and are expected to further improve going forward. Specialty Chemical remained muted during the quarter. However, margins and volumes are likely to improve from Q4 FY '25 onwards.

Let me talk about Fluoropolymers. Fluoropolymer segment

has shown a healthy improvement

on year-on-year basis. While on the quarter-on-quarter basis, the revenue remained flat, this segment witnessed significant improvement in margin as well as revenue mix, which has changed towards higher value-added grades of fluoropolymers.

In new fluoropolymers over the past few quarters, we have been focusing on high value-added grades and new fluoropolymers while exiting some of the fluoropolymers in the lower-end segments. Elaborating on the above, qualification for our high value-added grade fluoropolymers, which is used in automotive sectors and which is being driven by the government's trust on increasing the proportion of ethanol blending, we have witnessed -- we have achieved a qualification in this segment. Further, the grade required for semiconductor and EV sectors have also been developed, and the qualification is in final stages.

Overall, these developments should result in incremental revenues and better margins going forward. The exit of one of the legacy players by December '24 will lead to substantial incremental business from quarter 1 FY '26 for the higher value-added fluoropolymers grades. There are encouraging signs of improvement in all 3 segments, Bulk Chemicals,

Fluorochemicals and Fluoropolymers; which are expected to report growth and better margins from Q4 FY '25 onwards.

Let me give you a quick update on the Battery Materials business, which is catering to EV and ESS segments. As you may be aware that GFCL EV is one of the leading companies outside of China to have such a wide product range of battery materials and is close to commercial production stage. With IRA regulation in US, we expect good traction of our product in the US markets.

We have recently raised INR 1,000 crores in our subsidiary GFCL EV at an equity valuation of INR25,000 crores, which is a validation of our capabilities and strong outlook in this segment. This fundraise is the first step towards meeting our capex requirements for the new business under GFCL EV.

In terms of the product portfolio, we are ready with our initial capacity for salt, which is LiPF₆; electrolyte, PVDF binder and additive. Also, we expect our LFP plant to come online in quarter 4 FY '25. It is encouraging to note that our battery salt plant has reached the global quality benchmark and is currently undergoing the ramp-up phase.

As we are in the commercial ramp-up stage, the frequency of customer visits and audit from many of our customers have increased and product validations are underway. Initial validations
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have achieved positive results and discussions with few customers are moving towards commercial agreement closures. We expect commercial supplies to commence from quarter 4 FY '25.

With the impending commercial agreements, we believe that the capex intensity is going to increase further, and we expect to complete the cumulative capex of INR5,000 crores by FY '27 and cumulative capex of INR6,000 crores by FY '28, which we had indicated earlier. For this, our guidance continues at 2x for the asset turnover and 25% EBITDA margins are at optimal utilization levels.

In conclusion, for GFL as a whole, we are seeing a continued improvement in our financials. The slowdown in Europe and adverse business cycles have, however, impacted H1 and delayed our recovery with respect to our earlier plans. However, in view of the initiatives which we have taken in the Fluoropolymer segment and expected favourable changes in the market, we are expecting a substantial improvement for Q4 FY '25 onwards.

With this, I would like to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Yeah. Thanks

for the opportunity. So first question is regarding the 3 segments. You have given substantially positive and optimistic outlook across the 3 segments. So just talking about individual segments, on the commodity Bulk Chemicals, I think there is still overcapacity in domestic market. So why we are seeing that there will be improvement in pricing? On Fluoropolymers, as I suppose globally, auto is currently under slowdown.

So again, why there is a positive there? I mean it is only related to one of the global players shutting down capacity. And third, in terms of Fluorochemicals, again, on the ref gas, the prices are still benign, plus there is availability in the market. And fluorochemicals, I think there are supplies coming from China. So what gives us confidence that things will start improving from early '26? That's my first question.

Bir Kapoor: Thanks, Rohit. Some of these points I touched upon in my opening statement, let's talk one by one. First is the bulk commodities, where we are seeing strengthening of caustic prices, partly because of the improvement in the downstream demand for it and also global caustic prices are firming up. And in our case, where we are fully utilized on chlorine, it's a positive when the caustic prices improves. Coming to Fluorochemicals, the Fluorochemicals Specialty Chemical, of course, is a very small segment for us, where we have seen intense competition from China earlier. However, going forward, we are expecting some improvement in the demand in downstream in agrochemicals, which we expect to improve and see in next -- the quarter 4 and FY '26.

In refrigerant case, what our reading is right now is that, as you know that the quotas are being cut for R22 significantly from next year onwards and based on our past experience, with the

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reduction of quota, there's always a significant hardening of prices. And based on our past experience, we expect to be a positive movement in terms of pricing as well as also the volume.

Coming back to Fluoropolymers, you talked about the automotive segments and you talked about the automotive segment -- when we look at our own product portfolio, we are looking at the specific product segments where we have a strength. And there are new application which is emerging, particularly what we talked about earlier, was the ethanol blending.

Now as the automotives are moving towards ethanol-blended fuel, there is a requirement for fluoropolymers as a new application, which is not there. So based on these things -- so our growth that we are projecting or what we're expecting the positive movement is with respect to the product portfolio and the grades and the new polymer segment in which we are playing together, okay.

So this is what we have. And I would request Kapil, if he would like to add any point. Kapil Malhotra is our Business Head, Fluoropolymers. He is with me.

Kapil Malhotra: Yeah. Thanks, Dr. Kapoor. Rohit, in fact, whatever Dr. Kapoor has said, is absolutely true in the in my segment. And even in automotive segment, the demands are pretty steady. And as the ethanol blending takes away from 1st April next year in 2025, so we expect the demand to come forward from January itself onwards.

And most of the grades which we are talking about, we've already got qualifications from our customers, Tier 1, Tier 2 and even the OEMs over there. So that's a positive statement which we have made, and we're looking forward towards the increased business.

Bir Kapoor: And one more thing that you asked about, Rohit, is about the legacy player going out. So while we have been saying the legacy player -- but what we expect the full impact of that to be visible in FY '26 because the production of this legacy player is actually going to end only in December '24. So while we were expecting impact of debts to be visible several qua

rters back, but

unfortunately, it has slowed down, and now we expect to see it ramping up.

And also, in the last several quarters, we have had our qualifications of our products approved with those customer segments. And we are fully ready right now to capture the demand that is being -- that is going to be created by the production cut or the lack of volume availability from this legacy player.

Rohit Nagraj: Sure. This is helpful, sir. Sir, second question is on the GFCL EV business. So we currently have invested INR700 crores. Again, one clarification. So effectively, considering the 2x asset turnover, it should yield us about INR 1,400 crores of revenue at 25% EBITDA margin. Is that understanding correct on this business?

Bir Kapoor: Broadly it is correct, Rohit. Let me give you a slight clarification on this. First of all, there is a period within which the qualification happens. And once the asset comes in line, the optimal volume which gets utilization volume, which takes -- typically in the beginning, it takes longer, I would say, 4 to 6 quarters. However, at the later stage, this process actually is more rapid. So Gujarat Fluorochemicals Limited
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we are still maintaining asset turnover, two. However, it has to be -- there's a lag period between the time when we make these investments and the full optimal utilization is achieved.

Rohit Nagraj: Right. And just one clarification on this. So the existing Fluoropolymers business which we are reporting, it does not form part of GFCL EV, right?

Bir Kapoor: No, no, it does not.

Rohit Nagraj: That's all from my side. Thank you. And all the best.

Bir Kapoor: Thank you, Rohit. Thank you.

Moderator: Thank you. The next question comes from Ketan Gandhi from Gandhi Securities. Please ahead.

Ketan Gandhi: Sir thank you so much for restructuring of the holding company of the GFL Group, whereby after 20 years, you are unlocking the value, the huge value creation for the minority shareholder of the holding company. I think very few managements takes care of their loyal shareholders by this kind of a demerger.

So thank you so much for that. So sir, while demerging this, we are doing some structuring regarding the Wind business of the fluoro. So GFL will have any positive impact while they're doing this restructuring?

Bir Kapoor: Thanks, Mr. Gandhi. I'll let Akhil take this question, Akhil please.

Akhil Jindal: Yes. By virtue of this demerger, this is our effort to make it a clean structure, where the ownership of GFCL will go directly to the -- in the hand of the ultimate shareholders, which is the promoters. And to that effect, I guess, the structure will become much more clear. And to that effect, the holding company of GFCL will be just holding the GFCL assets rather than the combined and the mixed assets. I believe that at going forward, this would enable us to have a better distribution policy, it would enable us to have more front flow in the hand of all the shareholders because as and when the company becomes more and more cash positive, the intent is to move on to a distribution and a much firm dividend policy. So this is the positive effect that the shareholders of GFCL will see on a day-to-day basis.

And this is our effort to clean up the structure without affecting the shareholders of GFL directly.

Ketan Gandhi: I understand that, sir. But my question is not pertaining to this. My question is, does GFL has any asset which will be merged into the holding company, whereby we can get some kind of a cash...

Akhil Jindal: No, no, that's not the case because the holding company was a pure -play holding company, and it was having investments of 2 different companies, which is now being cleaned.

Ketan Gandhi: Okay. Thank you. I have some more question. I'll join back in the queue.

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Akhil Jindal: Thank you.

Moderator: Thank you. The next question comes from Arun Prasath from Aventus Spark. Please go ahead.

Arun Prasath : First question is on this production stoppage of this large customer, where we are confident that the fluoropolymer segment will grow. My question is how do you get this confidence that -- so we have other competition also will be running. So do you think that the redistribution of this volume to the remaining players will be in a fairer manner? And what kind of a fair share that you are expecting from this stoppage?

Bir Kapoor: Thank you so much, Arun, for asking. And I'll make one comment and then let Mr. Malhotra answer this. I think the confidence that we have is coming from the fact that we have already been qualified in a number of customers who are currently taking product from this player that we are talking about.

Kapil Malhotra: So in fact, in the last investor call also, I had mentioned that we are moving towards the higher value -added grades, and also the legacy player who is exiting, is also in the higher value -added grades.

The benefit which we get is that we are moving into those applications where the space vacated by this legacy player is also fulfilled by us. And we expect a very good market share as a lot of our products which were dropping have already been approved, we have already started getting the businesses. And the other products, which were being evaluated have either qualified or are under the advanced production qualifications.

So by Q4 2025, we are expecting the incremental business to start coming much more rapidly, and we expect that market share is going to be good as the other 2 players, and these people are forming the 3 major segments where we are going to compete with. So we are going to expect a very good market share over here.

Arun Prasath : So going by what you said, we are expecting a fair share of 33 percentage on this player's volume, is that right?

Kapil Malhotra: Yes, that's the fair share. But it can be even better also because we are definitely trying to go for applications to the level best.

Arun Prasath : Is there any chance where we could be getting less than the fair share because we are probably from the different regions and the local players would get preferential treatment from the customers?

Kapil Malhotra: No, I don't think so. And we have a pretty good place in the market with the customers, pretty well placed with.

Arun Prasath : Secondly, we spoke about this R22 price increase after the quota getting reset next year. When the R22 price increases, typically, does the downstream fluoropolymer price also goes up or it remains same and indirectly, the spreads become contracted? How does this happen usually when the quota resets and the price goes up?

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Bir Kapoor: So in our case, Arun, the situation is that it's possible that there may be a -- see, R22 is linked to one of the fluoropolymers. You cannot put all the fluoropolymers because a lot of fluoropolymers have a different -- it's only the PTFE part.

So it's possible that with firming with us, there might be a change. However, for us, as we are backward integrated and also the R22 is a small part of the cost, overall, for us; so I don't think there will be a significant impact on that overall margin squeeze, going forward.

Arun Prasath : The reason why I'm asking is, when there is a volume decline that is usually compensated by the price increase of the end use gas. But in case of an integrated player, this is unlikely to play because -- unless and until the end product price also goes up. So we will -- as an integrated player, we stand to lose, is a fair assumption?

Bir Kapoor: Let me just clarify one more point here because the R22 again, has -- it's used as a feedstock and also used as a refrigerant.

erant. So price increase that we are talking about is in the refrigerant segments only, okay, because feedstock segment typically is also under controlled segments, and it may not have...

Arun Prasath : Okay. So we will be diverting our ref gas volumes to the feedstock segment when this quota gets implemented?

Bir Kapoor: Sorry, Arun, we missed the last sentence that you said. I'm sorry.

Arun Prasath : Sorry. I was asking, so when this quota gets implemented, we will be shifting the volumes from the ref gas segment to the feedstock segment, right?

Bir Kapoor: Not really because the ref gas allocated quota for us is, is anyway fixed. And we were separate because of our feedstock, it's coming from our different plants. So it's -- I don't think it impacts.

Arun Prasath : Understood, sir. So finally, on the battery side, you said on the salt side, the commercial agreements are in the stages of closing stage. So can you just give us some understanding, how many of these customers have a live operating plan where they can take this salt and ramp up their facility? And same as on the LFP cathode side, you said Q4, you'll be starting. But how many of your customers have a plant which can start consuming these products of ours?

Bir Kapoor: So Arun, most of the customers that we are talking to today has an operating plant. Again, this we are talking about a global set of customers. These are customers who already have ongoing plant, and a lot of it is somehow looking at de-risking their supply chain. So that's one of the key parts which I stated earlier. So they would like to de-risk it from a dependence on one country. So I cannot really give you much detail on the customers. However, I can tell you that the most of the discussion that we are having today are with the customers who are already using salts. And also in case of LFP, they are starting to ramp up their requirements. However, the LFP will take some time because there will be a qualification period involved in LFP, it just being a CAM material.

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Arun Prasath : Understood. So can you give the combined capacity, manufacturing capacity of these customers? I'm not asking for the individual customer level, but the combined capacity battery capacity of these players, customers with whom you are talking right now.

Bir Kapoor: It would be difficult for me to give because when we talk about the market, we talk about the US market, which is at several hundred gigawatt hour at the moment.

Moderator: The next question comes from Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: First of all, I apologize I got into the call late. Some of the questions may be repeated in nature.

You can choose not to answer it, I will read the transcript. First, on the gross profit margin side there is a good 300 basis point improvement in quarter-on-quarter. If I look at the revenue mix, that really hasn't changed much. And absolute revenue growth has also been not to an extent which can drive a 300 basis points margin improvement. What has really led to this sudden sharp improvement in the margin? That's number one. Number two, whether it is sustainable and are there more headrooms to improve?

Bir Kapoor: What was the last statement? Sorry, Sanjesh, the last sentence that you said. Can you come closer to the mic?

Sanjesh Jain: Is this margin sustainable? Are there more scopes to improve it?

Bir Kapoor: Any more questions? Shall I answer?

Sanjesh Jain: I will take one by one because probably I came late, so I have a little bit more...

Bir Kapoor: So as we had indicated that a lot of it is as we are -- as we are moving into the new fluoropolymers, our effort has always been to go up the high value-added product grades, where the margins are higher. So what we are seeing today is the result of what we have been talking about

earlier and moving towards higher value-added fluoropolymers and also, which is in the new fluoropolymers grade. So that's the change of the product mix.

And coming out of some of the lower value-added segments is what is resulting into a jump in this overall margin that we talked about. And we believe it is sustainable because of the sticky nature of the business. And as we are getting more and more into these high value-added segments, we expect these margins to be stable and sustainable.

Sanjesh Jain: And just now that we are at this calendar year, however your discussion with your customers for next calendar year for fluoropolymers say have an ambition to reach INR2,000 crores of EBITDA by end of this fiscal year. On an exit run rate, are we on course for that and the growth from there is possible? That's one.

Bir Kapoor: Yes. I think that one of the reasons why we have been talking positively about fluoropolymers is because the ongoing discussion with our customers is quite positive, and that's where our confidence is emanating from. So I'll let Kapil also add on to this point.

Kapil Malhotra: Yes, you are absolutely right and we have been also maintaining the same statements throughout. And we have started seeing the results of that. And from the next quarter, we'll start seeing

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results further on, as the opening up of the new sectors, new applications in the semicon business also keeps on getting added.

And as we said that we are under advanced stage of qualification and have already got some qualifications with the customers, and whatever discussions we have been having on the business front with the customers, it is going in a very, very positive direction.

Sanjesh Jain: Very clear. A related point, we did push back the capex last year when things were softer. How does the capex pipeline look like? Have we completed the new fluoropolymer capacity expansion from 700 to 1,700 metric per month? We were looking at debottlenecking PTFE by 3,000 metric ton per annum. And again, backward integration, we do see -- where are we in all these capex cycles? And what is the plan for next year?

Bir Kapoor: See, we are more or less completed those capex that we are talking about, except some of them, which I had mentioned earlier, we had delayed or staggered particularly, Sanjesh, in PVDF, for example, where we have some capacity, but we have not added the full capacity there because we are waiting for the market to pick up and then add.

So we are prepared in terms of the monomer capacity being in place. However, on the downstream side, we have held back yet. However, more or less if the new polymer capacity that we had projected, we are more or less there, except for PVDF.

Sanjesh Jain: And next year capex will be?

Bir Kapoor: It's -- I would give us a quarter, we'll tell you more about next year capex. Right now, of course, the focus is to build the EV business and add the capex is there and rapidly take it up. However, in fluoropolymers, we are prepared with respect to our complete backward integration. And as we see market requirement coming up, I think we are well prepared to add capacity. However, these capacities are now going to be incremental, looking at the market conditions.

Sanjesh Jain: Fair enough. Now talking about the battery chemical and the restructuring, I really didn't get the restructuring part of it. Can you help us understand what exactly restructuring are we doing?

That's number one. Number two, now that we have raised INR1,000 crores in battery chemical which allows us to further do the capex in electric subsidiary side; how do we look that part of the fundraise? And what is the objective of the fundraise?

Bir Kapoor: I'll let Akhil answer the structuring part first, and then we'll talk about the funding and the fundraise.

Akhil Jindal: I think as I explained

in one of the previous questions, it's a simplification of the structure rather than anything complex around it. So it's just the alignment of shareholdings of GFL directly in the hand of the ultimate shareholder is what our ultimate objective is. Also, we want the simplification of the structure that the holding company currently is having different businesses, different holdings, which is also being simplified in this whole process.

So in fact, there is no direct impact on the shareholders of GFL directly. Where I mean shareholder, I mean, the outside shareholders other than the promoter family. And obviously, it Gujarat Fluorochemicals Limited

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will lead us to a better distribution policy as we go along. On the second part, which is fundraising, this has been done for the GFL EV, and this all is being put to use for the capex plan for GFL EV business, as Dr. Kapoor mentioned.

We have roughly around INR5,000 crores of investment plan up till FY '27, out of which almost INR1,000 crores is already invested. So this INR1,000 crores will enable us to be funded for the period of next say 12 months to 18 months. And then cash -- internal accruals and other things will also start. So I guess this is the main objective that EV should start standing on its own feet in terms of the capex planning and funding its own investment. And this is the first initiative that we have taken in this company to fund from the outside sources rather than the GFCL internally.

Sanjesh Jain: And what is the INR1,000 crores capex plan for in next 12 months to 18 months?

Management: INR1,000 crores is what we have raised right now. And that capex plan is, Sanjesh, we had given a broad number, that INR5,000 crores by FY '27 and INR6,000 by '28. So it will be spread. And it would be difficult for me to say that what exactly -- where exactly I will be spending INR1,000

crores or INR500 crores in next quarter or next four, five quarters. But the broad plan is what we have indicated. So INR1,000 crores raise is a step in that direction, it's the first step as we

mentioned in our opening statement. And capacity expansions applying in to be mostly in the same product line that we talked about which is salt and LFP CAM and a Iso electrolyte.

Sanjesh Jain: Got it. So basically, we have put up initial capacity. And wherever we tie up for the larger capacity, that's where the capex will be deployed. Will that be a right way to think?

Bir Kapoor: Exactly. That's right. So basically, we have commercial scale -- our plan is to have all the

products, the commercial scale plant ready and operating for qualifications, close the commercial deals and then expand or add capacities along with the customer requirements. This is the plan that we'll be doing in.

Sanjesh Jain: And you mentioned about certain incidents being put out in the previous quarter. You did mention that Q3 onwards will start.

Bir Kapoor: Sorry, once again, I lost the last sentence, Sanjesh, please. Could you repeat that?

Moderator: Sir, the line for Sanjesh has been dropped. We will move on to the next question comes from Aditya R from Sowilo Investment Managers. Please go ahead.

Aditya R: My question was a little more on the macro. So we've been facing pressures from China, and you also spoke about the situation in Europe. So can you throw a little more colour on like how that has panned out and -- because the commentary was positive. So I just wanted to get an idea on that?

Bir Kapoor: Very difficult to -- I mean, I'm sorry, could you come up again, please? And come closer to your microphone, please?

Aditya R: So my question was more on the Chinese situation. So we've been chasing a lot of pressure, especially because of the overcapacity there. And then you also mentioned today about the Gujarat Fluorochemicals Limited

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European mar

ket. So I just wanted to know, how the situation has panned out and how is it right now? Like some colour on how it is currently to get some idea of what we can expect.

Bir Kapoor: Yes. So the way it is, yes, you're right. And I presume you're asking in context of battery chemicals. Is that right?

Aditya R: No, no. The Fluorochemicals.

Bir Kapoor: See, in Fluoropolymers, obviously -- are you talking about Fluorochemicals?

Aditya R: No, Fluoropolymers.

Bir Kapoor: Okay. So in Fluoropolymers, in most of the markets and the grade that we operate, we do not really have a direct competition with Chinese products. I think we have stated that earlier also.

Clearly, having said that, we have competition with the legacy players, established players. And our efforts in that segment has been primarily to go up the value chain going -- and add higher and higher -value products.

And we have been progressing in this journey for quite some time. And we believe that with the specialized material portfolio that we have in fluoropolymer is essentially -- we are trying to capture the market, which is very, very high end, whether it is the high end of automotive segments or it's the high end of semicon or EV.

So from that perspective, having a very high overcapacity on the fluoropolymer is not really the right reason for any kind of concern in the high value -added grades.

Aditya R: So then my next question would be there was, I mean, talk on the Polyfluoroalkyl substances, PFAS, them being banned. So what kind of effect that would have?

Bir Kapoor: I presume you're talking about the PFAS substances?

Aditya R: Yes, PFAS.

Bir Kapoor: So I think we have already given our view earlier also in the PFAS that PFAS is -- it's an area of concern, however, that most of the regulatory authorities globally have taken a view that the fluoropolymers are not really -- the PFAS of concern because these are very long -chain molecules, which do not actually migrate or not go into the aqueous medium. So fluoropolymers, in a way, are -- as a product, is not really an area of concern related to PFAS.

Moderator: The next question comes from Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Yes. Sorry, I got dropped off previously. I was asking on the battery chemical side. You mentioned in the previous call and you also highlighted even in the previous responses that you are looking to get certain approvals in the next one, two quarters. And in the previous call, you mentioned that there is a possibility of a commercial supply starting from Q 3. Are we on course for that?

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Bir Kapoor: We, I think, said that we -- our supply or the revenue from the battery chemicals will start trickling in from Q4 onwards, and we are still maintaining. Our products are at qualification stage, still. We have -- because there are several steps in qualifications. At this point of time, in some of our products, we are in the final stages of qualification, which is actually in the battery testing. That's where we are.

So as soon as we get the qualification, we expect our suppliers to start because on the commercial

front, Sanjesh, we are ready in terms of supplies.

Sanjesh Jain: And how has been the product so far? What has been the response? What has been the area of improvement? Where are we exactly in the product life cycle of commercialization? That's number one. Number two, on the LFP, how is that progressing? Are we on course again in the Q4 to commercialize the plant?

Bir Kapoor: See, let me answer the first question that in terms of qualification, there are several stages. We are in the final stages of qualification. We are getting a very good traction. And as you know that we started our plant several quarters back, and we then have been working on getting the benchmark quality, and we have achieved that now in terms

of having a global benchmark and

also very close to getting qualified. We are the final stages of qualifications.

So from that perspective, I think we are getting a good traction because once we have a commercial plant, which is operating, we have a sample in our hand; the customer traction is

very, very different, Sanjesh. And we are getting a very, very good response from customers, and we have engaged with a very large set of customers on this.

Coming back to your question on LFP, LFP -- our plant would be mechanically complete very close to the end of the year. So we are probably maybe 2 months behind, I would say. We'll be having -- but we'll still have our production being there in the quarter 4 of this financial year.

LFP, however, being a CAM material has a longer qualification cycle compared to salt. So that process we have already started with the lab samples. And as our commercial plant starts producing, the final stage of sample will go from the commercial plant for qualification.

Sanjesh Jain: And plant performance in terms of yield rising, profitability are we able to achieve what we would have envisaged? And how it is versus say Chinese peers?

Bir Kapoor: It's a little bit too premature for me to talk about that, but I'll definitely give you an update once we ramp up the full capacity and start our suppliers. But we are going step by step. The first thing is to get the benchmark quality, then ramp up the capacity and then look at them. But we have no doubt in our mind, not meeting any of the global benchmarks, either in terms of operating -- quality, operability or the efficiency parameters.

Moderator: Thank you. The next question comes from Yash Shah from Investec. Please go ahead.

Yash Shah: I just had one clarification question. Earlier in the call, you said that we would like to self-fund our capex for the EV business and -- which will require capex of about INR5,000 crores by '27 crores and INR6,000 crores by '28. Does it mean that we'll be raising more INR4,000 crores and Gujarat Fluorochemicals Limited

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INR5,000 crores, respectively, for the EV business? And if so, through what mediums have we planned on that? That's all, sir.

Akhil Jindal: So as we mentioned, we have already invested close to INR1,000 crores in this business from the parent. INR1,000 crores is what we have raised in the market as we declared a few weeks back and also on this call. We are in advanced discussion with a sovereign fund to invest around \$100 million, so that's going to be our another source. Plus, as and when required, we will go for another round of INR800 to INR1,000 crores in term through this initiative.

What it would mean is that close to INR3,000 -- I mean, INR3,500 crores will be invested through these sources. And the rest will be by way of an internal accrual, as Dr. Kapoor mentioned that most of these capacities will start coming in and will start contributing and having a free cash flow to fund the further capex.

So our overall plan is to raise up to INR3,000 crores -- INR3,000 crore to INR3,500 crores including the INR1,000 crores that we have already invested. So that means additional INR2,500 crores and the balance should be through the internal accruals.

Yash Shah: Sir, do we expect to have internal accruals of INR1,500 crores to INR2,000 crores by FY '26 to incur capex in '27?

Akhil Jindal: Possible because we are giving the guidance until FY '27 of total INR5,000 crores. And if we have already raised at INR3,500 crores through internal -- including the GFCL contribution, INR1,500 crores should be possible through the internal accruals in the -- over the next 2, 2.5 years.

Yash Shah: Got it, sir. And one more question, sir. Incremental to this capex, what will be -- what is the capex guidance for our base business by chemicals, fluorochemicals and fluoropolymers?

Bir Kapoor: Yes. Right

now, I think as we had indicated in this year, INR500 crores is what we had planned, 500 in GFL and 700 in EV. I think we will give you a guidance probably in the next to next quarter, probably sometime in January about the plans for the GFL because which will again will be primarily on the fluoropolymer focussed.

Yash Shah: Okay sir. Perfect. Thank you very much.

Moderator: Thank you. The next question comes from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, just again, talking on the capex front. You just mentioned that we have -- the GFL has invested INR1,000 crores. But this year's capex plan is INR700 crores. So why there is the disparity?

Akhil Jindal: When we said INR1,000, it's up in the total for the EV business, which includes the amount of money invested in the previous year also. So I said up to date, the investment in GFCL EV business by the parent is INR1,000 crores.

Rohit Nagraj: Okay. And this will remain static? There would not be any incremental investment?

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Akhil Jindal: I mean we hope to fund it from external sources that we have done it now. And that's where, I guess, most of the fundraising activities that are going on, which we also mentioned in our previous quarterly calls that we have got a lot of traction coming from various investors to fund the EV business. And in that direction, we have already raised INR1,000 crores in this quarter. And as and when there would be fund requirement, we will be further tapping the market on that count.

Rohit Nagraj: Sir, just second clarification. Now historically, we have the consolidated margins of closer to 30% for the GFL business. Incrementally for the EV business, it will be about 25%, as you have indicated. So going forward, do we see margins in the range of 25% to 30% for the consolidated entity, including the EV business?

Bir Kapoor: Yes, I think consolidated guidance that we had given was -- so what you are asking is I understand is that GFCL EV we are saying 25%. And in GFL, we have been talking about 30% to 35%. Is that right?

Rohit Nagraj: Correct.

Bir Kapoor: Correct. That's we have been saying. Although in the current scenario, the margins are standing at around 25% for GFL as well. But with increase in the high value -add fluoropolymer, we expect it to go up.

Moderator: Thank you. The next follow-up question is from Aditya R from Sowilo Investment Managers. Please go ahead.

Aditya R: So like was this regulation on the Inflation Reduction Act from the U.S. And there, they spoke about how they want to phase out a particular company from the whole supply chain, at least attempt to do that. So I just wanted to get a sense of how quickly is that transition -- I mean now that it's passed, how quickly do you expect that transition will happen?

Bir Kapoor: You mean transition in battery chemicals because of the IRA, one of the key requirements of the IRA is that the subsidies which is being given on EV products by U.S. government, that subsidies, the components and the battery components, the material which goes into making those batteries, should not really come from FEOC countries. That's the main reason. And so it should be.

So there are two parts to it. One is related to components and assembly of battery components. And second is with respect to the critical minerals, should not be from any of the FEOC countries, which is Foreign Entity Of Concern, which they have indicated, name of the several countries there.

So we expect, as it's evolving for some part, it's -- basically, IRA Act is started from January '25. And then it will slowly kick in terms of percentages of the non- FEOC components. And also in critical minerals, there should not be any component from FEOC countries. And these critical components mean fluorine and lithium at the moment. So it will phase it in.

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But the way we see it is all the growth, which is going to come in U.S. markets, primarily is none of that growth or even some of the existing businesses will come from any of the companies which are associated with FEOC. So this will have a very significant and a rapid impact in next 2 to 3 years, as the IRA fully kicks in.

Aditya R: Do you see the timeline to be 2 to 3 years for the transition?

Bir Kapoor: So in some cases, it has already started. And in some cases, for example, like salt; they had given a 2-year time frame, which will actually fully kick in from January '27.

Moderator: As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Bir Kapoor: So thank you very much, Nitin, and I would like to thank each and every one of you for being part of this call. As I had mentioned in my opening statement, we are -- although in last 2 quarters, because of several reasons, the growth was not as we expected it to be, however, going forward, the traction that we are seeing in the market, particularly driven by the fluoropolymers market segment, we expect to see a significant improvement and we expect from the FY '26 to

be significantly better.

And I think that from now onwards, we are seeing a continuous improvement, and we expect this journey to continue. And certainly, FY '26 will be a lot better than the FY '25.

So with this, I would like to thank you all, and thanks for your interest in GFL. Thank you.

Moderator: Thank you. On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

GFCL: BRD: 202 5 4th February , 202 5

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip C ode: 542812 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

Dear

Sir/Madam,

Sub: Transcript o f conference c all with I nvestors/Analyst s held o n Wednesday , 29th

January , 202 5

Ref.: Regulation 30 and 46(2)(oa) of the SEB I (Listing Obligations and Disclosure

Requirements) R egulatio n, 2015 ('Listing Regulations')

With reference to our letter dated 23rd January, 2025 and pursuant to Regulation s 30 and 4 6(2)(o a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 ('Listing Regulations'), we are enclosing herewith the Transcript of conference call held with Investors/Analysts of the Company on Wednesday, 29th January, 2025 at 15:30 (IST) to discuss the Financial Performance of Q3FY25 .

The above information will also b e made available on the website of t he Company at www.gfl.co.in .

We request you to kind ly take the same o n record .

Thanking y ou,

Yours f aithfully,

For G ujarat F luorochemicals L imited

Bhavin D esai

Company S ecretary

FCS 7952

Encl .: As above

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"Gujarat Fluorochemicals Limited

3Q FY '25 Post Results Earnings Conference Call "

January 29, 2025

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFICER AND
DEPUTY MANAGING DIRECTOR – GUJARAT
FLUOROCHEMICALS LIMITED

MR. AKHIL JINDAL – GROUP CHIEF FINANCIAL
OFFICER – GUJARAT FLUOROCHEMICALS LIMITED
MR. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER –
GUJARAT FLUOROCHEMICALS LIMITED
MR. KAPIL MALHOTRA – BUSINESS HEAD,
FLUOROPOLYMERS – GUJARAT FLUOROCHEMICALS
LIMITED

MR. RAJIV RAO – BUSINESS HEAD, EV BATTERY
CHEMICALS – GUJARAT FLUOROCHEMICALS LIMITED

MODERATOR : MR. ROHIT NAGRAJ – B&K SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Gujarat Fluorochemicals Limited 3Q FY '25 Post Results Earnings Conference Call, hosted by B&K Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Nagraj from B&K Securities. Thank you, and over to you, sir.

Rohit Nagraj: Thanks, Rico. Good afternoon, everyone, and we welcome you to Gujarat Fluorochemicals 3Q FY '25 Earnings Conference Call. We thank the management for providing us the opportunity to hold the conference call. Today, we have with us Dr. Bir Kapoor, CEO and Deputy Managing Director of Gujarat Fluorochemicals Limited, along with the senior members of the management team.

I now hand over the call to Dr. Bir Kapoor for his opening remarks, following which we can have Q&A session. Over to you, sir. Thank you.

Bir Kapoor: Yes. Thank you. Thank you very much. Good afternoon, everyone. A very warm welcome to all of you for GFL's quarter 3 FY '25 earnings call. For this call, I have with me my colleagues, Mr. Akhil Jindal, who's Group CFO; and Mr. Manoj Agrawal, who's CFO of GFL. I also have with me Mr. Kapil Malhotra, Business Head of Fluoropolymers; and Mr. Rajiv Rao, who is the Business Head of EV Chemicals.

The company announced its quarter 3 FY '25 results at its Board meeting held today. The results, along with earnings presentations, are already available on the stock exchange and on our website. I'll briefly highlight the key financials and then give you an update on business operations and outlook.

For quarter 3 FY '25, on a consolidated basis, GFL reported revenue from operations at INR1,148 crores, which was up 16% on a year-on-year basis. EBITDA stood at INR 294 crores, up by 43% on a year-on-year basis. The EBITDA margin for the quarter stood at 26%, up from 21% in quarter 3 FY '24. Consolidated PAT for quarter 3 FY '25 was INR 126 crores, registering a 58% increase on year-on-year basis.

Overall improvement in financial was largely driven by a sustained improvement in the fluoropolymers vertical and better product mix driving higher margins. As we continue to deploy high capex, primarily in our Battery Materials business, our profitability continues to be impacted by the associated higher depreciation and interest charges. However, we believe this will reverse once revenue contributions start from this segment.

Now let me briefly take you through the performance of each business segment for the quarter. Fluoropolymer volumes declined on a quarter-on-quarter basis, primarily due to year-end holidays in key export market segments. While prices remained stable during the quarter, the Gujarat Fluorochemicals Limited
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commodity grade PTFE continued to face pricing pressures from low-cost suppliers from China. Looking ahead, the exit of a legacy player, combined with GFL's successful development and qualification of higher-grade fluoropolymers, it is expected to drive a significant increase in revenues and profitability in coming quarters.

Furthermore, industry dynamics in key sectors such as automotive, semiconductors and EVs present large-scale opportunities for value-added fluoropolymers. These developments are anticipated to translate into significantly higher revenues and margins for GFL in next financial year. Within fluorochemicals segment, refrigerant gas prices, particularly for R-22, improved during the quarter with further pickup expected going forward. For R-125, which is primarily

exported to U.S., Q3 is seasonally weak quarter, but both prices and volumes are expected to improve going forward. With improvement in the market dynamics and a positive outlook for R-32, we are going ahead with our capex for R-32, which we had temporarily withheld.

Speciality Chemicals remained flat during the quarter, but are likely to see a pickup in volumes starting quarter 4 FY '25, driven by improving downstream demand. The Bulk Chemicals segment operated at full capacity during the quarter, reflecting strong operational efficiency. Caustic soda prices improved after remaining weak for the past 5, 6 quarters, thereby improving the segment's performance. MDC prices have improved during the quarter. However, it is expected to be muted in near term because of additional capacities being commissioned in India. Let me now give you an update on the battery chemicals business. We cater to EV, which caters to EV and ESS segments. We continue to take rapid strides in this business to position ourselves as an emerging battery material supplier globally outside of China.

The EV story continues to play out as per our expectations, and we see the segment emerging as

a very large business for us. The demand for our products are going to be very robust, not only from the EV segments, but also from the rapidly growing ESS segment, which is a very essential piece in the entire energy transition space, be it renewable energy or green hydrogen. The market is most promising with large-scale battery manufacturing capacities being set up. Based on our ongoing interaction with our U.S. customers, despite what we are hearing in the news, the U.S. market is continuing with its ambitious capacity additions. The introduction of new models and ongoing technological advancements are likely to drive further growth. By 2025, it is projected that 1 in 4 cars sold in U.S. will be electric. Also, the U.S. market has evolved to a position where long-term vehicle ownership economics are gradually turning in favor of EVs. Europe too is marching ahead with its ambitious EV plans and the battery production capacity in this geography is expected to grow significantly, reaching almost 800 gigawatt hours by 2030 with multiple gigafactories under construction.

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While the global material story remains intact, the domestic market offers a wonderful opportunity, providing another large addressable market for our products. Recently, based on our estimates, the capacity, which has been announced are in excess of 300 gigawatt hour, providing an additional upside potential in the domestic markets for ESS and EV. As some of you may be knowing, just this week, the Maharashtra government has announced setting up of a panel to explore the banning of petrol and diesel cars in Mumbai City area. Delhi government is also exploring transitioning all the last-mile delivery logistics away from fossil fuels to EV by 2027. All these developments augur well for the growth in demand for EV. GFCL EV has the first-mover advantage, as a non-Chinese global supplier in the battery materials space. Early qualifications of GFCL EV products at this stage, combined with high entry barriers, put GFCL EV at a unique position to grow with its customers in this region. As our customers continue to invest large capacities or large capexes in EV and ESS, we remain committed on our battery material capex plans and expect a strong growth trajectory. We are committed to our cumulative capex plan of INR6,000 crores by FY '28, as we had indicated earlier. At optimal utilization level, this business is expected to achieve around 2x asset turnover and approximately 25% EBITDA margins. GFL is well positioned to capitalize on the opportunities across all segments. The fluoropolymer segment will benefit from the adoption of high value-added products, w

hile

fluorochemicals will see improved pricing and demand from Q4 FY '25. The EV battery material business is expected to ramp up significantly going forward. We are confident of delivering sustained growth and create long-term value for all our stakeholders. Thank you very much. With this, I close and open the session for question-and-answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I have a few of them. First, on the fluoropolymer business, has the 3M plant shut down? And you have said in the presentation that we have received the approvals or a verification for the value-added grade, which I believe would have been sold by the legacy player. In this context, when should we start seeing the material offtake of fluoropolymer growth coming in? Will it be Q4 onwards? Or do you think it will be more like a second half of FY '26?

And second follow-up question on it is India was expected to increase the consumption of FKM on the back of ethanol-based vehicle or ethanol supportive vehicles coming into the market, which need FKM. Has that phenomenon started? This is first on the fluoropolymer business.

Bir Kapoor: Okay. Thanks, Sanjesh. Thanks for your question. The first question is about the plant shutdown. As we understand, the plant is shut down in December last year, which is December '24. So that is already shut. We have already gone through the qualifications on various grades. We have received qualifications, and we expect now that into commercial sales in quarter 4 onwards. So it's not very far away. So we have been waiting for this moment to be there. And I think it's now -- we will start seeing a ramp-up in our fluoropolymer sales.

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The second question you had was about India ethanol blending. There is several grades which is going through the qualification. However, we are not seeing the impact of this in our number, and we expect that growth to come in next few quarters. So that also is one of the reasons for us to be so optimistic about fluoropolymers segment, Sanjesh.

Sanjesh Jain: Got it. And one on the -- this international sales of SKM. We had 21,000 metric tons of PTFE and including PVDF, we were, what, 18,000, 19,000 metric ton in the new fluoropolymer.

Should we be reaching the peak utilization in FY '26?

Bir Kapoor: Yes. I mean I won't comment on the number, but all I can tell you, Sanjesh, is that we expect our full capacity utilization to be there by the end of FY '26, yes.

Sanjesh Jain: Got it. That means a very material -- so what is the expectation of revenue and EBITDA for FY '26 in that case?

Bir Kapoor: We cannot provide the forward-looking statement, Sanjesh...

Sanjesh Jain: No, that's fine. That's fine. I understand that. See, the question on the refrigerant gas now. R-22, we have put a pause. Now why there is a sudden change in the R-32 capacity addition? And what kind of capex and capacity addition are we looking at? And when should it come? Because we are already at a fag end of quota determination period by the time you come up with the plan. Does it really make sense because the quota we get and what we can sell thereafter will be a fraction of the planned capacity?

Bir Kapoor: Okay. We had -- remember, we talked about R-32 earlier also and that kept our project on hold. And partly because at that time, the market conditions and pricing were not really conducive to making investments, okay? We had quota at that time. We still have quota and we still have time. We still have time up to FY '27. So it's not the fag end. And we can discuss it separately, but there is a significant potential in R-32.

And as the pricings have firmed up, as you may be knowing, so we are looking at investing in R-32 now

because we see a business potential going forward. And our capacity plan, of course, will come into phases, but we are looking at almost setting up a capacity of 30,000 tons, okay? So -- and we have time in terms of till we can utilize this quota.

From a business perspective, it makes sense to invest because the pricing is right and the demand-supply situation today is conducive to making this investment and looking at a good return.

Sanjesh Jain: You said 30,000 metric tons?

Bir Kapoor: Yes, up to 30,000.

Sanjesh Jain: And the first phase will come by what time frame and how much?

Bir Kapoor: It will probably -- we had started this project earlier. So a lot of groundwork has already been done, Sanjesh. So we will probably take approximately by next year. By the end of maybe quarter 4 of next financial year, we'll probably be there.

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Sanjesh Jain: That means March '26.

Bir Kapoor: Correct.

Sanjesh Jain: Got it. Got it. No, because it's been on and off for us. We have not been very confident with this business, and we thought that...

Bir Kapoor: For the prices, Sanjesh. So you tell me what were the prices when we talked last time and what is the prices today.

Sanjesh Jain: But some of your peers still went ahead, right?

Bir Kapoor: What's that?

Sanjesh Jain: Sir, some of our peers still went ahead.

Bir Kapoor: Of course. Of course, everyone has their own set of -- and most importantly for us, we had several other priorities, Sanjesh. We were investing in fluoropolymers at that time. And then we had a cycle on EV. This is the time I think -- now for GFL, our investment in fluoropolymers are not going to be there in the coming years. So it's mostly now GFL would focus more on to these areas with the opportunity which we had put on hold earlier.

Sanjesh Jain: So what is the capex for this entire capacity?

Bir Kapoor: Our capacity would be higher, but the -- initially, as I said, it will be in the phases. So it will probably be at the order of INR 150 crores.

Sanjesh Jain: INR 150 crores. Last question. U.S. is looking to scrap the IRA subsidy on the EV and other things, which clearly suggests that the encouragement, which government used to have on the EV side in the U.S. market that appears to be tapering off and they're pushing for more oil drilling, which supports the ICE vehicle. Do we still believe that we will be able to do this INR 6,000 crores of capex? What gives us that confidence?

Bir Kapoor: Okay. First of all, what gives us this confidence is our continuous interaction with our customers, which we have been engaging very closely in the last several weeks. In fact, this announcement of IRA subsidy may go away or the considerations, it was under consideration for -- to be revoked. It's been there for quite some time. It's not new.

And we have been talking to our customers. And most of our customers' plan in terms of their investment and setting up the capacities is still there. So based on their investment and their

capacities, we fairly -- we have a visibility that at least in the next 3 to 5 years, the plan that we had given is going to be intact, okay?

There might be some minor impact because, of course, the subsidy, we'll have to wait and see what happens to the policies because these -- there are several policies, which are intricately -- they are closely linked, okay? So if this goes away, then what else comes in, we'll have to look at that and then look at the opportunity that it brings in.

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Moderator: The next question comes from the line of Aatur from ICICI Prudential AMC.

Aatur: Just on R -32, sir, I mean, I didn't clearly understand that based on today's -- just because pricing has improved, what if pricing drops after another 6 months, what happens to our

capex decision?

How can basically someone decide on current pricing? And how should one think on that?

Bir Kapoor: Aatur, so what we are -- our position right now is the price of R -32 going up is closely linked to certain quota reductions, okay? And there's a demand-supply situation, and we expect it to continue. That's what our projections are internal. And that's how we are taking the business decisions to invest in capex for this.

Aatur: No, I mean, like you are not a new player in ref gas. I mean, it goes through its own cycle, pricing, et cetera. I mean, having clearly denied 3 months back and now suddenly setting up just because prices have gone up, doesn't make...

Bir Kapoor: We haven't put this on hold, Aatur, if you remember, almost 2 years back because we had too many things on us. And we had a plan of investment. We had gone ahead to some extent and then put on hold because of several other things...

Aatur: So for example, if 6 months -- 3 months, 6 months down the line pricing again dropped, you would still go out with the 30,000 tons, right?

Bir Kapoor: Based on our estimate, I think it's unlikely that we will see -- go back and see the number of \$2.3, okay?

Aatur: Okay.

Moderator: The next question comes from the line of Ketan Gandhi from Gandhi Securities.

Ketan Gandhi: It's regarding the follow-up on the previous investor. According to Section 7 of the executive order, what they have frozen is the freeze of the fund for EV charging stations and nothing to do with the EV batteries or EV per se. And they are only talking about reduction in the IRA that \$7,500. And I believe that has to be done only amended by the legislation or legislative action.

And it requires a lot of effort.

So is my understanding correct in this? And even that for Biden's target for new electric vehicle sales by 50% by 2030, '35, it was only a guidance, and that has been knocked down by the new

President. So basically, it's the neutral. And with that respect, what is your view on -- with respect to our company? I think we are neutral or still there is an issue in that?

Bir Kapoor: No. When you say Ketan, by neutral, you mean that if IRA revoked, the -- overall, there will be neutral impact on the market. Is that your suggestion or question?

Ketan Gandhi: No, basically, it doesn't change anything because law-wise, they have done for battery charging station, one end.

Bir Kapoor: Of course, it's not right for me to comment on other countries' policies and their decisions. But what we typically go by the assessments or customers who are more closely associated with the

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policies of their governments, okay? And based on what we hear from them and what we interact with them, it seems some of those plans are intact. So perhaps what you're saying may be correct.

Ketan Gandhi: Yes. And my second question is, I think first week of January, China has banned critical tech and mineral export for EV. I believe it will be much more beneficial for GFL's EV batteries.

Any view on that, sir?

Bir Kapoor: First of all, any other companies or anyone who's looking for procuring technology, of course, may get difficult for us. But as far as we are concerned today, we have LiPF6 plant set up. Our LFP plant would be set up in another several few weeks, in fact, mechanical completion and then start up by the end of this financial year. So we have most of our basic, I would say, building blocks for our EV chemical plants are in place.

So we are not that much concerned about that. Of course, if you go and read the fine prints of the restrictions, that is typically on materials, which are a new developed or highly developed products, not on some of the product which is currently in the market. That's what our understanding is.

Ketan Gandhi: So in short, if that is to come in picture and new plants w

ere sets up in India also, GFL is going to be benefiting because we are ev erything...

Bir Kapoor: We are -- we have a first -mover advantage. We are far ahead. We have almost all our basic modules of -- commercial modules of all the verticals, we have already set up.

Moderator: The next question comes from the line of Arun Prasath with Avendus Spark.

Arun Prasath: Sir, my first question is on the R -32 and related raw materials. So chloromethanes, I believe, currently, we are selling outside externally. So we will be post this plant -- R-32 commissioning, we will be completely capt ively consuming or we will be still exposed to the chloromethanes sales?

Bir Kapoor: Arun, it depends on, of course, what -- how we phase in our capacities, but we are expecting at least 50% of our MDCs will be utilized in -house.

Arun Prasath: Okay. All ri ght. So still will be 50%...

Bir Kapoor: Still MDC would be available for merchant sales. .

Arun Prasath: Sir, if we are going for taking advantage of the quota availability and then if we have a very long-term view on the R -32 that it will be continuing to be higher, why don't we go full -fledge and -- completely with the plan to reduce chloromethanes because either way, if you see we are saying -- capex . 2 years before INR 150 crores on our balance sheet, on our cash flow generating ability. It was not a very big amount. So is -- the capex is the only concern or something else has changed...

Moderator: Arun, there's a lot of disturbance. May we re quest you to use your handse t please?

Bir Kapoor: Yes, there's a lot of disturbances. It's hard to hear, Arun, please.

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Arun Prasath: All right, sir, sorry. I hope now it's very clear.

Bir Kapoor: It's better, please.

Arun Prasath: Yes. So I was asking, capex alone was the reason why we had a change of thought because INR150 crores 2 years before or even now on our balance sheet, it's not a very big mover. But given that the long- term positive outlook on the R -32 and however quota we can utilize, is there somet hing else which has made us doing the shift or it's more about consuming chloromethanes? How should we look at... ?

Bir Kapoor: No, it's -- typically, these business decisions are taken with several factors in mind. Of course, capex is one part. But of cour se, with the pricing, the market scenario, the future of market scenarios, what the competition is doing, what is the situation in our -- one of the largest suppliers in the world, what is the pricing there, what is the quota, what is their capacity to sup ply, all those factors get into these kind of decision-making.

So I would not say that it was purely INR 150 crores that was -- that had held back. It's multiple reasons. And today, we are seeing a business potentials. And of course, we had quota at that time. We still have quota and we would like to utilize going ahead.

Moderator: The next question comes from the line of Dhruv Muchhal with HDFC AMC.

Dhruv Muchhal: Sir, in the presentation, you say that we are going ahead with the expansion of the salt production capacity. So if you can please help us what is the quantum that you're trying -- that you're planning to put, say, in the next 2, 3 years and the visibility probably that you have in from your customers?

Bir Kapoor: Yes. Dhruv, we have not given any capacities, but what we are doing, what we meant when we said we are going for the expansion because we initially started set up our salt plant, which is the minimum commercial scale capacity to establish the proof -of-concept, the quality, everything. So everything is fine now. So we are adding multiples of that. And that is again based on the -- our business requirements and the contracts that we have with our customers to supply in the near future. So it's based on that, now we have started work to expan d.

Dhruv Muchhal:

Got it. So if I understand it right, in the EV ecosystem, the first set of growth will probably come from the salt followed by probably the LFPs. And then as the domestic market ramps up the electrolyte solution also. Is that a fair under standing? And because if you're going ahead with the salt plant, is that you're seeing a larger visibility from your U.S. customers?

Bir Kapoor: Yes. I think the -- you're right. Initially, we started with salt and of course, parallely continued with electrolyte. The electrolyte is mostly for domestic market. And domestic markets, we are seeing -- but as in case of any new technology, new emerging industry, there is a hiccup to start up, but that's what we are seeing at our customers' end.

And some of the plans have been shifted. So clearly, the salt and electrolyte in my view, probably will go almost parallely and electrolyte for domestic markets, okay? And of course, one point that I think you missed is the binder. That will also be another one, whi ch will come.

Dhruv Muchhal: Sure. Sir, the second question was on the FKM opportunity because of the ethanol blending program. Is it possible to give us some sense of the size that the India market can be for these kind of products? And how soon can that ramp-up happen? I believe it changes -- the changes in the engines where the product gets used. So what can be potential demand?

Bir Kapoor: Yes, I will request our Fluoropolymer Business Head, Kapil, to take that question. Kapil, please, can you take this?

Kapil Malhotra: Yes, Kapil this side. Yes. So for the ethanol blending, as Dr. Kapoor said, that the qualifications for some of it -- because you see they are all very critical items. So qualifications have been done. And now we are just waiting for the OEMs and Tier 1 to start placing the commercial orders. So we'll start seeing the ramp-ups from the next quarter onwards, and it will keep on happening for quarter-to-quarter probably for the whole financial year and when the market gets stabilized totally after that. Once they have consumed all the qualification, which has happened and a couple of other modifications which has happened.

Dhruv Muchhal: But what is your sense of the overall demand in tonnage or probably tonnage would be a reasonable sense to -- for us. So some sense of the demand potential?

Kapil Malhotra: See, it is going to significantly higher from the current volumes. But right now to assess that demand is slightly tough because each vehicle will have its own grammage. So it's very difficult to calculate.

Dhruv Muchhal: Okay. Sure. Probably I'll come back later on that. And sir, just last quick question is on the R-32 expansion, given it will be about 30,000. Would you need to also expand your AHF? And is that factored in your capex plans? Because I think your AHF, you also will require for your other programs, say, PTFE and a lot of other programs, as there will be growth even there. So just some thoughts there, please, sir.

Bir Kapoor: Yes, we have a plan for AHF as well, Dhruv. Of course, in next quarter, I think we'll share our capex plan for the next year, and then we'll talk about it. But yes, you're right, eventually -- because we'll have AHF requirements on several fronts. So looking at that, we'll be adding AHF capacities as well. And then that's not included in INR 150 crores.

Dhruv Muchhal: That's not included so -- and what is the quantum in Phase 1 that you're planning to do for the R-32? So 30,000 is the overall number. Phase 1 will be how much?

Bir Kapoor: Initially, around 20,000 tons.

Dhruv Muchhal: Okay. Sure. That's all. And sir, just -- sorry one request is, sir, a lot of your businesses that you have stopped giving capacity numbers or volume numbers, it has become to become difficult to build your growth forecast. For example, the salt capaci-

ty or the FKM capacity. So probably if there is some other better way to make it more transparent, it will be very helpful. That's a request.

Bir Kapoor: One of the ways that we have now started guiding just like we did in EV is we give capexes and then the asset turnover number and indication of the margins because capacity numbers often --

of course, we provided in the past and -- but unfortunately, sometimes it also goes to certain areas where we do not want it to go.

Moderator: The next question comes from the line of Archit Joshi with Nuvama Institutional Equities.

Archit Joshi: A lot of questions on R-32. I have a couple of them. Sir, the capacity that you've planned, so 20,000 maybe in the first phase and 10,000 in the second, basis the quota that we have, will all the capacity that we'll be putting up be available for sales or there's a capping on that with respect to available capacity for sales?

Bir Kapoor: No, our intention is to utilize the quota that we have available with us.

Archit Joshi: Okay. So that would be 30,000 tons in totality?

Bir Kapoor: Yes, or whatever the number comes out to be, it's around that.

Archit Joshi: Right, sure. Sir, second one, 30,000 tons in terms of capacity, I was just doing a few calculations. I think the total HFC market is roughly around 1 million tons. And with the current quota reduction that we have seen, especially a lot of higher GWP gases being reduced and more focus coming on R-32 having a lower GWP. This market roughly seems to be somewhere around 2.5 lakh to 3 lakh tons. And 30,000 tons seems to be almost 10% of that basis the calculation that I've done.

And in the past, you must have seen that IGas had announced a 40,000 ton capacity in Abu Dhabi. That also seems to be a fairly large number. Sir, what has been our internal calculation,

while deciding this 30,000 ton plant? Is it fair to assume that it will be completely subsumed in the demand ecosystem?

Bir Kapoor: Yes. In -- I think we also expect the demand growth to come and -- going forward. And this, we are, of course, looking at globally because India is one of the few countries which has capacity to expand and has quotas, okay? And we will have that propensity to add capacity till '27. So I think when we look at our potential growth and the potential that is available globally, I think we think that this can probably be able to meet the -- we'll be able to meet the targets of demand.

Moderator: The next question is from the line of Siddharth Gadekar with Equirus.

Siddharth Gadekar: Sir, just one question on the R -32. When you said that we will be able to utilize our entire capacity given the quota, these quotas are mainly due to the R -125 quotas also that we have that we are assuming that we'll be able to use for R -32?

Bir Kapoor: Yes, correct, because the quotas are HFCs.

Siddharth Gadekar: Okay. Got it. So basically, even if we produce lower in CY '26, we will be able to produce the entire 30,000 tons in CY '27 and beyond that that is a fair understanding, right?

Bir Kapoor: Correct. Correct. You're right. .

Moderator: The next question comes from the line of Yash Shah from TCG AMC.

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Yash Shah: Sir, my first question is with regards to our EV business. We've mentioned till the last quarter that we've incurred capex of around INR 1,000 crores. And cumulatively, we'll be incurring INR 6,000 crores in FY '28. Just wanted to understand your point of view of what kind of capacity utilization are we targeting on a year -by-year basis till FY '28, assuming that we will be reaching peak utilization by FY '30 of the INR 6,000 crores of capex which you will be incurring. So just wanted some kind of an idea on that part.

Bir Kapoor: So typically, of course, capacity utilization

number is another number which we cannot provide

quarter -on-quarter. And -- but our understanding is that these businesses, particularly EV is qualification based. So there is certain qualification time. So there will be certain time period in which the capacities get utilized, okay?

Initially, that time may be slightly higher. And then subsequently, if I go closer to FY '28 and beyond, that time would come shorten because our growth then for capacity additions gets closely linked to customers' capacity addition because then our plant becomes a qualified plant for -- as a part of their supply chain.

So initially, it can be anywhere probably, I would say, a year to 2 years in terms of fully utilizing and then it will shorten up as we go to FY '28. And in terms of -- I've already given you the approximate asset turnover ratio, which is 2.

Yash Shah: And just a continuation of the previous question. The capex which you are increasing of our salt plant, will it also be included in the INR 6,000 crores? Or -- and are we basically planning to reduce capex on some other constituents of the EV business? Or how does it work?

Bir Kapoor: No. The -- our intent of giving the statement about salt was it's not an additional capex. Our capex plan is still what we had indicated INR 6,000 crores. However, so the intent was to say that we are now reached a point where we feel the capacity addition has to be done. So that was sort of a -- kind of a milestone. But whatever the capex that is involved is all part of what we have indicated. There's no additional capexes, which are going to be done.

Yash Shah: Got it. Just last one question from my side. Sir, on the gross margin front, we've seen expansion on a quarter -on-quarter basis. And you mentioned in your opening comments that we saw improvement in the product mix. Whereas in the presentation, you said that there have been lower volume pickup in fluoropolymers business. So just wanted some clarification on that. In

which particular segment did we see improvement in the product mix? And what has led to the improvement in gross margin?

Bir Kapoor: So let me tell you first is that the volume that we talked about is typically the seasonal impact because quarter 3, if you go back and look, always been slightly lower because there is a holiday season in U.S., almost a week to 10 days during Thanksgiving and Christmas and then similarly in Europe. So because of that, there is always a dip and then -- so it's a seasonal impact.

And when coming back to margin improvement, margin improvement is purely by product mix, as our overall fraction of our value -added products and the new polymers are increasing, the margins would keep on going up.

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Moderator: The next question comes from the line of Arun Prasath with Avendus Spark.

Arun Prasath: Sir, last year, we used to guide about reduction in the power and fuel costs. Is it now fully

reflected in our numbers? Or still there is a potential to reduce from the current levels?

Bir Kapoor: I'm sorry, I couldn't get your question, Arun. What is this regarding reduction in?

Arun Prasath: Power and fuel.

Bir Kapoor: Reduction in power and fuel costs? Okay. Manoj, can you take that question?

Manoj Agrawal: Yes. This -- we are aggregating all our wind assets in one platform, the power cost will reduce from the next financial year. And currently, our power cost stood at around INR 800 crores. So we expect a reduction of 10% to 12% -- 10% to 12% reduction. That is around INR 100 crores.

Arun Prasath: INR 100 crores. So that we will completely see in '26 at the current volume?

Manoj Agrawal: Yes. Yes.

Arun Prasath: So if the corresponding volume growth happens, what kind of -- in the new set of procurement, what is your weighted average power cost, sir, on a per unit basis?

Akhil Jindal: Yes. So if I

may answer? The current prices are certainly higher because we are buying on the grid and other things. The power purchase agreement that we are -- we have signed for the new energy -- renewable energy is at INR 4. So that would constitute more than 80% of our total requirement. So to that extent, the power -- the weighted average will be in the range of around INR 4.5.

Arun Prasath: Okay. Understood. And my second question is on the EV side. We have said that we have kind of stabilized the plant -- most of the plants. This will be at the very pilot stage or like at what stage because when the utilization goes up, we once again need to prove the stabilized operations. Is that the right understanding?

Bir Kapoor: No. All our plants are on commercial scale. There's no pilot scale we are talking about, okay?

And these are typically a modular plants. So this is the small commercial module and then this will be the repeated units. And these are fully commercial plants. There's no pilot plants.

Moderator: Our next question comes from the line of Rohit Nagraj with B&K Securities.

Rohit Nagraj: Sir, first question is you mentioned that fluoropolymers optimal capacity utilization by end FY '26 and probably you will give us what will be the capex for FY '26 and FY '27. How much gestation period will it take for the capex to fructify in case those capacities are being completely utilized in FY '26?

Bir Kapoor: Rohit, are you referring to fluoropolymers?

Rohit Nagraj: Yes, sir, fluoropolymers. Right.

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Bir Kapoor: Fluoropolymers, the capex has already been incurred, as you know, we have been saying and now the capacity utilization is going through. So we expect, as I said, that by end of the next financial year, we will have the capacity, which is available to us fully utilized. So if you go back and look at, you can say that how much time we have taken is probably 1.5 years to 2 years to have the capacities set up and then utilized. Does it answer your question?

Rohit Nagraj: Yes, my apologies. My question was for the next leg of growth, if we were to put up capacity because those capacities will get consumed in the next 1 year, what is the time frame that we are looking at for either debottlenecking or adding the new capacity?

Bir Kapoor: See, what happens is that -- I think this I had indicated several earlier that typically, our capexes are high for setting up the monomer plants, okay? And once we have monomer plants there, then adding capacities through reactors is normally incremental capexes. Those capexes are not very high. So coming back to addition of -- I think the future capacity additions will primarily be on reactors because both of the monomer that we have 2 value chains, one is 142B and other is a TFE or R-22 and TFE. Both we have monomer capacities available. So going forward, adding further capacities and reactors is incremental costs.

Moderator: The next question comes from the line of Hansal Thacker from Lalkar Securities.

Hansal Thacker: Congratulations on an encouraging and steady quarter. Sir, just a quick comment on the disclosure that the company made on the 27th of December, wherein we signed power purchase agreements at INR 4 a unit. My understanding is that this could generate approximately INR 400 crores to INR 450 crores savings in power costs. So firstly, is that an accurate figure?

Bir Kapoor: Yes, I'll request, Akhil to take. Akhil, please?

Akhil Jindal: So 400 megawatt, obviously, it's a renewable energy. So it can't be compared with the thermal energy where the PLFs are 90% plus. This is a hybrid PLF -- hybrid project. So the PLFs are in the range of between around 30% as a good estimate. So you can imagine when we are setting up a 400 megawatt, it's roughly around 100, 130 megawatt as a net generatable power. To that extent, the re will be s

avings.

Hansal Thacker: So if I take a 30% PLF, then we are looking roughly... ?

Akhil Jindal: Yes. Yes. So say...

Hansal Thacker: 457 megawatts at 30 PLF is working out to around that figure only, right, sir, INR400 crores, INR450 crores?

Akhil Jindal: Because obviously -- today also, we have some renewal sources and everything. We have worked out the net savings. I think just as a first cut, it would be in the range of around INR 150 crores per year roughly.

Hansal Thacker: Okay. So the net saving is about INR 150 crores a year?

Akhil Jindal: Yes. All in all, put together, yes.

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Hansal Thacker: Okay, okay. And for my question, sir, I mean, much has been deliberated on this refrigerant gas. I just want to know that whether these price increases of refrigerant gas actually reflect in this quarter? Or they're likely to reflect in Q4 and thereafter?

Bir Kapoor: I think Q4 and thereafter, there's a marginal impact, not much at this quarter.

Hansal Thacker: Okay. So this quarter really does not show any major impact on the refrigerant gas margins, but it will continue going forward?

Bir Kapoor: Yes. Yes.

Hansal Thacker: Right. And sir, my last question. So taking from one question prior. So as we understand that China periodically plays around with these export controls, etcetera, and to some extent, would it be right to assume that going forward, manufacturers will try to diversify their suppliers outside China? And to that effect, we might benefit from this?

Bir Kapoor: Yes, that's one of the factors that has already been considered because I think India as a country, of course, has an advantage there.

Moderator: The next question comes from the line of Vimox Shah from Goyam Labdhi Fintech Private Limited.

Vimox Shah: I have a question in the battery materials side, like what is the capex plan for the next 12 to 18 months, how will it be funded?

Bir Kapoor: Next 12 to 18 months, I think we already -- of course, as you know, we have already raised funds and that process of raising funds is already on...

Akhil Jindal: Just to add on to what Dr. Kapoor said, if you remember in the last quarter, we have told everyone about the INR 1,000 crore raise that we have already done. So that money is very much available for, say, our capex for the period of next 12 months. We are also in the advanced stage of discussion with various large international sovereign funds.

So hopefully, by the end of this quarter, we will be in a position to share concrete names and other things, once we have completed the full exercise with them. But I can only say -- tell you that most of this growth is only coming from equity. We are not borrowing anything at the EV level for any of these capex. And we are well funded without really dependent upon the GFL cash flows to fund this EV for the foreseeable future. So to that extent, the INR 1,000 crores is in the bank, plus the new discussion happening with the sovereign fund, that would be good enough for us -- for our future programs.

Vimox Shah: Given the IRA regulations, what kind of opportunities we see in the U.S. market? And what is the expected time line for this growth?

Bir Kapoor: Of course, as we had said earlier that we are seeing it as a large opportunity, but it's a very, very large market for us. And as an alternate supply chain, or a supply chain, which is alternate to China, I think we have a tremendous opportunity, which is available to us, okay?

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And of course, IRA has created a tailwind. But fundamentally, also, we see that this opportunity is very, very large. And GFL EV can play a very large role as a credible alternate supply chain, alternative.

Moderator: The next question comes from the line of Deepak Sharma, who is an investor.

Deepak Sha

Deepak Sharma: My first question is, what is the long-term EBITDA margin, which is sustainable for the next 1 or 2 years?

Bir Kapoor: Thanks, Deepak. I think it's a forward-looking statement, which, of course, we cannot provide. But whatever our expectation, etcetera, from our business, that EBITDA margin, etcetera, expectation we have already provided.

Moderator: Ladies and gentlemen, that was the last question for the question-and-answer session. I now hand the conference over to the management for closing comments.

Bir Kapoor: Yes. First of all, I would like to thank all of you for being part of this con-call. Clearly, as I said earlier in my opening statement that today, GFL, we are very well positioned to capitalize various opportunities that are there

in all segments, whether it's fluoropolymers or refrigerants or battery material, which is an emerging business for us. So we look forward to continue to interact and share our plan with you. So thank you very much for your interest, and have a wonderful evening.

Moderator: Thank you. On behalf of B&K Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2025

GFCL: BRD: 202 5 3rd June, 2025

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip Code: 542812 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

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Dear Sir/Madam,

Sub: Transcript of conference call with Investors/Analysts held on Tuesday , 27th May , 2025

Ref.: Regulation 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015

With reference to our letter dated 23rd May , 2025 and pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations , 2015 , we are enclosing herewith the Transcript of conference call held with Investors/Analysts of the Company on Tuesday , 27th May , 2025 at 04 :00 p.m. to discuss the Financial Performance of Q4 & FY25 .

T

The above information will also be made available on the website of the Company at www.gfl.co.in .

W

We request you to kindly take the same on record .

T

Thanking you ,

Y

Yours faithfully,

For Gujarat Fluorochemicals Limited

B

Bhavin Desai

Company Secretary

FCS 7952

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Encl.: As above

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"Gujarat Fluorochemicals Limited
Q4 & FY '25 Earnings Conference Call "
May 27 , 2025

MANAGEMENT : DR. BIR KAPOOR – DEPUTY MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – GUJARAT
FLUOROCHEMICALS LIMITED
MR. AKHIL JINDAL – GROUP CHIEF FINANCIAL
OFFICER – GUJARAT FLUOROCHEMICALS LIMITED
MR. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER –
GUJARAT FLUOROCHEMICALS LIMITED
MR. KAPIL MALHOTRA – HEAD OF OUR
FLUOROPOLYMER BUSINESS – GUJARAT
FLUOROCHEMICALS LIMITED
MR. RAJIV RAO – BUSINESS HEAD OF EV CHEMICALS
OR BATTERY CHEMICALS BUSINESS – GUJARAT
FLUOROCHEMICALS LIMITED

MODERATOR : MR. NITIN AGARWAL – DAM CAPITAL ADVISORS
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Gujarat Fluorochemicals Q4 and FY '25 Earnings Conference Call, hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Agarwal from DAM Capital Advisors. Thank you, and over to you.

Nitin Agarwal: Thank you, Manav. Hi. Good afternoon, everyone, and a very warm welcome to Gujarat Fluorochemicals post results conference call hosted by DAM Capital Advisors Limited. On the call today, we have representing Gujarat Fluorochemicals Management, Dr. Bir Kapoor, Deputy Managing Director and Chief Executive Officer, and other senior members of the management team.

I'll hand over the call to the Gujarat Fluorochemicals management team to take the call forward from hereon. Please go ahead, sir.

Bir Kapoor: Thank you, Nitin. Good afternoon, everyone, and this is Bir Kapoor. A very warm welcome to all of you for GFL's Quarter 4 FY '25 Earnings Call. For this call, I have with me my colleagues, Mr. Akhil Jindal, who is Group CFO; Mr. Manoj Agrawal, who is CFO of GFL. And I also have with me Mr. Kapil Malhotra, Business Head of Fluoropolymers; and Mr. Rajiv Rao, who is the Business Head of EV Chemicals or Battery Chemicals business.

The company announced its quarter 4 FY '25 and full year results at its Board meeting held today. The results, along with earnings presentations are already available on the stock exchange and on our website.

I'll briefly highlight the key financials and then give you an update on business operations and outlook. I'm pleased to share that for the quarter, we have reported revenue from operations of INR1,225 crores, reflecting an 8% increase year-on-year.

Our EBITDA grew significantly by 28% to INR305 crores with margins improving from 25% - to 25% from 21% in same time last year, which is quarter 4 FY '24. Our consolidated PAT nearly doubled, reaching INR191 crores in this quarter.

So the Bulk Chemicals segments underperformed during the quarter, impacting the overall performance, while the core sectors reported healthy growth. Our net debt as on March 31, 2025 has come down to INR 1,451 crores as compared to INR 1,769 crores as on March 31, 2024, resulting an improvement of net debt to equity from 0.3% to 0.2%.

Also, working capital days have increased in anticipation of the growth in next few quarters. We have increased production of Fluoropolymers and Vacuum materials to build up the pipeline, Gujarat Fluorochemicals Limited
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and we expect this to normalize in next 1 to 2 quarters. The strong financial performance was largely driven by sustained growth in our Fluoropolymers vertical and a better product mix. While we continue to invest heavily, especially in our Battery Materials business, profitability remains impacted by higher depreciation and interest cost associated with this capex. We expect this to normalize as revenue from the segments ramp up.

Now let me briefly take you through the performance of each business segment for the quarter. In our Fluoropolymer business, revenue growth was primarily driven by volume increase in new Fluoropolymers. Prices remained stable across domestic as well as global markets. FKM volumes are steadily rising as new project approvals are under progress.

Growing demand from automotive, semiconductors, Electric Vehicles and Energy Storage system is opening significant opportunities for this sector. As indicated during the last quarter, we are witness

ing a continued growth in Fluoropolymers revenue and volumes due to our focus on higher value-added grades of new Fluoropolymers.

This segment has also started seeing a positive impact due to exit of legacy players that we had predicted several quarters back. Going forward, we expect this momentum to continue as the fundamental of this segment is quite strong and is driven by growth in sectors like semiconductors and automotive. Within our Fluorochemicals business, we saw improvement in R-22 prices during the quarter and further increase is expected as global production quotas reduce. Direct sales and blend of R-125 also improved due to seasonality with a positive outlook ahead.

Specialty Chemicals remained stable, and we anticipate margin and volume improvements going

forward in FY '26. We are also working on multiple options to initiate the commissioning of R - 32 plant much ahead of the schedule and expect to commence the commercial sale starting during the second half of this financial year.

During the quarter, our Bulk Chemicals segment faced challenges due to an incident at our -- one of our plants in Dahej, CMS -1 plant, leading to approximately 15% production loss and softening of MDC prices have negatively impacted our profitability in this segment.

Caustic soda prices also remained flat, but sequentially on year -on-year. MDC prices declined due to new capacity additions, but are expected to stabilize in coming quarters. Overall Bulk Chemicals segment is expected to resume to normalcy in coming quarters.

Let me now give you an update on the Battery Materials business, which caters to EV and ESS segments. GFCL EV holds the first -mover advantage as a non -Chinese global supplier in the battery materials space.

We continue to make rapid stride in building this business on strong fundamentals and establish ourselves as a key global supplier with wide range of products. Our LiPF6 Salt production has stabilized, meeting stringent global specifications with strong customer interest driving the Gujarat Fluorochemicals Limited

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potential market demand, we are moving ahead with Phase 2 and Phase 3 capacity expansions planned in FY '26.

Our LFP plant have achieved mechanical completion with commissioning and trial production set to begin next month. We have also established pilot plant and R&D capability to develop new grades and wide product range in this product category.

Our electrolyte and binder plants are also at advanced stage of customer validation with multiple successful global audits already completed . We are pleased to share that our customer engagement has increased significantly with technical visits and audits from prospective clients in the U S, EU, Korea, Japan and India.

Demand for our product is expected to be robust, driven not only by EVs, but also by the growing energy storage system markets, which is critical to renewable energy and green hydrogen transitions as well as rise of AI -powered data centers.

The global battery materials market remains promising. Despite some reported delays, the US continues with ambitious capacity expansions, while Europe's EV and battery production capacity is set to grow substantially, reaching nearly 800 gigawatt hour by 2030.

Domestically, capacity announcements exceed 300 gigawatt hour, offering a large addressable market for us in both ESS as well as EV sectors. We have announced capex of INR1,600 crores for FY '26 with INR 1,200 crores earmarked for GFCL EV, largely towards increasing the current capacities with increased customer approvals and audits in place and INR 400 crores for GFL, largely earmarked for Fluoropolymers and refrigerant business.

To summarize, the Fluoropolymer segment will benefit from high- value product adoption.

Fluorochemicals will see improved pricing and demand in FY '26 and our EV Battery Materials business is

poised for significant ramp-up. We remain confident in delivering sustained growth and creating long -term value for all our stakeholders.

Thank you so much for your interest in GFL, and I now open the floor for questions.

Mod erator: Thank you. We will now begin the question and answer session. We have a first question from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: First set of question on the increased working capital on Fluoropolymer and Battery Chemicals .

You said that we have built a good inventory in the anticipation of rising demand in the 1H of FY '26. Do we have a confirmed order? Or do you think it's more of an anticipation and projection, which is leading to a bump up in the inventory level at our end?

Bir Kapoor: See, in case of Fluoropolymers , we, of course, have our order book, and that's the reason we have increased our supplies and trying to fill up the pipelines. Similarly, in EV battery material as well, we have long -term projected demands given to us by our customers. And in that anticipation, we are building up our pipeline.

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Sanjesh Jain: When we say that there is a long -term projection provided by the customer, that means we have been completely approved? We have received POs or how is it?

Bir Kapoor: The way it works is that typically, once our customer engagement starts, we -- the both thing goes in parallel, the commercial discussions, which essentially indicate what material that we can supply with what quantities and also projections of the potential pricings.

And the qualification also moved parallelly because these are long-term contracts, Sanjesh. So in these -- our capability to provide certain quantities in long term is a key aspect of our customer engagement and contracts.

Sanjesh Jain: So why to make material in so much of advance if it is not for just approval?

Bir Kapoor: Let me -- I think not -- it's not that we are making too much material in advance. This is, for example, in case of Fluoropolymer, as you are aware, we are doing stock and sell in U S, and we have warehouses and the depots in North America as well as Europe. Considering the transit time from here to U S and building up the capacity in terms of anticipation of the sale. So this is the pipeline which is getting filled up, which includes building up the capacity not only at the depot, but also the shipment, which is taking almost 2.5 to 3 months to reach.

Sanjesh Jain: Okay. Got it. My second question is on the capex of INR1,600 crores, particularly INR 1,200 crores on the EV side. I thought that we will do more capex based on the customer orders and it will be make-to-order kind of situation. Why are we going ahead with the Phase 2, Phase 3 kind of a capacity addition where we are yet to sign a long-term contract?

Bir Kapoor: We already have anticipated demand and the projected demand from our customers and -- because the capacity building takes a long time, Sanjesh, okay? So when -- see, the way -- in fact, I've said it many times that in our EV Material business, we initially started with commercially viable size, okay? And then we are now building up. Once we have demonstrated the capability to produce a high-quality material, which is benchmarked at the world quality. Now we are building up the capacities and adding up the volumes.

It's happening as per the plan. It's -- we already had planned the Phase 2, Phase 3 capacity additions. So we started with LiPF6 plant, LFP plant demonstrated, customer have approved, visited our sites. And now in order to fulfill the projected demands, we need to build up capacities.

Sanjesh Jain: Will it be fair to assume that because LFP is yet to stabilize, all this INR 1,600 crores is largely towards LiPF6 and electrolyte for it also...

Bir Kapoor: Not really. It's -- because if you look at our product port

folio, we have LiPF6. We have binders.

We have LFP and we have electrolyte. And also we -- in case of salt, we also have backward integration to make LIF and also high purity HF. So these capex involves the overall bouquet of products as well as the backward integration.

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Sanjesh Jain: See, there's so much of demand we anticipate for Fluoropolymer, battery chemical. Do we have enough HF and it becomes a bottleneck for us?

Bir Kapoor: As of now, we don't have an issue with our HF. However, in order to cater to future demand, we have already announced that we'll be adding up HF capacity.

Sanjesh Jain: When we did announce? Sorry, I missed it.

Bir Kapoor: We -- last time, we said that when R-22 and AHF, we will probably be adding both the capacity.

Sanjesh Jain: Okay. So it will come along with the R-22.

Bir Kapoor: Right.

Sanjesh Jain: My next set of question is on the guidance. We said we want to achieve, say, INR 2,000 crores kind of an EBITDA in FY '26. The start appears to be much slower or the end for FY '25 appears to be much lower than probably what we would have desired, which would have given us the line of sight for this. Sitting at INR 306 crores quarterly, we are anticipating INR 500 crores quarterly and exit probably above INR 600 crores, which is almost 2x the EBITDA. Are we still remain confident on those guidance?

Bir Kapoor: Yes, we are. I mean Fluoropolymer, what we are seeing the traction right now, we expect to see almost 25% growth in Fluoropolymers from where we are today. So we will see a gradual growth in Fluoropolymer as we go along. And this we have said earlier, and we are seeing it again, saying it again. We would continue to see growth in our core business, which is Fluoropolymers.

Moderator: We have our next question from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: Congrats to see that margins have expanded and Y-o-Y numbers have been pretty good. Sir, first question is on Fluoropolymers. So last time, you had indicated that we'll be able to optimally utilize the Fluoropolymers capacity by end of FY '26?

And just now you also alluded that we have a relatively good visibility on the same. When we are talking about the INR 400 crores of capex on the legacy business, does this also include Fluoropolymers because beyond FY '26 if we are optimally utilizing, you will need additional capacities to cater from FY '27 onwards? So just your thoughts on this?

Bir Kapoor: Yes, Rohit, thanks. Exactly. That's what our plan is that the INR 400 crores capex that we are planning in GFL will primarily cater to Fluoropolymers, because there will be some amount of capacity addition, balancing, debottlenecking, which will happen as we go along, okay? And I have already stated that earlier a long time back that we have built up the capacity required in

monomer.

Now downstream, setting up the reactor to add incremental capacity capex requirements are not that significant. So we are taking into account our future business. This is what we intend to do in this coming year, spend part of the INR 400 crores in Fluoropolymers .

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Rohit Nagraj: Got it, sir. Sir, second question on the EV part of the business. Given that we have already submitted commercial samples, we've received approvals for most of the products. Can we envisage a sizable contribution from the EV subsidiary in FY '26? And obviously, that will further scale up in FY '27?

Bir Kapoor: We expect the revenue from EV business to trickle in towards the second half of this financial year. I would not say sizable because GFL, of course, is a fully grown business. But nevertheless, we expect the ramp-up to continue and pick up in FY '27.

Moderator: We have our next question from the line of Arun Prasath from Ave

ndus Spark.

Arun Prasath: Sir, first question is on the -- once again, Battery Chemicals , EV materials. So we have kind of indicated INR1,200 crores of capex in '26 . Of that INR 1,000 crores will be from the fund infusion and rest of the INR 200 crores from the internal accruals. So this INR 200 crores is the operating cash flow generated by the EV business? Or it is leftover infusion from the previous years? How should we see this?

Bir Kapoor: See, this INR 1,200 crores that we are saying is the cash flow out that will happen this year in capexes for EV business, okay? So this will be, of course, in continuation to whatever the project that we had started. There will be some more new projects that will be added as we go along. I don't think we have said that there will be a split in terms of accruals or outside.

The EV businesses, of course, we have indicated earlier, will be funded through external. Whatever had to happen from internal accruals, we already did that. Going forward, we'll be funding it through external fund raise, okay?

Arun Prasath: No, sir, we have mentioned it is self-funded. Rest of the capex will be mentioned is self-funded by EV business. That's why the question is.

Akhil Jindal: Sorry, I just want to add...

Bir Kapoor: Let me get Akhil online here. Akhil is our CFO, please.

Akhil Jindal: I think what we mentioned in the last 3, 4 conferences is that the funding will be done from external sources without relying on the internal cash flow of GFL. And this is what we did in the FY '25. If you see the entire capex of almost INR 700 crores is funded out of the equity raised in September, October of last year.

We raised INR 1,000 crores last year, which has funded the capex . We still have some cash out of that equity raise, which would be partly used for capex this year. Also, the new capex that Dr. Kapoor just mentioned would all be funded by the external sources without relying on the cash flow of GFL. That has been our stated position for the last 6 to 9 months, and that continues to be.

Arun Prasath: Okay. Understood, sir. Sir, second, when we are saying that we will be getting some revenue tripling in from the EV business , fair to assume that first, it will be from the Fluoropolymers because at least in the salt and the electrolytes, we still don't get the local customers or our

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overseas customers giving the orders. So Fluoropolymers will be the main contribution even in the EV business?

Bir Kapoor: It will be both. It will be salt as well as Fluoropolymer , which is used as a binder because both are at very, very advanced stages of getting qualified. So you're right. I mean there will be a combination of the two. I will not say it's only Fluoropolymer , it's both. Because both are very close to getting commissioned.

Arun Prasath: Right, right. Sir, finally, one question on the PTFE and Fluoropolymer . So can you just help us understand in terms of pricing, in which stage each of the molecules are, say, FKM, PFA and PTFE, which is further basic and value-added, where pricing is in, say, at the bottom of the cycle or at the top of the cycle or in the middle trending upwards or downwards? Some color on this would be helpful.

Bir Kapoor: Yes. Thanks, Arun. I'll request Mr. Kapil Malhotra, who is the Business Head of Fluoropolymers, to take.

Kapil Malhotra: Arun, good afternoon to you. Firstly, I would like to say that in the last two conferences, I had mentioned that in PTFE, we are trying to go for higher value-added grades, which is a constant

with us. And currently also, we are doing the same. As such, the prices are stable in the market, but we are constantly churning our portfolio to go for higher value -added grades of PTFE, which is also showing reflection in our margins, which are improved. Coming to FKM and PFA. In FKM, we are also -- b

ecause FKM is kind of a business where there are new projects which are constantly under approval. So quarter -by-quarter, we are improving our business volumes in FKM prices are stable. And there also, we have some higher value -added grades, where approval process were long, but now the approvals have started coming in and commercials have started.

In PFA, we are into a regular business, which I also told last time that approvals have come even from some of the semiconductor applications. And some of the approvals are still underway, and they will keep on coming quarter -by-quarter, and the business will keep on going.

And also one of legacy players has moved out. That benefit also we started seeing, and we'll subsequently start seeing in the next quarters also.

Arun Prasath: Okay. We are seeing the benefit in terms of pricing or volume? Because I don't see much benefit in terms of pricing in the -- because of the legacy player exit.

Kapil Malhotra: See pricing, we are always at par with the other players. But yes, volumes definitely will increase. They have started increasing. And we also feel that most of the in-line stock material will also finish off by this quarter end. So even volumes will also keep on increasing from next quarter onwards further.

Arun Prasath: Understood. Sir, finally, on the power and fuel. Is the full benefit is fully reflected in this quarter? Or is it still something will trickle in the next quarters as well?

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Bir Kapoor: It will come next year. Manoj, do you want to add that?

Manoj Agrawal: Yes. So part of the commissioning has happened and part will be in this financial year '26.

Arun Prasath: So this is only very in the early stages. So we still think more than 60%, 70% of the benefit it is at TECO. That's the right understanding?

Manoj Agrawal: Yes, yes.

Moderator: We have our next question from the line of Naushad Chaudhary from Aditya Birla Life Insurance.

Naushad Chaudhary: Two clarifications. First, on the EV chemical business. In last 2, 2.5 years, the -- a lot has changed in the overall EV project -related business from a pricing point of view and all. I was just wondering, has this also impacted in terms of cost or capex per ton or whatever metrics we follow from a capex requirement per ton for this business?

Bir Kapoor: Thanks, Naushad. What we have been -- obviously, there has been some changes in the global market because of the tariff situation, et c. And of course, I think what you're referring to is the overall battery material prices in China have dropped down significantly, okay?

However, when we look at our own business plan, we have a very long-term plan and where we have factored in our positioning, which is typically as a supplier, which is an outside China supplier with a very large bouquet of products, providing a robust supply chain, which is independent of China.

So with this kind of positioning, we have our own set of plan with respect to what pricing and the pricing premium that we can command over China. So our business plan and capexes were based on that situation. And we have already accounted for what the current pricing is today because these pricing have been quite stable now for almost a year, what you are talking about. Almost 3 years back, they were high. But I think last 1.5 years or almost 1 year, they have been very, very stable, whether you look at the salt pricing or LFP or any of the battery materials pricing.

So our capex's plan, our business model and the projected business financials, we have already accounted for what you see in the market today. And coming back to your capex's part, yes, we have a target in our mind because the initial plant as we go on adding capacities, our specific capexes are benchmarked at the global level.

So what -- for example, the plant is costing, for example

e, in China, our target is when we reach the full commercial scale capacity additions, these will reach the same level of benchmarks.

Naushad Chaudhary: I'm sorry, actually, my question was basically because the metrics is changing for the industry.

It was emerging industry initially, the capex per ton would have been higher. I'm just assuming because things have changed now, has the capex per ton requirement for the industry changed?

Or is it at par what it was 2 years back?

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Bir Kapoor: No. If we talk about the industry, again, I would emphasize there are two set of industry. One is within China and other is outside China, okay? Outside China, there have not been a very significant capacities of salt, for example, or for LFP for that matter. So outside China, the -- it's still capacity is being added and it's built with GFL being one of the leading players. So our benchmark of the capex are still the same. So outside China, these materials have not really developed yet.

It's still at a very, very early stage. So most of the development in terms of capability has happened within China. Outside China, it's at very, very early stage. Do -- I mean, did I answer your question?

Naushad Chaudhary: Yes. So excluding -- ex of China, nothing much has changed in terms of capex requirement?

Bir Kapoor: Correct. Absolutely.

Naushad Chaudhary: Okay. And second question on this, if you have to highlight a few key risk to the EV project business, what would that be?

Bir Kapoor: See, in terms of fundamental of EV is very, very strong because this is -- has to come because of the green climate agenda plus as we are seeing growth in renewables. We talked about growth in EV as well as ESS, both sectors. So in terms of risk, if I see, in terms of timing, how these eventually grow. But fundamental that whether we will be able to reach, for example, in India, 300 gigawatt hours or not, I don't think we see that as a big risk at the moment.

Naushad Chaudhary: Okay. And overall working capital cycle for this business versus base would be similar? Or would there be any difference?

Bir Kapoor: We expect it to be similar because in this case, also since our target market is -- a big chunk of that is outside India. So we will have to be supplying material to US, for example. There will be material which will be on the high seas. We'll have to maintain certain level of stocks. So we should be very similar to our Fluoropolymers, Naushad.

Moderator: We have our next question from the line of Ankur from Axis Capital.

Ankur: First question on the Fluoropolymers side. So early teens sort of growth this year. If you could highlight what has been the key driver for this growth largely coming from the new Fluoropolymers or on the PTFE side?

Bir Kapoor: It's largely from -- Ankur, it's largely from new Fluoropolymers, and that's what we have said because we had built up capacity anticipating the demand to pick up for multiple reasons. And this is exactly the way it is progressing now. It's happening in new Fluoropolymers.

Ankur: Sure. And as you highlighted in one of the earlier comments, the consolidation among the global players, the benefit from that, it is yet to come in? Or we have already started seeing some benefit in Q4, the volume-led growth?

Bir Kapoor: So some of it has trickled in, but more -- we see -- expect to see a lot more because for one of the legacy players stopped their production in a few months back in December only, and they Gujarat Fluorochemicals Limited

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were pipeline. So we have started seeing a traction now. And there's another legacy player who has relocated and stopped the production in Europe. So a lot of it we expect to see, I think, in quarters to come.

Do you want to add, Kapil, please?

Kapil Malhotra: Yes. Ankur, as just men

tioned some time back, we have started seeing some traction. But yes, as Dr. Kapoor is mentioning, there are some materials which are in the pipeline, stocks in the customers in the pipeline. So they are expected to finish off by this quarter end. And we expect, as the customers are giving us indications, that subsequent quarters, these volumes should grow up in replacement of the products which were being supplied by these legacy shares.

Ankur: Sure. So possibly a step-up jump there maybe in the H2 coming in. Fair. Just a second bit on the battery chemicals side. While you highlighted that this capex is going to be pretty widely spread across the multiple products that we are trying to address in this value chain. Just trying to get your thoughts in terms of, let's say, our quality as well as cost competitiveness in salt, binder and other products vis-a-vis not only China, but let's say, non-Chinese vendors. Pricing you did highlight, but overall on the offering side.

Bir Kapoor: So if we look at among our non-Chinese players, I think we are one of the most competitor in terms of not only capability to supply, add capacities and give quality. If you look at binder, which is Fluoropolymer, of course, we have been around in this business for a very long time. So we are fairly at the benchmark in terms of quality as well as capability.

And in salt as well, in the last one year since we started and started optimizing and stabilizing our plant, I'm happy to share that we have reached the world benchmark in terms of quality. Today, our salt quality is

comparable to anywhere in the world.

Ankur: Sure. And pricing, as you highlighted, will be, let's say, a premium to Chinese, but let's say, at par to the other global vendors?

Bir Kapoor: Of course yes.

Ankur: Is that a fair assumption?

Bir Kapoor: Yes, that's a fair assumption.

Moderator: We have our next question from the line of Dhruv Muchhal from HDFC AMC.

Dhruv Muchhal: Sir, on the R -22 price trend, so prices are positive, but any implication from the quota cut volumes or it's more than offset by the pricing benefit?

Bir Kapoor: Yes, Dhruv. I think, yes, it will offset. But at the same time, if I look at my entire segment, we will, of course, be adding R -32 as well. So if I look at it overall, refrigerant segment is expected to grow overall. In spite of the quota cut in R -22, the pricing will, of course, more than compensate for it. And in addition, as we'll be adding R -32, our overall refrigerant portfolio is expected to grow.

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Dhruv Muchhal: And sir, on R -32, the time line remains by end of FY '26, is it?

Bir Kapoor: We are trying to see how we can expedite to come to the market. We are looking at various options, including retrofitting. And let's see. But we will -- our target is to bring the product by the second half of this year, this financial year.

Dhruv Muchhal: Okay. I mean, you're trying to prepone it further?

Bir Kapoor: Yes.

Dhruv Muchhal: Okay. Okay.

Bir Kapoor: Looking at the market opportunity, we are looking at how best we can prepone it and bring the product to the market.

Dhruv Muchhal: But sir, then is it fair to assume the full run rate volumes of 20,000, I think what you're planning, I'm not sure, 20,000, if it's the number, that happens from the end of FY '26? Or can it be also earlier? I mean the retrofitting can give you all the volumes or it will be gradual only?

Bir Kapoor: It, of course, depends on how market ramps up. But our target, of course, is FY 20,000 that we had indicated earlier, which will possibly be a combination of retrofitting as well as if we are not able to get that much volume, it will be the capacity capex additions. So it will be the combination of the two. However, the target is 20,000. That's -- we are holding on to that target.

Dhruv Muchhal: And sir, sorry,

quick two questions is on power and fuel, sir, what would be the annual saving from power and fuel be with the captive plant? And just some breakup, if you can give of the CWIP that we have, it's about INR 1,500 crores, INR 1,600 crores as of March, a reasonably sizable number. So some sense of what this capex is relating to?

Bir Kapoor: Yes. Dhruv, I'm requesting Manoj Agrawal to. Please, Manoj.

Manoj Agrawal: Yes. So as we indicated earlier also, the total saving will be in the tune of INR 120 crores to INR 150 crores on an annualized basis, but that will trickle in partly this financial year and based on the -- as and when the facilities comes up.

Dhruv Muchhal: So because this quarter itself, we see a delta of about, if I'm not wrong, INR 30-odd crores ...

Manoj Agrawal: But that is on account of our shutdown, which has happened due to the incident, which has happened in the CMS -1 plant. So our CA and CMS was shut down for 15 days. That has credit because of that, not on account of savings.

Dhruv Muchhal: Okay. Got it. And sir, on the CWIP?

Manoj Agrawal: Pardon?

Dhruv Muchhal: The CWIP number, INR 1,600 crores we have as of March, that pertains primarily for?

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Bir Kapoor: I think as we talked about that some of the reasons, we expect that the working capital to normalize in terms of number of days ...

Dhruv Muchhal: Sir, pertaining to the capital work in progress, the fixed assets that we have?

Manoj Agrawal: No, see, capital work in progress, that depends on all the projects whenever gets completed and commissioned and then capitalized in the books of accounts. So what management is more interested in giving you guidance on the cash flow perspective, how the capex will pan out in this next financial year and CWIP will take an accounting course.

Dhruv Muchhal: No, I'm wondering the INR 1,600 crores is a large part, I'm not sure 60%, 70% of this relates to batteries or this has primarily some of the polymer businesses and batteries is coming up now?

Just trying to understand...

Manoj Agrawal: It is the consolidated accounts, it consists of batteries also. Yes. It includes batteries business.

Dhruv Muchhal: Sir, some specifics would be helpful, but probably I'll take it off -line.

Moderator: We have our next question from the line of Alok, an Individual Investor .

Alok: Sir, I have two questions. The first one was coming to the overall EV market. Where is it that you see positive spots? Like if I were to compare Europe and U S, where do you see more confidence from your customers? And how are you looking at these different export markets that you're targeting?

Bir Kapoor: Yes. I think we are looking at -- I think we have indicated a number of times that one of the markets that we are focusing on is U S, where we expect to see very large growth much more than EU.

I'll anyway request Rajiv to add, Rajiv?

Rajiv Rao Yes. So this is Rajiv here. So our focus markets for our EV products are going to be US and India. In the US markets, it would be U S companies as well as the Koreans and Japanese companies who have a significant play in the U S markets. So while we look at going into the US markets, we are in touch with companies in US , Japan and Korea.

And also, the next market is the India market, which is just starting with a few cell OEMs getting ready to start their plants. So India is the second market that we are focusing on. So we have good confidence in both US and India markets at the moment.

And Europe is also starting off. We have been in touch with customers, validated some of our binders, also sampled our electrolyte salts. So that is also going on. So US, India, Europe, those are the three markets.

Bir Kapoor: But Europe has been slightly behind, Alok, compared to US and India.

Alok: Okay. Sir, and you don't see any particular major headwinds from the

recent administration moves and policies?

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Bir Kapoor: Not really. In fact, on the contrary, Alok, we see that as a positive because one of our premise is that we provide an alternate supply chain. And whatever that we are seeing, of course, it will take several months to fully stabilize and unfold what the tariff situation will be. But nevertheless, if I look at the differential, there will always be an advantage to -- from India side, okay, or supplier who's from India.

Alok: Okay. Sir, and lastly, I think you mentioned earlier in the call that you're expecting to deliver about INR2,000 crores EBITDA for FY '26. So did I hear that correctly?

Bir Kapoor: I don't think we said that. INR 2,000 crores, but we expect, of course, but we have never given this number in the conference.

Alok: Okay. So I mean INR 500 crores ...

Bir Kapoor: What I have stated, let me repeat what I have stated is, we have stated that we expect to see a significant growth in our Fluoropolymer segment, which we expect to achieve almost 25% growth year -on-year or higher than that. And then we have also said growth will come in refrigerant section -- refrigerants, which will primarily because, of course, the new product being added. Okay? So this is what we have indicated.

Moderator: We have our next question from the line of Meet Vora from Emkay Global.

Meet Vora: First question was in terms of R -32 capacity . How much capex are we doing in Phase 1, that is 20,000 tons of R -32? And what amount of capex are we doing for putting HF for this R -32 capacity?

Bir Kapoor: Yes, Meet, in fact, in the last quarter call, we had indicated a capex of around INR 150 crores, okay? So we are still holding on to that capex , and we'll see how it -- the capacity addition actually takes place with respect to how much we can add in our existing available capacities in the existing plants and how much we'll have to build up the new. But the capex number probably would remain within the number that we have indicated.

Meet Vora: Sir, does this include HF or this excludes HF? HF will be separate or...

Bir Kapoor: HF will be separate. This does not include HF.

Meet Vora: So sir, if you can give some sense on how much HF capex we are doing?

Bir Kapoor: HF capex is, I think we have not yet announced, okay? But I think HF is in the overall product capexes . But I don't think we have specifically announced the product -wise capex for HF.

Meet Vora: Okay. Because I was asking this question is because we are planning to spend around INR 400 crores in FY '26 in the stand-alone business. So maybe like around INR 200 crores, INR 250 crores goes in R -32 and balance, INR 100 crores, INR 150 crores goes in the Fluoropolymers business.

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So just wanted to understand if we are seeing very strong growth in Fluoropolymers business that is around 25%, 30% Y-o-Y. Why are we not putting more capex in the fluoropolymers business overall?

Bir Kapoor: Meet, I think the capexes that we have indicated right now, INR 1,200 crores in EV and INR 400 crores in our existing business. The HF part is not included in the INR 400 crores of the -- in fact, I indicated some time back that INR400 crores will primarily be a refrigerant as well as the Fluoropolymers, okay? And HF also is required in large quantities for our EV materials business. So HF capacity addition will go into our -- the capexes that is shown for EV.

Meet Vora: Understood. And just on this again. So in terms of R-32 demand, how are we seeing this? So we have a contracted volumes committed to us because we are planning to prepone this commissioning and we are seeing strong demand side in this product. So if you can just give some sense how much R-32 are we expecting to sell in, say, '26, '27, some broad sense, br

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ballpark number?

Bir Kapoor: Yes. I think we expect the demand to be strong. And we have been in this business for quite some time. So as -- so we do not have yet the contract parts. But however, as the capacity will come up, we will be looking at the global market for -- supply to global markets through our R-32.

Meet Vora: Okay. And in terms of -- we were evaluating retrofitting some plants. So this will be R-125, right? Or R-22?

Bir Kapoor: We cannot answer that question. It will be -- it's something which is sensitive to us, and we are looking at -- our intent is to bring the product to the market as fast as possible.

Meet Vora: Sure sir. Just one last bit on this EV side ...

Moderator: Sorry to interrupt Mr. Mehta. We will request you to rejoin the queue?

Meet Vora: Okay, sure.

Moderator: We have our next question from the line of Archit from Nuvama Institutional Equities.

Archit: I have a few questions. So firstly, on the LFP plant, I think what you mentioned in the introductory remarks was that we are expecting to commission the production next month. And

I was wondering, given the current scenario of the gigawatt capacities that we have in India, we probably have 5-odd gigawatts with Ola. And as per your competitor mentioned that we're expecting 4 to 5 more capacities in the next calendar year, which is 2026.

So I was just trying to understand in the interim, have we had any firm orders with any of these customers or the existing one because we are commencing next month. I was just trying to get some cues from you about the ramp-up and the order book that if we have any and any customer profiling that you can give on this account?

Bir Kapoor: Yes. Thanks, Archit. First of all, the company that you mentioned is yet not into LFP. The LFP powder material is used for lithium cell with LFP chemistry. The battery plant, which has just Gujarat Fluorochemicals Limited

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started producing in India is in NMC chemistry, doesn't require it. So India LFP demand has still not picked up yet.

There are -- as I understand, there are no LFP battery manufacturing plant in India as of now. So our focus to begin with, is to market LFP outside India. And we have engaged with multiple customers. And they have also -- so what we are planning to do is to look at LFP to supply into global markets, okay? Indian market, of course, is also our focus, but it will take some time for Indian markets to come into -- or demand in India to come into play.

Archit: Right, sir. So out of the four parts that we have for the Battery Chemicals business, LFP, the salt, the electrolyte and the binder material, out of which LFP and LiPF₆ salt at least for now seems to be an export opportunity because like I said before, for electrolytes, particularly, I think it will take some time. So for these two particular material, could you have some ballpark numbers for us in terms of modeling?

Sir, I'll repeat my question. Sir, I was saying out of the four materials that we have dedicated to the Battery Chemicals business, LFP, the cathode material, the salt, which is LiPF₆ will at least be export-oriented opportunities in the beginning because electrolyte, I'm assuming that maybe by next year, we'll see some amount of sales happening there.

So for these two, which we probably might want to export, do we have any ballpark numbers for modeling as to how much revenue we can expect? Also an addendum to that, if you could also help us with the current dollar realizations of LFP, LiPF₆ salt, the electrolyte and the binder material? That will be really helpful if you can give out that data.

Bir Kapoor: Thanks, Archit. Thanks for asking the question. Unfortunately, I'll not be able to share the pricing numbers or the volumes because one of the things that we have indicated earlier that as these capexes as we get commissioned, there will be a certa

in asset turnover, which gives overall

revenue in terms of -- guidance in terms of overall revenue. For individual products to give us a pricing or the volume detail would be difficult as these are sensitive information and also some of them are the competitive confidential information for us.

Archit Joshi: Sure. Sir, the first part of the question on the export opportunity. Anything that you might want to share that? And also, if you could also just give us what would be your tax guidance for next year? And why was tax rate so much lower in this quarter? The depreciation also, if you could. That would be my last question.

Bir Kapoor: Yes. Thanks, Archit. So first of all, of course, these products would be primarily be catering to US market. We already have engaged both on LFP as well as LiPF6 with customers. And we have a firm almost indication in terms of their requirements. So while LiPF6, as I had indicated earlier, the qualification process is on. In LFP, as soon as our plant gets commissioned, we will be making the product as per the specification provided and send it for qualification. So that process will get started.

Coming back to your tax question, I have requested Manoj, please to answer that question.

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Manoj Agrawal: Sanjesh, this is the one time, sorry, Archit, our tax is lower in this quarter because of onetime credit of reversal of deferred tax liability, which has happened essentially because in the books of accounts, when you -- any asset is there, you have to create a deferred tax liability at the rate of 25%.

However, when you do a sound sale of undertaking, it attracts a capital gain tax at the rate of 12.5%. So there is a delta of 25% and 12.5%, which has created a reversal of deferred tax liability to a tune of INR 29 crores in this quarter.

Archit Joshi: On the tax guidance and on the depreciation also?

Manoj Agrawal: Remain same as previous quarters.

Nitin Agarwal: We have our last question from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I just had one question on the Specialty Chemical business. We have seen sharp uptick for the peers. We have also indicated that we may see good numbers in FY '26. I understand we have put around INR 500 crores to INR600 crores of capex in this business. What is the revenue we are looking at from this business ramp-up? And how should we see specialty from here on?

Bir Kapoor: Yes, Sanjesh. As we have not made any new investments in this fluoro specialty business, okay? This has been what investment that we had made. The last investment was made almost 3 years back. And there, our focus right now in that business is to optimize our product mix, try to get the maximum out of that business.

So it's not really a business where we are putting in a lot of capexes, and we have said it openly.

Now potential revenue that kind of capex that we have invested can generate is purely based on the asset turnover guidance that we had given earlier. So that's all I can say for fluoro specialty, Sanjesh.

Sanjesh Jain: But why haven't we seen any uptick this quarter when we have seen a good offtake for agrochemical where this capital...

Bir Kapoor: Yes, it's -- again, offtake means that it doesn't mean that our plants are not fully utilized. It also depends on the type of product mix one has, okay? So we have certain stable mix of products, which has been going on, and that is what is continuing.

Sanjesh Jain: And we should see a material impact on the...

Bir Kapoor: And there's some bit of growth, of course, but it's such a small portion, Sanjesh, of our overall portfolio that it will not be very much visible.

Moderator: Thank you. We'll take our last question from the line of Naushad Chaudhary from Aditya Birla Sun Life Insurance.

Naushad Chaudhary: A follow-up on Sanjesh's question. If you can share how

much total capital so far we have

deployed on specialty Fluoropolymer business?

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Bir Kapoor: Naushad, you're asking about Fluoropolymers?

Naushad Chaudhary: Yes, Fluoropolymer, how much total capital so far cumulatively we have deployed here?

Bir Kapoor: Naushad, I don't have the figure offhand because this has been -- Fluoropolymer business has been around because we had invested almost since 2008 in this business. And it's -- I think we can take this question offline in terms of what is our current value of these investments. Okay?

Moderator: Ladies and gentlemen, that was the last question for today. And I now hand the conference over to the management for closing comments.

Bir Kapoor: Yes. Thank you so much, Nitin. And I would like to thank you all for your interest in GFL. I would like to reiterate that our growth story, which is driven by our current core business of Fluoropolymer continues. We expect to see growth in this coming year in FY '26.

I have already indicated a number that we expect to see almost 25% growth, primarily driven by new Fluoropolymers where we had invested, we have capacities and now we'll probably see the growth coming in.

The other areas and very strong pillar for us is Battery Chemicals and the battery materials. We are reaching a level of maturity where we have all the plants now in this year we'll be at commercial scale.

And the samples produced from these plants are at advanced stage of qualifications, which is one of the criteria which is required for battery materials, where the product from the final plant goes for qualifications. So we are at that last stage. So we expect this business also to kick off.

And as the market grows in FY '27 and FY '28, we expect this business to be a very strong growth story for GFL.

So with this, I would like to thank you all for your interest. And we look forward to a very strong FY '26 going forward. Thank you.

Nitin Agarwal: Thank you, sir. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Bir Kapoor: Thank you.

Call: Aug 2025

GFCL: BRD: 202 5 12th August , 2025

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip Code: 542812 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

D

Dear Sir/Madam,

Sub: Transcript of conference call with Investors/Analysts held on Tuesday , 5th August , 2025

Ref.: Regulation 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015

With reference to our letter dated 30th July, 2025 and pursuant to Regulations 30 and 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith the Transcript of conference call held with Investors/Analysts of the Company on Tuesday, 5th August, 2025 at 04:00 p.m. to discuss the Financial Performance of 1QFY26.

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The above information will also be made available on the website of the Company at www.gfl.co.in.

W

We request you to kindly take the same on record.

T

Thanking you,

Y

Yours faithfully,

For Gujarat Fluorochemicals Limited

B

Havin Desai

Company Secretary

FCS 7952

E

Encl.: As above

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"Gujarat Fluorochemicals Limited Q1 FY 2026
Earnings Conference Call "

August 05, 2025

M

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFICER AND
DEPUTY MANAGING DIRECTOR , GUJARAT
FLUOROCHEMICALS LIMITED

MR. AKHIL JINDAL – GROUP CHIEF FINANCIAL
OFFICER , GUJARAT FLUOROCHEMICALS LIMITED

MR. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER ,
GFL, GUJARAT FLUOROCHEMICALS LIMITED

MR. KAPIL MALHOTRA – BUSINESS HEAD,
FLUOROPOLYMERS , GUJARAT FLUOROCHEMICALS
LIMITED

MR. RAJIV RAO – BUSINESS HEAD, BATTERY
CHEMICALS BUSINESS , GUJARAT FLUOROCHEMICALS

LIMITED

MODERATOR : MR. ROHIT NAGRAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

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Page 2 of 17 Moderator: Ladies and gentlemen, good day, and welcome to the Gujarat Fluorochemicals Limited Q1 FY '26 Post Results Earnings Conference Call , hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions once the present ation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Nagraj. T hank you, and over to you, sir.

Rohit Nagraj : Thanks, Huda . We thank the Gujarat Fluorochemicals ' management for providing us the opportunity to host the Company's 1Q FY '26 Post -Results Conference Call.

From the Management we have today Dr. Bir Kapoor – CEO and Deputy Managing Director, and the Senior Members of the Management Team .

Without taking further time, I would like to invite Dr. Bir Kapoor to share his opening remarks, post which we can have a Q&A session. Over to you, sir.

Bir Kapoor: Thanks, Rohit. Good afternoon, everyone, and a very warm welcome to all of you for GFL's Q1 FY '26 Earnings Call.

For this call, I have with me my colleagues, Mr. Akhil Jindal – our Group CFO , Mr. Manoj Agrawal – CFO of GFL , Mr. Kapil Malhotra – Business Head of Fluoropolymers , and Mr. Rajiv Rao, who is Business Head of our Battery Chemicals business.

The Company announced its Q1 FY '26 results at its Board meeting held today. The Results , along with Earnings Presentations are already available on the Stock Exchange and on our website.

I will briefly highlight the 'Key Financials ' and then give you an 'Update ' on our 'Business Operations ' and 'Outlook'. I am pleased to share that from this quarter onwards; we will commence reporting segmental data. From now onwards, we will start providing the segmental numbers.

So, let me give you the Chemical segment's update first :

The Chemical segment reported a 9% year -on-year increase in revenue to Rs. 1,280 crores in Q1 FY '26. EBITDA grew by 33% year -on-year to Rs. 354 crores, with EBITDA margin expanding by 495 basis points to 28%. Profit after tax for the quarter stood at Rs. 196 crores, making a 69% year -on-year growth.

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Page 3 of 17 Consolidated revenue from operations stood a t Rs. 1,281 crores, reflecting a 5% increase year -on-year increase. EBITDA grew significantly by 31% to Rs. 344 crores, with margins improving around 500 basis points to 27%, up from 22% in Q1 FY '25. Consolidated PAT also increased to Rs. 184 crores, maki ng a 70% year -on-year growth.

This strong performance was primarily driven by sustained growth in our fluoropolymers business and an improved product mix. The management is focused on working capital reduction ; and thereby, the working capital has reduced from 188 days to 172 days in this quarter, and efforts are on to further reduce over the next few quarters.

Let me now walk you through the performance of each business segment for this quarter :

Our Fluoro segment revenue has been rising steadily, and we have now surpassed our previous high to achieve the highest ever quarterly revenue. We expect this growth momentum to continue on account of growth in new polymer sales volumes, driven by already approved qualifications for high-end applications in sectors like semicon, aerospace and automobiles, amongst others.

The capacity which we have added in new Fluoropolymer segments over the past few years are expected to reach optimal utilization levels by the end of this financial year. Additionally, we will continue to invest in expanding our fluoropolymer capacities to support future growth.

Following initial validations and approvals, we

are now witnessing strong traction in these segments as reflected in our current performance and outlook. Rising demand from key sectors

such as automotive, semicon and electric vehicles and energy storage systems is opening up significant growth opportunities for us. Based on current customer discussions and approvals, we are confident of achieving around 25% growth as guided earlier.

In our Fluorochemicals business segment, we are excited to announce the start of commercial production of R32 in Q2 FY ' 26, which is several quarters ahead of schedule. This has been achiev ed through strategic retrofitting and at minimal capital expenditure. We aim to ramp up

our R32 capacity to 20,000 metric tons in phases by the end of this financial year. Further capacity additions planned will be firmed up looking at the market opportunity. With this addition, we now offer a complete range of refrigerant products, including R22, R32, R125 and R410.

The Specialty Chemicals segment remained stable during the quarter and is expected to see steady improvement going forward. Our bulk chemicals segment saw a slight decline in revenue during the quarter, mainly due to lower caustic soda prices and a planned CMS plant shutdown. We expect this segment to normalize in the coming quarters.

Turning now to our Battery Chemicals segment – This segment is emerging as a cornerstone of our future growth, further aided by the global demand for battery energy storage to support large-scale global developments in AI/ML, workloads, global capability centers expansion, EV

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Page 4 of 17 infrastructure and renewable energy deployment, all of which are accelerating the adoption of battery storage systems.

A major catalyst is the recently introduced bill in the United States, which expands subsidies beyond electrical vehicles to include energy storage systems. The bill offers a substantial USD 45 per kilowatt hour subsidy, covering approximately two-thirds of the battery costs, making large-scale battery productions in the US, not just feasible, but highly attractive. Importantly, the bill also introduces supply chain safeguards requiring up to 85% of inputs in the next few years to be sourced outside the prohibited foreign entity category over a period of time.

Currently, the largest supply chain for battery material is originating in PFE category country, therefore, providing an excellent opportunity for our battery material business to present an alternate supply chain option to our customers. We are exceptionally well positioned to lead this space. Our existing capacities and initial approvals give us a strong foundation for global leadership.

Besides our electrolyte and salt plant commercialization, our LFP CAM plant has successfully completed pre-commissioning activities and our LFP pilot plant is also now operational. We are actively developing customized grades tailored to customers' specifications, reinforcing our commitment to innovation and responsiveness. This is a pivotal moment for our battery materials business, and we are confident in our ability to capture the opportunities ahead.

Let me now touch upon the recent US tariff announced on India where an additional duty of 15% has been imposed, taking the total to 25% from 10% previously. Products, however, like PTFE and micro powders, and majority of our battery materials, are exempt under the reciprocal duty list. The revised duty, however, applies to a few of our new fluoropolymers as these products are highly specialized with very few suppliers globally. And having a long qualification cycle, we believe it will not be easy to develop an alternate supply chain in short to medium terms. Therefore, we do not see any significant impact on our business.

To summarize:

The Fluoropolymer segments will benefit from incremental sales of high value-added products.

Fluorochemicals

will see significant increase in revenue driven by commencement of our R32 business. And our battery material business is poised for significant ramp-up in the medium to long term. We remain confident of delivering sustained growth and creating long-term value for all our stakeholders. Thank you, and we are now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Rehan from Trinetra Asset Managers. Please go ahead.

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Page 5 of 17 Rehan Saiyyed: Yes. Good evening to the team. And thank you for giving me the opportunity. I have a couple of questions, first on the fluoropolymer side. Fluoropolymer revenue has reached all-time high in this quarter. So, is this run rate sustainable? And what visibility do you see in the volumes for the rest of FY '26 in the upcoming quarters? That's my first question.

Bir Kapoor: Rehan, we have already stated that we expect the fluoropolymer business to achieve a growth of 25%, and we see that happening probably by the time we complete this financial year. And we expect this revenue growth to continue quarter by quarter.

Rehan Saiyyed: Sorry, I missed that part. Okay, I will note it. And my second question is on the customer approval pipeline. Can you elaborate on the customer approval pipeline for the new high-purity polymer, especially for semiconductors and aerospace applications?

Bir Kapoor: Sure. I will request Mr. Malhotra to take it.

Kapil Malhotra: Hi, Rehan. So, I also mentioned in the previous calls also that a couple of high-end applications, especially semiconductor, we have mentioned in our statement, aerospace, automobiles. So, we have also got a couple of high-end polymer approvals from the Western countries also and also from Far East countries. So, the commercial business also has started from these applications.

With every quarter coming up, we expect these numbers to ramp up and the business to grow up continuously and more

approvals to come consequently from other customers also.

Rehan Saiyyed: Okay. And sir, my last question is just understanding like regarding that you have stated right now regarding the US tariff. So, right now we are dealing in the Specialty type of chemicals in the US market, so that's why we are not exempted towards tariffs. Is my understanding correct in this?

Bir Kapoor: No, there are specific products which are mentioned.

Rehan Saiyyed: Like R125 and R410A.

Bir Kapoor: Right. I do not think the refrigerant gases are part of that. The PTFE and micro powders are part of it and majority of the battery materials are part of the list, it's exempted from the reciprocal duty list.

Rehan Saiyyed: Okay. That's it from my side. Thank you, sir. Those were my questions.

Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Yes, thank you. Good afternoon, sir. Thanks for taking my questions. A couple from my side.

First, on the R32, can you help us understand what is the capacity we added now by retrofitting the existing plant? And we said in the opening remarks that we are looking to scale up to this

30,000 metric tons by end of FY '26, is that right understanding? Or you will wait for validation

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Page 6 of 17 of this product and then you would want to expand and take a decision? Or we have already started the work on expanding?

Bir Kapoor: Not really. Thanks, Sanjesh. Thanks for your question. First of all, since this is a retrofit, we have already done. We have already checked the materials and it's already qualifying. We have also shipped our first shipment to our customers. So, the plan right now is not wait and then expand. Since we are retrofitting, it is done in phases. So, as I ha

d stated, 20,000 tons by the end

of this financial year, Sanjesh. And then we will decide on the further ramp-up plan based on looking at the market opportunities available to us.

Sanjesh Jain: Okay. So, by when are we expecting this existing plant, I do not know what capacity we have added to reach the optimal utilization? And what is the capacity with this first phase we have done?

Bir Kapoor: So, Sanjesh, it will not be appropriate for me to give the exact capacity now. But of course, it's in upward to 10,000 that we had indicated. And we will slowly ramp it up going forward.

Sanjesh Jain: And the remaining 20,000 will also come as a retrofit or it will be a fresh plant?

Bir Kapoor: Everything will come as a retrofit. Of course, it may require some amount of balancing equipments to be added because always retrofit there are imbalances. So, when I said end of the year, because that means we will be adding some equipment to debottleneck and ensure that we achieve that capacity that we are talking about.

Sanjesh Jain: And when are we expecting to reach this upwards of 10,000 capacities to its optimal utilization, is this quarter possible Q2?

Bir Kapoor: So, I think capacity utilization we will probably share you a little later but looking at the market opportunity that is available to us, we expect that utilization to happen rather fast.

Sanjesh Jain: Got it. Second, on the fluoropolymer. You said that we have good visibility on order book, and you reiterated the guidance of 25% for this year. First quarter was not 25%. So, what is giving us confidence? And then there is an uncertainty of US tariff, which is a very large market for us.

I know PTFE does not get impacted, but new fluoropolymer does. So, what is giving us confidence of this 25% growth?

Bir Kapoor: So, I will just make one comment, then I will hand it over to Kapil to add more. The first thing is, because since we have already been approved, and as you know, the fluoropolymers, these are very specialized products. After approval, normally the orders start at a relatively small level and then keep building up. So, that is what is giving us confidence because we have a large number of approvals in place.

Now coming back to the capacity, this tariff situation. US is a large market for us. But if you look at the volumes are very large in case of PTFE and micro powders, which are on the exempt

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Page 7 of 17 list. New polymers are indeed part of it, but there's a certain level of their stickiness to that business. And I will let Kapil add to that.

Kapil Malhotra: Yes, Sanjesh. So, as Dr. Kapoor has mentioned, in the US, as PTFE and micro powders are exempted, however, all the new fluoropolymers, they command a very special application, as we have mentioned, a couple of application names also. So, the demand is inelastic of the prices majorly. And we expect that we should be able to majorly negotiate all the prices as per the tariffs slowly and steadily and should be able to continue the business.

Our approvals, as I mentioned, are already on and some of the other approvals will keep on happening with every subsequent quarter. And the ramp-up will keep on happening in the

business as and when we keep on getting these approvals and also the commercial business keeps on increasing as we keep on getting more orders.

Bir Kapoor: And just to add, Sanjesh, that the earlier 10% that we are talking about has already been passed on, so now we are looking at this delta of 15%.

Sanjesh Jain: Very clear, very clear. On the R32 pricing, it's been quite firm for a while now, but now the capacities have started flowing in, what is the expectation on the pricing? Because we have seen this in 125 also, right, the prices went up to \$18, then cooled off to \$5. Something like that in R32, again, do you see a risk of pricing normalization

at the levels which were earlier, say, at \$3, \$4? Or you still believe \$6 is sustainable pricing?

Bir Kapoor: See, of course, we expect the price to remain in the same range. And what you are talking about R25 was a different situation, the prices on R25 were based on a duty in a very specific country, okay? In this case, R32 fundamentals of where the R32 pricing are very different. And the reasons are very different than 125, okay? And the reason primarily, of course, is the constraint on the supply side and the prices being high in one of the largest suppliers in the world, okay? So, that's the reason the prices are high. So, we expect it to continue. But obviously, it's very difficult to project, but we expect this to continue in this range.

Sanjesh Jain: Very clear, sir. Thanks Bir sir and Kapil answering all those questions. And best of luck for the coming quarters.

Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Hi, sir. Congratulations on the good set of numbers. Thanks for the opportunity. Just a follow-up on the R32 bit. From an end-use market where you will be selling this, so this will be largely focusing on the Indian market or the proportion on the export side will be higher?

Bir Kapoor: We will be focusing, Ankur, on the global markets completely today, because we already had 125. So, we have now a combination of R32, 125, which gives us an opportunity to penetrate deeper with 410 into the market all across.

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Page 8 of 17 Ankur Periwal: Sure, sir. That's helpful. Second bit on the new fluoropolymers you did highlighted we are going to almost optimal utilization by the end of this financial year. I recollect we had some expansion plans on the PVDF side, almost Rs. 300-odd crores. By when are we expecting this capacity to come on stream? And secondly, if there are any further plans given that we will be optimally utilized by the end of this financial year?

Bir Kapoor: See, the capacities in terms of the investment that we have made is online, okay? And those are the capacities that we are talking about because these investments were made quite some time back, okay? And as the qualifications have been received, we are getting more traction on orders and the volumes are going up. So, in terms of capacity utilization, we expect the optimal to reach by the end of this financial year. Do I answer your question, Ankur?

Ankur Periwal: Yes, Sir, just a clarification. So, once we reach optimal utilization number this year, I am sure given the demand environment, there will be an incremental sort of market share gain that we will be looking forward to. Does this Rs. 300 crores CapEx suffice for that for your growth in '27? Or we are looking something beyond that as well?

Bir Kapoor: No, we will be looking at more investments in this. And I think we will give you a better perspective probably a quarter from now. But we have plans to expand and add capacities in fluoropolymer business as we are closing to the optimum capacity utilizations.

Ankur Periwal: Okay. Great. That's helpful. And just lastly, because of the renewable plant there, there was a saving that we were expecting of around Rs. 150-odd crores. Just if you can share some thoughts on the time lines on when we can start seeing the benefit from that coming in.

Bir Kapoor: I will request Akhil to take this.

Akhil Jindal: Yep. So, Ankur, the investment has started. The construction is going on on-site. And to that extent, you must have noticed in one of our notes to Clause 41 that as a Company, we have invested close to Rs. 190 crores till date as an equity. So, the total plan is to be a partner in this 450 megawatt of renewable energy. And the saving will start accruing from Q3. So, basically, it will come in stages. So, I think the first instalment

will happen in Q3. And to that extent, the saving will start coming in. You should be aware that 50 megawatt is already operational. To that extent, the savings are already accounted for in our current P&L numbers. Did I answer your question?

Bir Kapoor: Yes, yes. Just a clarification, the full benefit stands at Rs. 150 crores. So, let's say FY '27 we will see that full benefit?

Akhil Jindal: That's right. So, FY '27 will be the first year of full operation, so the full benefit will be available in that year, you are right.

Ankur Periwal: Okay, great sir. That's helpful. Thank you and all the best.

Page 9 of 17 Moderator: Thank you. The next question is from the line of Arun Prasath from Avendus Spark. Please go ahead.

Arun Prasath : Thanks for the opportunity. Good evening, everyone. I think earlier we had guidance for our existing business and EBITDA of Rs. 2,000 crores. So, in light of these developments with the fluoropolymers segment, are we still sticking to this guidance? Second, on a like -to-like basis, with the ref gas coming in, probably the like -to-like guidance number should be higher, right? So, if you can guide on this, it will be helpful.

Bir Kapoor: Yes, Arun, I think if I recall correctly, I do not think we have given any guidance in the last quarter. Of course, we had mentioned all along that there will be a 25% growth in our fluoropolymers business. And I do not think we had given Rs. 2,000 crores guidelines in last quarter or so for the EBITDA.

Arun Prasath : No, not in the last quarter. It was mentioned before that, and it's kind of a kind of a medium - term target with the full potential of the fluoropolymer's volumes.

Bir Kapoor: Yes. Of course, our target is to reach that level, but that guidance we had not given in the last quarter, Arun .

Arun Prasath : Okay. So, at the current volume run rate, is there any possibility that we will be reaching the full potential this year, sir?

Bir Kapoor: You mean for the fluoropolymers?

Arun Prasath : Fluoropolymers business, yes.

Bir Kapoor: Yes, we said that we will reach the full potential by the end of this financial year.

Arun Prasath : And on the exit of the legacy player, what is that you are seeing on the ground? Anything visibly which is shifting ground? And what kind of the impact it is having on the pricing and inventory?

Some bit of color on this would be helpful.

Bir Kapoor: Could you come up again? You were mentioning about the legacy players.

Arun Prasath : Sir, I was asking on the exit of the legacy player. Post that, we said that in the second half of Calendar '23, we should see more impact on the volumes and as well as the pricing. Anything?

Any development on that front?

Bir Kapoor: Yes. I will let Mr. Malhotra take that.

Kapil Malhotra: So, Arun, some of the impact we have already started seeing in some of the products and segments. And we will continue to see that in subsequent quarters as and when the stocks deplete of these legacy players, and we keep on getting our approvals from the customers. So, the

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Page 10 of 17 business is already on and replacements are already on. And the process is undergoing from quarter -to-quarter.

Arun Prasath : Okay. And what kind of the impact we have already kind of -- say, for example, in this quarter we have shown a few increase of --

Moderator: Sorry to interrupt Mr. Arun, but I request you to rejoin the queue for the follow -up question as there are many participant left in the queue.

Arun Prasath : Sure. Thank you.

Kapil Malhotra: Thank you, Arun.

Moderator: The next question is from the line of Lavanya from UBS. Please go ahead. As t here is no response , I am taking the next participant who is Archit Joshi from Nuvama Wealth. Please go ahead.

Archit Joshi: Good evening,

team. And thanks f or the opportunity. Sir, the first question on the segment information that we have started providing from this quarter. I see that we sold roughly Rs. 5 crores in the previous quarter and Rs. 1 crores this quarter from EV products. And an addendum to that, if I just take a look at our capital employed disclosure, our Rs. 1,658 crores worth of segment assets have largely remained unchanged on a quarter -on-quarter basis. And we are expecting roughly Rs. 1,200 crores of CapEx infusion in the EV products business.

Sir, first on the sales that we have done, sir, where is this exactly coming from? If you can elaborate a bit that what part of the EV product you started selling? And if Rs. 1,200 crores CapEx e ndeavor is still on track? And when do we expect the assets to start getting beefed up in the next few quarters? That will be my first question.

Bir Kapoor: Thanks, Archit. Our EV business, as I stated earlier, is , we are looking at the longer -term growth opportunities. In the short term, of course, now the sale that we are talking about is very, very small. And those, in my view, have still not trickle d in. We expect the sales from the EV business to start trickling in by the second half of this year. It's been quite a little bit, okay? But we will start seeing more meaningful numbers perhaps in FY '27, okay, which we will start seeing the full impact of the capacity that we have set up, okay?

Now coming to your next question about your CWIP, I mean, we ha ve been around Rs. 1,000

crores I think in GFL, which is approximately because we have various projects which is going on at multiple units, and this is a typical number that we see. Because as these projects get commissioned, we take them and recapitalize them. So, we do not see anything unusual with this Rs. 1,600 crores number because we have a large number of projects going on. And particularly, of course in the EV where the large number of projects are under construction and under commissioning.

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Page 11 of 17 Archit Joshi: Sir, sorry, it's still not kind of fully clear. I mean, I am just referring to the presentation where we have given a divide that you invest Rs. 400 crores this year in GFL and Rs. 1,200 crores in EV. And my question was largely pertaining to just getting a sense that how are we seeing CapEx in the EV part? Basically, are you sticking to the Rs. 1,200 crores yearly CapEx?

Bir Kapoor: Okay. I am sorry. See, we had already indicated that we have invested close to Rs. 1,300 crores in EV till the last financial year, and we are planning to add another Rs. 1,200 crores in this financial year going forward. And it remains as per the plan. So, there is no change in the EV plan as of now.

Archit Joshi: Got it. Understood. Sir, one more question on the fluoropolymers bit. With, of course, knowing that the legacy player has exited and we have displayed a very solid performance in fluoropolymers. The next leg of CapEx that you are planning, maybe this Rs. 400-odd crores number that alluding to the presentation, any particular fluoropolymer that we are targeting? Is it more PTFE-led capacity addition or FKM, FEP, anything that you might want to give a broad directional kind of a guideline as to within the product mix, which should be something that one should look out for in terms of growth prospect?

Bir Kapoor: Yes. Thanks, Archit. I will let Mr. Kapil take that.

Kapil Malhotra: Yes, Archit. Yes, so this investment is going to be across all the fluoropolymers, including PTFE and new fluoropolymers.

Bir Kapoor: It's difficult for us to bifurcate, Archit, because we see growth opportunities --

Kapil Malhotra: In every product which we have in our portfolio. So, it's going to be across all the products.

Archit Joshi: Sir, just an addendum to the previous one. I think we did have some plans within PVDF

also to

develop the solar grade. And I think I recall from previous notes about 2,500-odd tons of PVDF capacity addition. Is that all in place? And are we seeing any ramp-up in solar grade PVDF?

Where are we in that development, if you can?

Bir Kapoor: So, I think that 2,500 capacity addition that we probably may have mentioned earlier because lately, we have not been giving any details on the capacities. But coming back to this capacity of PVDF, this is largely for EV products, EV binders and that capacity is in place, okay? We are going through the final stages of qualifications now. And the PVDF binder, being a material which goes into cathode, it requires a very long qualification process. So, in PVDF, we are at the very final stages of qualifications. In fact, it's going through the scaled-up trial right now. And we expect the qualifications to be complete by the end of this calendar year.

Archit Joshi: Nothing on the solar part, right? This is all binders now. Maybe that was stalled. Is that a fair assumption in PVDF?

Bir Kapoor: Most of it is for binder applications, which is EV or batteries.

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Page 12 of 17 Archit Joshi: Sure. Understood. Thank you, sir. Thanks and all the best. I will come back in the queue.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Hi, sir. Thank you for taking my question. A couple from my side. First, just a bookkeeping question. What has led to decline in the other operating expenses during the quarter, which has resulted in EBITDA margin expansion?

Bir Kapoor: Normally, the previous quarter was the year-end quarter. So, we have normally a lot of provisions related to CSR, which often comes in, in the last quarter as other expenses. If you look back in the previous quarter, Q3 of last year, this quarter is more or less in line with that.

Krishan Parwani: So, this Rs. 211 crores range is a sustainable range going ahead? Till the time our power expenses, probably the renewable thing comes in. But I think that is captured in the power expenses, not in other expenses.

Bir Kapoor: Of course, there will be a natural increase in the expenses over time. But of course, when you say sustainable, it will not go back to Rs. 244 crores. There will be some minor increase, which will appear in the other expenses, but continue to be in the same range.

Krishan Parwani: Got it. Secondly, on R32, on which existing capacities you have done the retrofitting? And by when do you expect to fully utilize your 20,000 tons capacity?

Bir Kapoor: This has been done from one of our existing plants. And as I said that we will reach 20,000 tons by the end of this financial year. But the way we are planning is that it will not have much impact on any of our existing products that we have.

Krishan Parwani: So, basically, the plant that you have done the retrofitting was probably not contributing to our top line meaningfully and then that's why the loss in the top line would not be meaningful. Is that what you are indicating? Hello, am I audible?

Moderator: Sorry for the inconvenience. The line for the management has got disconnected. Give me a moment. I will join the management back up.

Krishan Parwani: Sure.

Moderator: Thank you. The management line is now connected. Mr. Krishan you can ask your question, sir. Please go ahead.

Bir Kapoor: Sorry, Krishan, we got disconnected. I think you are asking about the capacity utilization and impact on the existing revenue. As I said that there would not be any impact at all because there has been internal adjustment debottlenecking and it will not have any impact on our existing products.

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Page 13 of 17 Krishan Parwani: Got it. And the second part of that was like I understand that 20,000 tons capacity is coming up

by FY '26. I was asking more like when do you expect to fully utilize it, that 20,000 tons capacity of R3?

Bir Kapoor: Looking at the market situation, we expect that to happen quickly. However, I mean, we cannot really say, but probably next few quarters after that.

Krishan Parwani: Got it. And last bit, if I may. On the fluoropolymer side, in order to achieve 25% Y-o-Y growth guidance that you have given, so the next nine months, we ask about 28% Y-o-Y growth. I wanted to understand, would it be largely volume growth or how would that be?

Kapil Malhotra: Yes, it will be largely driven by the volumes. As we were already mentioning that we are under the process of pitching in for the legacy players and also the approvals from coming from the other sectors on the high-end grades. So, that is predominantly giving us growth. And from there, we expect the volumes to grow up the way we had projected.

Krishan Parwani: Got it, sir. Thank you for answering my questions. Wish you all the best.

Moderator: Thank you. The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Sir, thank you for taking my questions. Sir, on the battery chemical business, is it fair to say that there is a little bit of a pivot, which is there from our end customer perspective from mobility to energy storage? And from a demand supply perspective, are there very different dynamics for battery chemical supplies to mobility applications versus energy storage applications? And, I mean, are we better positioned in ESS versus mobility?

Bir Kapoor: Yes, Nitin. I will just add my comment and then hand it over to Rajiv. Yes, there's a positive impact on us because most of the mobility uses LFP chemistry predominantly. And the ESS uses LFP chemistry. And LFP chemistry typically has a higher salt consumption per gigawatt hour compared to NMC. And second is that, of course, LFP, the expansion of LFP also gives us a much larger market segment for our LFP CAM products. So, in both ways, it actually is a positive development. Rajiv, would you like to add?

Rajiv Rao: Yes. So, yes, to your question, there is a movement as far as lithium-ion usage is concerned towards energy storage than it was perhaps six months ago. With the growth in artificial intelligence and the data servers that are required to support it, there is a huge shift towards looking for stabilizing power supplies to such servers, which is driving consumption, which will drive consumption of energy storage solutions in the coming future. So, that will globally. So, that will drive the lithium-ion battery consumption in energy storage as well as mobility. And as Dr. Kapoor said, most of the energy storage uses LFP chemistry, which uses significantly higher amounts of lithium salts. So, that will increase the addressable market for lithium salts as well as for the LFP cathode active material.

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Page 14 of 17 Bir Kapoor: The salt requirement is, Nitin, just as a rule of thumb, is almost double in case of LFP per gigawatt hour compared to NMC chemistry.

Nitin Agarwal: Okay. And sir, how is the supply side position on this versus in mobility? I mean are there more entrenched players in energy storage, we are in a better competitive footing versus mobility? Is there any case like that?

Rajiv Rao: Yes. So, when we look at the markets that we are focusing on, which is the US market, India and Europe, all these geographies are looking to diversify the supply chains and are very keen to find sources outside of China. And when we look at our major products, both LiPF₆ and LFP cathode active material, there are limited suppliers' available right now and both for mobility as well as for ESS applications.

And we have the first-mover advantage having been operating in this segment for the last one year or more in ha

ving operating plants, supplying samples and getting validated. So, we have the advantage of having qualified our products at many such potential users in the markets that we are looking into.

Bir Kapoor: Just to add one more point, Nitin, that one of the biggest upside that we have now is because of this new bill, which actually now has included ESS also as a part of the subsidy in US manufacturing. So, earlier, this \$45 subsidy was not encompassing the battery manufacturing used for ESS applications. Now, this subsidy is given to all the battery manufacturing. And of course, with the condition that the input materials or the direct cost attributed for making batteries in US 85% or up to 85% of that cost has to be outside the PFE, which is the Prohibited Foreign Entity suppliers. So, as we are not part of that category, it gives us a significant advantage in catering to the customer and participate in the supply chain where there are relatively few suppliers.

Nitin Agarwal: Thank you so much.

Moderator: Thank you. The next question is from the line of Meghna Agarwal from Mount Intra. Please go ahead. Please go ahead.

Meghna Agarwal: Hello. Thank you for the opportunity. Sir, you helped us with the chemical breakdown. Can you maybe help us in the EBITDA virtues of fluor ochemicals, fluoropolymer and bulk chemicals?

Bir Kapoor: Yes, Meghna, we do not give segmental EBITDA margins or EBITDA, that we have not been providing.

Meghna Agarwal: Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Rohit Nagraj. Please go ahead.

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Page 15 of 17 Rohit Nagraj: Thanks for the opportunity. Sir, first question is slightly technical. So, we said in our opening remarks and later as well that by FY '26, we will be able to operate the 20,000 tons of R32 plant. Now given that the storage requirement for ref gas is different than solids and liquids, how are we placed to store in case the demand is limited in domestic market and in the exports market? So, what is the kind of arrangement that we have made?

And alike question to that, post FY '26, if we were to increase the capacity further, we have done the remarkable job of retrofitting within a short period of time. But if we were to go for fresh capacity, will we be able to adhere to the December '26 deadline for the newer capacity?

Bir Kapoor: Yes. Thanks, Rohit. First of all, the capacities as far as the storage, et cetera, we have tremendous experience in refrigerants for a very long time for almost 35 -plus years. We have been the typical storage tank plus ISO tank or the small cylinders. So, those are, of course, planned based on the market dynamics, demands. So, it's not that we will be storing 20,000 tons and then selling. It's not like that normally, but we do not see as an issue, okay?

Now coming back to the capacity expansion plans. Beyond 20,000, we will, of course, look at how market opportunities unfold and looking at the market opportunities. We may decide it. But definitely, we will do it before whatever the stipulated target date that we have. We will add all the capacities before that, sure.

Rohit Nagraj: And just second question, again on the Battery Chemicals front. Given that our products will be at the last stage of validation, once validated and given that multiple customers are currently validating the product, will there be a quantum jump in 2nd H FY '26 in terms of the supplies and that would give us better visibility as far as the Battery Chemicals revenues are concerned?

Bir Kapoor: First of all, right now, whatever revenue that will trickle in, that will be a significant jump over where we are. However, I would like to speak more about FY '27 when we expect to see, of course, a very large jump as these qualifications come in place, we will start seeing the orders coming in from the capacity that we

already have in place. So, in this year, of course, towards the second half, you will start seeing the revenues trickling in. But majority of it, we will see the ramp -up in '27 and then onwards.

Rohit Nagraj: Thanks for answering all the questions. All the best.

Moderator: Thank you. The next question is from the line of Pratik Oza from Systematix. Please go ahead.

Pratik Oza: Hi, sir. Thank you for the opportunity. Just one question from my side. Are you evaluating any manufacturing facility perhaps through JVs in United States? Asking this because that would create a shorter supply chain and also help in optimizing our working capital.

Bir Kapoor: I am sorry, it's still not clear, Pratik. Could you repeat the question? It's not very clear.

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Page 16 of 17 Pratik Oza: Yes, sure. So, what I was asking is, are you evaluating any manufacturing facility perhaps through JVs in United States? Asking this because, I mean, that would create a more resilient and a shorter supply chain and also maybe help in optimizing our working capital.

Bir Kapoor: No, we are right now not looking at US or any JV like that. So, we are not looking at definitely not, if you mean to say in fluoropolymers. So, we are not, not looking at that at the moment. And moreover, Pratik, because we have a very integrated facility in India right now, at least in case

of fluoropolymers, where the cost and the entire processes has been optimized. We do not see that happening if we move far away from this integrated facilities that we have.

Moderator: Thank you. The next question is from the line of Lavanya from UBS. Please go ahead.

Lavanya: Hi, sir. Thank you for the opportunity. Sorry, I got disconnected earlier. Most of my questions are answered. Just one clarification. So, 20,000 tons for R32, is it the additional capacity or overall capacity that it will be reaching by end of this year?

Bir Kapoor: Lavanya, this is the total capacity because we were so far not manufacturing R32. We have just started. So, our 20,000 will be our total capacity of R32 per year that we will be reaching by the end of this financial year.

Lavanya: Okay. So, just the retrofit question, the earlier participant asked, this retrofit is not impacting capacity of all other refrigerants that we have. Is that understanding right?

Bir Kapoor: No, no, it will not impact any of our existing product lines in refrigerants or any other product...

Lavanya: Okay. Got that. And one on fluoropolymer, the 25% growth rate guidance is factoring in the benefit that we are expecting with the exit of the player. Is that right?

Bir Kapoor: Yes, that's all been factored in, Lavanya, because there have been several factors which is contributing to this growth. And one of them is what you stated, which is exit the market opportunities created by exit of legacy players.

Lavanya: Got it. Thank you so much, sir.

Moderator: Thank you. We will take that as the last question. As there are no further questions from the participants, I now hand the conference over to Dr. Bir Kapoor for closing comments.

Bir Kapoor: Thank you very much. And once again, I would like to thank you all for interest in Gujarat Fluorochemicals. Clearly, as I had stated earlier, we are looking for a very solid growth in fluoropolymer business as we go along, which is our core. And we also see very strong opportunity that is emerging in our new business of battery materials. The large number of the factors which are all playing very positive for us. We are very well positioned today to play a leadership role in the segments. By the next quarter or so, most of our products will have our
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Page 17 of 17 commercial scale facilities ready, going through qualifications. So, this presents a wonderful opportunity for our battery materials business going

forward.

So, with this, I would like to thank you all for interest in Gujarat Fluorochemicals and look forward to connecting with you again end of next quarter. Thank you.

Moderator: On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

Call: Nov 2025

GFCL: BRD: 202 5 14th November , 2025

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip Code: 542812 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

D

Dear Sir/Madam,

Sub: Transcript of conference call with Investors/Analysts held on 11th November , 202 5

Ref.: Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements)

Regulation, 2015

This is further to our letter dated 6th November , 2025 and pursuant to Regulation 30(6) read with sub -para 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the Transcript of conference call held with Investors/Analysts of the Company on 11th November, 2025 at 17:00 Hrs . to discuss the Q2FY26 Financial performance .

T

The above information will also be made available on the website of the Company at www.gfl.co.in .

W

We request you to kindly take the same on record .

T

Thanking you ,

Y

Yours faithfully,

For Gujarat Fluorochemicals Limited

B

Havin Desai

Company Secretary

FCS 7952

E

Encl.: As above

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"Gujarat Fluorochemicals Limited Q2 FY '26 Earnings
Conference Call"

November 11, 2025

M

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFICER AND
DEPUTY MANAGING DIRECTOR , GUJARAT
FLUOROCHEMICALS LIMITED

MR. AKHIL JINDAL – GROUP CHIEF FINANCIAL

OFFICER , GUJARAT FLUOROCHEMICALS LIMITED

MR. MANOJ AGARWAL – CHIEF FINANCIAL OFFICER ,

GUJARAT FLUOROCHEMICALS LIMITED

MR. RAJIV RAO – BUSINESS HEAD, BATTERY

MATERIALS , GUJARAT FLUOROCHEMICALS LIMITED

MODERATOR : MR. ROHIT NAGRAJ – BATLIVALA & KARANI

SECURITIES INDIA PRIVATE LIMITED

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Page 2 of 17 Moderator : Ladies and gentlemen, good day and welcome to Gujarat Fluorochemicals Limited 2Q FY '26 Conference Call hosted by B & K Securities.

As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing *, then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rohit Nagraj from B & K Securities. Thank you and over to you, sir.

Rohit Nagraj : Thank you. We thank the management of Gujarat Fluorochemicals Limited for providing us the opportunity to host the 2Q FY '26 Post Results Conference Call.

Today, from the management, we have with us Dr. Bir Kapoor - the CEO and Deputy Managing Director of Gujarat Fluorochemicals and along with him, the senior members of the management team.

Without taking further time, I would like to hand over the call to Dr. Bir Kapoor for his initial remarks, post which we can proceed to Q&A session. Thanks and over to you, sir.

Bir Kapoor: Thank you, Rohit. Good afternoon, everyone and a very warm welcome to all of you for GFL's Quarter 2 FY '26 Earnings Call. For this call, I have with me my colleagues, Mr. Akhil Jindal, who is Group CFO ; Mr. Manoj Agarwal, who is CFO of GFL and I also have with me Mr. Rajiv Rao, who is the Business Head of Battery Materials.

The company announced its Quarter 2 FY '26 Results at its board meeting held today. The Results , along with Earnings Presentations are already available on the Stock Exchange and on our website.

I will briefly highlight the key financials and then give you an update on business operations and outlook. I am pleased to share that we delivered a resilient performance amidst significant global challenges in Quarter 2 FY '26, reflecting the inherent strength of our business.

Revenue for the chemical segment for the quarter stood at Rs. 1,210 crores, increased by 2% on year-on-year basis. The uncertainty emanating from the tariff imposed by US impacted sales during the quarter, which we expect to see easing off going forward. EBITDA grew by 26% to Rs. 381 crores in Quarter 2 FY '26 from Rs. 302 in Quarter 2 FY '25. And EBITDA margins stood at 32%, standing by 608 basis points on year -on-year basis. This improvement was driven by a better product mix and continued cost optimizations. Our EBITDA margins should further improve from the current levels on a long-term basis. The chemical segment reported a PAT of Rs. 198 crores, reflecting a 51% growth on a year -on-year basis. In our EV materials business, expenses, interest, and depreciation are being incurred, while revenue is expected to start flowing in from Q4 of this financial year. This will begin contributing to both the top line as well as the bottom -line, improving the margins and profitability at consolidated levels.

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Page 3 of 17 Let me now walk you through the performance of each business segment for the quarter :

The Fluoropolymer segment revenue was up by 8% on year -on-year basis. However, it declined by 4% on quarter -on-quarter basis. This was impacted due to imposition of higher US tariffs. However, I believe that the second half of the year, especially Q4 and onwards, should witness significant pickup in sales.

In our Fluorochemical business, the revenue declined by 15% on year -on-year, mainly on account of reduction in sales of R-22 due to quota reduction and seasonality. Further, R125 sales also got impacted due to market conditions and US tariffs. The speciality chemical segment remained stable during the quarter and is expected to see steady improvement going forward. Our bulk chemical segments

saw an increase in revenue, mainly due to higher prices of

Chloromethanes, while the quarter -on-quarter growth was supported by both price and volume increase in Chloro methanes. In our Battery Material business, LiPF₆ prices have significantly moved upwards from around US \$10 per kg to US \$17 per kg, leading to a positive impact on our business outlook. We remain uniquely positioned as one of the only non -China integrated LiPF₆ producers and are further expanding our capacities to capitalize on this opportunity.

Our LFP CAM facility in India has been successfully commissioned and post -stabilization, we will begin sending samples for customer approvals from the commercial plant. The qualification process for our binders is progressing well, with commercial sales is expected to commence in the second half of Calendar Year 26. In Electrolyte, we are actively engaging with emerging cell manufacturers across EV and BESS applications, supporting evaluations and qualifications through customized samples from our commercial plant.

At GFCL EV, we are strategically positioned to emerge as a global leader in the Battery Material space. With our established capacities, ongoing qualifications, and early customer approvals, we have built a strong platform for growth. This marks a defining phase for our Battery Material business, and we remain confident in our ability to capitalize on the expanding global opportunity. The Battery Material segment is very promising, given the recent surge in demand for electric vehicles, which only augments the demand from the EV space. Many growth drivers, the likes of data centers, AI, transition to renewable power are driving the demand many-fold for the best business in the coming years. Overall, we are well placed to capture growth across our business segments, largely driven by the surge in demand for Fluoropolymers, Battery Materials, and R32. We remain confident of delivering sustained growth and creating long-term value for our stakeholders.

Thank you, and I now open the floor for questions.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. The first question comes from the line of Sanjesh Jain from ICICI Securities.

Please go ahead, sir.

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Page 4 of 17 Sanjesh Jain: Yes, good evening, sir. Thanks for taking my question. A few of them. First, in the Fluoropolymer business in India, now that there is an ADD on PTFE, how do you see competitive landscapes in India? There is another company who has come in domestically. In that background, how do you see domestic business shaping up from here, and should that help in the second half of this year in terms of scaling up the Fluoropolymer business?

Bir Kapoor: Do you want me to answer, or you said you have several questions you want? Shall I?

Sanjesh Jain: Well, I will ask one by one.

Bir Kapoor: Thanks, Sanjesh. Now, in Fluoropolymers, the anti-dumping duty has been recommended by DGTR. We expect it to be implemented. And that should have a positive impact on the business. And we are very well positioned to capture it, because we have a very wide range of grades and PTFE. And we expect to see a positive impact of it. As far as competition is concerned, I think, should not have much impact because of our large product portfolio in PTFE as well as the experience in the products that we have.

Sanjesh Jain: So, just one add on to this if India import was close to 7000 metric tons of PTFE annually done, how much of that are say in FY '27 assuming that there is an intervention of ADD as notified?

Bir Kapoor: Sanjesh, we are quite positive about capturing a very large fraction of this because, because of the imports are expected to go down. And we expect to capture a very large percentage of that, I would say upward of 50%-60%.

Sanjesh Jain: Do we have such spare ca

capacity to cater to the growing demand in the Western market and the domestic demand?

Bir Kapoor: Yes, we do have in PTFE, because we have been, as I said earlier also many times that we have a large capacity available in monomers. And in recent times, we are adding capacity on the polymer side as well. So, I think we are well positioned to capture it.

Sanjesh Jain: Got it. Another question on the Fluoropolymer. Given the first half performance, which appears to be much slower recovery than probably what we thought at the start, will it still hold on to the 75% for Fluoropolymer for FY '26?

Bir Kapoor: We had guided earlier on 25%. So, of course, there was a little bit of ripple, I would say, because of the global situation, particularly the tariff situations in US. However, if adjusting for that tariff part, I think if I look at the rest of our product portfolio, I think we are geared toward achieving the 25%. And going forward, we have been trying to focus on multiple markets and trying to readjust to this reality of tariff. See, one other thing that has happened, Sanjesh, is that because of the tariff, a lot of decisions have been kept on hold because a lot of customers were expecting this to be reverted. So, they actually put their buying decisions on hold. A lot of it has to be expected to streamline going forward. So, a few things. First, from our side, we look at alternate markets and try to grow there. Second is that if there are indications that this tariff may go away, Gujarat Fluorochemicals Limited

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Page 5 of 17 then that should give us the further tailwind in terms of going and seeking the target that we have been talking about.

Sanjesh Jain: If tariff stays, then for new Fluoropolymers, US will be the market?

Bir Kapoor: See, if the tariff stays, then obviously, in US, PTFE is exempted. You know that. And the new Fluoropolymer is the one which is impacted. But we would adjust partly to focus into other markets to grow. And we also believe that some of the decisions of our customer, which has been put on abeyance for now, will probably come into play.

Sanjesh Jain: Question one on R32. One, what is the overall take on safety. We have seen this incident happening quite frequently, which is hampering business confidence, even customer confidence

have taken up. With that intact, and R32, how we see that? Because I think with all of this, the chart has slowed down. So, what is our plan on R32? We were looking at 20,000 metric tons by December. And a separate question is on the margin, what has given such a sharp improvement in gross margin? So, it went up from 67-72. What explains such a sharp improvement in the margin?

Bir Kapoor: Let me first answer the R32 question. The incident, of course, Sanjesh, is an unfortunate incident, which happened. Now, it doesn't change our plan. Yes, we are trying to learn from it, trying to strengthen our safety processes, safety systems. And as far as 20,000 ton target is concerned, we had indicated that target by the end of this financial year, which is March. So, we will achieve there. So, right now, we are strengthening our plant system. We started at a very low capacity. So, we are now looking at augmenting that capacity, strengthening the safety system, and coming back now at the target capacity that we had planned. So, the plan of R32 still remains intact. There has not been any change in that. Coming back to the margin improvements, we always guided that we will probably be in the range of 30% or on the north of it. This time, there are multiple reasons, of course, because of the product mix. As we are going up in the value chain, value-added product mix is improving our margin. There has also been impact of the cost control, which is driven by multiple factors, including the power cost that also we had indicated that we are moving toward renewable. And we will see

more of it as we go along in the next few

quarters. And finally, there has been some lift because of the currency, which we also expect to continue. So, this margin improvement, we see and we expect it to be sustainable going forward.

Sanjesh Jain: Very clear, sir. Thanks for answering all those questions. Best of luck for the coming quarters.

Bir Kapoor: Thanks, Sanjesh. Thanks for your interest. Thank you.

Moderator: Thank you, sir. Our next question comes from the line of Ankur from Axis Bank. Please go ahead.

Ankur: Yes, Hi, sir. Thanks for the opportunity. Continuing on the tariff side, so just trying to understand the ongoing situation better. So, while the earlier tariff, as I understand, was largely passed

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Page 6 of 17 through to the customers, how much of the revised, the incremental tariff has been passed on? Is it 100% or we have also absorbed some bit of it?

Bir Kapoor: So, Ankur, there are two things. First is when we talked last time in the last con call, that time 25% had happened. And it was a combination of pass-through plus. In some cases, we adjusted ourselves also. Now, the second one, the discussions are all on. However, one of the things which is very different in the second one is that it has impacted, there is a ripple effect, because it is not only in India, it is on multiple countries, different kind of tariffs. So, because of that, there has been some sort of readjustments in terms of our customer supply chain as well. So, because of that, there has been a delay in decision making. Now, going forward, we expect this to get adjusted. In some cases, some part will be absorbed by the customer and some we will have to absorb. So, we are trying to find a new datum as we go along. But it is a very large jump in tariff, obviously. And no one is prepared. But nevertheless, going forward, we expect some adjustments to happen in US market with our customers. And in some cases, as I said earlier, that we look at focusing and developing some of the other markets where we can capitalize on opportunities. So, global level, there is going to be some readjustments as it will happen. Again, this is primarily in context of new fluoropolymers, of course, because PTFE is not really impacted by this.

Ankur: Yes. Correct. Fair enough. Just trying to understand, pre-tariff, will it be fair to say that US will be making better margins in US than, let us say, rest of the world within exports?

Bir Kapoor: Pre-tariff, yes, I think so. I think pre-tariff, yes, because US market, of course, is a good value, high value market for us.

Ankur: Sure. And now in the current scenario, which other markets are we focusing upon in terms of selling our products alternatively to those markets?

Bir Kapoor: There are multiple opportunities because as I have said earlier, some of the new fluoropolymers are in the space like Semicon applications. And in case of there is an opportunity available in Japan, in Russia, and some parts of Europe. I am sorry, not Russia, Japan and Korea.

Ankur: Sure. No worries. Fair enough. And second thing, on the LIPF pricing, which you alluded towards, \$10 per kg increasing to around \$17. Any thoughts there in terms of, let us say, any foreign contracts that we have with us in terms of the supplies for LIPF6? And at what pricing are we getting them incrementally?

Bir Kapoor: Yes, Ankur, it will be difficult for me to talk about the contracts, the pricing. But let me tell you the context why this is such. So, far, we have positioned ourselves as an alternate supply chain, and also de-linking to some extent from the price which is prevailing in China. However, if the Chinese price itself goes up, as what we said earlier, then our overall target markets and the opportunity become very big for us. And particularly, let us take an example of Indian customers, who

always have an opportunity to import from China and that option is available for them. So, in that context, now, the price in China has gone up, then obviously, they are better off procuring Gujarat Fluorochemicals Limited
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Page 7 of 17 it from a domestic supplier. So, that opportunity opens up. Otherwise, buying from an alternate source, always a strategic decision in view of these pricing, it is not only strategic, but it is also an economic decision. So, that I think, it gives a certain lift and creates a much larger opportunity for L iPF6. Now, coming back to the contracts, we have discussion going on with a very large number of customers globally. We have certain agreements in place, but right now, it is going through the qualification process, which takes some time. And as I said earlier, that we have reached the benchmark quality. And now, the sample from the commercial plant is being tested by our customers. And we expect the sales to commence very soon now.

Ankur : Sure, Mr. Kapoor. And just one follow-up here, from a timeline perspective, by when should we see, let us say, the first commercial sale happening here? And just next to it is, like, which geography is probably. I am sure we will be looking at multiple markets, but probably which one or two geographies will be the bigger ones from your addressable target markets?

Bir Kapoor: It should happen in next few months and go as early as that, because we are very close. And in terms of geographies, there are not that many places which manufacture battery. Of course, geographies are going to be mostly non-China. That is all I can say right now.

Ankur : Sure, sir. No worries. Thank you and all the best.

Moderator : Thank you, sir. Next question comes from the line of Archit Joshi from Nu vama Wealth Management Limited. Please go ahead, sir.

Archit Joshi : Hi, good evening, sir, and thanks for the opportunity. First question on the battery side of the business, given that all 3 growth engines within the EV product space are near to commissioning or, let us say, commissioned, and we might have all 3 lines open for doing business, let us say, in the second half fully of the next calendar year. Any number that we might be working with here as to what we might achieve in FY '27 in revenue terms?

Bir Kapoor: At this point of time, I think we had given a very broad number earlier, Archit, if you remember, primarily based on asset turnover and investments. It would be very difficult for me to give a very specific number, as it is a business which is at a developing stage. This is a new business with a very high potential. It is a great opportunity, and there will be some time to build up this business, but at the end, we expect this to be at a full-blown, the number that I had indicated earlier, with the asset turnover of close to 2 plus, with the healthy margins. But let me tell you that now what we have achieved is very unique. We have commercial plant now in L iPF6. Our commercial plant now is an operating LFP. I think it is the first LFP plant in India, and it is the first commercial plant which is, in a way, outside China, which is operated by a non-Chinese entity. So, I think that is and also our electrolyte plant is now in operation. So, now the process is to develop samples, which are commercial samples, and go through the qualifications. Unfortunately, in Battery Material business, the qualification takes time, because there are a number of steps. And also, apart from the qualification, it is not only on the product, but also on our audits, on our manufacturing capability, our quality control test, etc. So, it is an elaborate process that we have to go through.

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Page 8 of 17 Archit Joshi : Understood, sir. Sir, getting a little more nuanced, given that we have seen some delays in battery manufacturers in I

ndia, we have seen some delays in their ramp-up of gigawatt factories, are we targeting more export markets in the beginning? Would it be fair to assume that our business mix will be oriented slightly more on the export side to begin with?

Bir Kapoor: I will let Mr. Rajiv Rao answer that. Rajiv, please go ahead.

Rajiv Rao: Yes. So, we are looking at global markets outside of China. So, our initial business would be focusing on export markets for our products. And as the cell factories in India are kicking in the next calendar year, then slowly the Indian part of business will start increasing as a percentage of our overall sales.

Bir Kapoor: And that was, Archit, always our plan. When we started this business, we knew that the Indian demand would take some time to develop. So, that is why our focus primarily was export market. And we have tremendous experience and expertise in handling export market through our experience in Fluoropolymers. So, we started, that has been the plan. And that is what we are following up at the moment.

Archit Joshi : Sure, sir. A bit more on the CAPEX front, if I may. I think we have done Rs. 575 crores last year. This year, it is projected to be Rs. 1,200 crores in EV. One is how much would have we done in the first half? And any number for FY '27 within EV in terms of CAPEX? And where would it flow into in which of the 3 areas that you would target doing the CAPEX in FY '27?
Thank you.

Bir Kapoor: See, the CAPEX that we had planned on EV, I think is progressing well. And we will give you

a better estimate probably the end of next quarter. But the focus, of course, has been primarily on the cathode and the salt side, because those are capital intensive. And that is what our focus area is to expand on those product lines.

Archit Joshi : Sir, on FY ' 27, would we have a ballpark number to work with?

Bir Kapoor: We have not given that guidance yet, but it will be probably be higher than 1200, maybe more like 1500, approximately. Because what we had indicated earlier, Archit , is that we will be doing close to Rs. 6,000 crores of CAPEX in 4-5 years.

Archit Joshi : Right, of course .

Bir Kapoor: So, we will follow up that plan. So, next year would probably be almost close to Rs. 1,500 crore, maybe higher. We will give you a better indication probably in our next call.

Archit Joshi : Sure, thanks. I will come back in the queue for more questions.

Moderator : Thank you, sir. Our next question comes from the line of Dhavan Shah from AI Faccurate Advisors. Please go ahead.

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Page 9 of 17 Dhavan Shah : Yes, thanks for the opportunity, sir. So, my question is on the gross margin side for this standalone business. If I look at the quarter -on-quarter revenue, I think there has been a decline for both F luoropolymers and Chemical segments. And also you mentioned that during the quarter, I think you s applied the new Fluoropolymers for the Semicon. So, is it fair to assume that because of that changes in the product mix, we have seen the gross margin improvement on the quarter -on-quarter basis?

Bir Kapoor: Yes, Dhavan, it is one of the reasons. We already stated that earlier that there are multiple factors which is driving it. One, of course, was the product mix, the higher value product that as it becomes part of our product mix, it leads to better margin. And of course, there has been an improvement on the cost side as well, primarily driven by the cost of power. So, value added product, yes, that has always been and we stated in previous calls as well, that our approach has been to slowly increase or improve our product portfolio for high value added products and then improve the margin. And this journey we expect to continue.

Dhavan Shah : Understood. So, this is the minimum gross margin we can expect in the next few quarters, at least because the scale would also

be improved for the new F luoropolymers and then your additional 10,000 tons of R32 can also come on stream. So, is it fair to assume that the Q2 gross margin is the minimum that you can maintain for the next few quarters?

Bir Kapoor: Yes. I think it will be better than what we have and I would expect it to grow further , yes.

Dhavan Shah : Understood. And what is the status of the 10,000 tons of R32 right now after the fire? Is it more or less on stream and by when are you going to start the production?

Bir Kapoor: We said that it is going to be 20,000 tons because that was our target by the end of this financial year. And we are on target. And because of the incident, yes, it gives us an opportunity to revisit and strengthen our plan from the safety side. And it also gave us an opportunity to augment our capacity and wherever we thought there is work required to reach to the 20,000 tons , we have done that. We expect the plant to start probably by the end of this month.

Dhavan Shah : Sure, sir. And the last one is on the battery CAPE X. You mentioned that maybe next year , we can do roughly Rs. 1,500 odd crore of the CAPEX that is at the minimum site. But what are the funding plans over there? How are we going to fund and by when can we see another round of funding?

Bir Kapoor: Yes, I will request Akhil to take this.

Akhil Jindal: So, we are fully funded up till now for the CAPEX that we have incurred. In fact, we have almost another Rs. 200 crore s of term loan that is yet to be drawn. And all the figures are as on 1st of October. So, that is being utilized for the further funding. Thus, we are expecting to close some of the sovereign fund that we discussed with you last time. So, we are fully funded for another up to \$ 125 million, which would be incurred over next, say, 6-9 months, perhaps a year. So, we

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Page 10 of 17 will be raising money as and when we need, rather than just keeping the money and putting it into treasury. So, that way, I guess, the funding will follow the CAPEX need of the company.

Dhavan Shah : Understood, sir. And will there be any dilution, equity dilution in the battery business going forth?

Akhil Jindal: At this juncture, there won't be any dilution. But of course, as and when the funding is done, that time we will come back to you in terms of the exact proportions and ratios. Most of them are convertible instruments, so that we would not see any dilution happening now. But perhaps, just before the IPO, or at the time of the IPO, there would be some dilution. But we will give you the details as and when the fundings are frozen and that documents are signed accordingly.

Dhavan Shah : Sure, sir. Yes. That is all from my side. Thank you, sir.

Bir Kapoor: Thanks, Dhavan . Thank you.

Moderator : Thank you, sir. Our next question comes from the line of Krishan Parwani from J M Financial. Please go ahead.

Krishan Parwani : Yes. Hi, sir. Thanks for the opportunity. Two questions from my side. First, on the battery chemicals business. So, do you expect EBIT break -even in FY ' 27? And if not in FY '27, then by when?

Bir Kapoor: Yes, I think we expect it to happen in FY ' 27. We should be able to reach that break-even point, yes.

Krishan Parwani : On EBIT, not on EBITDA, correct?

Bir Kapoor: Yes.

Krishan Parwani : Great. And second, on the ref gas , do you intend to increase your R32 capacity beyond 20 KTPA that you have already announced to utilize your R22 quota entitlement?

Bir Kapoor: Yes, our plan is to maximize and take up to the level of our entitlement, the 30,000 tons.

Krishan Parwani : And by when can we expect that?

Bir Kapoor : I think we will take that call probably a quarter from now once we stabilize and commission our 20,000 tons.

Krishan Parwani : And that 20,000 tons stabilization should happen by 4Q of FY ' 26, is that correct?

Bir Kapoor: It i

s end of this financial year, the next 4 months.

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Page 11 of 17 Krishan Parwani : Yes, and just a clarification on that, or rather a comment, if you can. What sort of utilization level do you see for this 20,000 tons planned in FY '27?

Bir Kapoor: We expect it to be quite high because there is a demand supply gap in R32, and we expect the market for R32 to remain quite healthy. So, we expect that to continue, yes.

Krishan Parwani : Thank you so much, sir. I wish you all the best. Thank you.

Bir Kapoor: Thank you, K rishan. Thank you.

Moderator : Thank you, sir. Our next question comes from the line of Ketan Gandhi from Gandhi Securities and Investment Private Limited. Please go ahead.

Ketan Gandhi : Hi, sir. Sir, any reason for L iPF6 price going almost doubling in last 3 months because corresponding price of the Lithium Carbonate has not gone up that significantly, it has gone by 10% only? Is it because of the A nti-involution or demand supply gap or what else? Can you throw some light? A ny, your thought will be helpful?

Bir Kapoor: See, t he pricing, of course, depends on the demand supply. While there could be multiple reasons, but what we see, one of the potential reasons can be, on the demand side, there is a demand for BES S, which is going up, which is for the ESS application. And I thi nk that is going up. And what we also understand that some of the plants who have been operating at , they were not really economically viable have closed down. So, I think combination of these two have led to, that is what our assessment at this point.

Ketan Gandhi : So, in your understanding, it could be the new normal, the pricing of between \$15 and \$20?

Bir Kapoor: Yes. In fact, if you look at it last several years, the prices were always high and it just came down in last maybe 18 months or so, it has been on the lower side. So, we expect because the prices that were there earlier of \$8 or \$9 or \$10 were truly not s ustainable for the industry to grow. So, these prices where they are right now, we think probably is more sustainable in terms of a long term growth of this industry.

Ketan Gandhi : I will put it something else. Is this price can give us the desired margin, which we are expecting around this level?

Bir Kapoor: It is hard for me to say. Now, you ar e trying to extract my pricing from me. All I can say is that it will definitely be a good margin. And obviously, when we do our pricing, we make sure that since we are building a business, we would like to make sure that our price points are sustainable for long term growth. And the pricing where they are I think is probably approaching that.

Ketan Gandhi : All right. Thank you so much and all the best.

Bir K apoor : Thank you.

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Page 12 of 17 Moderator : Thank you. Our next question co mes from the line of Arun Prasath from Aventus Spark. Please go ahead.

Arun Prasath : Thanks for the opportunity and good evening, everyone. So, my first question is on the battery business again. So, we spoke about, we will be initially focusing on the export markets till the domestic market develops. So, this is only pertaining to the salt business or for our LFP cathode as well ?

Bir Kapoor: It is for all businesses except electrolyte. We have currently 4 streams of product. One is salt, Binders, CAM , which is cathode active materials and E lectrolyte. So, electrolyte is mostly for Indian domestic market. All other 3 , we are focusing on the growth on the global markets. We are targeting global markets , the 3 products.

Arun Prasath : Because one would assume non- China, the US is the biggest market for these components. And will US manufacturers will be eligible for 45x credit even if they buy CAM from outside US?

Bir Kapoor: Yes, as long as they are complying to this new bill, which is called O3B,

or the Big Beautiful

Bill once and we comply to that. So, our customers, we believe, would be eligible for that in US.

Arun Prasath : Can you explain what do you mean by B complying to that bill? What are the conditions or preconditions for those compliance ?

Bir Kapoor: One of the big conditions there is that the manufacturer should not be the entity, which is the prohibited foreign entity, that is called PFE, or have any influence of PFE. And the PFE has been defined as a producer from 4 countries, and they are already named those 4 countries. India is not part of that. And so, I think we are clearly a non -PFE, or a company which is not even influenced by, so either specified foreign entities or prohibited foreign entities. So, we are neither of the two. So, we qualify with respect to that.

Arun Prasath : But before the Trump administration came, there were several CAM manufacturers were trying to put a plant in US. So, should we be able to compete against those local manufacturers as well?

Bir Kapoor: Sure and Rajiv?

Rajiv Rao: Yes. So, the CAPEX efficiency that we would have for an LFP CAM plant in India would be superior to ones that could possibly come up in the US. So, therefore, our ability to compete with any potential suppliers of LFP CAM coming up in the US, we will be very much well positioned in that aspect. We are confident on that.

Bir Kapoor: Does it answer your question, Arun?

Arun Prasath : Yes. I will come back later. A few more questions, but I will come back later.

Bir Kapoor: Thank you. You can always contact our IR team, Arun, if you are not able to come back today.

Thanks.

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Page 13 of 17 Moderator : Thank you, sir. Our next question comes from the line of Darshita Shah from DSP Mutual Fund. Please go ahead.

Darshita Shah: Yes. Good evening, team. My first question.

Bir Kapoor: Could you speak up please, Darshita?

Darshita Shah : Is it better now?

Bir Kapoor: Yes, it is better. Please.

Darshita Shah : My first question or actually a clarification was regarding the CAPEX for the battery chemical business. The Rs. 1,200 crore s CAPEX is on track for FY ' 26. And then you said that Rs. 1,500 crore or more than that will happen in FY ' 27, right?

Bir Kapoor: Right.

Darshita Shah : Got it. Second, on the working capital days, we have seen a significant increase in our working capital days over the past few years, 120 days in FY ' 22 to almost 182 now. What is the reason behind that one? And two, by when do we see this settling back to that 120 days level?

Bir Kapoor: Yes, I will request Manoj to take up that.

Manoj Agrawal : So, the increase in the working capital cycle is essentially on account of your building various because you have taken a long backdated numbers. So, 120-180 days has essentially happened because we have developed our new Fluoropolymer business. The inventories, we stock at USA and GMBH, Germany and USA and sell from there. So, that has increased the inventories.

Secondly, the EV business also, we are continuously manufacturing and sending the samples for the approvals. That has also increased the numbers. 120 days is something which is an ideal number we wanted to be there, but it will take some time once the operation starts for all the EV business as well as the new Fluoropolymer business to the full volumes at the full capacity.

Bir Kapoor: See, with the focus and large part of our business is export market, Darshita and because of the business model that we are following where we are maintaining our depots there or to store material and supply on demand. Because of our business model, this number appears to be higher for us than maybe some other companies who operate in chemical space.

Darshita Shah : Got it. So, at least for the Fluoropolymer business, maybe this will sustain for some time, I am guessing, given that this is

the business model ?

Bir Kapoor : Yes. And it also depends, Darshita, that as domestic market develops, for example, then we would see this number coming down. Or when we have a larger chunk of our product mix changing, for example, when the more battery materials coming in. So, it depends on the type of business and the model that we have at the moment. But from our side, of course, our effort has always been to bring it down. And we had brought it down. In fact, March, we had a very

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Page 14 of 17 low number of days, and it has come down. And now it has gone up in the recent time. And a

lot of it has to depend. The recent increase that we see, or 7 or 8 days has a lot to do with, because there have been, because of tariff, some of the decisions of the customer put on abeyance . Because of that, the inventories have gone up.

Darshita Shah : Got it. And given that initially we will be looking at export market for the battery chemical business, would the working capital day be in line with what we are seeing for the Fluoropolymer business, or will it be better? Any sense on that?

Bir Kapoor: I expect it to be better, Dar shita, because part of it is that battery chemicals, the battery material business, is normally on the long -term contract business, where the material is supplied in, at least the term that we are talking about with a lot of our customers is FOB. So, there we will probably not be following a similar model like Fluoropolymers, where we maintain a stock in our regions, whether it is Europe or North America.

Darshita Shah : Got it. And one last question on any incremental volume growth that we are seeing because of the legacy player exiting in the US market ? Have you seen the inventory that was existing of the legacy player kind of dwindling down now, or is it the same as it used to be?

Bir Kapoor: See, the growth that we have always been talking about, Dar shita, is accounts for exit of these legacy players, and that was one of the basis of which we have been projecting 25% growth in our Fluoropolymer business, and that is still continuing because that legacy player that we talked about last , earlier stock is coming down, and it is leading to impact on some of our new Fluoropolymer business, yes.

Darshita Shah : And just one last question on the CAPEX for the Fluoropolymer business. Any guidance for FY '27?

Bir Kapoor: I think we can give that guidance probably in the next call, but after the 3 quarters for the next year. Right now, we are just in the middle executing what we have planned for this year in GFL.

Darshita Shah : Got it. Thanks. That is all. Thank you.

Bir Kapoor: Thank you.

Moderator : Thank you. Our next question comes from the line of Archit Joshi from Nuvama Wealth Management Limited. Please go ahead, sir.

Archit Joshi : Hi, sir. Thanks a lot for the follow-up. I just have one question, slightly technical. The Phosphoric Acid requirement that we have for LFP or maybe even for LiPF₆, is that fertilizer grade or is there a very high- quality Phosphoric Acid requirement, and what are the sources if you can help with regards to P₂O₅? Thank you.

Bir Kapoor: Thanks, Archit. First of all, as far as LFP is concerned, we are not yet making FP, which is Iron Phosphate. We are importing Iron Phosphate, although we have a plan in the long run once we Gujarat Fluorochemicals Limited
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Page 15 of 17 reach the critical volume is to do backward integration. And the FP required there is not fertilizer grade. It is battery grade Phosphoric Acid. Now, in LiPF₆, we don't use Phosphoric Acid. There, what is used is PCl₅, which has a different route altogether.

Archit Joshi : Sure, sir. I was also asking this, given that China is the largest producer of Phosphoric Acid, and it comes as a part of the foreign entity of concern, does our supply chain

by any chance get

affected because of that, or if we, let us say, continue to import any raw material for that matter required for battery chemicals from these 4 countries, does that come in the way of our compliance with the US being a bigger market ?

Bir Kapoor: As far as the North American market is concerned, and if you are talking about the new bill, the issue there is primarily related to control. As long as there are suppliers who are available from outside, and as long as there is no control from any prohibited foreign entity on our supply, there is a compliance, first point. The second point is, there is, of course, another condition, which is based on the material value added that how much percentage is coming from specified foreign entities of the PFE. So, it is a complex value-added calculation which is done. So, at the moment , of course, as far as Phosphoric Acid is concerned, there are multiple sources which is available outside China. That is not a problem.

Archit Joshi : Sir, even for battery grade outside of China?

Bir Kapoor: No. Normally what is typically done is that Phosphoric Acid is taken and then it is purified to battery grade.

Archit Joshi : That we do in India, the purification process?

Bir Kapoor: Possible to do whenever we set up our plant, of course, we will have to do that.

Archit Joshi : Got it. And sir, are the Iron Phosphates, where do we source it from, or that is also not a concern with regards to availability per se?

Bir Kapoor: Right now, of course, the source of Iron Phosphate at the moment is China. There are, in fact, as far as we know, there are not large capacities outside China at the moment for FP. And so is there not large capacity of LFP also outside China, outside the Chinese companies. So, I think it will develop, and as we reach a critical capacity, I think we will look into developing. There are some other players who are planning to come on FP. So, it will evolve over a period of time, Archit. It is a very early stage. And some of these FP plants may not be economically viable at

the volumes that we have at this early stage.

Archit Joshi : So, sir, simply speaking, right now, us importing Iron Phosphate from China would not come in the way of the compliance that you would require ?

Bir Kapoor: Not really, not at least for next few years. Because this bill that we are talking about, the condition becomes more stringent progressively, in terms of the value -add terms. So, initially, it is 60 %, and then finally, after 4 years or so, it goes down to 85 %. So, this becomes more critical.

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Page 16 of 17 So, the leeway to import or add Chinese material becomes less and less progressively. So, it is possible right now, but a few years from now, it will be difficult to do that. As of now, we would comply. That is the simple answer.

Archit Joshi : Got it. Sir, that was really helpful. Thanks a lot for answering all of them, and all the best for the future. Thank you.

Bir Kapoor: Thanks a lot, Archit.

Moderator : Thank you. Our next question comes from the line of Mr. Rohit Nagraj from B&K Securities.

Please go ahead, sir.

Rohit Nagraj : Thanks for the opportunity. Sir, two questions. One is on the battery chemical side. So, given that progressively, the plants are coming to fruition commissioning, as well as the validation is going on, and FY '27 also, there will be a few projects which will get commissioned. Would FY '28 be a remarkably scale-up year from the revenue perspective of the entire battery chemicals business? Just a broader thought. I don't want to get into number -specific, but your perspective on the same? Thank you.

Bir Kapoor: Yes, you are absolutely right, Rohit. In fact, because there is some time to build up business capacities, get the qualifications done, and then we will have the contract in place. The way

we

are starting right now is the initial capacities to get experience of commercial production, qualification, and then subsequently, the next 26 and 27, we will be building up capacities, and we will see significant numbers coming up in FY '28. You are right, absolutely. That is how we are planning to build this business going forward.

Rohit Nagraj : Got it, sir. Sir, second question, in terms of the Rs. 1,600 crores CAPEX, would that be completed during FY '26? The need of asking this question is, would the depreciation and interest will start flowing in from FY '27, or maybe the second half of FY '27? Thank you.

Management : Yes, the capitalization will be average out during the year. So, there will be a 50% impact as against the total CAPEX .

Bir Kapoor: Correct.

Rohit Nagraj : Perfect. That is it from my side. Thank you and all the best.

Bir Kapoor: Thank you, Rohit. Thank you.

Rohit Nagraj : Thank you, sir. As there are no further questions from the participants, I would like to hand the conference over to the management for the closing comments. Thank you, and over to you, sir.

Bir Kapoor: Thank you, and I really appreciate the interest in GFL . And as I said earlier, overall, we are very well placed to capture growth across our business segments, largely driven by surge in demand in Fluoropolymers and Battery Materials and finally, R32 as we go forward. So, we remain

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Page 17 of 17 confident in delivering our sustained growth and creating long-term value for all our stakeholders. So, thank you very much. Thanks.

Moderator : Thank you, sir. Ladies and gentlemen, on behalf of B &K Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

GFCL: BRD: 202 6 18th February, 2026

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip Code: 542812 The Secretary

National Stock Exchange of India Limited

Exchange Plaza, Bandra Kurla Complex

Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

D

Dear Sir/Madam,

Sub: Transcript of conference call with Analysts/Institutional Investors held on 12th

February, 2026

Ref.: Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements)

Regulation, 2015

This is further to our letter dated 6th February, 2026 and pursuant to Regulation 30(6) read with sub -para 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015, we are enclosing herewith the Transcript of conference call held with Analysts/Institutional Investors on 12th February, 2026 at 5:00 pm (IST) to discuss the Financial Results for the quarter and nine months ended 31st December, 2025.

T

The above information will also be made available on the website of the Company at www.gfl.co.in.

W

We request you to kindly take the same on record.

T

Thanking you,

Y

Yours faithfully,

For Gujarat Fluorochemicals Limited

B

Havin Desai

Company Secretary

FCS 7952

E

Encl.: As above

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"Gujarat Fluorochemicals Limited Q3 FY 2026
Earnings Conference Call"

February 12, 2026

M

MANAGEMENT : DR. BIR KAPOOR – DEPUTY MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER

MR. AKHIL JINDAL – GROUP CHIEF FINANCIAL
OFFICER

MR. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER,
GFL

MR. KAPIL MALHOTRA – BUSINESS HEAD,
FLUOROPOLYMERS

MR. RAJIV RAO – BUSINESS HEAD, BATTERY
MATERIALS

MODERATOR : MR. ARUN PRASATH – AVENDUS SPARK

INSTITUTIONAL EQUITIES

Gujarat Fluorochemicals Limited
February 12, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to Gujarat Fluorochemicals Limited Q3 FY 2026 Earnings Conference Call, hosted by Avendus Spark Institutional Equities.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Prasath from Avendus Spark Institutional Equities. Thank you, and over to you, sir.

Arun Prasath: Thanks, Tanaka. Good evening, everyone. On behalf of Avendus Spark Institutional Equities, I welcome everyone to this Earnings Call to discuss the 3Q FY 2026 Results of Gujarat Fluorochemicals Limited.

The company is represented by its Deputy Managing Director and CEO – Dr. Bir Kapoor, and the other senior members of the Management Team.

I first request Dr. Bir Kapoor for the opening remarks. Over to you, sir.

Bir Kapoor: Thank you. Good afternoon, everyone. A very warm welcome to all of you for GFL's Quarter 3 FY 2026 Earnings Call.

For this call, I have with me my colleagues, Mr. Akhil Jindal, who is Group CFO; Mr. Manoj Agrawal, who is CFO of GFL; Mr. Kapil Malhotra, Business Head of Fluoropolymers; and Mr. Rajiv Rao, who is the Business Head of our Battery Materials.

The company announced its Quarter 3 FY 2026 Results at its Board meeting today. The Results, along with Earnings Presentations are already available on the Stock Exchange and on our website.

I will briefly highlight the key financials and then give you an update on business operations and outlook.

This quarter was undoubtedly one of the most challenging for us. Performance was impacted by seasonal weakness in refrigerant segment, the holiday season in Europe, U.S. and continued uncertainty around the U.S. tariff situation. The elevated U.S. tariffs not only affected the U.S. market directly, but given the complexity of global supply chain, it also had a spillover impact on other regions as well. This impacted on both volumes and realizations during this quarter.

That said, the outlook going forward is meaningfully more constructive. The recent reduction in U.S. tariffs from 50% to 18% provides significant relief and restores competitiveness in one of Gujarat Fluorochemicals Limited

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the key export markets. We believe this structural improvement will support a recovery in volumes, better pricing stability and margin expansion over the coming quarters.

At the same time, demand in fluoropolymers remain encouraging, particularly from the semiconductor sectors, where global investments and capacity additions continue to be strong. This is expected to support volume growth and strengthen overall performance. We are also witnessing increasing momentum in the EV ESS segments globally. With improving order inflows and better visibility, we are confident that FY 2027 should see healthy revenue growth from this vertical.

Overall, the combination of tariff rationalization, commencement of R-32 production, faster EV ESS adoption provides a stronger foundation for recovery in both revenue and profitability.

Let me now briefly touch upon the financial performance:

Consolidated Revenue for the quarter stood at Rs. 1,136 crores, a marginal decline of 1% year-on-year. In Q3 FY 2026, EBITDA stood at Rs. 275 crores, reflecting a 6% decline from Rs. 294 crores in Quarter 3 FY 2025. This decline was primarily attributable to the refrigerant portfolio, which bore the brunt of multiple headwinds during the quarter.

The most adverse pressure came from R-22, where we faced a dual impact. First, the production quota reduction constrained

sales volumes; second, seasonally subdued demand affected offtake.

Also, the delay in R-32 production start-up resulted in lower-than-expected profitability for us. In addition, R-125 prices remained weak during the quarter, further contributing to the softness in performance. Despite these near-term challenges, the underlying fundamentals of the business remain intact. As seasonal demand normalizes and refrigerant volume picks up, we expect improved profitability in coming quarters.

Let me now walk you through the performance of each business segment:

The Fluoropolymer segment delivered healthy growth of 14% year-on-year, though revenue declined 3% sequentially. The quarter-on-quarter moderation was primarily due to uncertainty

around U.S. tariff policies, which led to cautious ordering patterns and temporary deferment of demand in key export markets. With the recent tariff reduction, we are seeing improved customer sentiment and better order visibility. We expect strong momentum in this segment going forward, supported by structural demand drivers, particularly from the semicon industry. In the Fluorochemicals business, revenue declined by 33% year-on-year and 24% sequentially. The decline was largely due to refrigerant business, as explained earlier. The specialty chemical remains subdued, reflecting near-term demand softness.

On a year-on-year basis, revenue in the Bulk Chemicals segment declined mainly due to lower prices in chloromethanes and caustic soda.

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Let me now turn to our battery materials business, which is an important strategic focus area for us:

On 5th of December, 2025, the International Finance Corporation, IFC, has approved investment of Rs. 430 crores in our subsidiary, GFCL EV Products Limited. This investment supports the development of India's first integrated battery materials manufacturing facility and strengthens the domestic EV supply chain ecosystem. IFC's participation reflects confidence in our strategy and execution capabilities.

As endorsement of our business strategy and growth prospects in the battery materials space, another sovereign fund has approved investment of \$ 82 million in battery materials business. The documentation is in process and likely to be executed shortly. When we entered the battery materials space, our approach was focused on building capabilities, securing customer validation and scaling in a disciplined manner. Keeping that in mind, we are setting up a state-of-the-art greenfield advanced battery materials project in Oman to produce battery materials for lithium ion batteries with an estimated investment of \$216 million.

In LiPF₆, we have worked closely with the leading global electrolyte manufacturers and OEMs. Our product has been approved by many OEMs, and our facility has been successfully audited by key customers. Commercial supplies commenced in December 2025, and we have already received repeat orders in Q4 FY 2026. As customer offtake increases, we expect volumes to scale up steadily.

In LFP cathode active material, our plant has stabilized operations. We have begun sample dispatches to prospective customers and qualification process is progressing. We expect approvals over the coming months, following which commercial supply will commence. In fluoropolymer binders, the qualification process is progressing as planned, with commercial operations expected to begin in the first half of FY 2027. This further strengthens our integrated battery materials portfolio.

Stepping back, we are building a comprehensive and integrated battery materials platform with established capacities, ongoing qualifications, early commercial traction, and IFCs and one more sovereign funds strategic investment. We believe we have created a solid foundation for the growth of this new business. The battery materials segment is part

icularly promising given the

recent surge in demand for battery energy storage system in addition to continued growth in EVs. Structural drivers such as data centers, AI and machine learning infrastructure, and the transition towards renewable energy are expected to drive significant growth in energy storage demand over the coming years.

Overall, while the current quarter was challenging, we see improving conditions ahead. We remain focused on execution, cost discipline and scaling our new growth platforms responsibly.

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We remain confident in our ability to deliver sustained growth and create long-term value for all our stakeholders.

Thank you. And now I open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Sanjesh Jain from ICIC Securities. Please go ahead.

Sanjesh Jain: Yes. Thank you, sir. Good evening, sir. Thanks for this opportunity. I have got a few questions, first on the refrigerant gas, both on R-32 and R-22. R-32, we said that we have commissioned the plant in month of February. Can you help us with what is the capacity we have started with? And where are we now in the first fortnight of this commissioning? What is the utilization we are looking at? And for the full year, what kind of capacity are we looking at? And what is the final capacity are we intending by December 2026 where the deadline end? With this capacity already getting delayed, are we looking at 30,000 or we are satisfied with whatever capacity we have today? That's number one.

Number two, on the R-22, the prices appear to be further gone down as we speak in the month of Jan and Feb. In this background, how should we look at margin? Because a lot of funds in the margin has come up from the bulk chemical and R-22, which appears to have remained either weak or has only got further weaker. So, this is the first comment.

Bir Kapoor: Yes. Thanks, Sanjesh. I had indicated earlier that our plan was to build capacity in phases in R-32. I had indicated in the last call that target is to go for 20,000 tonnes in the first phase. Of course, there was a setback due to the incident. And because of this, our plan got a little bit delayed. However, that delay is not significant. Our plan is to still commission going to 20,000 tonnes, as I had indicated earlier. Of course, at that time, I had indicated it was going to be March end. Now I expect that to be slightly delayed by a quarter or maybe a quarter and a half, okay? So, our production has already started now. Of course, it took time because we wanted to be absolutely sure with respect to the safety aspects. We got it audited by multiple agencies and make sure that when we start, we start on a solid foundation of having a very strong safety. So, having said that, so far, everything is looking good. We have started it and going to be ramped up.

And what you said December 2026, I think the number is December 2027. The capacity can be added up to December 2027, okay? Of course, in the previous call also I had indicated that the long-term plan is to go to 30,000 tonnes, or go up to our quota that we have today. So, that plan still remains intact. But however, in the first phase, we will go up to 20,000 tonnes, Sanjesh.

Sanjesh Jain: The capacity we started right now with?

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Bir Kapoor: It will be ramped up to 20,000 tonnes. It's starting in phases. It's going up right now.

Sanjesh Jain: Got it.

Bir Kapoor: So, coming back to R-22, of course, the prices have been low, realizations have been low and all, it's a double whammy in a way. However, going forward, we are looking at in this sector, positive because of not only R-32, but also 125, which prices were also subdued and partly because of

the U.S. tariff. Once we have an R-32, it takes us to 410 as well. So, I think our outlook on refrigerant section going forward is positive from here, Sanjesh.

Sanjesh Jain: Got it, sir. My second question is on the fluoropolymer side of the business. You rightfully said that PFA is picking up for the semicon. How about the other fluoropolymer because after all this effort, there were legacy players who went out and all those factors, we are still at 14% growth. We aspired for 20%, we are still short of it. How should we look at this year and the next year?

Bir Kapoor: I will add first part here, and then I will let Kapil take over from there. The first part is, yes, when we have looked at the growth and given you the number, there were multiple factors which we were counting on. Of course, one of them was antidumping duty, where of course as you know, DGTR had recommended antidumping duty, which was eventually not approved by the Finance Ministry. That, of course, has eroded a few percentage points from the growth that we were looking at. And of course, the tariff situation has deferred quite a few of the buying decisions. So, a combined effect of these two, in a way, has taken more than a quarter off from what we were targeting earlier. You want to add, Kapil, please?

Kapil Malhotra: Hi, Sanjesh. Kapil this side. So, just continuing with what Dr. Kapoor has mentioned. First was the fact that we were counting some growth coming from the domestic market itself due to the antidumping duty recommendations, which were actually not accepted by Ministry of Finance.

Now coming to the other fluoropolymers in other parts of the world. So, we have done well in some of the elastomer category. We have grown there, taking some market share from our erstwhile legacy players who are going out.

Secondly, the other thing which I had also mentioned last time is that in these applications, there are always qualification times also from the customers. So, they always keep some stocks from the legacy players in check and then slowly, slowly start approving. And then once the stock reduces, they start onboarding us. So, that particular process is on. So, we are seeing that very steady growth coming in every quarter from the exit of these legacy players. And in elastomers or in other fluoropolymers, we continue to gain market share as and when we are getting the approval from the customers.

Sanjesh Jain: Got it. And particularly, which fluoropolymer are we seeing a better offtake and we may see more capacity coming in, in, say, this year and next year?

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Kapil Malhotra: Sanjesh, first of all, rightly mentioned, semiconductor industry. You must have also seen that we were mentioning that semiconductor industry is poised to grow from start of this year, which has started happening. You must have been seeing the news in the media that chip shortage has already started happening, memory chip shortages are going high in prices. So, the first green

shoots we already started seeing in terms of increased demand coming from our customers. So, PFA is one product where I am seeing that the demand will keep on increasing as and when we keep on getting a ramp up approval from the customers.

Kapil Malhotra: Yes. And also, we have invested a lot of money in terms of getting to the clean class required by the semicon industry. So, there also our entire investments have been utilized, commissionings have taken place, audit from the customers have taken place. Some of the audits are going on. So, this is one place where we really see the business growing up.

The second business is obviously the fluoroelastomer business. There also we are seeing that the increased vehicle growth sales in India due to GST reduction and also income tax rebate which government gave. So, we are seeing the demand in the market also converting

to demands of our

products also. Same way, we are also seeing that with the tariff reductions in U.S. further, automobile industry there are also doing well. So, there also, we expect the demand to keep on growing and giving us more business as we are getting qualifications in some of the other exotic applications.

And then we are also, since it's an engineered product, so we are also getting some requirements of the new applications. That's where we have also developed some of the newer grades which are under qualifications or they have got qualified. So, there also we see a growth coming in next year from these particular products. And they are high value-added products for us.

Sanjesh Jain: Got it. One last on the inventory side. We were a spring 120 days, and we are exactly on the other side of it at 201 days. What's driving such a sharp increase in inventory? And why are we carrying so much of an inventory? Any particular reason for it?

Bir Kapoor: Yes, Sanjesh, I will let Kapil answer that.

Kapil Malhotra: Yes. So, Sanjesh, here, we were actually building up the markets and we expected some of the stocks or build up in expectation of some of the orders coming in. However, last year we saw that in the last quarter also, as it was a holiday period in U.S.A., Europe, and also some of the slowdowns happened due to tariffs also that we had to hold some inventories with us, either over here or in our stock warehouses in other countries. So, that's how the inventory went up. However, offtake has started, and we are seeing diminishing inventories right from the beginning of the last month.

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Sanjesh Jain: So, what is the aspiration on the working capital? Because it appears to be too stretched now eating away all the capital for us. Where do we want to be in the working capital days? Earlier, we used to talk of 120, now at 200. Where we realistically can be, say, in a year's time frame?

Bir Kapoor: So, what we are targeting, Sanjesh, is somewhere around maybe 170 to 180 is what we think is a realistic number going forward because of our business model is based on stock and sell and also shipping material early from here. So, keeping that in mind. So, of course, it's on the higher side at the moment for the reason that has been explained by Kapil.

Sanjesh Jain: Okay. Got it. And on the battery side, one last, sorry, on that. What is the aspiration for FY 2027? Where are we targeting now that we are looking slowly commercialization happening? How does FY 2027 and FY 2028 look for battery chemical, particularly 2027? How does the order book look like? What is the potential? What is the potential revenue we can book?

Bir Kapoor: I mean, see, the way we started, Sanjesh, is we started building our first plant so that we can get it qualified and then slowly ramp up. So, if you look at today, for example, in LiPF6 case is qualified. So, our supply has started. LFP, the plant is commissioned, we got the right quality level. It's going through the qualifications. The issue is that, unfortunately, in products in EV and ESS space, the qualification times are long, and the more critical the product is, the longer the qualification time.

So, while we expected revenue to trickle in, in this financial year, which is happening. We expect 2027 and 2028 to be a growth year for us. So, it will be difficult for us to give you the exact projection of 2027, but our order books for the capacity that we have built up today looks very healthy. So, for the plant that are already there, we expect to get fully utilized probably by the end of this year.

Sanjesh Jain: We have put around Rs. 1,700 crores of asset for the battery chemical, if I am right. What is the asset turn we are looking at? And when we say full utilization, that means --

Bir Kapoor: Asset turn we had always given, Sanjesh, on

the mix.

Sanjesh Jain: It's around 2x.

Bir Kapoor: On the 2x product. And then again, some products are higher, some products are lower. So, it also depends on product. Once the plant gets fully utilized over a period of time, we intend to get that, but I am not so sure whether the same asset-turn would be achieved. It all depends on how the different product lines are getting.

Sanjesh Jain: Even if we talk about 1x kind of an asset turn, we are talking about what potential Rs. 1,700 crores of revenue in FY 2027?
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Bir Kapoor: Rs. 1,700 crores is right now commissioned at the moment, but there are plants which are, for example, electrolytes. Electrolyte is for the Indian market, which is a little bit on the slower side, has not picked up. So, we are looking at the global market, Sanjesh. Some of our products are for U.S. market very clearly. Electrolytes are based for Indian market and as the market picks up, these capacity will get utilized over a period of time.

Sanjesh Jain: But to just be more specific, how many orders are commercially approved for us in LiPF₆, in LFP, how many of the customer has commercially approved us?

Bir Kapoor: See, LiPF₆, we have several approvals. Let me put it this way. Because multiple electrolyte players have visited us, including OEMs. And typically, the way it happens after qualification, the supply is ramped up in a phased manner. So, that process has started. That's a very good part that there is a confidence of customers on our capability to deliver, and that ordering process has started, okay? And we expect this to continue to grow.

LFP is at very early stage. Plant just got commissioned, we just got the quality, the samples are being sent out. So, while I can say that we have a very clear visibility to order for the capacity that we have right now, the qualification time will take a few quarters and then the revenue stream will start coming up.

Sanjesh Jain: So, will it be fair to assume that only LiPF₆ as a revenue will be booked in FY 2027? FY 2028 is when LFP will start and electrolyte with how the India picks up on the battery side is how one should look at it, right?

Moderator: Ladies and gentlemen, the line for the management has been disconnected. Ladies and gentlemen, the line for the management has been reconnected. Thank you, and over to you, sir.

Bir Kapoor: Sorry, Sanjesh, and my apologies, I think, it got disconnected in between.

Sanjesh Jain: Do you want me to repeat the question?

Bir Kapoor: No, I remember the question. All I can say is that the capacity that we have right now, we expect to get fully utilized by 2027, 2028, okay, because this year will be the ramp-up growth period for us.

Sanjesh Jain: No, it appears that only LiPF₆ can ramp up this year because electrolyte India manufacturing is still a little away. LFP, we said a few quarters away for all the approval process to get, so probably only FY 2028 story. So, what we are left in FY 2027 is only LiPF₆ salt manufacturing?

Bir Kapoor: And possibly some electrolyte will also pick up and the binder as well, which you missed.

Because binder is at the final stages. The commercial trials are going on right now in the customer factory. It's going into the commercial cars right now as we speak. So, we expect in Gujarat Fluorochemicals Limited

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the second half of this financial year, the order book to come, we will start shipping up orders for PVDF.

Sanjesh Jain: That's very clear. Thank you, sir. Thank you for patiently answering all those questions. And best of luck for the coming quarters.

Bir Kapoor: Thank you, Sanjesh. Thank you.

Moderator: Thank you, sir. The next question is from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. Sir, first question is

again on R-32. We believe that the deadline for putting up the project was end of 2026. I think in your comment you said end of 2027, so just want a clarity on this. And aligned question to that, in terms of market for selling R-32, which markets are we looking at? Is it domestic, export? And if it is both the markets, what kind of mix at optimal utilization that we are looking at?

Bir Kapoor: My understanding, Rohit, is that it's December 2027. I am confirming it internally here right now. However, for putting the capacity because you already have a quota, of course. And the second part that you asked is R-32, of course, we are looking at it as global market access because we are into a very sweet spot with R-125 also with us, so we are looking at R-32 and R-125, combination 410 plus R-32 alone. So, it's going to be both global as well as local.

Rohit Nagraj: Sure. I got that. Second question is --

Bir Kapoor: So, just a clarification that I have received, Rohit, that the quota has to be confirmed by end of this year, but the plant can be commissioned in December 2027. And we already have a quota, so we can commission the plant by December 2027 of the quota that we already have access to.

Rohit Nagraj: Right. And we are still considering 30,000 tonnes as our capacity in a phased manner till December 2027, right?

Bir Kapoor: Right, absolutely.

Rohit Nagraj: Sure. The second question is on the fluoropolymers. So, I mean, I am slightly flummoxed that nine months back when we started the year, we already had the indication that 3M, I mean, the competitor is out of the picture by end of 2024. And partly, that void will be filled up by incumbents.

And obviously, in anticipation of that, even the customers would have got the validation from the incumbents for their supplies. But today, again, we are seeing that there has been a slowdown

in the fluoropolymers and projections that we were anticipating are not likely to materialize at

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least for FY 2027. I understand the U.S. part, tariff part attached to it. But again, I think the large part of the market is Europe.

So, what has changed suddenly in terms of last three to six months? And will it be a feature for FY 2027 as well? Or we expect that on this lower base, FY 2027, we will be able to pick up momentum and again go back to that 15%, 20% volume growth?

Bir Kapoor: Yes. Thanks, Rohit. Let me give one statement upfront that it has not changed significantly, because there are multiple factors which has impacted the few quarters that we looked at.

However, the fundamentals remain very strong, and I will let Kapil take this and take you through. But it's not that we are changing the growth pattern here.

Kapil Malhotra: In fact, Rohit, everything remains the way we had talked about. The first thing which I had mentioned just a couple of minutes back was that, what happens is that once any existing player

is exiting, they have some commitments of six months or one year to the existing customers. So, they keep some stocks with them, that's one. So, whatever stocks were kept, they actually got liquidated a bit slow because there was a market which was picking up slowly at that time.

Secondly, then the tariff announcements also had confused a lot of customers also.

I will give you one very specific example. One of our very good customers in U.S.A., he had qualified us for a particular replacement from the existing incumbent. But he was withholding it because his end customer was withholding it to change, because there were inventories there.

So, now that inventories are going off, so the committing that from March or April he will start shifting to us gradually. So, this is just one example. So, there are a couple of such examples, which we have.

Because, again, remember, do not forget that these are high-performance

products going into

automobile space or other important applications. The end customer also then qualifies, gives the clearance. Sometimes the inventory stuck up in between also creates a bit of a hurdle. So, all those hurdles are over now. And also, with tariffs also coming down to 18%, the customers also at that time were not actually keeping some inventories with them. Whatever inventories were there, they were trying to liquidate as they did not want to build up any inventories at higher tariff costs. So, now that things are showing up, clarifications are coming. So, we expect that the entire momentum will come back again the way we expect it to come.

Rohit Nagraj: That explains, sir. Just one last clarification about the Oman project. So, will this be part of the Rs. 6,000 crores CAPEX on the battery materials? Or is it excluding that?

Bir Kapoor: No, it includes that, Rohit. It's part of that.

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Rohit Nagraj: Right. And in terms of time lines, I think we were expecting the Rs. 6,000 crores investment will be over sometime by FY 2028. Now with this Oman, will it get spilled over by a few quarters?

How is it going?

Bir Kapoor: No. The Oman, the time line is around 18 months for us to have the plant gets commissioned.

Okay. So, it will probably be mid to end of 2027, yes.

Rohit Nagraj: Perfect. Thank you, sir. All the best.

Moderator: Thank you, sir. The next question is from the line of Arun Prasath from Spark Institutional Equities Private Limited. Please go ahead.

Arun Prasath: Thank you for the opportunity. Sir, my first question is on PTFE. So, within PTFE, our understanding is that the basic grades and, say, value-added grades, I am assuming that there will be a different buying pattern and different demand. But what we are seeing in data is, correct me if I am wrong, the basic grade seems to be a lot lower this quarter. Is there anything significantly affecting this? Or is it just a timing difference?

Bir Kapoor: Yes, Arun. Could you repeat your question?

Kapil Malhotra: Can you clarify to me, what do you mean by the basic grades so that I can --

Arun Prasath: Let's say, suspension grade seems to be at the lower levels in terms of the volume this quarter.

Kapil Malhotra: See, suspension grade is not the basic grade. Suspension grade also has a lot of high-performance

grades in between. The base grade probably starts, and that's where we are just 10%, 20% of our sale is in that base grade. The rest 80% is into the higher performance grades. So, as we had mentioned around last to last quarter where we had seen that our realizations also had become better. And that time we had mentioned that what target we were having of shifting towards high-performing grades, that process is on and that's why we are converting everything to the high-performance grades. And that is what is reflecting in our business also.

Arun Prasath: But we do not see corresponding growth in the volume in the other grades as well, so what am I missing, sir?

Kapil Malhotra: See, one thing which we also mentioned was that we were expecting the antidumping duty in the domestic market to come. But unfortunately, it did not come. It was supposed to actually be through by December or something, but Ministry did not accept it, Ministry of Finance. So, in fact, we were expecting some volumes to grow in this quarter also. But that is something where now we will have to relocate ourselves that whatever volumes we were reserving for that, we are now trying to find more lucrative markets so that we can park our material there.

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Arun Prasath: Right. Understood. Is there any limitation in your overall capacity if we, say, do more of emulsion and less of suspension? And are we already there in that level?

Kapil Malhotra: No, we do

not have any capacity limitations. In fact, we are also doing some debottlenecking wherever we feel that some of the grades which are giving us better realizations. So, we are adding some kind of small balancing equipment to enhance the capacities to even serve those more volumes better. So, as such, there is no capacity constraint, but we are doing our balancing of the equipment to see to it that we go to higher value-added products.

Arun Prasath: Secondly, on our R-22 because we are seeing continuous reduction in the volume that we can place. What are our alternate plans to utilize this excess available, say, TFE going forward?

Bir Kapoor: Right now, I think it's not an issue because the available TFE we have, which is what is required, so which we can expand. And R-22 availability also is there for us. So, as far as the backward supply chain for PTFE or fluoropolymers, we do not have any issue, Arun.

Arun Prasath: So, everything now depends upon the end market recovery. So, till then we need to kind of run at a lower utilization levels.

Bir Kapoor: Correct.

Arun Prasath: Understood, sir. My second question is on the LFP CAPEX announced, this US\$260 million. This is the total CAPEX for the entire site? Or is it phase-wise?

Bir Kapoor: Phase wise, this is the first phase, which we are doing right now because the site has a very large potential to grow further. This is the first phase of investment.

Arun Prasath: And then what kind of demand this site can meet in terms of size --

Bir Kapoor: We have not shared the number yet in terms of the capacity and the product details, which we will probably do it in due course. So, we are holding on to that information, of course, for the obvious reasons because we are now present going to, this is probably for the global market. And we are trying to make sure that we do not lose any competitive advantage by giving some numbers like that.

Arun Prasath: Just make us understand, sir, what kind of competitive advantage we have geographically even versus India? So, I mean how competitive in terms of CAPEX per tonne and Opex against, say, Chinese or other competition in, say, Europe?

Bir Kapoor: Of course, as we had always said earlier also that focus of our market, of course, is the U.S. market. And Oman as a location is on a sweet spot because it has an FTA from U.S. and FTA with India. So, I think from that perspective, I think it has a certain strategic advantage. And

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there are other advantages as well, which will be difficult for me to share a lot more details. But definitely, it has a lot more strategic advantage for us to be there.

Arun Prasath: Okay. Is the CAPEX competitive to, say, a Chinese plant? That is what I am trying to understand for the scale that we are putting up there?

Bir Kapoor: Yes, it's in the same line --

Arun Prasath: How better we are?

Bir Kapoor: Of course, the Chinese capex is, of course, right now, the lowest. But however, it's not very far from that. So, it's obviously, Oman being a country where we will have to bring all the equipment and machinery from outside. The capex is expected to be higher. But nevertheless, when we look at the entire Opex and Capex combination, I think it has a strategic advantage for us.

Arun Prasath: Understood. And finally, on the LiPF₆, are we looking to sell mostly in the spot markets because now with the LCE price going up, salt prices also seeing good traction. So, will this be kind of a benefit for us? Or have we locked much of our capacity or whatever in terms of contractual

prices?

Bir Kapoor: I will let Rajiv handle that. But just to tell you that a lot of the pricing are sort of a formula -based pricing. So, Rajiv, do you want to answer?

Rajiv Rao: Yes. So, most of our LiPF6 pricing with our customers is based on a formula with lithium carbonate as a referenc

e. So, as the lithium carbonate fluctuates, so will our LiPF6 pricing, and our margins will be intact. That's the way we have structured our contracts. And our customers also like it so they do not have the volatility of LiPF6 pricing going very high or very low. That's the way we are operating.

Bir Ka poor: But having said that, Arun, the Chinese prices were very low. They were swinging. However, I said it in earlier calls as well that our price points, of course, are very different. We are actually a non- PFA supplier, which gives a certain advantage, n ot only on accessing customer base, but also on the price points.

Arun Prasath: Understood, sir. And this margin is also --

Moderator: Sorry to interrupt, Arun, sir. May we request you to come back in the follow -up question queue ?

Arun Prasath: No issues. Thank you.

Moderator: Thank you. The next question is from the line of Archit Joshi from Nuvama. Please go ahead.

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Archit Joshi: Good evening, sir. Thanks a lot for the opportunity. I am sorry if I am being repetitive, I joined call a bit late. But I just wanted to get an understanding on all these four elements within the EV product subsidiary and great to see progress over there already. But if I take out, for example, our exposure to the Indian geography in terms of revenues or EBITDA, in all the se four product portfolios, LiPF6, the cathode active material, electrolyte and the fluoropolymer binder, how are we faring on the exports front? And let's say, if one has to hazard a guess for F Y 2027 or F Y 2028, ex of India, how do we look at scaling up these product portfolios? Any revenue indication that you would like to give or at least on a utilization basis, where would be our aspiration or target to get into the exports market?

Bir Kapoor: Yes, I will just make one statement and I will let Rajiv answer the rest. The first thing is, Archit, as you said, the strategy that we have to set up this business is to create alternate supply chain globally, and this is to cater to the global customer, whether they are in U.S., Europe, India.

Having said that, the products that you mentioned, except electrolytes, the remaining three product verticals are all for global market because Indian market is still not ready. So, the entire business plan is around that.

Rajiv Rao: Yes. So, if we look at our va rious products, for example, LiPF6, there's hardly much capacity outside of China. And our customer base, which is mostly in U.S. and Europe are looking for non-PFA suppliers to de -risk their supply chain. And this is where we have been able to win customers in all these geographies. Same is the case for LFP CAM and binders where the customers are looking to de -risk their supply chain.

As far as electrolyte is concerned, it will be focusing on Indian markets. Indian market is still to pick up. So, as far as customer mix is concerned, as we start in FY 2027, we will start off with being heavy on the U.S. and European customer base. And over the next year or two , we will start adding Indian customers through electrolyte business.

Archit Joshi: Right, sir. Tha t's exactly the reason why I was focusing on non-India markets because the battery capacity that we got , our capacity is yet to materially come in a big way. And I was trying to understand how should we look at revenues building up in these three portfolios ex of electrolyte, which will definitely, as you rightly said, on the export side. Even if you can give any sort of qualitative understanding with regards to any visibility on customers, quantities, any revenue numbers that we believe that can be achievable in F Y 2027 or F Y 2028. That's what I was largely looking at.

And in the interest of time, if I can just add another question. The initiative in Oman, what were the thought processes in venturing into Oman? Is it the raw materia

I advantage? Is there availability of phosphate or lithium? Is it the CAPEX advantage? I am sorry if I have been repetitive, but if you can share your thoughts once again, that would be helpful.

Bir Kapoor: Please, Rajiv.

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Rajiv Rao: Yes. So, the capacities that we have put up right now and the way I would like to answer your question, and we ha ve responded a little bit earlier, the utilization is going to increase in the coming financial year. And coming financial year, our current capacities will get fully utilized

by supplying LiPF6 binders and CAM to the U.S. and European market. And as far as electrolyte is concerned, that will happen by the business is likely to start by the end of coming financial year. Does that answer your question?

Archit Joshi: Not really, sir. But would we derive a decent amount of revenues at least from this, even if you do not want to point out a revenue number? What I would like to understand, at least is that we will have some revenues coming into the subsidiary FY 2027 and onwards.

Rajiv Rao: Of course, yes. So, like we mentioned earlier, for binders, we are at the final stage of qualification. So, by the second half of Financial Year 2027, we expect that business to get going fully. For LiPF6, we already started getting orders in December of 2025, and we have got repeat orders for Q4 of FY 2026 because we have approvals from major electrolyte players, global electrolyte players, which serve the U.S. market, and therefore, are consumers of LiPF6.

So, that business has already started and is going to pick up steam right from the beginning of FY 2027. So, there is going to be a revenue stream for salt from the beginning of the financial year, binders from the second half of the financial year and LiPF6 CAM also is going to start somewhere in the second half of Financial Year 2027. So, there is going to be an increasing revenue as we go into FY 2027 and FY 2028, all our capacities will be fully utilized.

Archit Joshi: Sure, sir. Sir, one final bit on the Oman bit, if you can address that question as well, that would be my final one.

Bir Kapoor: Yes. On Oman front, of course, there are, as I mentioned in earlier question, the certain advantage we have because of the location because that geographical location gives a certain advantage in terms of the supplying from Oman has tariff advantage in certain markets. Also accessing raw materials and skill sets in Oman is easier. So, there's a definitive advantage of setting up a facility in Oman, okay? That's the reason. And looking at, again, at a global market and creating a supply chain, which is at a scale, which is globally competitive.

Archit Joshi: Sir, any raw material advantage there, availability of phosphate or lithium or --

Bir Kapoor: Not at the moment, but yes, it will eventually happen over a period of time because there's an entire ecosystem, which is being set up in that region. And of course, energy costs and prices, we have certain advantage there with the gas as well as power.

Archit Joshi: Right. Sure, that's it from my, sir. Thank you and all the very best.

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Moderator: Thank you. The next question is from the line of Ketan Gandhi from Gandhi Securities. Please go ahead.

Ketan Gandhi: Sir, it's regarding infusion of capital by Oman government. They have invested in the subsidiary of GFCL EV, the Oman part. And previous all investment happened in GFCL EV India. Is there any valuation difference, if you want to share, it's well and good?

Kapil Malhotra: Yes. So, both these investments are coming in convertible form where they are linked to the certain milestones on the IPO that way. So, there's no fixed valuation neither for the IFC investment in India nor for the sovereign fund that is going to invest in the

subsidiary in Oman.

So, they are more like a convertible instrument, which will have a fixed return is linked to the certain milestones.

Ketan Gandhi: Okay. But it's the equity portion only, not the debt?

Kapil Malhotra: Yes, it is absolutely an equity with no put being given by the parent or any other company with no buyback commitment, nothing. It's the purest form of equity. We wanted to contain the returns. So, we wanted to just restrict the returns of what they would ultimately make, and that's the reason why it is a convertible instrument.

Ketan Gandhi: All right. And another question is, sir, on Slide 7, you mentioned fluoropolymers binder. Can you please elaborate on that? I mean, whether it is PVDF or PTFE binder and whether this cater to the recently technological breakthrough by Tesla in dry process. I am not telling that we will be supplying to Tesla, but just to understand that this will be of that grade, whereby our PTFE binder can be used in the dry process?

Bir Kapoor: See, right now, the binder, which is mentioned and which is in the final stages of qualification is PVDF binder. PTFE binder is also being tested as of now. So, we have capability to produce both PTFE as well as PVDF. The business will first start what we have mentioned is from PVDF.

Ketan Gandhi: And sir, after the breakthrough done after five years by Tesla in dry process, if that is being adopted by all the other battery players, is it possible that we may see a shoot up in the demand of the PTFE of that grade and whether we are capable to produce that much grade PTFE?

Bir Kapoor: Yes, surely. I mean, we are capable to produce, and that's where the outlook of fluoropolymer when we gave a very strong outlook from multiple sectors. One of the factor, of course, is what you are mentioning. So, we have capability to produce. But as you know, because this is a breakthrough now, by the time it converts into volume, there's a process, there's a time line for qualifications and grade development. So, it will happen. Certainly, it's a wonderful opportunity for our PTFE business.

Moderator: Thank you , sir. The next question is from the line of Krishan from JM Financial. Please go ahead.
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Krishna: Hi, sir. Thank you for taking my questions. Just two from my side. First, a clarification. Did you mention that you will be able to put up R -32 capacity by CY 2027 end?

Bir Kapoor: We said that the entire capacity that we have quota allocated to us. That's what we have mentioned, not the 20,000 that I had indicated earlier.

Krishna: Yes. I mean I was asking like the 32 capacities have to come up before CY 2026 and CY 2027 .

Bir Kapoor: No. We have already started our first phase of R -32 capacity, which I had mentioned in previous calls. Initial capacity that we are putting up is 20,000 tonnes, okay? And we were supposed to do it by the end of this financial year, which got delayed. And then eventually, so what we will do is we will commission this capacity very early in this calendar year. And then subsequently, the second phase of the capacity will be planned, okay?

Krishna: So, the second phase buyback, I think you produced close to --

Bir Kapoor: That we have not really indicated any time line for that. But of course, if it has to be done it, we will do it prior to December 2027 as per the requirement.

Krishna: That is what I was checking. What is the requirement? The plan has to come up before CY 2027? Is that the requirement?

Bir Kapoor: The plant has to come up by CY 2027, correct. The quota, whomsoever has received quota, that will happen by end 2026, but the plant capacity cannot come up by 2027. So, that's what I was saying that we still have not reached our quota limit by 20,000 tonnes. So, we still have a quota available to us. So, in the second phase, we will see what all capacity base

d on the market

requirements and other scenarios, we will take a call. But we have time till December 2027 to add capacity.

Krishna: Okay. And just a last bit on this. So, you produced close to 19,000 tonnes of R -22 during CY '19. This is my understanding, correct me if I am wrong. 65% on GWP basis translates to close to 32,000 tonnes of R -32. So, is this the entitlement you intend to use for the Phase 2, which has to come up before CY 2027 end?

Bir Kapoor: Yes. That's indeed one of the numbers, yes.

Krishna: Understood. Okay, thank you.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from 360 ONE Capital. Please go ahead.

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Rohit Nagraj: Thanks for the follow-up. Sir, under the fluorochemicals vertical, we also have the fluorospeciality, which goes in for pharma agro applications. We have not heard on this part of the piece since a fairly long time given that we are more focused on the downstream of fluoropolymers as well as the battery chemicals. So, is there any revenue contribution coming in? And whether the margins are in line with our company-wide margins? And whether there is any focus on this or probably this will just stay as it is for the time being? Thank you.

Bir Kapoor: As of now, Rohit, we do not have much focus on that particular segment. So, we have certain products, which are continuing, which we intend to continue, of course. And those have been picked up based on certain margin expectations. So, we are not really investing in that segment as of now because there are so many other opportunities that we have. So, we are, so far, not focusing much on that particular segment. But that, of course, has a revenue contribution, which is included in the vertical that we have shown in our presentation.

Rohit Nagraj: Right. And just one last clarification on the IFC fund front. So, have we received the funds or will be receiving in the near term?

Rajiv Rao: The necessary compliance with respect to that IFC disbursement is all done. There was an AGM, which was to be done for the shareholders of EV plus other statutory requirements. They are all complete. The funding should be done pretty shortly, I mean, maybe in a week's time or so.

Rohit Nagraj: Okay. That's all from my side. Thank you.

Bir Kapoor: Thanks, Rohit. Thank you.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments.

Bir Kapoor: Thank you so much. And let me close this call reaffirming our growth plans. Fluoropolymers continue to do well despite some temporary hiccups, be it the U.S. tariff or demand from some of the industries getting pushed forward. Our long-term growth and plans are firmly in place for fluoropolymer business. EV business, as you see, is shaping up very well, and we are on track to achieve our guidance there. There's a huge interest from the customer worldwide, and we are emerging as a credible large alternate supply chain partner for most of our customers outside of

China.

The large global marquee investors participation in GFCL EV reemphasizes the deep value in this segment. The biggest dent this quarter has been from the refrigerant segment, mainly from

the volume and price dip of both R -22 and R -125, we believe this should recover going forward.

Also, the value creator for us this year going forward in this segment will be R -32 sales ramp - up, which we are expecting to start from Quarter 3 , which has now been pushed to Quarter 4 .

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So, with this, I would like to thank you all for your interest in GFL and GFCL EV, and I appreciate you being part of this call. Thank you very much.

Moderator: Thank you, sir. On behalf of Avendus Spark Institutional Equities, that concludes this conference call. Thank

you for joining us . And you may now disconnect your lines. Thank you.

Call: Jun 2026

GFCL: BRD: 202 6 1st June , 2026

The Secretary
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001

Scrip C ode: 542812 The Secretary
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai 400 051

Symbol : FLUOROCHEM

Dear Sir/Madam,

Sub: Transcript of conference call with Analysts/Institutional Investors held on 26th May , 202 6

Ref.: Regulation 30 (6) of the SEBI (Listing Obligations and Disclosure Requirements) Regulation, 2015

This is further to our letter dated 19th May , 202 6 and pursuant to Regulation 30(6) read with sub -para 15 of Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015 , we are enclosing herewith the T ranscript of conference call held with Analysts/Institutional Investors on 26th May , 2026 at 18:00 Hrs. IST to discuss the 4QFY26 Financial performance .

The above information will also be made available on the website of the Company at www.gfl.co.in . We request you to kind ly take the same on record .

Thanking you ,

Yours f aithfully,
For Gujarat Fluorochemicals Limited

Bhavin Desai
Company Secretary
FCS 7952

Encl .: As above

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"Gujarat Fluorochemicals Limited
Q4 FY 26 Earnings Conference Call "
May 26 , 2026

MANAGEMENT : DR. BIR KAPOOR – CHIEF EXECUTIVE OFFICER AND
DEPUTY MANAGING DIRECTOR – GUJARAT
FLUOROCHEMICALS LIMITED
MR. AKHIL JINDAL – GROUP CHIEF FINANCIAL
OFFICER – GUJARAT FLUOROCHEMICALS LIMITED
MR. MANOJ AGRAWAL – CHIEF FINANCIAL OFFICER –
GUJARAT FLUOROCHEMICALS LIMITED
MR. KAPIL MALHOTRA – BUSINESS UNIT HEAD OF
FLUOROPOLYMERS – GUJARAT FLUOROCHEMICALS
LIMITED
MR. RAJIV RAO – BUSINE SS HEAD OF BATTERY
MATERIALS – GFCL EV PRODUCTS LIMITED

MODERATOR : MR. ROHIT NAGRAJ – 360 ONE CAPITAL

Gujarat Fluorochemicals Limited

May 26, 2026

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Moderator: Ladies and gentlemen, good day and welcome to the Q4 FY 26 Earnings Conference Call of Gujarat Fluorochemicals Limited hosted by 360 ONE Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I would now like to hand the conference over to Mr. Rohit Nagraj from 360 ONE Capital. Thank you, and over to you, sir.

Rohit Nagraj: Thanks, Rutuja. Good evening and welcome everyone for Gujarat Fluorochemicals Limited Q4 FY26 and FY 26 Conference Call. We thank the management to provide us the opportunity to host the call. We have the management represented by Dr. Bir Kapoor, CEO and Deputy Managing Director, along with the senior members of the management team. Now I would like to hand over the call to Dr. Bir Kapoor, sir, for his opening remarks. Over to you, sir. Thank you.

Bir Kapoor: Thank you, Rohit. Good afternoon, everyone. A very warm welcome to all of you for GFL's Q4 FY26 Earnings Call. For this call, I have with me my colleagues, Mr. Akhil Jindal, who is the Group CFO; Mr. Manoj Agrawal, who is the CFO of GFL; Mr. Kapil Malhotra, Business Head of Fluoropolymer; and Mr. Rajiv Rao, who is the Business Head of Battery Materials. The company announced its Q4 FY '26 and full year results at a Board meeting held today. The results along with earnings presentation are already available on the stock exchange and on our website. I'll briefly highlight the key financials and then give you an update on business operations and outlook. FY '26 was marked by a highly volatile global operating environment. The first half of the year was impacted by uncertainty surrounding U.S. tariff policies and evolving global trade dynamics, while the latter part witnessed heightened geopolitical tensions amidst the war in the Middle East, dampening the macro and business environment, which continues to disrupt global trade flows, impact logistics and supply chains, and contribute to elevated volatility across commodities and currency markets. Sharp movement in energy prices have also resulted in higher input and logistic costs across businesses. While we are seeing some signs of stabilization, the conditions continue to be volatile. Despite these headwinds, the company remained focused on disciplined execution, operational excellence, supply chain optimization and stringent cost management across businesses, enabling us to navigate the evolving environment with agility and resilience. Against this backdrop, our chemicals business delivered a commendable performance during Q4 with revenue growing 11% year -on-year to INR 1,358 crores, EBITDA increasing 13% year -on-year to INR 353 crores, and PAT rising 5% year -on-year to INR 169 crores as compared to Q4 FY '25.

The performance was led by growth in Fluoropolymers segment, and the commencement of R - 32 production in March 2026, which marks an important milestone in our fluorochemicals growth journey. Continuing on the growth journey, GFL has earmarked INR 3,150 crores of capex for FY '27, of which INR2,300 is for GFCL EV and INR850 crores for GFL.

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Of INR850 crores capex, approximately INR 150 crores will be spent on expanding our refrigerant gas and related infrastructure capacities. INR 222 crores will be spent on new high-purity electronic specialty chemicals for the semiconductor sector; another INR 250 crores will be spent on adding new fluoropolymer capacities and the remaining INR 230 crores will be spent on increasing capacities for backward integration, including the regular annual maintenance capex.

The EV capex of IN

R 300 crores -- INR2,300 crores will be spent in increasing capacities across existing products, in addition to the capex for natural graphite anode active material. And this capex is part of the overall capex of INR6,000 crores that we have earmarked for GFCL EV. The Fluoropolymers segment delivered a strong performance with revenues growing 19% year -on-year and 14% quarter -on-quarter to INR 848 crores in Q4 FY '26. The growth was primarily driven by value -added products and higher volumes across key product categories. Our focus on high-value specialty grades, deeper customer engagement and expanding global reach continued

to support growth momentum during the quarter.

Looking ahead, we remain constructive on the long-term outlook for fluoropolymers, supported by increasing penetration across structurally growing sectors such as semiconductors, EVs, battery energy storage systems and clean energy applications. In addition, global energy transition themes, including hydrogen, fuel cells, electrolyzers and solar are emerging as important long-term demand drivers for fluoropolymers.

Given the increasing complexity and purity requirement in these applications, we believe the specialty fluoropolymers will continue to witness strong demand over the medium to long term.

The earlier capex in this segment should achieve its optimum utilization level in the current financial year. We will be incurring further capex starting this year to continue on the growth journey in this segment.

In the Fluorochemicals segment, production and sales of R-32 commenced from March 2026, strengthening our refrigerant portfolio, despite weakness in the Middle East market in the month of March and an overall challenging global environment, this segment delivered a stable performance. We will be incurring INR 150 crores of capex on increasing capacities of refrigerant gases in the current financial year.

Increased production of R-32 will provide major growth in this segment in the subsequent quarters. Demand for refrigerants is expected to remain healthy, supported by increasing penetration of residential air conditioning, commercial refrigeration, cold chain infrastructures and surge in demand of cooling infrastructure for AI data centers across the globe. Within bulk chemicals, the demand outlook for caustic soda is expected to remain stable in FY '27.

While pricing is likely to remain range-bound due to domestic capacity additions and balanced supply/demand dynamics. Similarly, the performance in fluoromethane business is expected to remain range-bound in the near term amid moderate demand conditions and competitive market dynamics.

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As we look at our battery materials business, we believe the segment is now at an important inflection point. The global energy transition continued to accelerate and the demand environment for advanced battery materials remains highly encouraging. The battery energy storage system opportunity, in particular, has strengthened significantly over the last few quarters.

Increasing investment in AI and machine learning infrastructure coupled with thriving data center capacities are driving the power requirements and creating structural demand for energy storage solutions globally. Against this backdrop, we are pleased to share that all the initial capacities planned under phase one have now been commissioned and contracted for.

We have secured marquee anchor customers across all our battery material products, which provide confidence on utilization ramp-up and commercial scale-up over the coming quarters.

The LiPF₆ salt has now received approvals from most of the major global electrolyte players, and commercial sales are scaling up in line with our plans.

We have orders in place for FY '27 and beyond. Accordingly, production will be ramped up quarter-on-quarter. In cathode

active material, sample from our plants have received initial approval and final qualification is expected by the end of the third quarter.

Thereafter, commercial supply will commence, for which we have already off-take agreements for the entire capacity. As part of our next phase of growth, we are also setting up natural graphite anode active material facility. With this addition, we will be able to address nearly 70% of the value of an LFP battery cell, positioning us as one of the most integrated battery materials platforms globally.

To support this growth road map, we have planned a capex of approximately INR 2,300 crores for FY '27 across the battery materials portfolio, largely focused on growth capex, including the anode active material project. To support this growth road map, we remain committed to our previously outlined guidelines of INR 6,000 crores cumulative capex by FY '28 across the battery materials portfolio, with targeted asset turns of nearly 2x and EBITDA margins of over 25% plus.

The full earnings potential of these investments is expected to be realized by FY '29 as the facilities progressively ramp up and achieve an optimum utilization level. While the macroeconomic environment remains challenging, the broader business landscape is gradually showing signs of improvement.

We remain focused on strong execution, prudent cost management and disciplined scaling of our emerging growth platform. We remain confident in our ability to deliver sustained growth and create long-term value for all our stakeholders. Thank you very much. And now I open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is

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Ankur Periwal: Congratulations on a good set of numbers. First question on the capex announcement, both on the battery side as well as on the stand alone side. The fluoropolymer expansion, will this be on PTFE side or the new fluoropolymers? How do you see that? And just commensurate to that, the fluoropolymers growth for the full year that we are seeing around 15% -odd, how will you break this up between PTFE and new fluoropolymers?

Bir Kapoor: So the investment will be on new fluoropolymers. And so far, we have not been giving any breakup of growth of respective fluoropolymers. However, all I can say at this point, Ankur, is that the capacities that we have set up a few years back are almost reaching its full capacity -- optimum capacity utilization. And now is the time for us to add capexes in new Fluoropolymers segment right now.

Ankur Periwal: Okay. Sure, sir. On the ref gas side, INR 150-odd crores expansion there. This is largely for the 20,000 ton capacity that we are looking at or are there any further thoughts to expand that capacity further with respect to the quota that we have?

Bir Kapoor: No, as of now, we have announced that we'll be going up to 20,000 tons in R-32. So it's related to that as of now.

Ankur Periwal: Okay. And by when are we expecting this 20,000 ton to be commissioned and production starting there?

Bir Kapoor: The production has already started. As I said last time that we have achieved over 10,000 ton capacity at the moment. And over a period of time, I think it will be ramped up to 20,000 tons.

Ankur Periwal: Sure, sir. And just lastly, on the battery chemical bit. Good to see the capex seeing a ramp up there. When we are saying from a product approvals perspective, a large part of things are already there. These are largely for the salt approval or even the other products, the value chain, etc. How is the progress there? And on the technology side, any tie-up or it is largely homegrown for us there?

Bir Kapoor: So Ankur, we started with salt and electrolyte in the beginning, as we had in

dictated. So initially, obviously, that capacity was in the salt, our capacity commissioning was also in that area. So our approvals are all in the salt at this stage. Secondly, we added was cathode active material. So that plant was commissioned recently.

And we have prepared the sample, and our initial samples have already been qualified. So now it will go through the full qualification, and which we expect to get it by the end of this year, which is the third quarter of this financial year. And then our supply will start after that so we get the full qualification. So in LiPF₆, we have achieved the full qualification from a number of players and the supply is being ramped up. LFP at the early stage plant is already commissioned, as I said, and samples are made. We have optimized the product as per the customer need. And once the product is fully qualified, the supply will start and this entire plant is fully contracted.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

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Sanjesh Jain: I have a couple of questions. First, on the battery side. When we say that we are fully booked for the existing plant, are we talking about LiPF₆? And how much revenue potential when we say? Because for us, we don't know the capacity, we don't know the capex we have put. So how to think about FY '27, FY '28 revenue? And when you say we have fully sold capacity, is it fair to assume that in FY '27, that entire capacity will be sold to the customer?

Bir Kapoor: Okay. Whatever capacity that we have in place now is contracted. This is true for LiPF₆ as well as for LFP, which has been recently commissioned. Now coming back to your question, Sanjesh, regarding revenue potential. That once you put in a capex, there's a certain gestation period in terms of plant getting stabilized, getting the right quality and then qualification.

And subsequently, the revenue starts coming up. And product mix average, I had indicated 2x the asset turnover. So, I would follow the similar approach because it would be difficult for me to give an exact number but if you look at the way our investments are happening and the capexes are being built in, over a period of time after certain gestation period, we would start seeing a 2x revenue coming in.

Sanjesh Jain: So will FY '27 be a more, again, a qualification year or we intend to supply a material quantity in this year?

Bir Kapoor: So, FY '27 will be a material quantity for salt, which I have already indicated very clearly. Because our initial investment is all in salt plants. See I think that our initial phase of investment is building up that capacity, which is the smallest commercial scale capacity, to achieve the quality level and get those

approvals .

And then subsequently, we'll go through the ramp phase . So, initial capacities in the salt have already been built. We are ramping up phase right now continuously. So that salt, we already have a qualification. So, in salt, you will see a consistent growth in supply and the revenue coming in. LFP, this will happen a little later. As I said, that it will probably happen after the third quarter of this year.

Sanjesh Jain: No, again, because we have already put 1/3 of the money what we have thought about, which is almost INR2,000 crores has already gone into the battery materials. And we are still left with INR4,000 crores. Even if I just say thumb-rule of 2x, this itself should potentially give us a INR4,000 crores, probably we have utilities and all so probably giving some discount to that. A INR3,000 crore s revenue potential itself comes f rom the investment already done?

Bir Kapoor: But there is a gestation period. Again, I must say that this is sort of a relatively long -term play, Sanjesh. It's not quarter -on-quarter kind of business. There is a gestation period for each plant be

cause there's a long qualification period, almost could be 9 months to a year. So once the plants are commissioned, products go for quality and after the qualification, the revenue starts kicking in. And the number that you're talking about will come eventually, yes. But only when the capacity utilization is c omplete.

Sanjesh Jain: Got it. Got it. And on this anode, we never heard about this. Suddenly, why the anode? I don't know because all across, we talked about LiPF6, LFP and additives and binders. Anode was a twist?

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Bir Kapoor: Not a twist. W e have been ad ding products in our battery materials portfolio. And this was kind of one of the last bit, that too, because battery has typically 3 major components: cathode, anode and electrolyte. We are present in cathode, electrolyte, salt, binders, and now anode. An d this, we are talking about the natural graphite anode . There are different kinds of anodes, synthetic as well as natural. I'm talking about natural right now. And there's, of course, certain synergy with our capability in natural graphite anode.

Sanjesh Jain: What capability? Can you help us understand that?

Bir Kapoor: I'll hold on to that for now, but there are definitely synergies with our existing businesses.

Sanjesh Jain: Got it. One related question on battery before I go to the core business. In this quarter, we saw a sharp jump in the losses because the revenues are largely same as last quarter. But if I look at the EBITDA loss, it appears to be significantly large. Now, why such a large cost addition in this quarter?

Bir Kapoor: See, as we are cap italizing our assets, once we qualify, we reach the point where the assets are qualified, all the costs start coming up right away, as the volumes are being ramped up. So this will eventually ease off. It's a short -term thing because it's kind of a startup business.

Sanjesh Jain: Because your depreciation number on the EV segment h as really not gone up so just?

Bir Kapoor: No, because as we capitalize, the depreciation number starts coming in. So , as the plants and the product get qualified and we commercialize it, this number gets up. And again, I'll request Manoj to answer. Manoj is here with me.

Manoj Agrawal: So you're specifically speaking about the segment of EV business?

Bir Kapoor: Yes, he's talking about the same

Manoj Agrawal: Okay. Essentially, we have capitalized the LiPF6 plant on 5th of January this quarter , So our operation has started. Before the operations, we are eligible for capitalization of all preoperative expenses and trial production losses, everything. Once we start the operations, the accounting standard doesn't allow you to capitalize the expenses.

So all the expenses flows through P&L, irrespective whether your sales ramp-up has happened or not or your capitalization has happened or not. So, this has resulted in this. Earlier also, if you have seen some of the expenses which were always charged to P&L with around INR 20 crores or so, but this has gone up to from INR 20 crores to INR 45 crores roughly.

Out of that one, we have started utilizing the buyer's credit in the f oreign currency, and that was unexpectedly onetime loss that will not recur in future because we have M2M, and we have all now covered it 100%. In GFL, we don't have to cover anything because we have got a natural

hedge there. Here because sales are ramping up, this were transparent as on the balance sheet date and, unfortunately, the movement of dollar and INR was extreme due to Iran and U.S. war .

Sanjesh Jain: Got it. Very clear. Prices going up in the fluoropolymers by one of the large competition. Have we taken the similar price increases? That's number one. Number two, on the volume and

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demand itself, generally what happens in an inflationary environment, destocking happens faster,

and it also kicks in restocking which we were struggling because BCP quantities of 3M and Solvay were still there in the system. I hope this entire phenomena should help you to get back the demand and approvals. And also in that scenario, how should we see FY '27?

Bir Kapoor: Sure. First, let me answer one quickly and then I'll hand it over to Kapil for a detailed answer.

There has been a price increase. We have also taken a price increase and because if you look at it, that we have been, in spite of increasing raw materials and the logistics prices, we have been able to maintain our EBITDA margins and continue to show growth in our business. So that, of course, has happened with us also. But for a detailed FY '27 outlook, I'll let Kapil answer. Kapil, please?

Kapil Malhotra: Yes. So as Dr. Kapoor has mentioned, we are also seeing the demand growth in this year mentioned by the sectors, which have been semiconductor and a couple of other growth sectors plus also we have been mentioning in the past calls also that we are totally focusing on the value-added applications and value-added customers.

So this year, we expect to see a growth of around 15% to 20% as compared to the last year in our fluoropolymers products, which we are going ahead. And that is why we are also entailing capex also because we are seeing that whatever capex are made last couple of years, we are almost at the complete utilization cycle of those products in this financial year. So we are seeing a growth outlook for this year as well as for the next couple of years too, growth coming from the sectors which we are mentioning.

Sanjesh Jain: So 15% to 20% when we say it's volume growth, right? Pricing, I think -- pricing itself has gone up by 15%?

Kapil Malhotra: You're right. So obviously, that effects also starts coming in. You will see in the results when they are coming out. So that also starts coming out. But there has also been the cost push from the back end also. So that also gets balanced out. But we are seeing the growth in the prices as well as in the growth and the volumes too.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Sir, my first question is on the fluoropolymers business. Generally, chemicals business excluding EV. So in the past, we said our steady-state targets for the existing assets and capacity at a much higher level. But now we are saying that we have not even reached 80 percentage of that, but still we are seeing that we are fully utilized and we would like to add capex. So how should we look at this? Was it any expectation of ours didn't happen because we are not able to ramp up or what's happening around in this fluoropolymers and new fluoropolymer business?

Bir Kapoor: Okay. Arun, first of all, we have never ever given a capacity utilization numbers earlier. All we are saying right now that the initial capacity that we had put up in new fluoropolymers, we are seeing now that it is pretty much reaching an optimal utilization. And the time has come for us to now put a fresh set of investments in fluoropolymers because the growth that we are seeing is consistent.

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Now you're asking that why it has taken some time, et c. Because I've said many times that as we go into higher and higher grades of polymers, the qualification time becomes longer, okay? And particularly now, for example, if you talk about some of the fluoropolymers which is getting into an application like semicon, the gestation period or the qualification period is long. But today, I think we are in a much stronger position. And Kapil, do you want to add something?

Kapil Malhotra: Yes, continuing on the same path, obviously, when we are going into the high value-added applications, we're talking about sem

iconductor, talking about hydrogen fuel cells, talking about

the other applications, the approval cycles are definitely a bit longer. But now we are on the end where most of the approvals have come in. Commercial businesses have started doing well. And we are seeing that growth coming in.

That is why we are very confident about the figures, which I told. And going ahead in the new fluoropolymers business, especially PFA, FKM and a couple of other products which we have added, we are seeing that the growth is continuing, and that is why our capex is also being planned. We feel that by this financial year, we'll be almost to the maximum capacity utilization of these products.

Arun Prasath: Actually, what I meant was not with respect to the product approval time lines, but we understand that it's fairly longer gestation period products. But what I am trying to ask is, is this the kind of EBITDA numbers for the fluoropolymers at least in the chemical business, is this a steady state number that we actually envisaged when we put up those plants 2 years ago or is it something like lower than what we envisaged?

Bir Kapoor: No. I think, Arun, this has been in line with what we had thought because we had already given an indication of certain EBITDA margins and which we have been sustaining. So I don't think there is any disconnect with respect to what we have thought through.

Arun Prasath: Understood. And when you're adding capacities, is it across all the new fluoropolymers or is it in some pockets, if you would like to call out a few fluoropolymers where we are adding this proportionately?

Bir Kapoor: Obviously, the margins are different depending upon the different grades. So some of the new polymers, which is very high end, the margins are disproportionately higher, obviously, yes. So when we talk about it, we talk about it as mix.

Arun Prasath: Okay. All right, sir. Second question on the EV. We say that all of our capacities are contracted. Does it mean that is it something like a take or pay, or after you are done with the qualification, is it take or pay, or is it like more like a soft commitment?

Bir Kapoor: I'm not really at liberty to give details of our contracts, Arun. However, there are anchor customers, there are specs agreed on, there are pricing that has been agreed on. And these are some of the contracts which is in writing. So I would not be able to give details of the customer contract or any detail about the customers.

Moderator: The next question is from the line of Hansal Thacker from Lalkar Securities Private Limited.

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Hansal Thacker: Firstly, accept my hearty congratulations for such a good, resilient performance on the chemical segment, especially from fluoropolymers, against a rather challenging global backdrop. Also very encouraging to see that we are aspiring to be at 70% of the EV battery value. Just one question I had, sir.

Just trying to put the capex figures in perspective. The INR 800 crores planned capex of '27, I understand INR150 crores, as you mentioned, is towards the R-32. So is the balance part of any specific polymer expansion or is it part of common infra? Because I'm trying to add the numbers up and taking a cue from your comment that the cumulative capex figure remains at INR 6,000 crores.

Bir Kapoor: Okay. So Hansal, I think maybe there might be a mismatch in the numbers. The projected number that we have said is around INR 800 crores for GFL. Out of that, INR150 crores is for ref gas, INR 220 crores for electronic specialty chemicals, which is primarily for semicon. And we have fluoropolymers, we have said INR 250 crores. You had some question on the fluoropolymer capex, Hansal?

Hansal Thacker: Yes, sir. So I got my answer. I'm just trying to wonder how this totals into INR 6,000 crores of the unchanged capex figure. But I guess it has

something to do with the bifurcation of the capex of FY '24, I'm guessing?

Bir Kapoor: So the INR 6,000 crore number that we had said when we started the journey in the new EV vertical or the EV business, at that time, almost a couple of years back, we had said that our plan is to invest INR6,000 crores in EV business over a period of 4 to 5 years. So INR 2,300 crores for EV is part of that INR6,000 crores that we had indicated earlier. Is that clear? And the GFL capexes are separate, because GFL capexes are in the chemical part of the mother company investments and EV is now being separated out.

Moderator: The next question is from the line of Archit Joshi from Nuvama Wealth.

Archit Joshi: Just had one question. Rather a clarification, if you can give on the R-32 capacity, we would be eventually at a 20,000 ton capacity of R-32, if I understand that correctly. Do we -- would we have any plans to add more capacity going into 2027 given that we have a sufficient quota from the baseline of the HCFCs and there's another year for us to make use of the time line to add more capacities. And on the same lines, how do we see the ramp-up of R-32 capacities in FY '27?

Any elaboration over there?

Bir Kapoor: Archit, first of all, we had said that we would be adding 20,000 tons in R-32. So we are going through that process right now, and our capacities will soon reach 20,000. It hasn't reached yet. And regarding the subsequent additions, we have also made it very clear that we will be adding the full capacities and utilizing our quota or our allocated quantities. We have time, and we will take that call as we go along, looking at the market dynamics and opportunities to utilize it and looking at the product mix and what's the right product mix for refrigerants.

Archit Joshi: So for that, we will have to wait until a few more quarters to understand how much capacity you might get added and what's the kind of quota that we are targeting maybe in the next year?

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Bir Kapoor: Yes, our quota numbers are very clear. We have internal estimates because there's a very well-defined guidelines for the quota. So that numbers are very clear to us. And we are clear about adding capacities to reach that number.

Archit Joshi: Got it. And this INR 220-odd crores capex, if I heard that currently, for FY '27, assuming that we would have that capacity towards the end of the year or we are very close to commissioning that capacity?

Bir Kapoor: Sorry, Archit, I think we mentioned INR 150 crores for...

Archit Joshi: INR 150 crores, sorry. Right, right.

Bir Kapoor: So it will happen very soon. Very soon.

Moderator: The next question is from the line of Tejas Arun Sonawane from Asian Market Securities.

Tejas Sonawane: Yes. My first question is on the EV capex. Could you help us with how much has been the total capex so far on the EV side and how much have we capitalized from that capex?

Bir Kapoor: So approximately INR 1,900 crores to INR 2,000 crores is what we have already invested so far, Tejas. The plan is to go for INR 2,300 crores next year or this coming year. And so, this is -- actually is our ramp-up phase now. We have done what we have to do for learning, customers, qualifications pretty much. So now this is a time where the serious investments of that are committed capex are going to take place. So with this, I think the remaining -- the subsequent financial year probably would see the similar order of capex to reach the 6,000 number.

Tejas Sonawane: Okay. So this INR 2,000 crores is the amount which you have already commercialized? Would that be correct?

Bir Kapoor: The capex that we have already invested, that cash flow. Some part of it is capitalized, not the entire thing, as we are getting ramped up as the plants are commissioned with the intended -- whatever

the intent of that capex is, and that's reached, we are capitalizing it.

Tejas Sonawane: Understood. And second, on the Oman capex, which we indicated last quarter, with whatever has happened in the Middle East, what is the status of that project? Are we on track to go ahead with this capex?

Bir Kapoor: We will go ahead with the capex, There are no impacts on Oman, if you look at the overall capacity. Oman has been overall one of the safest countries so far in the Middle East. And so there's no change in our capex plan and we are going ahead with it.

Tejas Sonawane: Okay. One last question on the gross margin front. This quarter, we have seen that the gross margin has seen some decline. Could you help us understand what could be the reason behind the drop in gross margins?

Bir Kapoor: So it's not really decline. It's probably, what, maybe 0.5% point. Very small number, Tejas. It's not a significant change. It's pretty much flat overall.

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Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Follow up, sir. We were discussing about the contracts in the EV business. And you said it's contracted and sold out. Does it mean we should have some kind of revenue visibility for this year? Isn't it at least for those products where we are done with the approvals and qualification cycle?

Bir Kapoor: Yes. I'll let Mr. Rajiv answer this. Rajiv, please go ahead.

Rajiv Rao: Yes. So we have, as mentioned earlier, our first investment of LiPF₆ salt, where the plants are - our product has been fully qualified by most of the major electrolyte players. So the commercial sales for that product has started now and we should be expecting revenue for LiPF₆ salt for all of FY '27.

As far as LFP is concerned, our initial samples have been approved and the final qualification of that product is expected sometime in Q3 of this financial year. And the revenue for LFP CAM should start subsequent to that. Additionally, our binders have been fully qualified at major customers and revenue for that should start in the next couple of quarters.

Moderator: The next question is from the line of Darshita Shah from DSP Mutual Fund.

Darshita Shah: Just a question on the working capital. Our inventory days have continued to move up. A, how do you think this will pan out? Do we have any plans to bring it back to the 90, 95 days that we used to have in FY '22, '23? First on that. And second, as the battery business scales up, how should we see the working capital panning out?

Bir Kapoor: Yes, Darshita. I'm requesting Mr. Manoj to take this. Please, Manoj.

Manoj Agrawal: Darshita, first of all, numbers which you are referring to is at the higher base level that year was exceptional outlier year where our turnover INR 6,300 crores because of exceptional increase in the chemical prices. That was the first reason. So denominator effect -- base effect was there, which has resulted into abnormally low working capital cycle of 120 days to 150 days.

So far our distribution model is concerned, we deal in the polymers, we stock at our Germany warehouse, we stock at our U.S. warehouse and that remains so almost we have to keep 30 days inventory- 30 days to 90 days inventory in our plant, 30 to 90 days inventory at warehouses, and the sea transit time also takes 30 to 60 days, depending on whether it's going to Germany or USA.

So that is the thing. And our average credit period is also a span between 60 to 90 days. Because we are fully integrated, a lot of creditors are not there in our system, so we don't get that credit benefit. And in terms of that, our average working capital cycle remains high. Further, we are now stabilizing and building up our EV business.

We have to start procuring the inventories for our EV business and that raw material inventory and we have started c

ommercial production of LiPF₆ that has also added. So as we go along, we
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reach our full capacities and the turnover, automatically, the denominator effect will come back and this will get reduced.

Darshita Shah: Sir, if you could just explain as to why would we require a 30 to 90 -day kind of an inventory at the warehouse in the U.S. and Germany as well. I mean how does the offtake usually work? I mean why would we require such a high inventory day at the warehouse in the U.S. and Germany like in those stages as well?

Kapil Malhotra: Darshita, Kapil Malhotra this side. First of all, the kind of business we are in, we also have to keep the insurance stock for certain marquee customers in both the European as well as the U.S. market because there they have the concept of Just -In-Time. So we have agreements with them where we have to keep the stocks for them for 2 to 3 months as an insurance stock. That's one. The second important thing is if you understand now currently, if you see the geopolitical scenario, the voyage time has increased from almost 3 to 4 weeks to almost 7 to 8 weeks. So our material in the stocks has actually helped us in converting the sales. And also we have to see to it that there is almost 8 weeks which is taking in transit time to reach to these destinations. So that is why to ensure that our customers receive material, we have enough stock with us to convert into sales. We have to have these working capital days with us with material in stock.

Moderator: The next question is from the line of Rohit Nagraj from 360 ONE Capital.

Rohit Nagraj: Sir, first question is on R -32. So given that we have commissioned the 10,000 tons of capacity, have we already started operating at optimal levels from March? Or will it be happening in subsequent months?

Bir Kapoor: It's already started operating from April onwards. So it's already operating at the optimal capacities. And it will be ramped up as we go along.

Rohit Nagraj: Right. And in terms of the customers, how are we looking at it? Is it domestic? Is it exports? And do we have any contracts in place for this 10,000 and the additional 10,000 that is coming in? Any anchor customers where we have at least a part of the volumes which are contracted for medium to long term?

Bir Kapoor: Rohit, we have been in refrigerant business for a very long time. We have one of the legacy suppliers in this area with a lot of experience in export market as well. So when we look at R -32, it's both domestic as well as exports. And in some cases, we have contracts as well. So, we are quite confident that when the capacity will be ramped up - and go to 20,000 tons, we'll have no challenge or no issue at all in terms of selling that material. It's contracted as of now.

Rohit Nagraj: Got it. And sir, second question is on the fluoropolymers business, what is the kind of potential EBITDA that we are looking at -- whenever we reach the optimal or full utilization for the existing capacities?

Bir Kapoor: So the thing is that we have still not reached the full capacity, as I said earlier. So as we are seeing the volume growth in fluoropolymers, the EBITDA will continue to grow. In fact, as we have seen earlier also, as more and more new fluoropolymers are added which are high value
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add, we see our overall EBITDA going higher because of the higher margin products. So we will see EBITDA growth as well along with the volume growth.

Rohit Nagraj: Right. And just last bit on the battery chemicals front. So given that this quarter there has been some improvement in the revenues, do we see a significant or exponential improvement in revenues on a Q -o-Q basis? And by Q4 of FY '27, there could be potential 3-digit number from the battery chemicals front, high 3 -digit number f

rom the battery chemicals front as an exit rate?

Bir Kapoor: Yes, Rohit, you are right, we would still see a growth going up quarter -on-quarter, and the rise would be significant. And we expect to reach, of course, the 3- digit number by the end of this quarter -- by the end of this financial year in the last quarter, yes.

Moderator: Ladies and gentlemen, that was the last question for today. With that, I now hand the conference

over to management for closing comments.

Bir Kapoor: Yes. Thank you very much. And the strong growth driver for short term to long term are all in place, I think. And short to medium -term growth will be driven by the refrigerant and fluoropolymer segment. And the medium to long-term growth journey is equally encouraging for us as advanced battery materials business is scaling up and reaching up to the full potential in coming years. So with this, I would like to thank you all for your interest in GFL, and thank you very much for being part of this call.

Moderator: Thank you. Ladies and gentlemen, on behalf of 360 ONE Capital, that concludes this conference. Thank you for joining us, and you may n